IndusInd Bank Ltd. (INDUSINDBK)

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Page 1 of 18 Q1FY24 Earnings Conference Call Management: Mr. Sumant Kathpalia – Managing Director and CEO Mr. Arun Khurana – Deputy CEO Mr. Gobind Jain – Chief Financial Officer Mr. Indrajit Yadav – Head, Investor Relations and Strategy July 18, 2023

Moderator: Ladies and gentlemen, good day, and welcome to IndusInd Bank Limited Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero, on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumant Kathpalia, Managing Director and CEO, IndusInd Bank. Thank you, and over to you, sir. Sumant Kathpalia: Thanks for joining this call. Let me start with some macro commentary and then go into the bank specific details. Economic activity gained momentum during the quarter as is visible from various high frequency indicators such as PMI. Monetary policy pause was extended with CPI inflation easing below 5% level and liquidity conditions in the banking system improved over the quarter. Bank credit growth stabilised around 15% with personal loans category continuing as the main contributor. Deposit growth picked up, helping to bridge the gap with higher credit growth. On the demand side, private consumption and public investments helped support activity. The strong ongoing pick-up in the services sector is supporting urban demand, recovery in rural demand and improving conditions for capital formation would help growth remain reasonably strong. Relatively bright growth prospects, easing inflation and overall macro-economic stability has revived foreign investor interest in India with net inflows in debt and equity surpassing $10 billion in last quarter. Coming to the quarter specific developments. Our focus areas for the quarter were: • Loan Growth Momentum – We maintained our healthy loan growth of 22% YoY and 4% QoQ driven equally by consumer and corporate businesses. Our Vehicle business maintained 21% growth, BFIL originated loan growth improved to 14% YoY. Other Retail growth remains strong at 27%. We are thus seeing loan growth momentum across segments. • Maintaining Deposit Traction– Our retail deposit growth as per LCR accelerated to 21% yoy vs 19% in previous quarter. Share of retail deposits improved to 43.4% vs 42.6% in previous quarter. Our Savings Account book too grew by 6% QoQ reversing the attrition trend for the past few quarters. Overall we achieved total deposit growth of 15% YoY and 3% QoQ driven by granular retail growth. • Continued investment in new initiatives – We continue to invest in our franchise both in physical as well as digital distribution scaling up our presence in new products and customer segments. Our affluent deposits grew to Rs.44,400cr up 22% YoY. NRI deposits grew to Rs.37,200cr up 39% YoY. Loan book under merchant acquiring business via BFIL grown 89% YoY to Rs.4,229cr. Our home loans pilot has reached Rs.665crores. We have soft launched our digital platform "Indie" and open for public access. We have hired around 12,600 employees in our distribution over last 4 quarters. This all is reflected in opex growth of 24% YoY and 6% QoQ. • Improving Asset Quality – Our gross slippages reduced from Rs.1,603cr to Rs.1,376cr QoQ i.e. from 0.59% to 0.47% of loans QoQ. Our Restructured book too reduced by Rs.475crores from 0.84% to 0.66% QoQ. Our NNPA is at 0.58% with provision coverage ratio stable at 71%. Our contingent provisions are at Rs.1,700crores with total loan related provisions at 121% of GNPAs. Our credit cost has reduced to 33bps from 36bps QoQ. • Sustaining profitability of the franchise – Our Net Interest Margin improved by 1bps QoQ and 8bps YoY to 4.29% with effective balance sheet management. Client fee income grew by 19% YoY driven by continued retail momentum. Our PPOP margin to loans for the quarter was at 5.5% vs 5.6% QoQ.

• Steady Improvement in Return Ratios – Our Pr

ofit After Tax grew by 4% QoQ and 30% YoY to 2,124 crores. Our Return on Assets was at 1.90% and Return on Equity was at 15.24% for Q1. Our Capital Adequacy Ratio remains healthy with CET1 of 16.44% and overall CRAR at 18.40%. Now coming to individual businesses. 1. Vehicle Finance: • The vehicle finance maintained healthy loan growth of 21% YoY and disbursement growth of 18% YoY. • The segments showing strong disbursements were Commercial Vehicles, Utility Vehicles, Cars. Disbursements were muted in tractors and two wheeler segments. • The bank has maintained or improved its market share across all vehicle categories. • We have also implemented salesforce loan originating system across all our locations for cars & two wheelers. This should further improve our efficiency and bring down turn around time for these segments. • Historically, first quarter has been a seasonally weak quarter whereas Q4 is seasonally stronger. The second half of a year contributes larger share of disbursements as well as recoveries and we expect that trend to continue this year too. • The gross slippages in vehicle improved to 0.77% vs. 1.11% YoY whereas higher than 0.61% QoQ due to seasonally weak quarter vs. Q4. The slippages are expected to come down as the year progresses. • The restructured book in vehicle finance also reduced from 1,475 crores to 1,182 crores QoQ. The collection efficiency of these customers remains comfortable with bulk of the reduction happening through upgrades and recoveries. • The vehicle portfolio has now shown strong disbursements for two years. This also reflects into increased share of new loans and repayment drag coming down steadily. The loan growth thus should now move broadly in line or ahead of disbursement growth. The asset quality should improve from here with seasonality benefits coming in the rest of the year. 2. Bharat Financial Inclusion Limited: • The YoY loan growth in microfinance and merchant acquiring book accelerated to 14% vs. 11% in previous quarter. The share of non microfinance book increased from 7% to 12% YoY. • The Bharat Financial Inclusion consists of three key segments of Microfinance, Bharat Super Shop and Bharat Money Stores models and I will update on all three segments. • Microfinance o We had disbursement of ■8,406 Crore during the quarter registering a growth of 12% YoY. Our New-to-Bank disbursements were up by 19% YoY in terms of number of borrowers. Historically Q1 is seasonally weaker vs Q4 and reflected in QoQ reduction in disbursements. o MFI book at the end of Q1 was ■31,981Crore, up 9% YoY. Active borrower base of about 78 Lakh micro finance borrowers up by 5%. New customers added during Q1 of around 504,000. o MFI standard book net collection efficiency for Q1 was at 99.2%. • Bharat Super Shop i.e. the merchant acquiring business o With strong demand

and large pockets of growth available, we continue to expand our merchant acquiring business under the banner of Bharat Super Shop. o Portfolio sourced through BFIL under this business has grown to ■4,229cr, up 89% YoY and 5% QoQ, with 660k active borrowers. o The total disbursement during the quarter was ■1,522 Cr. The book continues to report healthy growth along with strong asset quality.

o Our standard book net collection efficiency from this book during Q1 FY24 was 99.2%. • Bharat Money Stores i.e. the kirana shop model o We have around 115,000 active Bharat Money Stores providing banking at the doorstep in remote areas. o Liability book sourced from customers serviced through BFIL increased by 44% YoY to reach ■2,108cr through 1.45cr accounts. Our focus remains to be the banker of choice of our customer segment in Bharat. • Overall on the asset quality side, MFI gross slippages during the quarter reduced to ■369 Crore as compared to ■599 Crore in Q4FY23. We are adding emphasis on recovery with recovery of ■52 crores from NPAs & 32 Cr from ARC/Write-off ac

counts during the quarter. • The BFIL standard 30 DPD loan book remains stable at 1.1% of loans. • We expect disbursements from microfinance to pick up as we progress the year. We continue to work on the diversification initiatives and becoming a micro-banker from a micro-financer. The asset quality has improved this quarter and we expect the trends to continue in rest of the year as well. 3. Corporate Bank: • Our corporate loan book maintained healthy growth trajectory of 4% QoQ growth. • The overall growth continues to be led by growth in small corporates with small corporates growing by 10% QoQ. Within small corporates, our focused strategy on Corporates with < 500 crs turnover segment has been bearing results – growing 14% q-o-q. • Growth across large and mid-corporates was 3% q-o-q and 19% y-o-y in line with our expectations. • Majority of the corporate loan book is floating rate in nature and we were able to pass on increased rates for customers due for reset. Our yield in corporate book thus improved by 10 bps QoQ. Yield increase hereon will be muted with benchmark yields stabilising or coming down. • The proportion of A and above rated customers has improved from 73% to 76% YoY with weighted average rating improving to 2.61 from 2.63 YoY. • The Gross Slippages in corporate book were only Rs 43cr for the quarter. Our corporate restructured book too remains low at Rs.327cr. • Over the last couple of years, we have consciously changed our guidelines, policies and coverage model. We have put in place tighter policy norms for complex transaction, rationalized borrower limits linked to internal rating and much below regulatory threshold, conservative capping of sensitive sectors, strengthened post disbursement checks and developed early warning system etc. • Similarly, coverage model was reoriented with a focus to scale up small businesses and increase wallet share from identified large strategic client groups thereby improving our risk density and RORWA. • Overall, we continue to progress on the granularization of the corporate franchise through small businesses and diversification. Our small business as a % is planned to increase from current 10% to 20% of corporate book. Within our large & mid corporate verticals, our focus is diversification across regions and more acquisition especially in mid corporate segment. 4. Global Diamond & Jewellery Business • The demand for diamond remained muted with sluggish growth in key consumer markets of US and China. Our diamond book thus was up 10% YoY but down 7% QoQ with working capital utilisation running down. • The slowdown however does not have any impact on asset quality with no clients getting into SMA1 & SMA2 category.

• Overall we remain comfortable on the diamond portfolio asset quality while the growth will be dependent on the recovery in global economy. 5. Other Retail Assets: • We saw another quarter of growth momentum in Other Retail Loan book growing by 7% QoQ and 27% YoY. • The growth was broad-based across business units. The secured assets including LAP, Business Banking grew 5% QoQ while unsecured assets of credit cards and personal loans grew by 10% QoQ. • The secured asset growth has bounced back as with pick up in new to bank acquisition maintaining the momentum gathered in quarter 4. • We are scaling up our home loan pilot with book size growing to Rs.665crores. We will go full steam with marketing plan during the course of the year as the pilot stabilises. • Our digital lending platform for small business banking segment was launched for term loan and non fund products on Easy Credit last quarter. With this we have all inclusive asset suite on digital platform for less than 2 crs segment. The stack is fully enabled to process sanction within a single day backed by Bureau, Banking and GST backed data for the small business customers. • On unsecured side, the Credit card growth was

driven by new cards acquisitions & highest ever quarterly spends. Credit Card spends were at 20,189 crores growing by 20% YoY. • Overall, with focus on branch sourcing and digitisation of small ticket acquisitions, we expect growth momentum in retail business to continue in the current financial year. We do however remain watchful of inflationary economic conditions particularly on the unsecured consumption spends. 6. Now coming to Liabilities: • Our deposits grew 15% YoY and 3% QoQ. • The growth was driven by granular acquisition with retail deposit as per LCR growing by 21%. The share of retail deposits improved to 43.4% as we progress towards our ambition of 45% to 50% by PC-6. • Our Savings Account deposits too showed robust growth of 6% QoQ reversing the attrition seen in the last 3 quarters. Current Accounts moderated as some of the quarter end floats of previous quarter ran off. Overall, CASA was stable QoQ at 40%. • Our Affluent segment deposits grew 22% YoY to 44,400 crores during the quarter. Affluent AUM was also up to 68,750 crores showing a growth of 17% YoY. • Our NR deposits grew 39% YoY and 9% QoQ to 37,200 crores. We continue to gain market share in Non Resident segment with market share above 3% as of last available data. • We have 30 branches launch ready currently and another 27 have leases finalised. We will aim towards adding 250-300 branches during the course of the year. • Contribution of Certificate of Deposits remains low at 3% of deposits. • We reduced borrowings during the quarter by 7% QoQ. The borrowings form only 10% of the liabilities and almost all are long term in nature. • We continue to carry healthy liquidity position with LCR at 132% and average surplus liquidity at Rs.44,000crores for the quarter. • Overall, we remain focused and comfortable towards achieving our Retailisation objectives. The liquidity in the system has improved during the year and rates in certain buckets are coming off. With continued investment in physical and digital distribution along with maturity of branches will aid our retailisation drive going forward.

7. Digital Traction: • Bank continued to register strong growth in its monthly active user base on both IndusMobile and IndusMerchantSolutions – 30% YoY and 20% QoQ respectively • Mobile transaction volumes for the bank grew 82% YoY • On retail and MSME business – across products most of the business is now digital. In some products like savings, wealth, credit cards it is almost completely digital while in MSME it is still about 65-70% digital • Share of digital unassisted direct to client acquisition continues to grow – in cards it is ~25%, in liabilities it is ~40%, in personal loans it is ~15% in terms of loans to new to bank / non pre-approved customers with real time decisioning • Bank continued to focus on optimising digital platform marketing and across products we sell digitally, customer acquisition costs have come down substantially YoY. In loans it has come down by 60-70%. • During the quarter bank also launched its CBDC app and joined other pilot banks in RBI's initiative on digital currency • Last but not the least, Bank has soft launched INDIE – its digital banking platform open for public access. INDIE has seen an installed user base of 50,000+ and customer base of 10,000+ on the app. We will be do a full scale launch during the quarter. 8. Coming to ESG: • We are committed to integrate ESG principles deeply into our business, products, risk management and operations • We are proud to announce that all our pioneer branches have achieved LEED certification, showcasing our commitment to environmentally friendly operations. Additionally, we have mandated a leading Big4 consultant to formulate a strategy to make IBL carbon neutral by 2032 • We are honoured to have been recognized as the 'Best Bank in India for ESG' by Asiamoney for FY-2023. This prestigious award, received for the

second consecutive year, is a testament to our dedication to environmental and social responsibility. We extend our heartfelt gratitude to all our partners for their invaluable support in helping us achieve this remarkable milestone. 9. Now coming to the financial performance for the Quarter: 1. Net Interest Income grew by 18% YoY and 4% QoQ in line with our loan growth. Net Interest Margin improved at 4.29% vs. 4.21% YoY and 4.28% QoQ. 2. The Net Interest Margin was supported by repricing on the asset side as well as active management of the liabilities. The cost of funds as well as yield on assets increased by around 40bps each during the quarter resulting in stable margin QoQ. 3. Other income grew by 14% YoY and 3% QoQ. Core client fees excluding trading income grew by 19% YoY and 2% QoQ. We had positive non core income of Rs.91crores during the quarter. Share of Retail fees improved to 73% from 70% YoY. 4. Our total revenue for the quarter was at Rs 7,077 crores with 17% YoY growth. 5. Operating expenses grew by 6% QoQ with Cost to Income ratio at 45.9%. The opex growth was driven by employee addition, investment in distribution, technology spends for the new platform launches and preparing for annual appraisal actions. 6. The operating profit for the quarter was at 3,831 crores growing 12% YoY and 2% QoQ. The PPOP margin to loans continues to be healthy at 5.5%. Core PPOP growth was at 14% YoY and 1% QoQ. 7. On the asset quality and the provisioning front: • Our provisions for the quarter have further reduced to 991 crores and are below 1,000 crore mark for the first time in last 3 years. The annualised provisions to

loans are thus down to 132bps now vs. 142bps for previous quarter and 155bps for previous year. • As expected, we saw reduction in gross slippages from microfinance, corporate and other retail segments. The vehicle finance unit saw increase in slippages given Q1 is seasonally weak than Q4. • On the restructured book side, the retail slippages were lower QoQ and there was no corporate slippages. The restructured book has reduced by 475cr during the quarter from 0.84% to 0.65% QoQ with bulk of the reduction due to upgrades and recoveries. • The Net Security Receipts have reduced from 51bps to 44bps. The bank made additional provisions of Rs 129 crores towards the SR book during the quarter. • Overall, the GNPAs for the bank were at 1.94% and Net NPAs stable at 0.58%. We have maintained provision coverage ratio of 71%. • Our contingent provisions excluding specific provisions are at 1,700 crores. Total slippages from the restructured book in the last 5 quarters were at Rs.2,324crores. We have utilised contingent provisions of Rs.1,628crores during the same period. With this we expect to the utilisation of contingent buffers to be behind us and will aim towards adding into the buffers with support from operating environment. • Total loan related provisions are at 2.4% of loans or 121% of the GNPAs. • Our SMA1 and SMA2 book was at 4bps and 19bps respectively. 8. Profit after Tax for the quarter was at Rs 2,124 crores growing 4% QoQ and 30% YoY. Our CRAR including profits remains healthy at 18.40%. Return on Assets was at 1.9% and Return on Equity at 15.24%. Overall, the first quarter of our Planning Cycle 6 strategy saw progression towards the stated objectives. - Loan growth was at 22% against our expected range of 18% to 23%. Seasonally, the first quarter is softer quarter for vehicle and microfinance businesses and seasonality should support the loan momentum during the rest of the year. - Retailisation of liabilities continues with 21% growth in Retail deposits as per LCR and healthy 6% QoQ growth in SA deposits. The share of Retail Deposits as per LCR improved to 43.4% and we aim moving towards 45% to 50% in PC-6. - Asset quality improved in all businesses except for vehicle due to seasonality. The annualised credit costs are down to 132bps i

nching towards our expected range of 110bps to 130bps for the year. - All key profitability metrics across NIMs, PPOP margin, RoA and RoE have maintained healthy position in line with our communicated aspirations. - We continue to scale up new initiatives like affluent, NRI, tractors, merchant acquiring, home loans and digital launches. These provide further growth avenues for the Bank. We have thus began well on the PC-6 strategy execution and are committed to the ambitions outlined in our strategic plan. With this we can begin Q&A session. Moderator: Thank you very much. The first question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead. Nitin Aggarwal: Yes. Hi Sumant. Congratulation on good quarter. A few questions from my side. Firstly, like, we have seen a sharp rise in cost of deposits over the past one year. So

how are you looking at the deposit repricing over the next few quarters? When will this likely peak out? And if you can also give some color on what has driven this strong SA mobilization and how sustainable this growth rate is? Sumant Kathpalia: So, our cost of deposit, you should see the peaking out in quarter 2. And what has happened in quarter 1 is a lot of maturities, which are coming in, which were contracted at a lower price, got re-price in the retail side of the book as well as on the wholesale banking side of the book. That's number one. And of course, the renewal process, which has happened at a higher rate because our rates on the term deposits were higher. So that's the reason. And you should start seeing a stabilization or a bit rise in the quarter 2 and then a stable pace and a decreasing cost of deposits as we get into quarter 4. So, we've always said that, by quarter 4, we should see a cost of deposits declined by 10 to 15 basis points. Having said that, our savings accounts, we always said that the savings account growth was affected because the bulkiness on our portfolio. And there was one such account where the bulkiness of the portfolio was there. And once that bulkiness reduced in the portfolio, the acquisition ramp up as well has helped us to grow the savings account. And what we have seen in the last three quarters is the bulkiness of the portfolio is moving down and the growth has come back. Even if you look at the LCR growth, you would see that the LCR growth is about INR7,800 crores to INR8,000 crores, as a consequence of that. Nitin Aggarwal: Right. And if I look at Slide 20, we have a 10-odd basis point increase in the wholesale banking yield and another 8 basis points in consumer banking, but our total yield has gone up by 22 basis points. So, what am I missing here? Indrajit Yadav: That is because of the mix change is in favor of retail. Quarter 4, if you remember, there was strong microfinance disbursements. So, during the course of this quarter, averages were higher for retail compared to last quarter. Nitin Aggarwal: Okay. Sure. and Sumant, one more question on the cost income ratio. Cost to income ratio has been increasing over the past few years. We have now close to 45%, 46% now. So how should we look at this as you go on to add more branches and invest in the business? Sumant Kathpalia: I've said that this year, we will end the year at 45% cost-to-income ratio. And that is what we said going to 41% to 43% in year two and stabilizing at about 40% to 41% in year three. While we may go up, at the end of the year you will see us stabilizing at 45% and we'll come back to 41% to 43% by year two. We have some initiatives and of course, the salary actions. So, this quarter has the salary appraisal part also. So that is all stabilized.

Nitin Aggarwal: Right. And one clarification, like have you got any RBI circular in respect to overdue ECLGS loans in the MFI segment, any impact that you have seen from that? Indrajit Yadav: We don't have a

significant book there which impacts us. Nitin Aggarwal: Okay. But did you see some downgrades because of that circular this quarter? Indrajit Yadav: No, we don't have any significant impact because of that. The numbers reflect all the circulars that are out there. Nitin Aggarwal: Right. And lastly, if I can squeeze in one more question. Any thoughts on the promoter shareholding plans because this has been in the news for some time. And so where is the application really with RBI, what state it is? And any color as to what are the promoter plans in terms of increasing stake if you can give some color on this? Sumant Kathpalia: The promoter has issued a press release, and we can only talk what is in the public domain that they want to increase the stake. The bank does not need the capital as of now. We also know that the process is still continuing, and there is no approval from RBI on the form A, as of now. So, we have to wait for the formal communication of the form A, which is the due diligence form from RBI, and that's a process which takes three months, almost two months are over. And I think, we have to wait for that announcement from the RBI or from the promoter. Nitin Aggarwal: Thanks, Sumant. Thanks so much and wish you all the best. Moderator: Thank you. Next question is from the line of Adarsh from CLSA. Please go ahead. Adarsh: Hi Sumant. Congrats on good numbers. A couple of questions. One on the cost of fund. I just wanted to understand... Moderator: Adarsh, sorry to interrupt you. You're sounding a little distant. May I request you to speak a little louder? Adarsh: Yes. So hopefully, this is better. On the cost of funds, Sumant, just wanted to understand from a deposit maturity and a renewal perspective, where are we in that journey? Like is it 50% done broadly, any sense that would help because you said maybe one more quarter of cost of fund increase. So where are we in that journey? Sumant Kathpalia: I think, you would see that the yield curve between 90 days to year is almost flat. And it has come down, what happened in March was we had to raise some borrowings also as a consequence of the effect, which was happening in the US market in the liquidity market, we raised cost of borrowings at a little bit higher cost and that impact you were seeing happening.

With the deposits now bulk deposit rates are stabilizing and our retail journey growing, I think over a period of time, maybe this quarter, you should start seeing the stability in the cost of deposit as we go forward into the years as in the quarter 3 and quarter 4. So, you should start seeing that. And I've said that, you should start seeing a 10 to 15 basis point decline in our cost of deposits as we go forward. Adarsh: And if I use that data with the fact that, our loan mix is improving, it then looks like our margin guidance is kind of conservative, right? We are already at the higher end. And if it's a quarter more of cost of fund increase with improving loan mix, is there any upside risk to the margins? Or what are we missing here? Sumant Kathpalia: Adarsh, we have always said that margins will be between 4.2% to 4.3%. Don't forget, we have a book which is 45% corporate, 44% to 45% corporate book. On this book, you would see a margin suppression as because the MCLR or the EBLR will continue to change as we go forward. If they don't, you will start seeing the margin expansion. Otherwise, you will see what we've said, 4.2% to 4.3%. We are assuming that there will be a decline in the corporate yields as we move forward into quarter 3 and quarter 4. But yes, those will more or less be substituted by the gains, which we will get in the cost of deposits. So, in our opinion, our margins and if you look at six quarters in the presentation, we've been very stable and will continue to be stable in our margins. Adarsh: Got it. And my second question is on capital consumption. Risk weight assets have come

down in the quarter with a decent balance sheet growth. So, if you can explain that and your credit risk weight to loans are probably lowest, I've seen for many years so? Indrajit Yadav: So, a couple of key reasons for that. One is that some of the unrated portfolio got rated during the quarter, so that released some of the risk weights. And we also had some of the non-utilized limits getting reduced quarter-on-quarter, both for funded as well as non-funded, which caused release in the RWA. Adarsh: And we are done with that process? Indrajit Yadav: Unutilized limits vary depending on the customer preferences. But unrated to rated, that's behind us to a large extent. Adarsh: Perfect. Congrats again and thanks, That’s it. Moderator: Thank you. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. Hi, Sumant. Congratulations for good set of numbers. So firstly, on the slippages and the credit cost, credit cost is still at the upper end of the guidance. And when we look at it, in fact, we have utilized the INR200 crores of contingency buffer as well. And you highlighted earlier, that maybe, we are largely done with the utilization, and we will try to create further buffer as well. So, how confident we would be with respect to the credit cost trajectory of 1.1% to 1.3% odd percent? And even on the slippages side, it seems we are relatively high, maybe you mentioned because of seasonality in 1Q. But maybe, you can just highlight in terms of how much was vehicle and kind of, within the same? Sumant Kathpalia: So first of all, I'm comfortable with the 110 to 130 basis points, including the contingent reserve of INR400 crores to INR500 crores. We will add to the contingent resources. We've said that, and we will make sure that we do that. So that's number one. And we are very comfortable with our numbers. And with the recovery focus, which we put on the MFI, we believe that we will be able to manage that. Indrajit Yadav: Slippages from vehicle increased from INR383 crores to INR581 crores. We will upload as usual, the segment-wise slippages in our opening remarks when we upload on the website, so you'll get the segment-wise slippages. Kunal Shah: Okay. And MFI would be -- sorry, if you can just highlight that number as well? Indrajit Yadav: MFI has come down from INR599 crores to INR369 crores. Kunal Shah: Okay. So INR370 crores of MFI and INR580 crores of vehicle? Indrajit Yadav: Correct. Kunal Shah: Okay. And secondly, in terms of, say, the overall opex, so not much of addition to the branches, which, we are expecting. But still so is it maybe whatever has been the rise primarily because of the annual incentives that was in 1Q? Or maybe we have that the employee cost regularly would be at the current level? Sumant Kathpalia: So, the employee costs will be elevated. Some of it is fixed, but I also believe that, we've expanded our distribution, specifically in the microfinance segment, where we've had, if you look at the cost, INR65crores to INR70 crores of that cost has come from the microfinance segment because we are expanding our distribution in the microfinance to get the business done in a diverse way and get new to client customers to add up. And on the vehicle finance side also, there's a INR30 crores cost increase. The other thing is the full cost of the new branches have now got absorbed into the quarter, that

has also come in. You remember in quarter 4, we had a huge expansion of branches. That cost has fully got absorbed because it would have come for 30 days or 45 days in last quarter which has come for the full 90 days this quarter. So that cost has also come in into this quarter. Kunal Shah: Okay. And no branch expansion this quarter, but still quite a rise of almost like 7% odd in the overhead cost. So, what would have led to that? Sumant Kathpalia: No. So, I have t

old you, there is an increase in number of employees. There is an increase in the digital capabilities and the cost, we are incurring on microfinance expansion. Our cost on the retail assets, which we have grown, at a faster pace. That cost is coming in. And of course, the vehicle finance cost where we are expanding our businesses into new domains like affordable housing and two-wheelers, where we're seeing some costs coming in. That's a matter of time that you will start seeing stability of that cost coming in. And like I said, you will see 45% to 46% cost in quarter 1 and quarter 2, stabilizing to 45% as we end the year. And you should see year 2 of 41% to 43% cost-to-income ratio. Kunal Shah: Okay. And lastly, in terms of MFI. So still, in compared to where the peer competitors are, in fact, our growth rates are relatively slow. Maybe last time also you highlighted. But when do we see maybe we were expecting some kind of a sequential momentum in this quarter? And you highlighted that, maybe the MFI will be one of the growth drivers. So, when do we see that change in trends in terms of sequential momentum catching up with the peers, given that investment has also been done in this franchising here? Sumant Kathpalia: So, we've said the overall micro banking book will grow at 28% to 30%. But within that, microfinance will grow at 18% to 20%, we are at 14% year-on-year. You will see an 18% to 20% growth. That should start coming in the second quarter. And what you will see is the other business is growing at a fast pace and we will start seeing that growth also. So, quarter 1 is relatively a weaker quarter in the microfinance segment. And in the second half of the year, where the growth actually comes in, but you will see that in quarter 2 itself. That our growth will be there in the microfinance segment. And in quarter 1, we have implemented a new technology. We also wanted to make sure that, our gross flows reduced, and that's what, we wanted to get into. And the momentum is now back. And we're already seeing in the first 15 days of the month a good momentum in the disbursements in the microfinance segment. Kunal Shah: Okay. Yes. Thanks and all the best.

Moderator: Thank you. Next question is from the line of Abhishek from HSBC. Please go ahead. Abhishek: Yes. Hi, good evening, Sumant and team. And congratulations for the quarter. So, most of my questions are answered. Maybe I just need a couple of data points. If you can share the weighted average cost of term deposits and SA, that will be great? Thanks. Sumant Kathpalia: We don't give those numbers. Abhishek: Sure. Okay. Thanks then and all the best for the following quarters. Sumant Kathpalia: Thank you. Moderator: Thank you. The next question is from the line of Saurabh Kumar from JPMorgan. Please go ahead. Saurabh Kumar: Hi, sir. Just one question. So, your credit cost guidance this year would factor in any additional provision for the security receipt contingent build-out and the net slippage, right? So that 110 and 130 includes all the three, right? Sumant Kathpalia: So, we actually believe that all these costs are part of 110 basis points to 130 basis points. Saurabh Kumar: Okay. And just in terms of, are you were to move to this ECL now, how much do you think you will need as a buffer? Sumant Kathpalia: So, our contingent provisioning is what we are doing to make sure that, we are ready for ECL. Saurabh Kumar: Yes. But how much would you kind of need? Sumant Kathpalia: See, the attributes are still not finalized by the Reserve Bank of India. So, I think it's very difficult. We said that our ECL will be in the range of 1% to 1.5% or 1% to 1.2% of the book. And I think that's what we are working on. It may be amortized over five years. We don't want to wait for it, and that's what we are working on. Saurabh Kumar: Okay. Got it. Thank you. Moderator: Thank you. Next question is from the line of Jai Mundhra from

ICICI Securities. Please go ahead. Jai Mundhra: Yes. Hi, Sumant. Congratulations on a good quarter. My question is, sir, on loan growth, right? So, we have delivered 22% Y-o-Y growth, and it is fairly broad-based in terms of large corporate, mid and small corporate and then retail, within retail vehicle and every major segment seems to be doing at 21%, 22%. And the question is,

do you see within your broad 18% to 23% guidance, the divergence of retail growing at a faster pace. When do we see retail growing at a faster pace versus corporate? Sumant Kathpalia: So, if you look at the retail growth, microfinance has de-grown for me. And if you add the microfinance growth, the percentage shift would have happened to 55% to 56%. That's where and you will start seeing that growth happening over this next two quarters to three quarters. And by the end of this year, we should end at 55% to 56% in favor of retail and 44% to 45% in favor of Corporate Bank. We've always said that we want to continue to maintain a very balanced view on our retail and corporate mix. And that's the way, the corporate will be in the range of 43% to 45% and retail will be in the range of 55% to 57%. Jai Mundhra: Sure, sir. And you had mentioned the security receipts in basis points. And then, you had provided some INR129 crores this quarter. Just to confirm an absolute number that, security receipts, net of provisioning would be around¸ would be that number in INR growth? Indrajit Yadav: INR1,333 crores. Jai Mundhra: Sure. That is this. Thank you, sir. Moderator: Thank you. Next question is from the line of Param Subramanian from Nomura. Please go ahead. Param Subramanian: Yes. Hi. Thanks for taking my question. My question is again on the numbers given on Slide 21. So, if you look at the segmental yields across corporate and consumer banking, it's up 8 to 10 basis points. So, you mentioned the increase in yield quarter-on-quarter, 20 basis points is being driven by mix. But even the mix seems to be stable quarter-on-quarter between corporate and consumer. So, could you help us out with what you're missing over there? Indrajit Yadav: No, you are looking at the period-end numbers. So, like we explained earlier, last quarter, microfinance disbursements were quite strong, and they happened during the course of the quarter. So, if you take the daily average mix this quarter is much better in terms of the retail portfolio and that too, particularly microfinance, which is the highest yielding segment. So that is causing the yield moving the way it has been disclosed. Whatever we disbursed in microfinance last quarter was available full quarter in this quarter. Param Subramanian: Okay. Got that. And my next question, again, Sumant, you highlighted that, in the opening comments, but on the diamonds -- on the Gems portfolio, so it has seen some decline. If you could give us some outlook on how business is shaping up over there, both in terms of growth and asset quality as well? Yes. That's it for me. Thank you.

Sumant Kathpalia: So the growth is dependent on how the markets revive. We are in the working capital business, and we do a side business. So, we have to wait and watch for the market to revive. And it's the second half of the year is when you will see the revival. And we should grow this business at 10% to 12%. That's what the growth of the business is. We have no SMA 1 and 2 in this business at all and the portfolio looks pristine as of now. Param Subramanian: Okay. Thank you so much and all the best. Thank you. Moderator: Thank you. Next question is from Manish Shukla from Axis Capital. Please go ahead. Manish Shukla: Good evening and thank you for the opportunity. Can you quantify the size of the non-MFI micro banking book once it increases? Indrajit Yadav: That's the merchant acquiring book that we disclosed in the loan mix. So, it's about INR

4,222 crores. Manish Shukla: Okay. Thanks. On the affordable housing piece, right? So, what -- how has been your experience so far? And how do you think this book scales up from where you are right now? Sumant Kathpalia: So, we've changed the team. We've not grown that book over the last two years is INR1,700 crores to INR1,800 crores. The experience cannot be such in a small book. We've started scaling up the book now. We've got a team in place. And we see that, this book will touch about INR5,000 crores to INR5,500 crores in three years, and that's what our ambition is. INR15,000 crores of mortgages and INR5,000 crores to INR5,500 crores of affordable house. Manish Shukla: Okay, INR15,000 crores for mortgages. And this mortgage is, I'm assuming you don't need to lap and your own books? Sumant Kathpalia: No. As I told you, we've got into housing loan segment. We are doing a pilot right now. We have a INR665 crores. We should be around INR4,000 crores to INR5,000 crores book in a year, and then we will start scaling up the book. Manish Shukla: Sure. There is no more question. Thank you. Moderator: Thank you. The next question is from the line of Sumit Rathi from Centrum PMS. Please go ahead. Sumit Rathi: Thank you for the opportunity. And congratulations on the good set of numbers, sir. I just wanted to check our MPLs in the consumer financing book across the product has gone – GNPA numbers have gone slightly up Q-on-Q, how can we see it going

forward? And what could it have an impact on our credit cost prospects of 1.1% to 1.3% percentage? Sumant Kathpalia: So, if you look at the consumer finance book, the non-microfinance, it's about 14% to 15% of our book. If you look at the numbers, which are coming on that, we had a INR280 crores of flow, which happened on that business. And the recovery rates are also very high on that business. So, while the credit card is the largest flow element in that business. So, the credit card is 3% of our book. So, we should be able to maintain our credit cost. So, when we've done our end and within our calculations of 110 basis points to 130 basis points. We said 44% to 45% of our book will be corporate, which will become at 10 to 20 basis points of credit cost. The consumer bank will be around 150 basis points to 180 basis points of credit cost. If you look at microfinance, will be 250 basis points of credit cost. And our vehicle finance business will be at 100 basis points of credit cost. If you compute it, it will come to 120 basis points to 150 basis points to 120 basis points of credit cost. Sumit Rathi: All right, sir. On the corporate finance book, can you dwell a bit on like what is the -- you said, you had some early warning systems over there. So, what are these early warning systems? And what is the top 10 or top 20 big accounts we have, like what percentage of our book, if you can dwell on that? Sumant Kathpalia: So the top 20 accounts on the large corporate side, which we don't disclose, is a very small percentage left of our book. It was at a very high, but it has now reduced sharply on our book, and it's about 10% to 12% of our overall book now. Having said that, on early warning indicators, I don't know how to explain it to you. There are 200 attributes, which we use. Now I can't explain each and every attribute. There are different attributes, which we use to identify early warning indicators. And we use them very effectively and manage our portfolio. We also use it in the MSME and the SME side of the business or any business on the segment side of our business. Sumit Rathi:

All right, sir. Those were my two questions. Thank you for it. Moderator: Thank you. Next question is from the line of Jignesh Shial from InCred Capital. Please go ahead. Jignesh Shial: Our CD ratio has been inching up. And now right now we have somewhere around 86.8%-- so at what level are we comfortable? Or do you think, it can still we have enou

gh room to grow it further? What's -- how comfort level for the CD ratio, overall? Sumant Kathpalia: Our comfort level on CD ratio is 86% to 89%. Jignesh Shial: Okay. Understood. Secondly, if you see it up, there has been a sequential jump also that we are seeing it up, on the investment book as well. So, anything specific that we

did to, or it's just generalized, and we should see normalizing over coming quarters? Or can you give us some idea on it? Arun Khurana: Yes, so the increase in investment book is primarily due to excess cash being deployed in short-term treasury bills. So, you all know that the rate cycle is sort of benign at this point in time. So, the idea is that the excess cash that we get, we've got to ensure we get ample returns by way of having a secured portion through government securities and that can come in help whenever we wish to if we see a higher credit growth. But having that, there are 2 or 3 avenues that you must see together. So that's the cash and bank balances, the investment book as well as balances in RBI. So, you'll see a proportionate increase or a decrease in some of those getting mix or getting a change in mix in that. So, it gives me a high yield of around 130-odd basis points. Jignesh Shial: Understood. And just lastly, on the corporate banking side, we have been seeing consistent sequential surge on the smart corporate portfolio. So, want to know, proportion or the quantum is still pretty smaller compared to large and mid. But can you give us some flavor on what kind of lending is happening out here or not? And how much you're comfortable growing it up further, from here on? That's it from my side. Thanks. Sanjeev Anand: Yes. So, a small corporate book, 2.5 to three years back was around 4% of our total corporate book. Today, as we speak, it's around 10.5% and the idea is to take it to around 20% in the next 2.5 years of the corporate book. Jignesh Shial: Understood. Perfect. But just one adding to it. Will the yields would be relatively better off compared to mid- and large corporate? Will that be a fair understanding, yes? Sanjeev Anand: Yes. Yields are better. Obviously, the granularity is much more diversified in terms of the ticket size and stuff like that and these are all secured. Jignesh Shial: Perfect. Sounds great. Thanks a lot, and all the best, sir. Moderator: Thank you very much. I now hand the conference over to Mr. Sumant Kathpalia for closing comments. Sumant Kathpalia: Thank you for participating in the call. As usual, me and Indrajit are available for any further questions, which you may have. Thank you, and God bless. Moderator: Thank you very much. On behalf of IndusInd Bank Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jan 2024

Q3 FY24 Earnings Conference Call

MANAGEMENT:
MR. SUMANT KATHPALIA – MANAGING DIRECTOR AND CEO
MR. ARUN KHURANA – EXECUTIVE DIRECTOR AND DEPUTY CEO
MR. GOBIND JAIN – CHIEF FINANCIAL OFFICER
MR. INDRAJIT YADAV - HEAD, INVESTOR RELATIONS AND STRATEGY
+
MANAGEMENT TEAM MEMBERS

January 18, 2024

Moderator: Ladies and gentlemen, good day, and welcome to IndusInd Bank Limited Q3 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Sumant Kathpalia, Managing Director and Chief Executive Officer, Indus Ind Bank. Thank you, and over to you, sir.

Sumant Kathpalia : Good evening and thank you for joining this call. Let me start with some macro commentary and then go into the bank specific details.
Indian economy delivered robust Q2 real GDP showing 7.6% yoy growth & RBI raising FY24 growth forecast markedly to 7%. Economic activity sustained momentum in Q3 supported by resilient urban demand & gradual turnaround in rural demand. Investment activity continues to be aided by buoyancy in public sector capex. Financial markets and banking system conditions remained largely stable. Bank credit growth remained steady around 16% while growth in deposits picked from around 12% to 14%, reducing the gap between them. Liquidity in the banking system turned into a net deficit shrinking with the withdrawal of pandemic era monetary accommodation by the RBI. Looking ahead, private consumption should gain support from gradual improvement in rural demand, strengthening of manufacturing activity and continued buoyancy in servic es. Government's thrust on infrastructure spending and expected momentum in private capex should drive investment activity.

Coming to the quarter specific developments. During the quarter we had some excellent achievements as well as some misses. On the p ositives, the retail deposit mobilisation was one of the best in several quarters with moderate increase in cost of deposits, the loan growth was broadbased across retail segments, the visibility from marketing campaign was as never seen before, key profit ability metrics like NIMs, PPOP margin, RoA etc were healthy. On the misses, we saw slippages on the higher side than expected and we are working towards normalisation in this quarter. Overall we did have many positives in Q3 and aim to make it better in Q 4.
■ Robust Loan Growth Momentum – We witnessed another quarter of strong retail growth of 24% YoY which drove the overall loan growth of 20% for the Bank. Retail saw healthy momentum across vehicle, microfinance & consumer segments. We were selective in Corporate loan growth at 15% focusing on mid and small corporates.

■ Retail Deposit Accretion Gaining Pace – We saw one of the sharpest sequential improvement in the share of Retail Deposits as per LCR of around 1% in one quarter. Our retail deposits grew 5% QoQ despite the challenging liquidity environment. We are now touching the PC -6 ambition of 45% -50% ret ail as per LCR with still couple of years to go. The increase in Cost of Deposits was also moderate at 9bps QoQ.
■ Progress on new initiatives – Our digital banking offering INDIE is seeing strong traction aided by increased awareness via our marketing campa igns. INDIE now has 4mn downloads and 800,000 customers executing 4mn transactions per month. We continue to scale our liabilities initiatives of affluent and NRI banking with deposits growing at 20% and 29% YoY respectively. Our home loan book grew by 37% QoQ and now stands at Rs.1,377 crores.
■ Asset Quality – Our gross NPA & net NPA remained steady at 1.92% and 0.57% respectively. Gross slippages were at Rs.1,765 crores and net slippages were at Rs.1,236 crores. The slippages in Vehicle book were impacted

by adverse weather
conditions towards the end of last quarter and since then have already started showing improvement. Our restructured book continues to run down at 0.48% compared to 0.54% QoQ.
■ Healthy Earnings Stability – Our Net Interest Margin remained stable at 4.29 % sequentially . Other income grew by 15% YoY driven by granular retail businesses. We continue to invest in human capital, physical and digital infrastructure as well as marketing initiatives, resulting in opex growth of 6% QoQ. Our PPOP mar gin to loans remained steady at 5.2%. Overall, our Profit After Tax grew by 5% QoQ and 17%

YoY to 2,301 crores. Our Capital Adequacy Ratio remains healthy with CET1 of 16.07% and overall CRAR at 17.86%.

Now coming to individual businesses.
1. Vehicle Financ e:
■ Our vehicle finance business continued robust growth momentum with highest ever disbursements in our history of Rs.13,700 crores growing at 7% QoQ. The cumulative 9MFY24 disbursements at Rs.38,380 crores were up 15% YoY.
■ As a result, vehicle loan growth remained healthy at 20% YoY and 5% QoQ.
■ Within vehicle categories, Cars, Utility Vehicles, Construction Equipment saw more than 15% QoQ growth in disbursements. Two -wheeler segment also saw healthy growth in disbursements with demand picking up on the bac k on improving rural sentiments & festive season.
■ Commercial Vehicles and Three wheeler disbursements were slower QoQ driven by lower industry volumes. We have however maintained our market share across the segments.
■ We have doubled our auto loan book in l ast 2 years with market share now close to 4%. This has helped us balancing the vehicle loan book between commercial & passenger segments de -risking cyclicality.
■ The gross slippages in Vehicle Finance were at 0.73% vs 0.93% YoY and 0.64% QoQ. The slippages moved up sequentially due to adverse unseasonal weather in December such as floods in southern side as well as heavy fog in northern side impacting collections to some extent. The situation has since then improved and we have already seen around 10% of th e Q3 slippages getting upgraded in couple of weeks of January. We expect to see this momentum continuing in rest of the Q4 resulting in normalisation of this temporary slippages.
■ The restructured book in vehicle finance reduced to Rs.705 crores from Rs.910 crores QoQ with majority of the reduction due to upgrades and recoveries.
■ Overall, our vehicle portfolio is now diversified across product categories and we are well positioned for sustainable growth across different product cycles. This could also be evident in this quarter's numbers where despite the sequential softness in MHCV segment we maintained our robust growth momentum.

2. Bharat Financial Inclusion Limited :
■ BFIL distribution is now running at its potential capacity with outstanding loan book originated of Rs.40,544crores growing 24% YoY. The growth was robust in both the microfinance as well as merchant acquiring segments at 20% and 55% YoY respectively.

■ We have been cautious of growing the book balanced between new customer acquisition without excessively leveraging customer ticket sizes. Our active loan clients stand at 9.4mn reflecting a growth of 17% YoY and 4% QoQ.
■ Microfinance
o Our microfinance business continued momentum with YoY growth improving to 20% from 16% over last quarter.
o Our average loan outstanding per customer reduced by 1% QoQ as we were cautious with elections in a few large states last quarter.
o Our net slippages improved to 0.55% vs. 1.24% YoY and 0.57% QoQ.
o MFI standard book net collection efficiency for Q3 was at 98 .6% and our early delinquency buckets are better than the industry.

■ Bharat Super Shop i.e. the merchant acquiring business
o Our merchant loan book stood at Rs. 4,783 crores with 55% YoY growth.
o The loan book reduced

by 2% sequentially with focus on collec tion and average loan outstanding reducing from 70k to 68k per customer QoQ.
o The standard book net collection efficiency from this client base stood at 99.1%.

■ Bharat Money Stores i.e. the kirana shop model

o We have around 61,000 Active Bharat Money Stores providing banking at the doorstep in remote areas. We continuously work towards converting inactive stores into active or close them if not successful over a period.
o Liability book sourced from customers serviced through BFIL increased by 56% YoY to reach Rs.2,541 crores. The customer base of 16.7mn accounts also registered an increase of 24% YoY and 6% QoQ.
■ Overall, BFIL continued the growth momentum during the quarter which augurs well for the overall bank's profitability. We are well placed to particip ate in the large rural opportunity with our deep distribution network while transitioning from micro finance to micro banking.

3. Global Diamond & Jewellery Business
■ The business continued to maintain its global leadership position. The growth however has b een an issue for several quarters due to global macro challenges. The portfolio has degrown by 8% QoQ and now contributes 3% of overall loan book.
■ The asset quality nevertheless remains healthy with no SMA1, SMA2 or restructured accounts.

4. Corporate Bank:
■ We continue to grow our corporate book in calibrated manner with focus on areas of competitive advantage rather than chasing headline growth numbers.
■ The overall corporate growth of 15% YoY continues to be led by mid and small corporates growing at 17% YoY and 3% QoQ. Within this small corporate grew by 5% QoQ driven by seasonal uplift in agri portfolio during the quarter. Growth in large corporates was 2% QoQ and 14% YoY in line with our expectations.
■ Specialized verticals outside the diamond business constitute 31% of corporate book. This includes Real Estate, Financial Services, Food & Agri, Education, Healthcare. The exposure under specialized verti cals is managed well basis sector specific strategy. The segments continue to show healthy risk adjusted returns and growth profile.
■ The proportion of A and above rated customers has improved to 77% vs 74% YoY with weighted average rating improving to 2.54 from 2.64 YoY.
■ The Net Slippages in corporate book were at Rs.155 crores vs Rs 158cr QoQ. The slippage was mainly due to one stressed account of Rs.140 crores. Overall 9M annualised net slippages have reduced to 25bps vs 48bps last year showing healthy improvement and range bound credit costs in corporate book.
■ Overall, we continue to progress on building corporate bank franchise focused on selective areas of competitive advantage with granular risk profile. We remain comfortable with the overall asset qua lity trends in corporate segment considering the improvement made in risk profile & granularity of portfolio.

5. Other Retail Assets:
■ Other retail assets remain the fastest growing segment within the overall portfolio with 30% YoY and 6% QoQ growth.
■ Our MSME book under business banking is at 15,800 crores which grew 24% YoY and 3% QoQ and LAP book maintained steady traction with 10% YoY & 3% QoQ growth.
■ We have re -defined our MSME branches with enhanced capability & upskilling of the branch staff. With this, we have already started seeing green shoots in the downstream metrics like branch leads, logins etc.
■ We will continue to focus on MSME as one of our growth engines with tighter onboarding norms. We have put in place a robust Early Warning Signal framework which is enabling us with timely triggers to ensure healthy asset quality.
■ Home loan product continues to scale with loan book now at Rs.1,377crores as of Dec -23 growing 37% QoQ.
■ Share of unsecured loans remains around 5% -5.5% and we aim to maintain it ran

ge
bound around current levels.

■ Credit card growth was driven by new cards acquisitions & strong spends. We recorded healthy spends at 25,444 crores growing by 15% QoQ. Our spends market share has further improved to 5% as per latest available RBI data.
■ Overall, We are focused on growing our consumer assets while improving the balance towards secured mix with scale -up of home loans.

6. Now coming to Liabilities:
■ We mobilised Retail deposits as per LCR of Rs.8,200 crores in Q3 making it the best quarterly accretion since the begining of upward interest rate cycle.
■ This translated into Retail as per LCR growth of 20% YoY and 5% QoQ. The share of retail deposits improved from 43.7% to 44.8% during the quarter – again one of the best improvements in the last several quarters. Retail deposits contributed over 75% of the incremental deposit growth during the quarter.
■ We continue to let go non retail deposits e.g. share of Certificates of Deposits reduced from 3% to 2.5% QoQ. As a result, our overall deposit growth was at 13% YoY and 3% QoQ.
■ The deposit growth also came along with moderate increase in cost of deposits of 9bps in line with our communication earlier.
■ CASA ratio remains stable at 38.5% QoQ. We would be one o f the few banks seeing accretion in absolute savings account book. The accretion is mainly driven by continued focus on customer acquisitions as well as new launches such as Indus Grande in Q2 and Indus Solitaire in Q3. Indus Solitaire is first of our comm unity focused relationship products aimed to leverage our strong position in gems and jewellery segment.
■ During the quarter, as many of you would have seen, we did a massive marketing campaign associating with the ICC Cricket World Cup held in India. We r eached over 1.25 million fans in the stadiums and over 520 million viewers via television coverage through the tournament. The initiative was instrumental in improving our visibility as per independent survey by 1.5 times and we should see the benefits con tinuing in the upcoming couple of Cricketing events scheduled later this year.
■ We also added 97 branches during the quarter taking our branch count to 2,728. We remain on track and committed to add around 1,000 branches during this 3 year period.
■ We conti nued to scale our initiatives of Affluent and NRI during the quarter. Affluent segment deposits grew 20% YoY to Rs.50,200 crores during the quarter. Affluent AUM was also up 16% YoY to Rs.77,100 crores.
■ NR deposits grew 29% YoY and 6% QoQ at Rs.42,300 cro res. Our market share in Non Resident segment stands at 3.3% as per last available data vs 2.9% YoY.
■ Share of borrowings in total liabilities was at 8%. The borrowings continue to be oriented towards long term sources of funds.
■ Our liquidity position remai ned healthy during the quarter with average LCR improving to 122% vs. 117% QoQ and average surplus liquidity at Rs.39,500crores for the quarter.
■ Overall, we are making steady progress towards deposit retailisation journey amidst

the challenging liquidity e nvironment. We continue to believe in our phygital & segmental strategy and with constant investment in traditional, digital and new initiatives we remain comfortable of achieving our deposit growth ambitions.

7. Digital Traction:
■ During the quarter – the ba nk officially launched INDIE coinciding with a campaign that ran throughout the cricket world cup. INDIE brings a revolutionary way to Bank with many industry firsts.
■ Within a short span of launch, Bank has acquired more than 0.8 mn customers on the platform and close to 4 million installed base.
■ We continue to see momentum on INDIE with 5 accounts being opened every minute, more than 1 transaction every second. Engagement is increasingly steadily with users and we are seeing near doubling of transa

ctions month on month and active clients do as much as 35 -40 transactions per month.
■ Further, it is a “earn” model as is the philosophy that underpins the digital business and not a “burn” model and with asset products already integrated in the platform such as line of credit.

■ We plan to keep expanding the product suite on INDIE and migration of existing clients desirous of moving to INDIE as a platform will also start soon. We will soon have credit cards, wealth management, NRI and MSME proposition unfold on I NDIE – each with many industry firsts
■ On the existing platforms, Bank continued to see scale up of user engagement. On Indusmobile, user base increased by 23% YoY. What is more interesting is that there was an increase of 15% in percentage of users who are monthly active on the app. So, greater proportion of our users are now active every month on the platform
■ Merchant app saw the user base nearly double YOY and during the quarter we enabled Video KYC led self / remote onboarding journey on the app for MSM E clients
■ The Digital Business model continued to scale and remote / do it yourself led business now contributes significantly to our retail and MSME business –
o 56% of savings accounts in the Bank are now acquired in remote / do it yourself digital manne r by customers
o 40% of term deposits are acquired the same way
o 45% of personal loans and of that 33% is pre -approved while another 12% is real time decisioning enabled
o 22% of credit cards are acquired in same manner or via partnerships through open API stack integrations
o In MSME business, 7% of current accounts are now remote / Do It Yourself and digital and more than 20% of unsecured business loans acquired the same way.

Now coming to the financial performance for the Quarter:
1. Net Interest Income grew by 18% YoY and 4% QoQ with Net Interest Margin remaining stable at 4.29% sequentially while improving by 2bps vs 4.27% YoY.

2. The Net Interest Margin was supported by moderate increase in Cost of Deposits of 9bps which was offset b y increase in yield on advances by 15bps. The repricing on the loans as well as mix change in favour of retail helped improve yield on advances.

3. Our Cost of Deposit at 6.44% increased by 9bps QoQ in line with our expectations. We have been in an elevated rate environment for 18 -20 months now and we are now in the last phase of deposit repricing assuming stable rate environment.

4. Our Other Income grew by 15% YoY and 5% QoQ . Core client fees excluding trading income too grew by 12% YoY. Our non -core fee income was Rs.231crores during the quarter.

5. Our total revenue for the quarter was at Rs 7,692crores with 17% YoY growth.

6. The opex growth of 6% QoQ was driven by continued investment in human capital, distribution network & marketing initiatives. The bank employee base grew by 5% QoQ.

We have also opened 97 branches in Q3 vs 25 branches in H1FY24.

7. The operating profit for the quarter was at 4,042 crores growing 10% YoY.

8. On the asset quality and the provisioning front:
■ The annualised provisions to loans for Q3 has come down to 119bps vs 156bps YoY. Annualised 9MFY24 provisions to loan ratio was at 120bps vs 169bps YoY.
■ As explained earlier, net slippages were sequentially impacted by vehicle finance which is since then normalising.
■ The restructured book reduced during the quarter from 0.54% to 0.48% QoQ with bulk of the reduction due to upgrades and recoveries.
■ The Net Security Receipts have further reduced to 37bps from 39 bps in previous quarter. The bank made additional provisions of Rs 165crores towards the SR book during the quarter.

■ Overall, the GNPAs at 1.92% and Net NPAs at 0.57% were steady for the quarter. We have maintained provision coverage ra

tio of 71%.
■ We used contingent provisions during the quarter as we expect reduction in stressed book including that of a telco exposure. Our SMA1 and SMA2 book collectively is now only 19bps. We have nevertheless not changed our view of continuously adding into the buffers ah ead of cyclical impacts if any.
■ Total loan related provisions are at 2.2% of loans or 114% of the GNPAs.

9. Profit after Tax for the quarter was at Rs 2,301 crores growing 5% QoQ and 17% YoY. Our return ratios saw sequential improvement with Return on Asset s at 1.93% and Return on Equity at 15.45% for Q3 . Our CRAR including profits remains healthy at 17.86%. This reflects impact of recent RBI circular on risk weights and adjusted for that CRAR improved QoQ.

Overall, as mentioned at the beginning of the call , we had quite a few positives during the quarter and some areas of improvement which we are focusing on priority for this and next few quarters.
■ The retail deposit growth has been a bright spot with a CAGR of 20% since the interest rate cycle changed. We are in sight of our PC6 target of retailisation and will aim towards achieving upper end of the 45 -50% ambition over next couple of years.
■ The retail loan growth too now is quite diversified with all key business of vehicle, microfinance and consumer grow ing upwards of 20% with further boosters from new initiatives.
■ The asset quality, while better than the last year, has potential for further improvement. We are already seeing improvement this quarter so far and will aim to deliver a better Q4.
■ The investment in new initiatives, branding, physical and digital businesses continue s and we have preferred investing for future over near term earnings.
■ The Net Interest Margins have been stable throughout the challenging times and we expect support once the interest rate cycle turns. The RoA and RoE profile thus has potential for improvement as we see benefit from NIMs, Cost to Income as well as Credit Costs coming through over the next few quarters.
With this, we can open the floor for ques tion and answer.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Chintan Joshi from Autonomous. Please go ahead.
Chintan Joshi: Yes, thank you. So, could you help us think about the asset quality risks around the upcoming election? If you could elaborate on the experience around the recent state elections or past elections and how we should think about any risks that might come forth in the coming mo nths?
Sumant Kathpalia: So, I think this is a much -debated topic that election creates delinquency. We've seen in our retail finance as well as in microfinance, that until and unless there is political activism, it does not create delinquencies to a large extent.
And I think the state government s also don't promote to a large extent, a ny act resulting in increas e of delinquencies. Having said that , we have diversified portfolio across geographies in these areas , and we have no concentration risk to be bothe red about as we go along.
Chintan Joshi: Okay. Fine. And then the second question is, could you help us think about the evolution of lending margins. So, if I compare lending yields to repo rate development, how have they developed in the different product s and given the deposit competition, the funding pressures, do

you think lending margins can increase over the coming months or quarters?

Sumant Kathpalia: We've always said that our margins would be between 4.2% to 4.3%. And it's the mix of balance sheet, which makes our margins more stable. You should look at how we managed our margins . We've heard that our margins would go down. If you look at the last 4 to 6 quarters, we've been very steady between 4.2% and 4.3%. And we continue to believe that we'll remain steady.
Chint

an Joshi: That's the overall margin. I just wanted to get some colour on kind of the headline rates that you offer on different products. Do they have room to increase given the deposit competition?
Sumant Kathpalia: I don't think so. T he rates are market driven. I don't think you can define or increase the rates. Corporate rates are all EBLR linked and the margins are already fixed until & unless you see a deterioration in the risk profile of the client. On the fixed rate book, i t's more competition driven. And we don't want to increase rates in microfinance unnecessarily just to increase the yield . So, I think as the interest rates are stabilizing on the deposit side as we are seeing in the last few quarters . Maybe one more quart er of increasing cost of deposit, I think you should not see increase in the lending rate s in the markets right now.
Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup.
Kunal Shah: Hi Sumant. Getting on to slippages, so quite a high run rate of 2.2 odd percent. You indicated vehicle finance. But again, that seems to be somewhere around INR 600-odd crores. So, what are the other segments? Maybe we were always targeting INR1,000 crores to INR1, 200 crores of slippage s, and this time, it's even more than INR1,700 -odd crores. So, it seems there is further stress besides vehicle as well as corporate. And how should we look at it, yes?
Sumant Kathpalia: So, in the corporate, the slippages of last qua rter were INR 214 crores, they were INR 312 crores this quarter, INR 67 crores got upgraded within the quarter itself. It was a miss and it got upgraded, and we had to show it as slippage and then it got upgraded . INR140 crores came in from a stressed accoun t, which we had said earlier that there were two accounts, one of them got into NPA last quarter, and this quarter, we took another INR 140 crores. So, I think that's largely the end of the corporate slippages. And INR 75 crores to INR 80 crores were the normal business as usual slippages in the business banking or in the SME business.
On the other retail, we saw two slippages coming in. Agri business had an INR 25 crores of extra slippage s. We saw a slippage in the LAP, where three accounts, which w ere seemingly large accounts, about INR 40 crores slipped into that. And the merchant acquiring business had an INR 30 crores extra slippage s. So that was the reason for the other retail to go up. MFI remains steady. And CFD, of course, I told you the reas ons. So, if you look at our business es, I am very confident that we should come back to INR1,200 crores levels . I think CFD was a bit of a shocker. We were aware of the corporate. You should see corporate bank going back to about INR 50 crores to INR 75 crores is what we feel.
I think other retail will remain steady at about INR300 crores to INR350 crores. And I think MFI should go down by another INR75 crores reaching to INR275 crores to INR300 crores . and CFD should be steady going forward adjusting for one-off for this quarter . So, what we gave as a commitment of INR1,100 crores to INR1,200 crores should come in the next few quarters.

Kunal Shah: Okay. But this LAP and agri, that doesn't seem to be more seasonal. So even in other retail assets, you are saying that run rate will continue?
Sumant Kathpalia: No.
Kunal Shah: Besides the vehicle finance , there doesn't seem to be any one -offs because LAP, I don't know, maybe in terms of the quality of the portfolio, this might conti nue. This is just one -off.
Sumant Kathpa lia: On LAP, this is a one -off. We didn't want to negotiate with the customer. The customer was asking for a settlement. We have the properties. We didn't want to do a settlement at that point of time. We could have avoided the flow, but we did not want to do that. And so, I don't thin

k
this will come. Even the corporate is a one -off, which we knew that it will come and you'll see the corporate slippages going down.
Kunal Shah: Okay. And lastly, in terms of contingency. So again, last quarter, we clearly sa id that we will not utilize contingency and in fact, start creating contingency from 4Q. That still doesn't seem to be happening. We have further utilized INR220 -odd crores. So, if we start creating contingency, how confident we are in terms of the guidanc e of 1.1% to 1.3% credit cost, given

it's still running quite high?
Sumant Kathpalia: No, you're right Kunal . This is one of the misses which we've had this quarter. We wanted to build the contingency, but there is some positive news also. The positive new s is that we had created contingent provisions for one big account. And we believe that we are going to g et paid, hopefully, by February . So that provision may get released as a consequence and we will not use it and will keep it aside.
And we will add to the contingency more as and when we think that it is required. We will not dither away from adding to contingency, and we continue to believe that even if we add INR 200 crores to INR 300 crores to contingency, we will still come between 110 to 130 bas is points in our credit cost for the year.
Kunal Shah: Okay. So, any particular period when you would start creating, so it's in, like you said, as and when required.
Sumant Kathpalia: I don't want to give any guidance . Because I tell you, I missed my guid ance this quarter on this. So, I'm just waiting for the gross flows to go down . And gross flows is a big indicator that I want to see around INR1,100 crores to INR1,200 crores. Having said that, It's a miss on our side this quarter . And I acknowledge it. B ut I also believe that this is temporary, and it will get back next quarter. You should see the improvement next quarter.
Kunal Shah: Okay. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA. Please go ahead.
Piran Engineer: Thanks for taking my question and congrats on the quarter. Just going beyond asset quality, can you talk a bit about vehicle finance demand? I believe it was a bit weak during the festival season, but w hat are the trends looking like post the festive season?

Sumant Kathpalia: So, while I'll answer the question, I'll have Sriram to address th e question on industry . But let me first address. If you look at our book, we de -risked ourselves by going in for diversification as a strategy. So, we are not dependent on the MHCV or any one category of vehicles to grow our book now. And if you look at the book split, you will see a very diversified book. In fact, we have almost doubled our auto loan book or car loan book over a period of last two years. So, a well -diversified book , not dependent on one single category of vehicle will help us achieve a 20% year -on-year growth. However, on the vehicle side, on how the market is behaving, I'll have Sriram to addres s this question .
A. G. Sriram: Good evening. MHCV is not looking very strong. MHCV business is looking dull this quarter. But we are looking at the used commercial vehicle segment to balance it out . We are increasing our market share in auto / passenger vehicle loans. And used car s is another area , we are focusing on. These are the three areas where we think we should be able to make up for the same overall numbers as the last quarter. Nearly INR14,000 crores is what we are expecting as disbursements . Our main growth will come from auto / passenger vehicle loans and used commercial vehicle. For i ndustry, as the election is coming, there would be a bit of a dullness in both MHCV, LCV and tractor has been growing slow for the last two or three quarters. So, these segments are looking dull, but we should be

able to make up with the auto / passenger vehicle loans and used commercial vehicle.
Piran Engineer: Okay. Thanks for that. Secondly, just on microfinance NPL. And I know this quarter, we had the floods in Tamil Nadu. But in g eneral, our NPLs have been quite stubbornly high at 4%, 4.5%. So really, what are the remedial actions you are taking there to getting back to earlier levels of 2%?
Sumant Kathpalia: It's related to the gross flows. But if you look at the net flow s on the MFI business, you will see that the net flow s of the MFI business are at INR189 crores versus INR182 crores last quarter.
So, there is an upgrade process, which happens in the MFI business. I think the gross flow s are a bit higher, and we don't give top -up loans to stop the gross flow from coming in. We don't believe in giving top -up or any extra loans. And that is one of the reasons why I've said that our gross flows will be higher, but our credit cost will be between 2.5% to 3% in the microfinance business. I don 't think a microfinance business can run at 100 -120 basis points credit cost.
Piran Engineer: Okay . Thank you. Just the last question on World Cup spend, can you just quantify it? And you also mentioned you will be continuing cricket sponsorship this year?
Sumant Kathpalia: As part of the deal we got, we've got the T20 World Cup as well as the Under -19 World Cup. I can't talk about the cost because it's a confidential matter. The agreement is confidential. But I can assure you that the benefit the bank is d eriving out of this project and sponsorship is much higher than the cost which we are incurring.
Piran Engineer: Okay. Because we are now last couple of quarters running at 47%, 48% cost to income. So, is that a fair number to continue with over the next two, three quarters till at least these World Cups are done?

Sumant Kathpalia: I think the good way to look at it is to see cost to income at 45% to 46% in quarter one going down to 45% in quarter three or four , and the n we should stabilize. The bank should stabilize in year three at 41% to 43%.
Piran Engineer: Got it. Okay. Thanks for this and wish you all the best.
Moderator: Thank you. Next question is from the line of Param from Nomura. Please go ahead.
Para m Subramanian : Yes, hi. Thanks for taking my question. So, my first question is - Sumant, we've seen an improvement in LCR for the bank in this quarter. Obviously, we've been doing well on retail deposits. But on this between LCR and LDR, we are at about a n 89% LDR. Is there any thought process on bringing that down or any thing from the regulator in that aspect?
Sumant Kathpalia: No. If you look at our LDR or CD ratio, we are in line with the banking industry. In fact, some people are at 95% -96%. We've alwa ys said that we will be between 86% to 90%. And we've maintained our stance at that level. So, we've not got any nudge from the regulator on this . The bank is highly liquid and we've been able to manage its CD ratio between 86% to 90%, and we do not aim to burst the 90%.
Param Subramanian : Perfect. That's very clear. My second question is on the credit card portfolio. So, if I look at the data, so it's almost doubled over the last two years. So, what are we seeing in terms of trends in write -offs here? Are we seeing any increase or anything to be worried about?
Sumant Kathpalia: Not really. The credit card business should run at 250 to 300 basis points of credit cost . Because we have an overall earning s of about 28% to 30% in credit card s, including the fees , we are comfortable with the way we run and manage our business. Of course, there is a little bit of elevation in the flows, which is happening, but it does get moderated at 90 DPD to some extent. And if you see our data and compare it wi th the TransUnion bureau data , I think we are in line with the competition.

And I think we are plus/minus 10% at all points of time in the credit cost as far as the industry is concerned.
Param Subramanian : Okay. One more question, if I can squeeze in. You mentioned the net slippages in microfinance and vehicle finance about 0.5% and 0.7%. So, these are not annualized numbers, right?
Sumant Kathpalia: No, these are quarterly numbers.
Param Subramanian : Okay, got it. So, these are the bulk of the n et slippages in the consumer finance business. Excluding this, it's marginal?
Sumant Kathpalia: I think the consumer finance business saw slippages in the microfinance side and in the vehicle side and some in the other retail side, specifically in the merchan t acquiring business , we saw some slippages.
Param Subramanian : Okay, perfect. Thanks, Sumant, and all the best. Thank you.
Moderator: Thank you. Next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Hi, ever yone. Good evening. Thanks for the opportunity. One question on the liability franchise. Just wanted your thoughts as to how do you really see the sensitivity of deposit inflow to the premium deposit rates that the bank offer? Like how much of correlation is there? And hypothetically so to increase the premium of it, do you expect the inflows to improve significantly?
Sumant Kathpalia: See, it's very difficult to say. So, there are some mid-sized banks or smaller banks, which have given a higher deposit rat e and have increased their deposit base. So, I think there is some sensitivity which clients put to higher deposit rates. But it happens in the very high end of the business, which is about INR10 crores and above.
In my opinion, I think it is better to co ntinue to push client acquisitions and do it. Of course, we play it in certain specific segments to offer the higher deposit rate s. NRI segment, for example, you offer a little bit more in the U.S. dollar deposit but you get the savings account at a very attractive rate and then you hedge the whole thing, the cost of deposit is exactly the same.
So, there is some sensitivity to rates at the higher end or in the top end. But I don't think that's the only way to run the deposit franchise, because these are th e type of guys unless you lock them in, they will also take the money out at any point of time.
Nitin Aggarwal: Okay . So, the bank has been benefiting like every quarter from the improvement in lending yields and asset mix is getting better with rising mix of retail. So, do you plan to like flow back these gains into the building of the deposit franchise? Or will you let it pass on to the margins in the coming years?

Sumant Kathpalia: I'm not able to understand the question.
Nitin Aggarwal: The question is like the benefit from the lending yield improvement, which has been continuously happening at the bank and the asset mix is getting better with the rising mix of retail. Will you let that pass down the benefit be pass on to the deposit premium and increase that or compete there? Or will you let the benefits flow down to the margins?
Sumant Kathpalia: So, the way to look at i t is, are we enough competitive in the liability market? And are we compromising on the granularization journey?
We will not compromise on the granularization journey irrespective of the margins. So let me be very candid about it. And we want to continue progress on our granularization journey, and we want to be competitive, which mean that we will always have deposit rates 45bps to 75 bps higher than the large players in industry.
And that's what we've been doing. Will you see a margin uptick from here? I said that we are at 4.2% to 4.3%, and we will continue to remain at that level for some time till the time we achieve a certain level of granularization . We can then say that we can increase our margins. And I think th

at should happen when the interest rat e down cycle starts and that should be from the second half of next year, not before that.
Nitin Aggarwal: Next fiscal year you mean right?

Sumant Kathpalia: Yes.
Nitin Aggarwal: Yes, right. Thanks Sumant those are really helpful. Thank you so much. And wish you all the best.
Moderator: Thank you. Next question is from the line of Jai from ICICI Securities. Please go ahead.
Jai Mundhra : Yes, hi Sumant. Thank for the opportunity. Two data keeping question, and then one question is, if you can tell the net security receipts for the bank or the gross in the provisions thereof?
Indrajit Yadav : Net security receipt is 37 bps. The gross number is INR 2,378 crores, and net is INR1,211 crores.
Jai Mundhra : Second q uestion, sir, on cost to income, right? So earlier, you were operating in a very tight range. And in the last two quarters, I think it has increased a little bit. So, assuming the margins remain flat or flattish and the growth remains more or less here, ho w should one look at cost -to-income from a near -term perspective? Thank you.
Sumant Kathpalia: So, in the long -term perspective, we said that next year, we should be between 45% and 46% run rate and going down to 41% to 43% in the following two years. Because we be lieve that the operating leverage of all our investments will come through at that point of time.
Jai Mundhra : And this is, even you would keep moving towards retail, right?
Sumant Kathpalia: Yes. But we will not have loan book of more than 55% to 57% retail at any point of time.
Jai: Understood. Thank you, sir.
Moderator: Thank you. Next question is from the line of Manish Shukla from Axis Capital. Please go ahead.
Manish Shukla: Good evening and thank you for the opportunity. NBFC is one of our large segments. Any change in strategy thereafter the risk -weight assets changes done by RBI guidelines in this space?
Sumant Kathpalia: So, we've always said that our unsecured business, specifically on credit card and personal loans will not be more than 5% to 5.5% , it's an internal guideline. And in NBFC, we've always been lower than the industry at 5% -5.5% of loan book when the industry is at ~8%. So, we've always been very cautious about our lending to NBFCs, and we've never had an issue . Within NBFC portfol io, 95% of them are A rated paper s and above.
Manish Shukla: Essentially, what I was trying to understand is compared to how you were doing the business till end of October and how you do it today.
Sumant Kathpalia: So, we are cautious about the risk weights. And I think the pricing has increased a little bit. But it doesn't mean that we'll stop our business. So why would you not lend to a Sundaram or will you not lend to an XYZ company, which is creditworthy . You will l end to the right candidate.

Manish Shukla: And there has been some impact on capital at 16% CET1 is still comfortable. But just wanted to get your thoughts around how you're thinking about capital and where you would like the minimum thresholds to be?
Suma nt Kathpalia: So, we said that we will raise capital before we touch 14% CET1. And I think we said that three quarters ago that we are comfortable for six to eight quarters. So, I think in the mid of next financial year we will assess whether we need it. W e are not in a hurry. Our risk -weight assets are falling. Our internal accruals are enough to manage our growth right now.

Manish Shukla: Yes. Thank you, those are my questions.
Moderator: Thank you. Next question is from the line of Saurabh Kumar from JPM organ.
Saurabh Kumar: Yes. Just two questions. One is, what will be the 30 -plus overdue book in the microfinance business? That's first. And second, on your balance sheet, we have this trend that your loans are growing 2

0%, assets are only growing 10%, how long do you think this trend sustains. Do you think that's normalized when your asset growth starts mirroring loan growth or the other way?
Indrajit Yadav: MFI 30 to 90 DPD is 1.7%.
Sumant Kathpalia: And Gobind, do you want to answer? Asset growth and lo an growth, when does it normalize? Gobind is our CFO. He'll answer that question.
Gobind Jain: Yes. So, it's like we have a mix of investment s, loans and other assets. So, it's kind of a mix which we have to maintain, depending on the liquidity we have to maintain and the investment book, the SLR requirement and the loan growth opportunities.
Arun Khurana : Yes. So, to answer your question, loan growth will be higher than our investments growth. If that's what your quest ion is because those are the two major contributors of your asset side of the balance sheet.
Saurabh Kumar: Okay. Thank you.
Moderator: Thank you. Next question is from the line of Shubhranshu Mishra from Phil lip Capital. Please go ahead.
Shubhranshu Mishra: So, sir, my first question is around the vehicle finance book. I just wanted to understand how many people we deploy here in terms of sales, credit and collections, specifically for vehicle finance? And what would be a ballpark ROA for booked on a steady -state basis? The second question is on Slide 37, we give out the sourcing of credit cards and other products. Specifically, about the credit cards, so just wanted to understand what is the actual cost of acquisition when we do a remote digital versus an assist ed digital, the actual cost of acquisition per cards?
Sumant Kathpalia: So, if you look at the remote digital, where a customer does it directly, there is no cost associated with the cost of acquisition. It's about INR150 to 200, whatever we spend on the a dvertising, and that's what it is. However, if you do a partnership -based model, on the card, which is also directly remote digital, you have a cost of ~INR 2,500 for the card. And if you look at a DSA or a DSA -based physical model, you will have a cost of ~INR3,000 for the card.

Shubhranshu Mishra: Understood. Thanks that was helpful. And on the vehicle finance part?
Sumant Kathpalia: So, on the vehicle finance, we don't give ROAs by segment. Headcount of ~ 11,00 0 is deployed in the bank to do the business.
Shubhranshu Mishra: Understood. Sir, and we expect to maintain the same level of disbursements going forward in FY 25 as well, at the same run rate?
Sumant Kathpalia: So, what we said is for the next quart er, we should do INR 14,000 crores of disbursements. And let's see how the next year goes. We said that we want to grow the vehicle book by ~20% YoY and t o maintain it, the disbursement s may have to increase by 5% to 10%.
Shubhranshu Mishra: Understood sir, that was very helpful. Thank you, so much.
Moderator: Ladies and gentlemen, we'll take that as our last question. I will now hand the conference over to Mr. Sumant Kathpalia for closing comments.
Sumant Kathpalia: Thank you for attending the call. If there are any questions which are unanswered, or you have specific queries, you can contact Indrajit and me at any point of time, and we will be able to assist or guide you towards any clarification which you may require. Thank you once again.
Moderator: Thank you very much. On behalf of IndusInd Bank Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Additional Information Discussed During the Analyst Call:

■ Gross Slippages Details:
BU (Rs.cr) Gross Slippages
(Standard Book) Gross Slippages
(Restructured) Gross Slippages
(Total)
Q3FY24 Q2FY24 Q3FY24 Q2FY24 Q3FY24 Q2FY24

CFD 554 443 44 56 598 500
MFI 355 335 8 9 363 345
Other Retail 483 397 8 10 4

92 406
Corporate 304 206 8 8 312 214
Total 1,696 1,382 68 83 1,765 1,465

IndusInd Bank Limited
January 18, 202 4

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Figures for the previous period / year have been regrouped wherever necessary to conform to the current period’s / year’s document. Note: All financial numbers in the document are from Audited Financials or Limited Reviewed financials

or based on Management estimates

Call: May 2024

Q4 FY24 Earnings Analyst Meet

MANAGEMENT:
MR. SUMANT KATHPALIA – MANAGING DIRECTOR AND CEO
MR. ARUN KHURANA – EXECUTIVE DIRECTOR AND DEPUTY CEO
MR. GOBIND JAIN – CHIEF FINANCIAL OFFICER
MR. INDRAJIT YADAV - HEAD, INVESTOR RELATIONS AND STRATEGY
+
MANAGEMENT TEAM MEMBERS

April 25 , 202 4

Sumant Kathpalia Dear all, welcome to the Q4 results analyst meet. At the outset, I want to mention that the bank completed its 30 years of operations a few days back. The journey wouldn't have been possible without your support and confidence in the bank. Thank you and looking forward to continued support over the coming years . Let me start with some macro commentary and then go into the bank specific details.
The Indian economy has been resilient in navigating the global challenges. Real GDP growth is amongst the fastest in the major economies. Improving economic activity helped bank credit growth sustain above 16% during FY24. W hile Deposit growth at 13.5% YoY picked up compared to 9.6% last year, the liquidity environment remains challenging for the system. FY25 is expected to be a year of balanced growth for Banking sector. We remain confident on our growth journey whilst bein g watchful about the inflation and rates environment .

Coming to the bank specific developments. Some of the salient highlights for the quarter were:
■ The retail deposit momentum continued during the quarter with retail as per LCR deposits growing at 18% YoY.
■ Our Loan growth was at 18% YoY driven by 23% growth in retail loans.
■ Our vehicle business grew at 17% YoY, microfinance at 22% YoY and other reta il at 32% YoY.
■ Within corporate, small corporates grew by 33% YoY, mid corporate grew by 8% YoY and Large corporate grew by 13% YoY.
■ We continue to scale -up our new initiatives with Affluent grew by 24% YoY, NRI deposits grew by 33% YoY.
■ Our merchant lo an book originated via BFIL now crossed Rs.5,500 crores mark, while home loan book now stands at Rs.1,792 crores.
■ We saw sequential improvement in asset quality with slippages reducing across all the business units. Our Q4FY24 credit cost was at 111bps and we closed full year credit cost of 113bps within our communicated expectations.
■ The profitability metrics have remained healthy and stable over the course of last year.

Now coming to financial highlights for the quarter and financial year:
■ Our net profit for Q4 was at Rs.2,349crores growing at 15% YoY.
■ All key ratios are healthy with NIM at 4.26%, ROA at 1.90% and ROE at 15.23%.
■ Our GNPA and NNPA were stable QoQ.
■ I am happy to share that our balance sheet has now crossed Rs.5 lac crores mark.

■ Our NII grew by 15% for the quarter with stable margins.
■ Other income grew by 16% YoY & 5% QoQ. Core fee income at Rs.2,293 crores grew by 6% QoQ. Trading & other income was at Rs.215 crores during the quarter.
■ Our Overall revenue growth was healthy at 16%.
■ We continue to invest across our distribution, digital, human capital & marketing initiatives. We have added 256 branches during the quarter. We have also added around 2,100 employees during the quarter and more than 11,000 employees in FY24, across our group distribution. As a result our cost to income have been on the higher side for last few quarters.
■ Our provisions were down 8% YoY and 2% QoQ.
■ Profit After Tax grew at 15% to Rs.2,349crores for the quarter and 21% for the full year to Rs.8,977crores. EPS f or the year was at Rs.116 per share.

I will now cover our progress across key businesses as highlighted in our investor presentation.

Well Diversified Loan Book across Consumer and Corporate Products
■ The loan mix has moved in favor of retail during the y ear at 56%.
■ Consumer businesses grew at 23% YoY.
■ Corporate book grew at 13% YoY.

Vehicle Finance: Granular Portfolio Across Vehicle Categories
■ Our vehicle finance loan book grew 17% YoY with full year disbursements crossing Rs.50,000 crores for the first time in our history.
■ We had another quarter of healthy disbursements at Rs.11,963 crores. Disbursement growth pi

cked up sequentially in MHCV an d Construction Equipments whereas growth was sluggish in LCV, tractors and passenger vehicles.
■ During the quarter, we have also completed migration of around 5mn vehicle customers to finacle from the legacy system. This caused couple of weeks of impact on business but it was a critical transition for us.
■ Asset quality improved sequentially with gross slippages reducing to 0.57% vs 0.73% QoQ in vehicle finance.
■ The restructured book in vehicle finance reduced to Rs.547 crores from Rs.705 crores QoQ with majority of the reduction due to upgrades and recoveries.

Micro Finance/ Inclusive Banking via BFIL:
■ We had another strong quarter of business at BFIL with outstanding loan book originated of Rs.44,750crores growing at 10% QoQ and 23% YoY.
■ Both the microf inance as well as merchant acquiring segments grew handsomely at 22% and 38% YoY respectively.
■ Our microfinance loan disbursements were at Rs.13,800 crores growing 19% YoY.
■ Microfinance gross slippages for Q4 reduced to Rs.335crores vs Rs.363crores QoQ.
■ The merchant acquiring business resumed its growth journey crossing 5,500 crore mark with 16% QoQ growth. We now have around 700,000 borrowing merchants onboarded. The diversification initiative is playing out well with Merchant business now forming 13% of B FIL originated book.
■ Deposits mobilized through BFIL stand at Rs.2,912crores and we have ~18mn SA & RD accounts via BFIL so far.

Other Retail Assets – Growing Sub -Scaled Businesses
■ Other retail assets continued robust momentum with 9% QoQ and 32% YoY grow th.
■ Our MSME book under business banking maintained strong traction with 21% YoY growth. New acquisitions have reached at all time high during FY24 driven by our reinforced focus via MSME 2.0 strategy.
■ Majority of the MSME new acquisitions are granular fr om less than Rs.2crores segment i.e. Small Business Banking segment leveraging our digital lending platform.
■ Our home loan book now stands at Rs.1,792 crores growing 30% QoQ.
■ We have cautiously moderated sequential growth in unsecured products like credit

cards & personal loans at 5% vs. 9% QoQ growth last quarter.
■ Our credit card spends market share was at 4.9% as per latest available RBI data.
■ Overall, scaling other retail assets is one of the key focus areas for the Bank and we aim to grow our other reta il assets at faster pace while improving the balance towards secured mix.

Corporate Portfolio – Focus on Granular, Higher Rated Customers
■ Our corporate loan book grew 13% YoY.
■ Within corporate, small corporates grew by 33% YoY, mid corporates excluding gems and jewellery grew by 19% and Large Corporates grew 13% YoY.
■ Gems and jewellery book continues to see working capital reduction due to weak global demand. The asset quality of gems & jewellery book remains pristine with no NPA, SMA1 & SMA2.
■ Corporate fees remain granular & diversified as we removed reliance on chunky sources like Investment Banking/ Structured finance.
■ The proportion of A and above rated customers is now 77% compared to 73% YoY. The weighted average rating too improved to 2.51 from 2.6 5 YoY.
■ Overall, we are growing our corporate book in calibrated manner with focus on granularity and areas where we have right to win rather than chasing headline growth numbers.

Now coming to Liabilities:
■ The retail deposit momentum continued during the year with retail as per LCR deposits growing at 18% YoY.

■ As mentioned in the balance sheet release, adjusted for outflows for deposits originated through a fintech partner, our retail deposits growth was at 20% YoY and 4% QoQ.
■ With our constant endeavor to bring forth innovative propositions, we have recently launched contactless payments wearables, 'Indus PayWear' India's first All -in-One tokenizable wearables

for both debit and credit cards.
■ Cost of deposit increased by modest 4bps QoQ driven by the mi x in favour of term deposits and some repricing.
■ We have added 256 branches during the quarter and 378 branches in FY24. Our branch count now stands 2,984.
■ We maintain healthy average surplus liquidity of around Rs.39,400 crores during the quarter with Liq uidity Coverage Ratio at 118% vs 122% QoQ.
■ Overall, we are making steady progress towards deposit retailisation journey amidst the challenging liquidity environment and will take you through our initiatives in PC - 6 discussion.
Executing Digital 2.0 Strateg y
■ Our digital platforms continued to show robust growth
■ Direct to client platforms are scaling with efficiency creating a new tech led business model.
■ Overall, during the year, Bank acquired 2mn clients digitally in DIY mode, disbursed more than Rs.1000cro res of personal loans to new to bank clients acquired digitally and acquired 2,50,000 credit cards digitally.
■ While the business is growing strongly, the digital business model also drives better business efficiency in the lines in which it operates.
■ INDIE – the flagship digital platform for individual segment is off to a strong start and completed 6 months of operations
■ We have ~5mn installed base and 1.2mn clients on INDIE.
■ More than 9mn transactions are processed every month on INDIE platform and transactions are doubling month on month.
Stable Margins
■ Overall margins continue to remain stable around our expected range.
■ Loan mix moving in favour of retail loans provides the ability to absorb deposit repricing

Diversified and Granular Fee and Othe r Income Streams
■ Core fee remains healthy growing at 6% QoQ.

■ Share of retail fee continues to be healthy at 72%
■ Overall fees remain steady at 1.9% of assets.

Healthy Assets Quality
■ Our GNPA and NNPA were steady QoQ.
■ We saw improvement in all the asset q uality metrics such as gross and net slippages, restructured book and security receipts during the quarter.
■ All the four business segments saw sequential improvement in slippages.
■ Gross slippages reduced down to 0.44% vs 0.56% last quarter.
■ Our restructur ed book continues to run down at 0.40% compared to 0.48% QoQ.
■ Our Net SR book reduced to 0.34% of loan book vs 0.37% QoQ. We have made ~Rs.91 crores provisions for Security Receipt book this quarter.
■ Our SMA1+2 book was at 0.24% of loan book.
■ Our Q4FY24 c redit cost was at 111bps and we have closed FY24 with full year credit cost of 113bps in line with our communication at the start of financial year.
■ We continue to carry strong loan related provisions.
■ Our PCR on GNPAs remains healthy at 71%
■ During the quarter, we also saw full repayment of the funded exposure towards a stressed telco of Rs.990 crores. The Bank had made a prudential contingent provision towards this account. The bank has retained large part of this provision in the contingent buffers.
■ The contingent provisions of Rs 1,000 crores provides cushion for any volatility in microfinance and commercial vehicle segments. We aspire to keep 2% extra on microfinance and 0.5% extra on MHCV portfolio as buffer.

Robust Capital Adequacy
■ CET 1 was at 15 .82% and CRAR was at 17.23%.
■ Our credit risk weighted assets grew at 15% YoY vs. loan growth of 18% YoY.
■ Sequential growth in RWAs is higher due to operational RWA addition in Q4. Capital utilization remains efficient with improved risk density and strong internal capital generation.

Planning Cycle 6 Progress
We completed first year of Planning Cycle – 6 in Mar -24 and outcomes have been largely in line with our ambitions. We made steady progress across key themes of PC -6:
1. Continuing Retailisation Journey: Increasing Share of Retail Deposits
■ We progressed towards our retailisation journey w

ith ~73% incremental deposits in last 4 years coming from retail as per LCR deposits & CASA.
■ Share of retail deposits is now at 44% compared to 31% in Mar -20.
■ We continued to invest in our distribution network and opened 378 branches during FY24 and 1,073 branches in last 4 years. We believe our investment in the distribution should aid us maintaining the growth momentum in retail deposits.
■ We have lowered our depe ndency on bulk deposits and borrowings.
■ Certificate of deposits remain low at 3% of deposits, while borrowings contribute 9% of total liabilities.

2. Diversifying Domains
2a) Vehicle Finance: Sustainable Growth Across Product Cycles
■ Over the period, the Bank has diversified its vehicle finance book with addition & scale -up of new vehicle categories like Light Commercial Vehicles, Cars, Utility Vehicles, Construction Equipment & Tractors etc.
■ We have gradually reduced dependency on MHCV segment which now c ontribute 6% of overall loan book compared 11% in Mar -18.
■ We have ramped up LCV business by carving out dedicated business unit. Bank's LCV market share has now crossed 10% from sub 5% a few years' back
■ We have also scaled up passenger vehicle book improvi ng balance between passenger and commercial vehicles.
■ Overall, vehicle portfolio is now diversified across product categories and the Bank is well positioned for sustainable growth across different product cycles.
2b) Bharat Financial Inclusion Ltd (BFIL): Evolving from Microfinance to Micro

Banking
■ We continue to progress on the journey of transitioning BFIL's rural business from microfinance to micro banking.
■ We have scaled -up our merchant business via our Bharat Super Shop offering. The loan book has no w crossed Rs.5,500crores spread across 7lacs nano retailers in tier II & tier III cities.
■ The share of non -microfinance loans is now close to 13% of overall loan sourced via BFIL and we aspire to take it to 30% -35% in next 2 -3 years.
■ Our initiatives on the liabilities side are also moving steadily and we now have close to 18mn SA & RD account opened via BFIL with deposits of more than Rs.2,900crores.
2c) Gems & Jewellery: An Approach to Community Banking
■ The Bank is adopting 'One Bank' approach to capture e ntire echo -system via community banking.
■ We have launched 'Indus Solitaire' a community focused relationship programme offering a gamut of tailored banking services for the Diamond Industry.
■ While in the interim we have cautiously slowed down on the growth amidst global demand challenges, the asset quality of the book continue to remain pristine with zero NPA and zero SMA1 & SMA2.

3. Scaling Sub -scale Businesses: Growing Existing and New Initiatives
■ We are scaling our new and existing initiatives across assets and liabilities. This is one of the key focus area for PC -6
■ On the asset side, our home loan book is now at Rs.1,792 crores while merchant advances via BFIL are at Rs.5,565crores growing at 38% YoY.
■ Our MSME initiatives have shown strong trac tion driven by sharp focus via dedicated business units & best in class digital offerings. Overall, loan book via our MSME focused business units grew at 26% YoY in FY24.
■ We continue to scale our existing liabilities initiatives of Affluent and NRI Banking . We will further expand our affluent and NRI offering with launch of Private Banking focused on HNI/ UHNI customers.

4. Accelerating Digital 2.0: Innovative Digital Platforms
■ We have laid a strong digital foundation with progress on our 'Digital 2.0' strate gy and created a strong stack of digital products & capabilities.
■ Our recent launch 'INDIE' is seeing healthy early trends & user adoption with 5mn+ downloads, 1.2mn accounts opened and around 10mn transactions per month.
■ We will continue to Integrate dig

ital across our businesses with scale up of existing initiatives and plan launches.

5. Imbibing ESG into with Business: Multiple Initiatives at Place
■ The Bank has deepened its impact on the society through responsible lending, mitigating climate change, and promoting social behavioural changes.
■ We have launched multiple initiatives including:
■ ESG linked products such as green deposits, sustainability linked bonds etc.
■ Indus WE, a platform for women entrepreneurs offering holistic banking and non -banking services
■ Indus Solar, offering Rooftop Solar Loans to MSE clients, fostering innovation in solar energy utilization
■ ESG oriented debt solutions for corporate solutions for corporates.

Our FY24 progress has largely been on track with our PC -6 ambitions acr oss parameters. We remain committed to achieving our Planning Cycle 6 goals. The key focus areas for FY25 are:
■ Steadfast focus on retailisation of deposits navigating challenging environment.
■ Calibrating loan growth in sync with deposit growth, prioritizin g diversification and granularity.
■ Integrating 'One -Bank' distribution structure to fully leverage its strong distribution network across key segments

■ Scaling new initiatives like Home Loans, MSME, Affluent Banking, NRI Banking etc
■ Leapfrogging Digital 2.0 with planned launches & scale -up
■ Relentless focus on compliance & governance
■ Maintaining healthy profitability in top quartile of industry.

We have shown healthy traction on all the key metrics and expect to show similar trends going into FY25 as well.
■ We aim to grow ahead of industry. We are committed to PC -6 growth rates whilst being watchful of operating environment quarter on quarter.
■ We remain comfortable with our margins with some potential upside when interest rate cycle turns.
■ We continue to invest in digital and other liability initiatives. The cost to income thus should be range bound in near term and improve as the operating leverage plays out in a few quarters.
■ The asset quality is now in steady state and any improvement would be used to build contingent buffers.
■ Overall profitability of the franchise would thus be stable in the near term and improve as some of the benefits from margin and operating leverage plays out over the course of next few quarters .
Thank you. And let me open the f loor for question and answers now.

Rohit Shinde : Myself Rohit from Market Memories. I have just two, three quick points and questions. First of all, sir, you mentioned your new to credit, you have approximately lent around INR1,000 crores
Sumant Kathpalia: The digital platform on personal loans, we've lent INR1,000 crores, new to bank, not new to credit.
Rohit Shinde : And microfinance also, you have lent. So basically, I want to know how do you take the credit score for people who are the borrowers, how do you judge the credit score of the borrowers who are availing these loans in micro finance?
Sumant Kathpalia: So there is a process which we use for the microfinance loans, which covers the household income, debt servicing ratio and his performance in the credit bureau. We determine the household income, debt servicing ratio and his track record and compute a score , basis which we give the customer loan. The average loan in cycle 1, which is given to a new client is absolutely low amount and then we take him up the value chain as we go.
Rohit Shinde : And suppose if he is unbanked, he doesn't have any banking. If he's unbanked, he doesn't have any banking facilities
Sumant Ka thpalia: We only disburse through the bank account. We don't disburse anything to non -bank customers. We don't do any cash disbursals.
Rohit Shinde : And you said you have about 2,984 branches pan -India. So how many are in the rural areas
Sumant Kathpalia: Around 25% of 2,984 Banking Bran

ches/ Outlets are in the rural areas. But we have a different distribution outreach in the rural because of the Bharat Financial branches/ BC outlets. Overall, we have 6,971 group distribution points across pan India, inclu ding IMFS as well as Bharat Financial outlets. So inordinate large distribution.
Ramesh Bhojwani: Sir, Ramesh Bhojwani from Mehta & Vakil. First and foremost, many congratulations on excellent set of numbers and a beautiful presentation, you have given an all-encompassing account of all your four verticals. And it's so heartening to see the asset quality not only is under control, but it has improved. And going forward, it will still improve is what you indicated in your, not only verbal, but even the body language.
Sir, only thing which comes to my mind is, I think the best in the banking industry cycle is it likely to continue for a year more? Or are we now going to see somewhere some weakening or some sectors or some segments of the economy or industry s howing symptoms or signs of weakness?
Sumant Kathpalia: So I think you can look at a glass half empty or half full. If the economy has to grow at 7% to 8%, the credit quality should continue to do well. And I continue to believe that these are the golden times for the Indian economy, and we will continue to do well. And I think if the economy has to do well and has to become a $5 trillion economy, banking sector has to do well. And for the banking sector to do well, the credit quality has to remain good.

Ramesh Bhojwani: Absolutely. But sir, looking at the macro picture on the geopolitical front, today globally, there are 3 wars which are being fought. And if these don't get contained or cease fired , they may catapult into a World War 3 kind of a situation.
Sumant Kathpalia: I can't comment on the geopolitical developments . I can only say that we have to be watchful of the inflation because we get impacted on inflation , if the oil prices go up, and we have to be watchful on the rates as a consequence. While we maintain a growth rate of 18% to 22%, but we are very watchful of the external environment, and we'll continue to evaluate quarter -on-quarter what the external environment is. And that is where we are convinced that we should be able to maintain the por tfolio quality.
Ramesh Bhojwani: And last thing is I personally believe that the microfinance industry in India is of a size of at least INR3 lakh crores
Sumant Kathpalia: Close to INR390,000 crores.
Ramesh Bhojwani: Yes. And you are moving microfinance to micro banking. You also extended that statement even to my colleague here. But any specific strategy or focus or a concentrated move to double this micro finance book in the coming year?
Sumant Kathpalia: I think you have to do a balanced growth at any po int of time. You have to understand what should be the contribution of each portfolio and each segment in your overall book. We believe microfinance book should be not more than 11% to 12% of your book, and that's what our strategy is. I t doesn't mean that rural book should be 12%, you diversify into other products, which are secured in nature and have cash flows which are of a very different nature. So it doesn't stop the overall growth, but what you do is diversification of your portfolio, and a cohesive strategy is very important to grow in that segment.
Jai Mundhra: Jai Mundhra from ICICI Securities. A few questions. First, on loan growth , so in our PC cycle, we have been saying 18% to 23% loan growth, and we have delivered that in a bit of a challenging environment. But going ahead, I mean the constraint on funding still seems to be there. So this 18% loan growth guidance, I mean, is still relevant even in the period where deposit mobilization may be under a bit of a constraint.
Sumant Kathpalia: So like I said, there is no reason for us to cha

nge our guidance right now. We continue to believe that the bank should grow at 18% to 22% , as we operate in those segments. Otherwise, we lose market share and we play in businesses where we have a right to win. Th at's number one. Number two, in my opinion, it is about cost of deposits now and it is not a liquidity issue. As long as you continue to create the right mix of assets, liquidity is not an issue, and you can manage your book . Don't worry about CASA ratios and liquidity , in the interim . As long as your liquidity is matching your asset growth, and if you are able to do 16% to 18% deposit growth, you will be able to grow loan book at 18% to 22% given that our portfolio lea d themselves to refinance and a lot o f funding can also come from refinance as a consequence of a growth.

So we don't see an issue in loan our g rowth because we have refinance as an option in the borrowing where we have a tap out there, and we also believe that our liability growth will touc h 16% to 18% this year, and we should be able to match that growth.
Jai Mundhra: And sir, within this growth question, we have given additional detail on vehicle portfolio that the way that we are diversifying, right? What is your sense of the vehicle book growth in FY'25? Because at system level, the overall industry, CV, etcetera, seems to be you know?
Sumant Kathpalia: One of the reasons why we diversified. If you look at it, the MHCV book has not grown and has slowed down, but our vehicle book growth has been 17% in a very tough environment also. We continue to believe that our vehicle finance book will grow at 15 % to 20% next year because of the diversification, which we've done in our book.
Our vehicle portfolio is not dependent on a singular product like MHCV. It's a full diversification. Passenger vehicles are doing well. Tractors will come back. It's not done well last year. It's going to come back this year. We expect a good monsoon. Overall, I think we have enough levers in our vehicle fi nance unit to make sure that we deliver an 15 % to 20% growth.
Jai Mundhra: Right. And lastly, I mean, last two questions. One is, it looks like the cost of deposit has only grown by 4 basis points, but the cost of funds has increased by double digit.
Suman t Kathpalia: I'll tell you why. We had a sce nario where one fintech partner , which we had around INR2,800 crores of liabilities in individual fixed deposits, went off at a certain point. We have a strong view that we should not reduce our LCR below 115% at any po int of time. We at that point, did external borrowings. Foreign currency long -term borrowings, and we had a cost which was associated with it. It's a matter of prudence that we did it, and it was very important to manage it at that point. We are still able to maintain our net interest margins, and this is the ability of this bank to manage its NIMs where people thought our NIMs will be 4.15% or 4.2%, we still c ame at 4.26% NIM because our ability and our portfolio's capability to diversify so fast.

Arun Khu rana: Basically, you see the borrowings number. The borrowings number has gone up by INR 7,000 crores, maths will add up.
Jai Mundhra: And if you can suggest that these other loans, right, this has become like INR25,000 crores
Sumant Kathpalia: INR5,500 crores in that is coming out of BFIL - merchant acquiring loans. So affordable housing is about INR1,988 crores. KCC is INR2,966 crores. Home loans is INR1,792 crores and others, which include BL, LAS, gold loans is about INR5,123 crores.
Jai Mundh ra: I thought the number w as INR25,000 crores in total.
Indrajit Yadav : The break -up of other retail loans is given in the investor presentation. This is breakdown of 'BL, AHL & others' head in other retails loans.
Jai Mundhra : Okay. And sir, if I may ask from a 2 -year perspective, do you think you hav

e upward cushion on margins, opex , credit cost in all these 3-line items?

Sumant Kathpalia : So very difficult to comment as of now. We've set and given our expectations on the RO A. See what you should look is the ROA, we've given 1.8% to 2.2%. That's the end of whatever we do. We are right on there i n year 1, we're at 1.9%. I think you should only see positive movements. Positive movement happens if there is a margin improvement. S o our cost to income is highl y inflated as of now because we've invested in new businesses, but we've still been able to maintain our profitability .
Pratik Chheda : This is Pratik Chheda from Guardian Capital. Just taking forward on the point on the deposits. I mean this quarter across the industry, deposit growth has been strong on a Q -o-Q basis, which was a slight positive surprise. So just wanted to understand whether this is more a temporary thing? Or do you see the deposit mobilization now sort of picking up? And how have been the early indicators , we are almost a month into the new quarter.
Sumant Kathpalia : Deposits is not the issue. Please understand that liquidity is not the issue anymore. It is about the cost of deposits. And that is what the issue is. And as long as you know h ow to manage the cost of deposits and how you manage borrowing cost and cost of funds, you will get your numbers. I think as long as you do granular growth on deposits, you have a healthy mix of borrowings, I think we should be achieving that growth. And we are a small bank, so we're n ot such a bank that we have INR 10 lakh crores of deposit s, for us to d o 18% to 22%, it means INR 15,000 crore s to INR1 8,000 crores a quarter. So there is nothing much to it.
Pratik Chheda: And incrementally, the borrowings have gone up by around 18%. Can you just share what is the cost of borrowing for these additional borrowings that have come in the fourth quarter?
Arun Khurana : They have been less than the cost of deposit. But yes, overall, the cost of funds will go up be cause they are over the cost of funds, which was 5. 46% earlier, obviously, it will go up.
Darpin Shah : So you had mentioned earlier also that you won't use additional provisions. So have you utilized anything this quarter?
Sumant Kathpalia : Yes, we have utilised INR300 crores.
Darpin Shah : Okay. And what's the plan for the re maini ng Vodafone provisions?
Sumant Kathpalia : I have said in my presentation that we will keep 1.5% to 2% of micro finance book, which is the JLG book and 0.5% on the MHCV book, as contingency buffer . So we are within that, and we will continue to keep that buffer as we go. So we will co ntinue to add or delete basis our need . So it's not that we are going slow or high.
We will continue to create a contingent buffer to take care of any volatility in our earnings. I've always said our earnings profile will be very stable, very annuity driven, and that i s what you will see of our earnings profile.
Darpin Shah : Sir, in terms of your cost of deposits or cost of funds, how much more increase you expect for next couple of quarters or the most of the repricing is done?

Sumant Kathpalia : Very difficult to project right now. I think we look at it over a period of time. It's also not good to have very long -term deposits right now. So we are seeing when the rate chang e happens . So we are managing our book right now. So as long as we maintain our NIMs between 4.2% to 4.3% and maintain our ROAs between 1.8% to 2.2%. That is the number we share our expectations on .
We don't give a guidance on every parameter because that is for us to manage our businesses. But we want to giv e returns, which are consistent .
Mahrukh Adajania : Thank you, sir. I have two questions. My first question was on the Reliance Capital and mutual fund busin

ess by the holdco right? So it's part of the holdco. But do you foresee any pressure going ahead f rom RBI to just have on e bank, one company?
Sumant Kathpalia : We've not got para banking license s. So we don't have one bank, one company approach . Holdco can have multiple companies. But Bank is an independent entity governed by the Banking Regulation Act, so we don't have any pressure as such that we've got to take a stake or not take a stake. We've not invested anything in that company. So we can't even comment on it.
Mahrukh Adajania : And sir, any clarity on promoter stake, means promoter increasing stake?
Sumant Kathpalia : See, it's between the promoter and the regulator. Whatever information we are being asked by the regulator, we have respond ed to that . And I don't think there's been any such information, which we've been asked in the recent times. So it's between the prom oter & regulator and it would be very difficult for us to make any statements around that.
Mahrukh Adajania : Got it, sir. Sir, and my last question is on the MFI business. So it's doing well. You said that it will move up to the high teens. It's moved up t o 20% year -on-year from a low -ish growth earlier. So where do you see the growth settling for the next 1 to 2 years? And just in terms of asset quality, of course, your exposure in Punjab, Haryana is small. So it's good, but any such asset quality stresses you foresee in the future?
Sumant Kathpalia : First of all, I want to give you the comfort that MFI book, which is in the JLG, whil e the MFI book may grow at 20% -25%. It's not that we will only grow in JLG book . Diversification is very important in our por tfolio, and that's what we've done. We continue to maintain 9.5% and 10% market share in the JLG business. And that is where our market share will be. JLG portfolio will also not be more than 11% to 13% of our overall loan portfolio. That's the number 2 statement I want to make.
Number 3 statement I want to make is, yes, we saw Punjab coming 11 months ago. We saw the waves of Punjab coming and even some parts of Odisha and Bihar also coming and some parts of UP also. We started exiting those portfolios a t that point. That's why our exposures are very, very low. And we did not restructure any of these assets, and we wanted to take them as losses if there are any. So we continuously believe these small ticket loans should never be restructured. We should ra ther take them as losses and move forward.
Nitin Aggarwal : So a couple of questions. Firstly, is on the slippages, while there has been an improvement in slippage rate this quarter versus the last quarter, but how do you really see this? Because

consumer s lippages still look a bit higher. So where would you see them in FY'25? Any colour on that?
Sumant Kathpalia : Our slippages on the consumer side are absolutely under co ntrol. It's only in credit cards where we are seeing a little bit of elevated slippages. And we write -off the credit card portfolio very early also. The slippages are coming in the credit card side, which we now think has stabilized. So it will now see a stable flow and then it should see a decline. So we a re not seeing fresh inflows into the 30 -plus bucket. But I think the flow rates have to come down because the resolution rates in the 30 -plus buckets are a little bit low. So I think you should start seeing in two quarters' time credit card flows coming do wn. And as a consequence, you will start seeing the slippages going down in the retail side of the portfolio also.
Nitin Aggarwal : Okay. And secondly, on the additional provisions that you plan to make in MFI and MHCV. So see, last 2 quarters, we have been only consuming provisions from contingent and by when do you see that bank will be in a position to start making those provisions?
Sumant Kathpalia : See, you can't

give a guidance on this. It depends on the opportunity and the stability of the flows which I want to see. And our books are stable right now. I think we carry enough contingent provision to manage any market volatility.
If I feel that market volatility is a little higher, I will start making contingent provision, or micro finance books touches a certain level. If I feel the INR1,000 crores provision is not enough to take care of that, I will make the provision immediately.
I've made a commitment and I'll make 1.5% - 2% of MFI portfolio and 0.5% of the MHCV portfolio . I will add to that, and maybe I'll start demonstrating to you that what I carry as the contingent provision s from next quarter onwards. So that you're comfortable that the bank carries enough provision to take care of any volatility in these 2 books.
Nitin Aggarwal : Right. And my last question is on the corporate banking yield. Now this quarter, there was a slight drop there. And our focus all through has been more on the mid -corporate and small corporate in terms of growing that book. And so how do yo u really see that and what explains this drop this quarter?
Sumant Kathpalia : So we continue to believe large corporates is a very important part of our business. Niraj Shah runs this business for us. We do very specific segments, and we focus on very spec ific deals in that. We also focus on large corporate segment because we get our risk -weighted a ssets balanced as a consequence of that. So we do it at a time when we need to balance the risk weight assets.

If you see our CRAR ratio and you see the decline, we've ma tured AT1 bonds and a 40-basis point impact. Our CET1 was lower by 25 basis points despite making provisions for operational risk & dividend , because our A -rated paper and above went up, and that is what large corporates does. So we balance our books very well, and that is what it is. We will grow large corporates in line with the system growth, not higher than the system growth. But I think it's part of our strategy. It's a very important piece of our business. And we believe, though we may not make that much of money, it helps in our capital allocation, and that preservation of capital is very important. And that's why we've not gone to the market for the last 4 years to raise capital.

Gayathri Shivaram : Just wanted to understa nd from you on the status abou t the Vodafone recovery account?
Sumant Kathpalia : So we got a recovery on February 8. The full loan was repaid. We told you last quarter that we will get this recovery. We got the recovery on February 8.
Anand Dama : This is Anand from Emkay. Can you just talk about how the funding cost curve is moving? Do you think that basically it has largely peaked or possibly it's going to peak in 1 or 2 quarters number one.
Number two is that, particularly in terms of lending rate, basi cally, you run a lot of fixed rate book as such. Do you see any scope of increasing lending rate, particularly into any products in case of microfinance lot of the NBFC microfinance are actually asked to reduce the rates as such? Any such case for us, number one. Number two, in case of MHCV and other vehicle loan products or the affordable housing loan products as such, have you increased the lending rates in the recent past?
Sumant Kathpalia : Not at all. I don't believe that you can, at the bottom of the pyramid, start increasing rates because the opportuni ty represents to do that, right. You have to look at this business in totality rather than individual vectors. And I think if you increase the rates, while the intent will be th ere but the ability to pay reduces, and that's not fair. While you may say it's INR10, INR20 per month, in my opinion, it's not the right way to do microfinance business. Our rates remain at around 21%-22% and we don't want to do anything, which is

contrar y to that. We don't want to offer rates at 26%-28%. That's not right on the microfinance side.
If you ask me on the funding side, I think, as long as there is a gap between the savings account rate and the fixed deposit rates, there will be a COD shift, w hich will happen. It may be 3 to 4 basis points, but it will happen because you can't tell a client to keep money in savings account and not keep it in the term deposits. And that's happening in the industry. Second, midsized banks like us and even the lar ge private sector, the current account growth will get subdued because with the 10 % regulation, which has come in. A lot of private sector banks will not have 10% exposure to large corporates. And whatever money you may get, you can only keep for 2 days or 3 days, which is the cash management business and the special purpose accounts are far and few. So I think there is a lot o f money which banks used to get as transaction banking floats, which have disappeared. So that's where the cost of deposits has gone up in the banking industry. And I think you should not worry about that as long as margins are maintained between 4.2% to 4.3% and banks manage the risk in a diversified manner. I think that's the new mantra. And that's the way we are managing. While CASA ratio is important, our CASA ratio has reduced from 43% to 38% in 6 quarters. But again, our NIMs have remained very stable .
Anand Dama : So basically, what could be the levers to maintain the led in NIMs basically where we are at this point of time, if we don't increase the lending rates, our cost of fund tends to go up, so how do you manage that?
Sumant Kathpalia : You must l ook at cost of funds. The difference between cost of deposit s & cost of funds . Understand why that cost of difference comes in. That's number one. Number two, our ability to change the mix and every change of mix between corporate and r etail gives us about 550 -600bps

incremental yield. That is very important for us as we manage our business go ing forward. And those are the important parameters for us to manage ou r business .
Anand Dama : Sure. Secondly, on your opex basically from the industry perspective as well as IndusInd Bank perspective, we believe that, the branch expansion is bound to happen across banks. And I think you are also focusing on that front becaus e you want to mobilize the retail deposit. So how do you see your and the industry cost structure moving up from here, be it investment into the branches, be it investment into people, technology, all these platforms.
Sumant Kathpalia : So I'll tell you, yo u have to understand where the costs are coming from. That's very important.

One is people cost, and retention of people has become important. And I think with all banks expanding the way they are expanding, people cost have risen. And we must accept that. No more can you say that I will give a 5% increment and try to retain people. I think the cost of people have risen and it's an acknowledged fact which has happened in the industry. And of course, 30% -35% of attrition also raises another cost issue, which comes in as a consequence of that. That's one.

Number two, the cost of technology has risen. If you want to be ahead of the curve, you've got to invest in technology and at a very fast pace. And the t echnology costs have started showing an increasing trend. And it's showing for the last 2 years, and continuously showing an increasing trend.

Number three, payments business cost has gone up to a large extent, specifically on the UPI side and those costs are increasing. Even if your account is debited and you're paying through the wallets. At the end, people don't use you as a wallet and they move the funds from bank account to through the aggregator / payment service provider, we are actually paying the a ggregator . That cost is inc

reasing at a very fast pace for the banks. That's number three.

Number four is the branch expansion.

Number five is when you get into digital, initial phases of 12 to 18 months, you will have upfront costs which come in. Now you can stop that initiative, but I think you are contradicting yourself and spoiling the growth of the future of the organization, because I think branches are required because relationships belong to branches. But digital is required because transactions are enabled through digital. And you need both complementing each other. And that's where the costs are happening.

Anand Dama : So recently, basically, RBI has been very active and putting a lot of punitive action t aking, particularly in terms of IT system s as such. So what's your broad view? I mean, not talking about any particular player, but broadly in terms of industry and how basically IndusInd Bank stacks in that, do you see any kind of that risk coming in for IndusInd Bank ever from the regulator?

Sumant Kathpalia : I cannot comment on the regulator 's behalf. I'm lucky that I've not got the punitive action. But my CSITE audit, if that's the indication , does not refl ect that I have any such issues. So that's because we invest in technology before we scale our business. So even digital. We've not scaled up to a large extent because we want to keep on testing our technology and the infrastructu re before we scale up anything and we are being cautious about that. As we grow this business and

scaling up of volumes and payments is happening, how do you define infrastructure and your architecture of the technology is very important.

The traditional models are not going to work in this infrastructure. We need to have Real -time DR, multiple switches, how do we create that capability in the systems and efficient UI/UX, how do we have online real -time systems to trace when there is a constraint or a stoppage in the system or something is happening etc. So we need to have efficient tools, efficient monitoring capability, efficient change management system, effective architecture etc. It's a very different tech-related stuff, which has to happen, and we've invested in that. So that's why our technology costs have gone up the way they have and our efficiency is what it is because we invested and I know that it will pay back to us in a long -term basis. But I think that's investments which you have to do if you have to survive. Now can I say that we'll get a penalty? I don't know . Whether we'll get a punitive action, I can't judge for the regulator.

Anand Dama : Sure. Lastly, if you can just talk about your tech expenses as a percentage of overall opex and as well as the branch cost broadly? So the branch cost as well as the tech cost as a percentage of your opex , if you can talk about that?

Sumant Kathpalia : So it's about 9.5% of tech cost, and branch expenses , I can talk to you about consumer bank as a whole, so about 22% of my expense would be the branch expense.

Anand Dama : So basically, Phygital takes away somewher e about 30 -odd percent of the overall opex , and that has gone up in the recent years, or like?

Sumant Kathpalia : It does go up because the people's cost is going up. Sunk cost has come in. The branch set-up cost is sunk cost now. So the variable cost is mostly the people cost.

Anand Dama : And the attrition rate this year has come down versus the last year in broader terms?

Sumant Kathpalia : Zubin is here, he can talk about it . But to give you a comfort, yes, we are down from 51% to mid-30s, but Zubin can talk more about it.

Zubin Mody : So I think Sumant has already shared the numbers. A year before last year , was a tough year for the entire industry, and you all read reports o f our attrition crossing the 50% mark . But a lot of initiatives and activities were implemented last year in terms

of understanding why people are
leaving.
There was a huge boom where people wanted to leave for fintech, just like the dotcom in 2000. And I think it was at that point in time, we said that we can't stop these people from goi ng. Holding back people at 40% -45% hikes was not making sense. The payroll costs would have catapulted geometrically.
But the last year has been good not only for us. W e've, come right down to the bottom of the list of attrition now, fortun ately, it's just upwards of 35% and below 36%. And it helps us to bring the cost down. So the cost of manpower that you're seeing, which you see is slightly elevated in the FY24 also includes the replacement cost for the 51% attrition for the previous year. So there's a lead lag effect that needs to play out when you're hiring.

I used to give my team targets that you're not going to hire anybody above an average of 7.5% to 8%. Those days are gone. The kids and others who come over here now expect 30% to 40%, we start with 15% come down lower. So I think the market is finding its levels. And we should see standard s tabilized attrition between 28% -32% for the industry , as a result.
Anand Dama : Congrats and really good to hear. I'm sure you 're going to take special bonus this year. Sumant, just last thing basically, you ticked almost all the boxes that one would expect it to be. The only slight disappointment or basically the ask that we have for next year is that, if you can shore up your contingent buffer, I don't know where from you find profits, maybe from treasury gains or something like that. But certainly, I think we would want you to build up that contingent buffer.
Sumant Kathpalia : I have always told, if we need one we will definitely shore it up. As long as the contingent buffers takes 1.5% -2% of the microfinance -JLG book and 0.5% of MHCV book . And if there is a shortfall, we'll demonstrate it clearly on the next quarter onward, what is the shortage, we will definitely add that to the contingent. If there is a release to be done, we will release it. But I'm assuring you we will never be short of this number.
We can cut for tea and I'm there; you can ask any questions if you want. The management team is also here. Thank you so much.

Additional Information Discussed During the Analyst Call:
1. Gross Slippages Details:

BU (Rs.cr)	Gross Slippages (Standard Book)		Gross Slippages (Restructured)		Gross Slippages (Total)	
	Q4FY24	Q3FY24	Q4FY24	Q3FY24	Q4FY24	Q3FY24
CFD	460	554	28	44	488	598
MFI	333	355	2	8	335	363
Other Retail	442	483	1	8	444	492
Corporate	162	304	0	8	162	312
Total	1,397	1,696	31	68	1,428	1,765

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Figures for the previous period / year have been regrouped wherever necessary to conform to the current period's / year's docu ment. Note: All financial numbers in the document are from Audited Financials or Limited Reviewed financials or based on Management estimates

Call: Aug 2024

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Q1 FY25 Earnings Conference Call

MANAGEMENT:
MR. SUMANT KATHPALIA – MANAGING DIRECTOR AND CEO
MR. ARUN KHURANA – EXECUTIVE DIRECTOR AND DEPUTY CEO
MR. GOBIND JAIN – CHIEF FINANCIAL OFFICER
MR. INDRAJIT YADAV - HEAD, INVESTOR RELATIONS AND STRATEGY
+
MANAGEMENT TEAM MEMBERS

July 26, 2024

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Moderator : Ladies and gentlemen, good day, and welcome to IndusInd Bank Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sumant Kathpalia, MD and CEO, IndusInd Bank Limited. Thank you, and over to you, sir.

Sumant Kathpalia: Good evening and thank you for joining this call. Let me start with some macro commentary and then go into the bank specific details.
Domestic economic activity sustained momentum during Q1 after delivering robust GDP growth of 8.2% in FY24. Manufacturing activity continued to gain traction on the back of strengthening domestic demand, while services sector maintained its buoyancy. In banking system, liquidity conditions remained in deficit but improved marginally compared to the last quarter. Looking ahead, recent budget has maintained continuity while laying down the future policy agenda of new government towards the goal of a becoming a developed economy. Adequate budget allocations have been made to support Rural economy including increasing allocation to the flagship MNREGA scheme compared to last year. These along with steps taken pre-budget augur well for a rural recovery and rural spending would be outpacing urban segments.

Coming to the quarter specific developments, the Bank navigated a challenging quarter where a typically seasonal weak first quarter was coupled with issues from heatwaves & election related disruptions. The key highlights for the quarter were:
• Healthy Deposit Growth – Our deposit growth accelerated to 15% YoY and 4% QoQ. We maintained our traction on retail deposit mobilisation with retail as per LCR deposits growing at 16% YoY, ahead of our loan growth. Increase in Cost of Deposits at 5bps QoQ also remained under control despite ongoing liquidity conditions.
• Loan Growth Trajectory – Our loan growth at 15% YoY was driven by 18% YoY growth in retail loans and 13% YoY growth in corporate loans. We were cautious on disbursements in vehicle and microfinance during the election

phase and runrates have already picked up this month. Corpora te growth continues to be driven by mid and small corporates. Overall, the headline loan growth should see pick -up going forward with seasonality benefits.
• Progress on new initiatives – Our digital banking offering INDIE continue to see strong traction and we now have more than 1.3mn customers on the INDIE app. Our liabilities initiatives of affluent and NRI banking maintained robust traction growing at 23% and 33% YoY respectively. Ou r home loan book grew by 31% QoQ and now stands at Rs.2,348crores.
• Asset Quality –Focus on collections resulted into gross slippages improving to 0.45% vs 0.47% YoY despite the external challenges this quarter. Our gross NPA & net NPA were at 2.02% and 0.60% respectively with healthy PCR of
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71%. Our restructured book continues to run down at 0.34% compared to 0.40% QoQ. We have maintained our contingent provisions at 1,000cr.
• Robust Core Profitability – Our Net Interest Margin remained stable at 4.25%. We have not used any contingent provisions this quarter. Adjusted for this, the core profitability remained resilient for a seasonally weak quarter. Our core PAT adjusted for contingent provision reversa l grew by 10% YoY and 2% QoQ. Our Capital Adequacy Ratio remains healthy with CET1 of 16.15% and overall CRAR at 17.55%.

Now coming to individual businesses.
1. Vehicle Finance:
• Our vehicle finance loans grew by 15% YoY and 2% QoQ.
•

Vehicle disbursements for the quarter were Rs.11,260 crores. The quarterly disbursements were lower due to subdued demand during the election phase, extreme heat in most regions and Q1 being a generally weak quarter.
• Within vehicle categories, we saw sequential growth in Commercial Vehicles, Cars and Construction Equipment. Two -wheeler and Tractors segment were weaker and de -grew during the quarter.
• The gross slippages in Vehicle Finance improved to 0.75% vs 0.77% YoY showing stable asset quality in spite of external disturbances last quarter.
• The restructured book in vehicle finance also reduced to Rs. 417 crores from Rs. 547 crores QoQ with majority of the reduction due to upgrades and recoveries.
• First quarter of the financial year has generally been a seasonally weak quarter and the second half of a year contributes larger share of disbursements as well as recoveries. With election related uncertainties also behind us, we expect the trend to conti nue in this year too. The timely onset of monsoon and government's capex push in recent budget also augurs well for the outlook of vehicle business.
• Overall, we have seen activity levels improving from July. We expect vehicle demand to pick up pace as the government spends resume post the budget and monsoon period gets over. We should thus see acceleration in the vehicle loan growth as the year progres ses.

2. Bharat Financial Inclusion Limited (BFIL) :
• Outstanding loan book originated via BFIL now stands at Rs.42,350 crores growing 17% YoY with microfinance & merchant loan book growing at 16% and 25% YoY respectively.
• Growth was driven by client acquisition and active loan clients increased by 11% YoY. Share of non -MFI book stands at 13%.
• The collection efficiency was impacted during the quarter as mentioned earlier. The organization, however, prioritized collections over growth and was able to contain forward flows. The gross slippages from BFIL were at Rs.338 crores for the quarter.
• Total liabilities franchise sourced through BFIL now stand at 2,346 crores driven by new customer acquisition, cross sell of liabilities products and now ~93% of loan disbursements are done in IndusInd account.
• Microfinance
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o While Q1 disbursements are typically lower, we were also watchful for any untoward developments due to election activity.
o Our average loan outstanding per customer at Rs.42,031 was reduced by 4% QoQ.

o The collection intensity continues this quarter and we aim to restore normalcy in the overdue book in a few months. We remain comfortable with our full year microfinance credit costs to be broadly stable YoY.

• Bharat Super Shop i.e. the merchant acquiring business

o We have now around 700,000 merchant borrowers under this program.

o Our merchant loan book stood at Rs.5,304 crores with 25% YoY growth.

• Bharat Money Stores i.e. the kirana shop model

o We have around 88,000 Bharat Money Stores (up 27% YoY) providing banking at the doorstep in remote areas.

o These merchants have sourced around 2.6mn savings accounts registering growth of 68% YoY.

Overall, we focused on asset quality during the quarter to mitigate impact of several external challenges. We are already witnessing centre meetings discipline restoring. With good monsoon predictions and external disturbances getting behind the industry, we are well placed to participate in the large rural opportunity with our deep distribution network while transitioning from micro finance to micro banking.

3. Corporate Bank:

• The corporate loan book grew 13% YoY with growth continues to be led by granular mid and small corporates.

• Within corporate, large corporates grew by 10% YoY, mid corporates by 14% YoY and small corporates by 22% YoY.

• The healthy growth in mid and small corporates continues with increasing coverage focus on this segment and focus on selected industry segments.

• The diamond b

usiness too showed sequential growth after a few quarters of contraction due to weak global demand. The asset quality in diamond clients remains pristine with no NPAs or SMA1 / SMA2 customers.

• The proportion of A and above rated customers has been at 79% vs 76% YoY with weighted average rating improving to 2.48 from 2.61 YoY.

• The Gross Slippages in corporate book were Rs 48 crores for the quarter and net slippages of Rs 4 crores only.

• Overall, we continue to progress on building corporate bank franchise focused on selective areas of competitive advantage with granular risk profile.

4. Other Retail Assets:

• During the quarter, our other retail assets grew by 23% YoY.

• Our MSME book under business banking is at 16,683 crores which grew 13% YoY and LAP book maintained steady traction with 12% YoY growth.

• We tweaked our branch operating model last year to facilitate sourcing MSME asset customers. We have also re -defined our SME branches with

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enhanced capability & upskilling of the branch staff. This is showing results in terms of increased contribution by branch led origination.

• We are also revamping our onboarding journeys and credit assessment engines by bringing in the desired digitization and data -backed analytics, in credit assessment and onboarding of the customer. With a focus on branch sourcing & digitization in process & client capability, we expect MSMEs to become a meaningful growth driver for the Bank.

• Our Home loan product continues to scale with loan book now at Rs.2,348crores as of Jun -24 growing 31% QoQ.

• We recorded healthy credit card spends at Rs.24,019 crores growing by 19% YoY. Our spends market share has further improved to 5% as per latest available RBI data. We have been cautious in maintaining share of unsecured card and PL at 5 -6% of the loan boo k.

• Overall, we continue to focus on growing our consumer assets while improving the balance towards secured mix with scale -up of home loans and MSME.

5. Now coming to Liabilities:

• We accelerated our deposit mobilisation to 15% YoY narrowing the gap with the loan growth.

• We also maintained traction on retail deposit mobilisation with retail as per

LCR deposits growing at 16% YoY. Share of retail deposits now stands at 43.7% vs 43.4% YoY.
• Cost of deposit increased by modest 5bps QoQ driven by the mix in favour of term deposits and some repricing.
• The Bank opened its milestone 3,000th branch last quarter and with total branch count of 3,013 as of June -24.
• We continued to scale our initiatives of Affluent and NRI during the quarter. Affluent segment deposits grew 23% YoY to Rs.54,679 crores during the quarter. Affluent AUM was also up 25% YoY to Rs.86,000 crores. The Bank is slated to take the affluent banki ng to next level with the launch of Pioneer Private banking next month. This will be a curated offering for customers with over Rs 30mn net relationship value. We are confident that this addition will provide another growth leg -up for our already sizable a ffluent franchise.
• Our Non Resident Indian i.e. NRI segment continues to see robust growth momentum on the back of strong NRI deposit flows. NRI deposits grew 33% YoY and 9% QoQ and further achieved milestone of crossing Rs 50,000 crores deposit base in July. Our market shar e in Non -Resident segment stands at 3.7% as per last available data vs 3.3% YoY.
• We continue to invest in our brand. We saw strong lift in our brand awareness during the quarter driven by our marketing campaign during the ICC T20 Cricket World Cup, where India was crowned as champion.
• Our reliance on bulk sources remains low with Certificates of Deposits at 2.5% of overall deposits and borrowings at 8% of total liabilities.
• The liquidity position remained healthy during the quarter with average LCR improving to 122% vs. 118% QoQ and average surplus liquidity at Rs.43,000crores for the

quarter.
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• Overall, Retailisation of liabilities continues to be cornerstone of our strategy and our balanced approach towards traditional as well as investments in new initiatives should support our growth ambitions.
6. Digital Traction:
• During the quarter, INDIE – the digital banking app of the Bank completed first full year of operational launch.
o We now have more than 1.3mn clients on the INDIE app including 1.1mn New to Bank and 200k existing clients migrated to INDIE
o The migrated clients have shown an increase in 35% in terms of liabilities per client and 20% in transactions per client.
o We are in process to soon open this app as a platform to all clients of the Bank to manage their existing relationships; while new products and services continue to get launched on the app and continuous innovation happens in parallel.
o We are also going to launch a revamped wealth management offering, INDIE for Business & revamped experience for NRI clients on INDIE app within coming weeks.
• While we are building the new, the existing platforms continue to scale as well.
o IndusMobile has a monthly active user base of 3mn+ and registered a growth of 30% YoY in recurring bill payments. The rating of the app improved to 4.5 on App Store and 4.3 on PlayStore.
o On Indus Merchant Solutions, we launched a new feature for merchants whereby they can add or manage “sub users” & delegate store operations such as collections.
o On WhatsApp Banking, we have a registered base of 9.2mn and conversations and active users grew strongly at 200% and 30% YoY.
o Indus Easy Credit – the flagship digital retail lending platform of Bank continued to see scale and now 100% of personal loans, credit cards, small ticket business loans and working capital loans happen digitally via the platform. The platform is now also integrated with Account Aggregator and for MSME clients enabled with CGTMSE.

Now coming to the financial performance for the Quarter:
1. Net Interest Income grew by 11% YoY and 1% QoQ with Net Interest Margin remaining steady at 4.25% vs 4.26% QoQ and within our expected range of 4.2% to 4.3%.
2. Our Cost of Deposit increased by 5bps QoQ while cost of funds increased by

3bps QoQ. The Increase was offset by 2bps increase in yield on assets maintaining margins steady.
3. Our Other Income grew by 10% YoY. Core client fees excluding trading income too grew by 11% YoY. Share of retail fee remains healthy at 78%.
4. Our total revenue for the quarter was at Rs 7,849crores with 11% YoY growth.
5. We continue to see sequential moderation in opex growth. The opex growth reduced to 20% YoY vs 24% YoY in previous quarter. The sequential growth was curtailed further to 2% QoQ. The cost -to-income however increased largely due to slower revenues due to se asonally weak disbursements in vehicle and microfinance. We should see cost -to-income to improve as revenues pick -up during the course of the year.

6. The operating profit for the quarter was at 3,952 crores growing 3% YoY.
7. On the asset quality and the provisioning front:
• Collections and cautious disbursements were key focus areas during the quarter given the external disturbances. As a result, we were able to improve gross slippage ratio at 0.45% vs 0.47% YoY in an otherwise challenging quarter.
• The gross slippages by key segments were vehicle finance Rs.660crores, BFIL Rs.338crores, corporate Rs.48crores and other retail Rs.490crores.
• The restructured book reduced during the quarter to 0.34% from 0.40% QoQ with bulk of the reduction due to upgrades and recoveries.
• The Net Security Receipts have reduced to 32bps from 34bps in previous quarter.
• Overall, the GNPAs and Net NPAs were at 2.02% and 0.60% respectively. We have maintained provision coverage ratio of 71%.
• Our SMA1 and SMA2 book collectively is at 25bps.
• Total loan related provisions are at 2.2% of loans or 106

% of the GNPAs.
• The Bank has not utilised any amount from the contingent buffers during the quarter. The annualised credit costs were at 121 bps for the quarter without using contingent provisions.
• We thus remain confident of achieving full year credit cost of 110 -130bps given that a turbulent and seasonally weak quarter is behind us with credit costs outcomes within our expected range.
8. Our core profitability adjusted for contingent provision reversal remained robust during the quarter. Our core PAT adjusted for contingent reversal grew by 10% YoY and 2% QoQ. Our Capital Adequacy Ratio remains healthy with CET1 of 16.15% and overall CRAR at 17.55%.

Overall, to summarise the quarterly performance:
• Q1 was a subdued quarter wherein a seasonally weak quarter got added disturbances from external factors. The disbursements are already picking up and we remain committed to the PC -6 growth guidance of 18% -23% growth.
• Our deposit growth is accelerating along with narrowing spread on deposit rates with larger banks. Our balanced approach on traditional and new initiatives would drive achieving our loan growth aspiration.
• The opex growth has started normalising and we should see revenue growth exceeding opex growth in a few quarters as the operating leverage and seasonality in key businesses play out.
• Our asset quality trends remain healthy especially seen the context of turbulent last quarter. Our Q1 credit costs were in our expected range of 110 -130bps without using any contingent provisions.

We are thus confident of delivering higher growth with improving profitability in rest of the year.

With this we can open for Q&A.
Moderator: The first question is from the line of Kunal Shah from Citi Group

Kunal Shah: In terms of the growth in advances , because of the seasonality and the disruption you had cautiously slowed the disbursement , but getting back towards 18% to 23 % growth, how much time would it take . Maybe if growth remains at this level, we saw the resolution to raise the equity as well. You mentioned you have healthy capital adequacy, then what wa s the need for that resolution?

Sumant Kathpalia: Let me take second question first, it's only an enabling clause. You're right that we're well capitalized as of now. Like we said, every six months, we assess our capital needs.
I really don't feel we have a need to raise capital as of now.
Coming to your first question, which is on our growth. Our growth ambition remains at 18% to 23% growth. If you look at where we lost out this quarter was the microfinance. And I think there is enough growth headroom available there. We were cautious because we wanted to make sure that our portfolio remains pristine and we do not have large NPA flows, and we wanted our flows to remain range bound.
And, on the vehicle finance business growth slowed down because of the challenges in rural side of economy. Our disbursements were down to INR11,000 crores compared to run rate of INR13,000 to INR14,000 crores. And I think we should see growth picking up from next quarter. Another area where we slowed down was the unsecured business es of personal loans and credit card s.
Overall, it was an intentional decision to slow down a bit and see what is happening in the market before we resume growth. W e wanted to wait and watch on how the election results play out. So, we should see growth coming back. And we should be in the range of 18% to 23% for the full year. I cannot say next quarter or anything. I can't give exact timeline. But I can say for the full year, we will deliver 18% to 2 3% growth.
Kunal Shah: Okay. And secondly, if you can just share the colour with respect to MFI any particular states, any particular districts, there has been disruption. And how the collection efficiency and the behavior of the pool has been given maybe obviously, there have been a lot of concerns out there?

Sumant Kathpalia: Kunal, first of all, let me tell you, where we have slowed down. So Orissa is one such state where we slowed down. T here were a lot of overleveraging happening. And we slowed down our business in Orissa two quarters ago. That's one. In UP, too, we slowed down our business in Eastern UP and we saw that there are stress and there was a growth in borrowing levels , which was coming from other microfinance lenders.
We slowed down in Punjab too. You would have realized that 'Karz a Ma af Andolan ' which has started, we actually started slowing down the business about three quarters ago. Our business has now become small in that area. Jharkhand is another state where we've a little bit slowed down the business. We think that there are some issues which are developing there and we started pulling out on that stage.
Otherwise, if you look at the business, there are good places like Karnataka. We are seeing good business in parts of West Bengal , Jharkhand, Rajasthan, and Maharashtra. So, we are seeing good quality business coming out of these areas. And we feel confident about growth in these areas and our NPA flows remain range bound. We expect MFI gross flows to be around 3.5% and credit cost around 2.5%.
That is the reason this is a big & important business, which delivers a decent ROA for

us. The success o f this business is in taking early calls and see ing the trends . And the processes of Bharat Financial are strong and they are able to see early trends and exit those regions .
Kunal Shah: And one data point just in terms of general banking fee, why is it up to such a large extent?
Sumant Kathpalia: This has PSLC fees, which comes in the quarter one of INR2 82 crores included into it.
Moderator: Next question is from the line of Nitin Aggarwal from Motilal Oswal.
Nitin Aggarwal: So Sumant, first question on like did I hear you right about saying 18% to 22% growth for full year?
Sumant Kathpalia: Yes.
Nitin Aggarwal: Okay. So like how should we look at the CD ratio then like any compulsions arising from that because 18% to 22% will imply like 6%, 7% growth every quarter in respect to loan growth. So how should we look at that equation?
Sumant Kathpalia: So if you look at the credit deposit ratio, we are at 87. 3% right now. And we have always said that we will be between 88% to 90%. So we are well within that range.
Also, please understand that stable funding is also important. And our NSFR as well as LCR is well within the range. I also feel that we have enough initiatives and enough capability of raising deposits. We've now reached 15% YoY growth and w e should see 17% to 18% growth this quarter. I remain confident of doin g that growth, which we have said in our call today.
Nitin Aggarwal: Okay, sure. And secondly, on the LCR draft guideline that RBI came up with yesterday. Any early thoughts as to what can be the impact, any broad range? Would it be possible to give any colour on that?
Sumant Kathpalia: We can't give any colour right now, but we are assessing. And I think look ing at the preliminary data , the impact should be in the range of 4% to 6% for us.
Nitin Aggarwal: Okay. Sure. And lastly, like I'm just taking cue from another bank results call wherein

they increase the risk weight on the MFI loans after the RBI increased the risk weight in November '23. So have we also done any change on the risk weight in respect to MFI?
Sumant Kathpalia: There's no such guidance or any circular from the regulator to us to increase the risk weight on microfinance loans from 75%.
Moderator: Next question is from the line of Piran Engineer from CLSA.
Piran Engineer: I just wanted to understand on microfinance. So, I appreciate you are taking steps to curtail risk, but our NPLs keep rising, and are significantly above some other players. So really, what's going on here? Are we not writing off loans? Is that the thing is

our
write -off policy very different from the others?
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Sumant Kathpalia: No. I think we write -off the loans as per the approved policy of the bank . We don't keep retail loans more than 180 days to 365 days. So, we never keep microfinance loans beyond these days past NPA . There are two things which have happened this quarter . One is that the base effect has come in. If you look at the disbursements have been lower and as a consequence, the microfinance book has fallen down by ~INR2,000 crores. And as a consequence, you're seeing a larger percentage out there. The second way to look at it is the gross flow. The gross flows in Bharat Financial has been INR338 crores. And I think that's well within our expectations of 3.5%, and we are very comfortable with that business.
Piran Engineer: And what was the same number last quarter? could share the corresponding number .
Sumant Kathpalia: MFI was INR33 5 crores.
Piran Engineer: Okay. That is useful. And just secondly, from Mr. Sriram, I just wanted to get your thoughts on where we are in the auto cycle and not refer to the next two, three quarters, but just in general, are we still in the middle of the cycle? Do we see that we ar e closer to the top of the cycle, I would appreciate your comments on that.
A. G. Sriram: For the heavy commercial vehicle, as we said, we are likely at the peak . There is no further growth movement we are expecting and it's more or less at the peak. But the rest of the segment s, we expect at least high single -digit growth. And tractors, we are expecting a double -digit growth.
Piran Engineer: Including cars?
A. G. Sriram: Yes, i ncluding cars.
Moderator: Next question is from the line of Abhishek Murarka from HSBC.
Abhishek Murarka: So my question is again on this deposit growth actually. So if you see the proportion of retail deposits, the growth there has been tapering off in the last 3-4 quarters. Now if you have to accelerate to 17% -18% overall deposit growth, incrementally, where does this come from? And do you have to take any kind of rate increases? And then what is the impact on NIM of that. So just trying to figure out that relationship.
Sumant Kathpalia: If you look at our NIM , they are range bound, as we've been able to manage our NIM between 4.2% to 4.3%. And that's the range which we want to be in. I can't say specific numbers, but NIM has been range bound for us. And we've always been able to manage our NIMs between that range.
Coming to the retail deposits , we've always said our stated intent is to be between 48% and 5 0% retail as per LCR by the end of p lanning cycle – 6 next year, and we are focusing on that. There will be some quarters where the growth is slow and intentionally so because we expected an interest rate reduction to happen. And we said that we had different views at th at point. And we see our processes very closely. We also don't want to be stuck with large retail deposits at a very high rate at some point. So we do manage our book in a different manner because we have stable funding from developmental financial institutes which come in and our stable fundin g remains intact. Having said that, we do not see a risk to our growth ambitions of 18%
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to 22%. And we should be able to manage our LDR between the range of 88% to 90% going forward. And that's been our aim and we are very comfortable with that.
Abhishek Murarka: The second question is on card fees. I think there was a fair bit of drop this quarter. Just can you share what's the way forward? And what led to the drop this quarter?
Sumant Kathpalia: So there are three things that led to the drop this quarter. One, I think the regulator came with a directive that overlimit fees cannot be charged and there was around INR24 crores drop in the card fee as a consequence of that , in a quarter. So that's on ongoing basis, which you will see happening in the card fee. Second

, our acquisition s
were lower. And as a consequence, our card fees were lower for higher -end accounts. And the third was the interchange on rentals was eliminated, and we stopped doing the rental from the card as that was leading to delinquency, and that was also a INR10

crores income for us in the quarter and that dropped.
Abhishek Murarka: Okay. So this is all actually structured. So this is not going to revert?
Sumant Kathpalia: I don't think all of it will reverse because rental yields have gone down, and rental interchange has disappeared. Overlimit charges have disappeared . But the third thing on acquisitions, we will build up the card business again. So, it's not that we will stop the acquisition and high -end cards are a priority for us.
Abhishek Murarka: Right. And can you just talk about the asset quality in cards. You've seen a bit of inch - up in NPAs you've said previously. I think on the previous call that you a re seeing some stress there.
Sumant Kathpalia: I think you will see some stress in the card business for next two quarters. Let me be candid. There is some stress building up. If you look at the 60 -plus and 30 -plus DPDs , the 30 -plus looks 7% right now. So, it's not looking completely good. You will see some flows which will happen on the card business. But it's well under control and the RO As are under control. So, we have to manage it. We are putting all our efforts, but there is some stress on the card business right now.
Moderator: Next question is from the line of Sameer Bhise from JM Financial.
Sameer Bhise: Just wanted your thoughts on the draft guidelines on liquidity, which came off yesterday. Any initial comments there if they were to come in the current form?
Sumant Kathpalia: See, it's very difficult to comment at this moment . I think whenever the regulator comes with new draft guideline, there is a lot of thinking which goes behind it. They want to make sure that the banks are liquid and there is no run on the bank. And that's why they are increasing the LCR outflow percentages from 5% to 10% on stable retail deposits and 10% to 15% on other retail deposits. And they believe that through mobile or through internet banking, deposits can be immediately moved. An d the stability of the system and the liquidity is more important. I think these are directed in the right manner. And it will only make the system much sounder . And it's for the fortification of the balance sheet and the liqu idity in the system. There may be some impact, but I think 4% to 6% for us . But it's important to make sure that we should not get bogged on and we should see how to manage this, and it bec omes a part of the Business As Usual (BAU), as we go forward.

Sameer Bhise: Okay. And when we look at the credit cost guidance of 110 to 130 basis points, includes our prior comment on having excess provisions on microfinance and vehicle.
Sumant Kathpalia: Absolutely right.
Moderator: Next question is from the line of Anand Dama from Emkay Global.
Anand Dama: So sir, one, basically there was a special deposit scheme which we had launched during the first quarter any impact of that is yet to come in the cost of fund and because of which should we see some margin pressure going ahead?
Sumant Kathpalia: We had launched campaign with 7.99% TD rate . And we saw enough traction, we mobilized around INR7,000 crores of term deposits on that campaign during the T20 World Cup . It was during the T20 World Cup and for a specific duration. And we've stopped that campaign now and gone back to 7.75% top TD rate . So, we mobilized around INR7,000 crores of term deposits at that point of time within that 15 -day period.
Anand Dama: The interest of that is largely being baked in into first quarter itself.
Sumant Kathpalia: Yes. It's already baked in.
Anand Dama: Okay. And when you look at our growth vectors, so basically, you said that you're

still
looking at about 18% to 22% kind of a growth. So, microfinance, not doing well, cards you are not very keen . So, which are the segments which are going to deliver this point of a high growth . Is it going to be a corporate book or the non -unsecured loan.
Sumant Kathpalia: Our balance of loan book should remain tilted towards retail with 55% -56% retail share and 44% -45% corporate share . We also continue to believe that our book on vehicle finance as well as microfinance, including merchant acquiring, will continue to grow. We believe that merchant acquiring and MFI business will continue to grow at 20% -24% for us during this year. Our vehicle finance business will grow around 18% for the year. Our other retail business will continue to grow at 2 5%-30% for the year. I think we've just seen a slowdown, and we will come back into that growth mode. On the corporate side of the book, we've always said that our small -corporate growth to be at about 18% -20% and our mid corporate growth to be at 14% -16%, while our large corporate is at 10% -12%.
Moderator: Next question is from the line of Chintan Joshi from Autonomous.
Chintan Joshi: Can I ask a question on NII. If I look at the quarter -on-quarter growth, it is 0.6%. And when I look at the end of period average earning assets, that's grown 4.4%, and yet your NIMs are stable. Does this mean that a lot of the kind of growth is back ended in the quarter? And is there any other reason for weakness in NII? Any kind of one -offs

or any thing that of explains the NII weakness.
Sumant Kathpalia: No, There's no one -off in the NII.
Indrajit Yadav : It's just the averages, which are playing out. I think you will see this normalize over the period . Some quarters, it happens. But overall, over the three or four quarter period, it normalizes.
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Chintan Joshi: So can I take this that the weakness is purely management action to be cautious in a quarter where there is seasonality in elections? Is that the main message ?
Sumant Kathpalia: April and May were weak months and June is when we started picking up the disbursements on retails side, even whatever disbursements we did in the MFI or in the vehicle financ e business .
Indrajit Yadav : The high -yielding businesses like microfinance, cards, they have not grown this quarter. So that's why there is an added impact on the NII versus the loan growth.
Chintan Joshi: Understood. And my second question is on the GNPA on Slide 26. You've given a lot of colour, but there's a general statement in consumer banking, practically every segment is seeing increase . Is there something kind of worsening across the industry? Or is this a seasonal effect?
Sumant Kathpalia: It's just a seasonal effect. The only thing that we should worry about is the credit card business. I don't think there is anything else, which I'm worried about right now. The 30 plus on the MFI is also little bit elevated right now , but we still believe overall gross flows should be around 3.5% with credit cost around 2.5% .
Chintan Joshi: And within personal loans, are you seeing any kind of deterioration?
Sumant Kathpalia: Not in personal loans, but I said credit cards.
Moderator: Next question is from the line of Rakesh Kumar from B&K Securities.
Rakesh Kumar: So sir, just firstly, 1 question on LCR front. So we have improved on retail deposit composition over a period of time of, say, last two, three years. But if you look at the outflow rate, there has been like no improvement as such in the outflow rate as pe r the LCR number. So what is the reason behind that?
Sumant Kathpalia: We will get back to you on this question.
Rakesh Kumar: Secondly, sir, on the general banking fee . I don't know if you had responded to this question, sir. So there is a quite a lot of growth that you are witnessing here on Y-o-Y or Q -on-Q basis?
Sumant Kathpalia: There is PSLC fees, which is incl

uded in this, and which generally comes once or twice a year.
Rakesh Kumar: How much that number.
Sumant Kathpalia: INR 282crores .
Rakesh Kumar: This quarter, okay. So is that a reason sort like some of the PSL qualifying loan book, we are reluctant to write -off?
Sumant Kathpalia: No, it's not that. We write -off as per the policy, which is there. We don't tinker with the policy. If the policy state that you have to write off in 180 days , we write -off. If it's 240 days , we write -off in 240 days. So we don't tinker with that. The rules are set by the bank approved policy, and we go with that policy.
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Moderator: Next question is from the line of Jai Mundhra from ICICI Securities.
Jai Mundhra: Most of the questions have been answered. Just two questions. One is -- if I look at the cash and bank balance as a percentage of assets, since COVID, we have been utilizing that and the proportion was coming down as a percentage of assets. But this quarte r, that number has gone up. Is it like more opportunistic, as you said that you were cautious in disbursement and hence the buildup?
Sumant Kathpalia: It’s just that the loan growth is down. And once the loan growt h comes back, it will move accordingly .
Jai Mundhra: Right. And secondly, sir, on the wholesale side, we have been following the strategy of large corporate growth being slightly lower and growth being m ore driven by mid and small corporate. But if I look at the yield on the wholesale side, I would have expected them to be stable, if not rising. But this quarter, they have actually declined. So is there any clarification o n this.
Sumant Kathpalia: It's a 4 bps decline. It's just as a normal part of the business.
Moderator: Next question is from the line of Rohan Mandora from Equirus Securities.
Rohan Mandora: I wanted to understand what is the impact of the penal interest circular on NIM this quarter?
Sumant Kathpalia: There was an impact of around INR30 crores for the quarter. But we should be able to increase the yield to manage that.
Rohan Mandora: Okay. Sure. And sir, on the incremental disbursal yield because I just want to get a sense on that. So product -wise, is it flattish Q -on-Q? Is there an increase? Or has there been a decline on incremental disbursement deals?

Sumant Kathpalia: It depends on which product, I think for the vehicle finance, we have an overall disbursement yield of 12.9% to 13%. And we've been consistent in that yield over a period of time . On microfinance, we have been range bound between 20% to 23%. On consumer bank, our yield depends on the secured and the unsecured mix . This quarter , we saw a dip on the disbursement yield because it was more tilted towards secure than unsecured. Otherwise, if you look at the yield, we disburs e at 13.4% to 13.5%. On corporate bank, it depends on the mix of large, mid an d small corporates where we are pretty stable on our yields.
Rohan Mandora: Sure. And sir, lastly, what will be 30 -plus book in the vehicle finance?
Sumant Kathpalia: Vehicle finance , we don't give that number. We disclosed our SMA1 and SMA2 for the bank, which is 25 basis points.
Moderator: Next question is from the line of Manish Agarwalla from Phillip Capital.
Manish Agarwalla: Sir, I had a question on yield on investment. The yield has been increased on a sequential basis. Anything to read there?

Arun Khurana : Yes. So, some of our surplus cash we have invested in CDs of various public sector AAA -rated banks, which led to a slight increase in this quarter .
Manish Agarwalla: And in terms of going back to penal interest question, is that income now as a part of fee income or commission exchange brokerage income?
Sumant Kathpalia: Part of this is part of the fee income, which is already there, but part of it still has to start coming in.
Manish Agarwalla: Okay. And finally, if you can give some colour about which are the geo

graphies that
you are witnessing stress in the MFI any specific cases if you want to highlight?
Sumant Kathpalia: If you look at our MFI flows and the Bharat Financial flows is INR338 crores for the quarter. So it's not that it's deteriorated. We told you that Punjab was an area where we were seeing stress. I think that's already done and dusted. And in my opinion, I think we reduced our book in Orissa, we slowed down our growth in Orissa.
Moderator: Next question is from the line of from Gao from Schonfeld Strategic Advisors.
Zhixuan Gao: Just one question on your tenure. Are we definitely applying to RBI on extension or given that we are only in the first quarter it's too early?
Sumant Kathpalia: So, in my view, the Board may have to send recommendation by September. That's the last date that they have to send their recommendation. And I think they should recommend by August end or early September. So that's where we stand. And we have to just wait for that announcement to happen as and when they do that.
Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Mr. Sumant Kathpalia for closing comments.
Sumant Kathpalia: Thank you for participating in th e Q1 earnings call. If there are any questions or any further clarifications which are required me, and Indrajit are available. We can take your call and questions. We have to get back to you on one question, which is on the outflow on the LCR, we will get back.
Arun Khurana : I don't have a comparative number right now. So that's why I can't answer, but I know the outflow is what they are.
Sumant Kathpalia: So we will get back. And thank you so much.
Moderator: Thank you very much. On behalf of IndusInd Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Figures for the previous period / year have been regrouped wherever necessary to conform to the current period's / year's document. Note: All financial numbers in the document are from Audited Financials or Limited Reviewed financials or based on Managemen t estimates

Call: Oct 2024

Q2 FY25 Earnings Conference Call

MANAGEMENT:
MR. SUMANT KATHPALIA – MANAGING DIRECTOR AND CEO
MR. ARUN KHURANA – EXECUTIVE DIRECTOR AND DEPUTY CEO
MR. GOBIND JAIN – CHIEF FINANCIAL OFFICER
MR. INDRAJIT YADAV - HEAD, INVESTOR RELATIONS AND STRATEGY
+
MANAGEMENT TEAM MEMBERS

October 24, 2024

Moderator: Ladies and gentlemen, good day, and welcome to IndusInd Bank Limited Q 2 FY 25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Suman t Kathpalia – Managing Director and CEO, IndusInd Bank. Thank you and over to you, sir.

Sumant Kathpalia: Good evening and thank you for joining this call. Let me start with some macro commentary and then go into the bank specific details.

Economic activity remained stable during Q2FY25, as fundamental domestic growth drivers of private consumption and investment demand remain resilient. The momentum was supported by rebounding of government consumption spending and capex after a contraction in Q1. On the policy front, RBI shifted the stance to Neutral while keeping the Repo rate unchanged, signalling that rates may be reduced going forward as confidence increases on the last mile of disinflation towards the 4% target.

Looking ahead, India's growth story remains intact. Prospects of private consumption look bright on the back of improved agricultural outlook and rural demand while sustained buoyancy in services continue to support urban demand. Investment activity would benefit from consumer and business optimism, government's continued thrust on capex and healthy balance sheets of banks and corporates.

Coming to the quarter specific developments, the key highlights for the quarter were:

■ Healthy Retail Deposit Accretion – Retail deposit mobilization picked up pace during the quarter with 4% QoQ and 16% YoY growth. We incrementally added ~Rs.7,700 crores of retail deposits and consequently the share of retail deposits as per LCR improved to 44.1% vs 43.7% QoQ. Overall we maintained healthy deposit growth momentum with 15% YoY and 3% QoQ growth.

■ Cautious Loan Growth Trajectory – Our sequential loan g rowth picked up from 1% to 3% QoQ, the YoY growth was at 13%. We have been watchful of developments in the unsecured products and had slowed down our growth consistently for the last few quarters. Last quarter too microfinance and credit cards growth has b een subdued. We however remain comfortable and continue to grow our secured lending and Corporate franchise. Vehicle business outperformed the industry volumes. Diamond business too has resumed growth in the last two quarters while other retail loans maint ained steady growth.

■ Progress on new initiatives – Traction on our digital banking offering INDIE remains healthy and we now have more than 1.4mn accounts cumulatively opened on the INDIE app. Existing liabilities initiatives of affluent and NRI banking ar e scaling up well growing at 19% and 37% YoY respectively. Our home loan book crossed Rs.3,000 crores and grew by 28% QoQ. Loan book under merchant acquiring business grew to Rs.5,790 crores, up 18% YoY.

■ Asset Quality –We maintained our focus on collection s during the quarter. Our net slippages increased by Rs.222 crores QoQ largely from microfinance business. Our GNPA was at 2.11% and NNPA at 0.64% with PCR of 70%. Our restructured book continues to run down at 0.29% compared to 0.34% QoQ.

■ Strengthening t he balance sheet – During the quarter, we prioritised long term sustainability over short term earnings. We progressed on deposit

mobilisation despite slower retail asset growth contributing partly to NIM dilution. We also increased our contingent provisio n buffer from Rs.1,000 crores to Rs.1,525 crores during the quarter, purely as a prudent measure. Our credit costs for th

e H1 outside the increase in contingent provision was at 131bps, close to our stated expectation for the year at 110 to 130 bps. The RoA thus contracted to 1.00% which we believe is a transitory impact. We should get back to our steady state RoA once we resume growth in microfinance.

Now coming to individual businesses.

1. Vehicle Finance:

■ Our Vehicle Finance loans grew by 10% YoY and 1% Q oQ.

■ Vehicle Finance disbursements for the quarter were at Rs.10,693 crores. Our diversification strategy is helping us in sustaining steady level of disbursements.

■ We have been able to maintain market share in most of the vehicle categories as is evident in the industry volumes vs our portfolio growth.

■ Disbursements / market shares have been stable in our large portfolios of Commercial Vehicle, Construction Equipmen t and Passenger Cars. Our market share was lower in 2 -wheelers as we consolidated our presence and in tractors as we tightened our underwriting.

■ The gross slippages in Vehicle Finance were marginally higher at 0.77% vs 0.75% QoQ due to lower activity level s during monsoon.

■ The restructured book in Vehicle Finance also reduced to Rs.309 crores from Rs.417 crores QoQ with majority of the reduction due to upgrades and recoveries.

■ Looking ahead, vehicle demand is expected to gain momentum in second half, fuel led by festive season boost, resumption of government capex and improved overall economic activity with relatively better weather conditions.

■ The first half of the year is seasonally weak in terms of disbursements and asset quality for vehicle business. Th e second half of a year contributes larger share of disbursements as well as recoveries. Overall we expect to see improvement both in terms of disbursement acceleration and asset quality during the remaining part of the year.

2. Bharat Financial Inclusion Li mited (BFIL) :

■ Outstanding loan book originated via BFIL now stands at Rs. 38,513 crores de-growing 9% QoQ.

■ As mentioned earlier, we remained watchful on microfinance disbursements, prioritizing collection in light of industry -wide challenges. However, our diversification into merchant business via BFIL, saw healthy growth during the quarter.

■ Consequently, the share of non -MFI book improved to 15% vs 13% QoQ.

■ Total liabilities sourced through BFIL now stand at Rs. 2,376 crores with 19mn SA and RD accounts.

■ Microfinance

o We continue to follow our approach of disbursements led by acquiring new customers while being cautious on customer level exposure.

o Our customer level indebtedness reduced 6% QoQ with average loan exposure per customer at Rs.39,685, amongst the lowest in the industry.

o We expect disbursements to improve this quarter but it may still be lower than our distribution potential as we remain watchful on the industry development.

o The microfinance 30 -90 DPD book increased by 2.1 percentage points during the quarter given the sectoral stress. Gross and net slippages in microfinance business were at Rs 398 c rores and Rs 355 crores for the quarter. This implies a net slippage ratio of 0.96% for the quarter.

■ Bharat Super Shop i.e. the merchant acquiring business

o We have now around 700k merchant borrowers under this program.

o Our merchant loan book stood at Rs.5, 790 crores with 18% YoY growth.

■ Bharat Money Stores i.e. the kirana shop liabilities model

o We have around 91,500 Bharat Money Stores providing banking at the doorstep in remote areas growing 22% YoY and 4% QoQ.

Overall, we believe the microfinance busine ss is likely to see support from the rural recovery, industry level cautious stance and external disturbances such as heatwave, floods etc. getting behind. The sector is resilient and has bounced back after disruptions in the past. We do believe in the lon g term potential and our approach of being a conservative and diversified rural play shou

ld deliver recovery ahead of the sector.

3. Corporate Bank:

■ The Corporate loan book grew 16% YoY with growth continues to be led by granular mid and small corporates.

■ Within corporate, large corporates grew by 14% YoY, mid and small corporates each grew by 18% YoY.

■ The healthy growth in mid and small corporates continues with increasing coverage focus on this segment and focus on selected industry segments.

■ Sectors wh ich saw growth during the quarter include Petroleum, Power Generation, Steel etc.

■ The diamond business reported another quarter of sequential growth. The asset quality in diamond clients remains pristine with no NPAs or SMA1 / SMA2 customers.

■ The proportio n of A and above rated customers has been at 79% vs 77% YoY with weighted average rating improving to 2.47 vs. 2.57 YoY.

■ The slippages in Corporate book remain small with gross slippages of Rs.118 crores and net slippages of Rs.56 crores for the quarter.

■ Overall, we continue to progress on building corporate bank franchise focused on selective areas of competitive advantage with granular risk profile.

4. Other Retail Assets:

■ Our other retail assets continue to grow at robust pace with 21% YoY and 6% QoQ gr owth.

■ Our MSME book under business banking is at Rs.17,499 crores growing 14% YoY and 5% QoQ. New acquisitions momentum saw uptick with 35% QoQ growth driven by maturing of branch operating model & new product adoptions. LAP book maintained steady traction with 12% YoY growth.

■ Our Home loan product continues strong growth momentum with loan book now at Rs.3,009 crores growing at 28% QoQ.

■ We recorded healthy credit card spends at Rs.25,066 crores growing 4% QoQ. Share of unsecured card and PL has been mainta ined prudently at 5 - 6% of the loan book.

■ Overall, we would continue to scale up our other retail assets at faster pace with focus on improving diversification of overall loan book while increasing the retail secured mix with home loans and MSME.

5. Now comi ng to Liabilities:
■ In spite of cautious stance on loan growth, we maintained our deposit growth momentum during the quarter with overall deposits growing at 15% YoY and 3% QoQ.
■ Retail deposit mobilization, our key focus area also saw growth picking up this quarter with 16% YoY and 4% QoQ growth. We incrementally added around Rs.7,700cr of retail deposits this quarter compared to average of Rs.4,400cr for previous two quarters.
■ Consequently, the share of retail deposits as per LCR improved to 44.1% vs 43.7% QoQ.
■ Cost of deposit increased by modest 2bps QoQ largely due to higher TD contribution.
■ We continued to scale our initiatives of Affluent and NRI during the quarter. Overall affluent segment deposits at Rs.56,900 crores grew by 19% YoY and AUM at Rs.94,0 00 crores grew by 27% YoY. We had another quarter of robust growth in our NRI segment with NRI deposits growing at 37% YoY and 10% QoQ.
■ During the quarter, we strengthened our Affluent franchise with launch of Pioneer Private, a curated offering for HNIs and UHNIs with over Rs.30mn net relationship value. We also rolled out our Community Banking program 'Indus Care' for Senior Citizens with a few unique propositions. We are seeing healthy early acceptance of these propositions.
■ Our reliance on bulk sources remains low with Certificates of Deposits at 3.4% of overall deposits and borrowings at 8% of total liabilities. Share of Top 20 depositors reduced from 17.4% in Mar -24 to 16.1% in Sep -24.
■ The liquidity position remained healthy during the quarter with average LCR at 118% and average surplus liquidity at Rs.48,500 crores for the quarter.
■ Overall, we are progressing on our journey of strengthening liabilities franchise with strong emphasis on retailization of deposits.

6. Digital Traction:
■ INDIE – the digita l banking app of the Bank continued to scale during the

quarter:
o We have cumulatively opened 1.4mn accounts and completed 100mn transactions till date.
o The platform sees almost 10mn transactions per month with active clients doing more than 40 transactions each month.
o The app is now also open to all IndusInd Bank CASA customers – bringing a better way to Bank to all IndusInd customers.
o More than 125mn personalised nudges happen through the platform each month leading to 2X YoY increase in Average Ticket Siz e.
■ IndusMobile monthly active user base increased to 3.2mn with recurring payments increasing 25% YoY.
■ We have launched a revamped investment platform on mobile banking and internet banking platforms, offering best in class personalised investment services , powerful features such as portfolio analytics, fund comparison, risk profiling, etc. These platforms are scalable, resilient and mar -tech stack enabled.
■ We went live with account aggregator model to offer personal loans leveraging banking data.

■ We have also launched a new app for GIFT city clients during the quarter – one of the first banks in industry to offer this for GIFT city clients

Now coming to the financial performance for the Quarter:
1. Our Net Interest Income at Rs.5,347 crores grew by 5% YoY. The NII was impacted due to reduction in loan yields as a consequence of slowdown in microfinance as well as continued push on deposit mobilisation resulting into lower loan to deposit ratio.

2. Our cost of deposit increased modestly by 2bps QoQ mainly due to shift towards TD, while overall cost of funds declined by 1bps QoQ with benefits on

borrowings.

3. As a result, Net Interest Margin moderated to 4.08% vs 4.25% QoQ.

4. Core client fees excluding trading & other income was at Rs.2,125 crores. We had large Priority Sector Lending certificate fees in base numbers both QoQ and YoY which was absent this quarter.

5. We continue to optimize our operating expenditures. The opex growth further moderated to 14% YoY vs 20% YoY in previous quarte r. The sequential growth too was contained at 1% QoQ even after factoring in annual appraisal actions in Q2. The Cost to Income however inched up due to slower revenue growth.

6. The operating profit for the quarter was at Rs.3,600 crores.

7. On the asset qu ality and the provisioning front:
■ We maintained our steadfast focus on collections during the quarter while being cautious on unsecured loan growth.
■ Our gross slippage ratio was at 0.52% vs 0.49% YoY. The gross slippages by key segments were Vehicle Finance Rs.692 crores, Microfinance Rs.398 crores, Corporate Rs.118 crores and Other Retail Rs.590 crores.
■ The restructured book reduced during the quarter to 0.29% from 0.34% QoQ with bulk of the reduction due to upgrades and recoveries.
■ The Net Security Receipts have reduced to 31bps vs 39bps YoY and 32bps QoQ.
■ Overall, the GNPAs and Net NPAs were at 2.11%and 0.64% respectively. Provision coverage ratio at 70% was stable QoQ.
■ Our SMA1 and SMA2 book collectively was at 33bps.
■ With incremental contingent provisions added this quarter, total loan related provisions are at 2.4% of loans vs 2.2% QoQ or 110% of the GNPAs vs 106% QoQ.
■ Overall credit cost for H1FY25, outside the incremental contingent provisions were at 131bps. We have created incremental conti ngent provisions of Rs.525 crores during the quarter. This is purely prudent measure taken by us to further strengthen our balance sheet amidst the challenging operating environment.

8. Profit after tax for the quarter was at Rs.1,331crores. RoA at 1.00% dec lined sequentially as we prioritized long term sustainability over short term profitability. Profit after tax adjusted for incremental contingent provisions was at Rs.1,725 crores and adjusted RoA was at 1.29%. We expect to return to normalized RoA as reta il growth accelerate.

9. Our Capit

al Adequacy Ratios of CET1 and CRAR were at 15.21% and 16.51% respectively. This includes impact of 78bps on CET1 due to increase in risk weights on microfinance loans from 75% to 125%.

Overall, to summarise the quarterly performance:
1. We maintained our balanced approach of prioritising growth in secured assets whilst being cautious on unsecured microfinance and credit card loans. The secured loans grew by 4% QoQ vs unsecured de -growth of 6% QoQ. We should see retail disbu rsements picking up in H2 with seasonality support.
2. We maintained traction on deposit growth irrespective of the slower asset growth. The retail deposit mobilisation was highest in the last 3 quarters along with only 2bps QoQ increase in Cost of Deposits.
3. Opex growth was well contained at 1% QoQ and 14% YoY against the mid -20s runrate last year.
4. Our asset quality trends have remained range bound in an otherwise turbulent operating environment. H1 credit costs outside the incremental contingent buffer was at 131 bps, close to our stated aspiration of 110 to 130 bps. The increase in buffers is purely a prudent measure given the operating environment and we don’t expect the core credit costs for rest of the year to be materially

outside our stated aspiration of 110 to 130bps.
5. Our profitability metrics were thus affected during the quarter as we pushed deposit growth even though higher yielding assets de -grew along with augmenting the buffers. We believe this is a transitory impact and we should head back to ou r core profitability once we resume growth in microfinance.

With this we can open for questions and answers.
Moderator: Thank you very much. We'll now begin with the question -and-answer session. The first question is from the line of Kunal Shah from Citi. Please go ahead.
Kunal Shah: First, broadly to understand on the MFI part, the rundown seems to be quite stark. If you can highlight in terms of how the disbursement run rate have been in Q1 and Q2, it doesn't seem there is significant write -off out there, but 12% rundown seems quite stark. And if you can even highlight the SMA -0-1-2 pool, particularly for the MFI, otherwise it seems to be controlled with slippages at less than Rs.400 odd crores.
Sumant Kathpalia: Let me first talk about the disbursement s. Our disbursements in Q1 were around Rs.8,500 crores and Q2 were at ~Rs.7,050 crores against our average run rate of around Rs. 12,000 crores to Rs.13,000 crores. As a consequence, our book ran down because the repayments are coming in higher than disbursements . The 30 to 90 DPD is at 4% in the MFI book.
Kunal Shah: So, on Rs. 37,000 crores in a single quarter, what would have been repayments.
Sumant Kathpalia: We had around Rs.9,600 crores of the repayment this quarter .
Kunal Shah: What would be repayment run rate in general on a quarterly basis . The way you highlighted disbursements used to be like Rs.12,000 -13,000 crores.
Sumant Kathpalia: About Rs.9,000-10,000 crores is the general run rate on the repayment.
Kunal Shah: What was the write -off in MFI?

Sumant Kathpalia: We have written off about Rs. 73 crores during this quarter . There wa s no sale to ARC.
Kunal Shah: And this entire contingency buffer , how should we read this is ? Is it towards maybe any particular segment ? It seems stress in the other retail is relatively on the higher side. Is it towards ECL which we have been highlighting? So, how should we read this buffer because I think maybe earlier you have been highlighting that we may create further buffers when profitability is there .
Sumant Kathpalia: No, we don't want to use the contingent buffer. This is a prudent measure which has been created to take care of any eventuality, whether it's ECL or if we see the credit cost rising at any point of time above our expectations . But today I don't think there is any need to use the contingent buffer. We

just created it and set it aside . There is no specific reason for creating in this quarter. Only rationale for creating in this quarter was that we believe that the stress in the operating environment is building up. We saw some increase in the gross flows and we said we might as well increase the contingency buf fer. So, it's only fortification of the balance sheet as of now.
Kunal Shah: And just last data point interest reversal number on slippages ? Which number largely is impacting the margins or yield ?
Indrajit Yadav : Net s lippage s have gone up only by ~Rs.200 crores QoQ. So, it's not very large number that has change d between the previous quarter and this quarter . Margin is predominantly impacted because of the lower microfinance contribution , almost 1% lower in the balance sheet and it earns around 10 %-12% more than the average yield on the total assets. And the LD ratio has come off versus last quarter. So, those are the two primary drivers for margin compression versus the last quarter .
Moderator: Thank you . Next question is from the line of Nitin Aggarwal from Moti lal Oswal. Please go ahead.
Nitin Aggarwal: Couple of questions. One is on the SMA -number that you talked about 30 to 90 DPD of 4% in MFI. So, how has this moved on a monthly basis and any ideas to by when do you expect this forward flow to sort of starting to reverse?
Sumant Kathpalia: We continue to watch the X plus flows and w e have seen that it's improving. And as a consequence, we should see the forward flows also improving . Already in the month of October we are seeing some resolution happening in the X plus bucket. So, we should start seeing over a period of time a reduction in the 30 to 90 DPD . We believe that it should be less than 1% and it will come back to that number ma ybe in Q3 or Q4.
Nitin Aggarwal: And the other question is on the loan growth. Now, if I look at the first half, we have grown around 4%. So, how should we look at this growth because of the cautious stance that we have taken in certain segments? So, for the full year, how should we model loan growth?

Sumant Kathpalia: We continue to be cautiously optimistic about asset growth. We will continue to evaluate situation as we go forward . If we see that the market is improving in the microfinance and we also see trend in our own portfolio, looking at the center meetings and the quality of the book improving, we'll start disbursing at a faster pace. We'll continue to watch that space & decide . In vehicle finance, we have been ahead of the industry volumes, specific ally in the commercial vehicles, construction equipment and car segments , not in the tractors and the two -wheelers. We have been a little conservative on these two segments . But as we have cleaned up our book

on the tractors as well as the two whe elers, we should start seeing growth resuming. Second half of the year is much better in the vehicle finance. We also have to see how the vehicle market is. The market has been slow on the new vehicle segment. And we don't want to increase the share of used vehicles at this point of time , specifically in the commercial vehicle side. So, I believe that we should start seeing disbursement s, which are higher. The normalized disbursement for our vehicle finance business is around Rs.12,000 crores. I think we are already there at Rs. 10,600 crore s last quarter. We should move to Rs.12,000 crore s this quarter because of the festive season, we expect a 10% -11% jump this quarter. And we should see the book growing as a consequence of that. On the unsecured side, we are comfortable with the PL side of the book. On credit cards, we will cautiously start increasing our volumes and remain watchful . On the corporate side, we are comfortable with the 16 % to 18% growth and we should continue to get that growth. So, I believe the biggest part is microfinance , i

f it comes back to what it is, I think we should be able to get back to our retail growth. This year, obviously, I don't think we should be able to do 18% to 22%. Given what has happened in H1 . We have to watch quarter to quarter and how the growth is moving . I can assure you that asset growth is a priority for us, and growth will improve because our LDR at 86% is not helping our NIM s as well . We need to move to 89 % to 90% with asset growth improving across businesses .

Nitin Aggarwal: And lastly, on the contingent provisioning that we have made this quarter, so how do we plan to move like going further? Will we continue with this potential provisioning or is it a one -off that you have taken in this quarter?

Sumant Kathpalia: You should take this as a one -off.

Moderator: Thank you. Next question is from the line of Jai Mundhra from ICICI Securities . Please go ahead.

Jai Mund hra: Sir, on your contingent provisions of Rs. 525 crores , if I look at the SMA -30 DPD of MFI at 4% , it is roughly around Rs. 1,300 crores. While the slippages in MFI have been more or less , less than Rs. 400 crores, but the rise in SMA -is very prominent in this quarter. I wanted to check, is there any other segments where you have seen significant rise in the SMA?

Sumant Kathpalia: Only other segment which is a little bit worrisome is credit cards . While the delinquencies are showing a higher percentage , the flow s have been stabilize d. So, we are seeing a stable flow which is a little elevated than normalized levels and as a result higher delinquencies percentage . We are waiting for the delinquencies to start declining in cards . Otherwise on the MFI also, we have given you that our gross flows are around 3.5% to 4% but the credit cost has been contained as 3% to 3.5% and that's where we continue to believe that the credit cost should be maintained. So, while the flows are elevated in microfinance , we are also collect ing money from these customers. W e have put a lot of resources on the field and our cost has increased on the microfinance, but we are focused on the collection and all our energy & resources are put on the center meetings and making sure that the collection improves and the flow is reduce d.

Jai Mund hra: What I was trying to understand is this, is there any proportion that this contingent provisions of Rs.525 crores is certain percentage of some segmen t or let us say, increased value in the SMA -book, in the sense that this is your assessment that and looking at the forward flow rate, how much of the 4% 30 DPD could likely slip and hence you would have provided against that ?

Sumant Kathpalia: The conti ngent provision is a prudent measure. We don't intend to use it unless and until it's very necessary. We have always said that we have kept the contingent provision as the fortification of the balance sheet. Of course, if you ask me a question, most out of the Rs. 525crores or at least Rs.250crores is kept for the microfinance

business . So if there is any eventuality we may use it . But as of today , I don't see that
we will have such flows that we may have to use that.
Jai Mund hra: And secondly, sir, on your fee income . So, over the last few quarters, while you mentioned in your opening remarks that to the extent slow growth was because of PSLC, but even otherwise, the fee growth has weakened quite a bit. So, how should one look at the fee income, which has be en much lower than the loan growth? How should one look at this?
Sumant Kanthpalia: 2-3 things happened there. Like you rightly pointed out, i n quarter one, there was PSLC fee of around Rs.28 2crores , which is part of the general banking fees. So, that's not there. Our treasury fee is a bit lower right now. Our treasury fees used to be a good component of our fees, which has gone down. The third fee which has gone down is the loan processing fee because o

f low disbursement s. You should start seeing processin g fees coming up as the disbursements improve . And the fourth fee which has actually gone down is the distribution fee including credit card s. Credit card as a business has suffered on fees because of some regulatory changes which have come in , including over limit charges or late fee or penal charges. I think all of that has impacted the fee to about Rs.100-150 crores a year.
Jai Mund hra: Lastly, if you can help with the 30 -90 DPD number as of June quarter and if I am right, we have almost zero net NPA in MFI, that is the provisioning policy or if you can help us know the net NPA or the provisioning policy in the MFI book.
Indrajit Yadav : There is no zero net NPA policy as such . As you know, there are RBI guidelines basis the ageing of the portfolio and over a period of time, we provide it fully and write it off. We don't disclose segment wise net NPAs. We have given you the segment wise GNPA in the disclosure .
Jai Mund hra: And what was the 30 -90 DPD as of last quarter in M FI?
Indrajit Yadav : It was around 2% last quarter.
Moderator: Thank you. The next question is from the line of Abhishek Murarka from HSBC. Please, go ahead.
Abhishek Murarka: Just discussing MFI a little further . One is, what is your provisioning and write -off policy? Is it 180 day s, or 240 day s? When do you write it off and how do you provision?
Sumant Kathpalia: If you look at our PCR, it's at 70%. We provide 70% at the time of flow to GNPA and our write -off policy is 180 -210 days basis on the product which we do.
Abhishek Murarka : The other thing is what is the recovery that you see in MF I?
Sumant Kathpalia: Most MFI business es have a recovery of around 7% to 15 % depending on the DPD stage . So, early stages will have about 15 % to 20% One -year older cases will have about 5 % to 7% .

Abhishek Murarka: No, I meant , what is the recovery path . Not the number but from here how do you see let's say collection efficiency improving . Do you think it will happen by December? Do you think it will be February, March before disbursements pick up? So, what is the path of recovery from here let's say for the next two quarters?
Sumant Kathpalia: In my opinion , this quarter is very critical . We have to wait and watch and see how the disbursements pick -up this quarter. This is a festival season and these two quarters have always been very good quarters for MFI historically. Now given the stress which has appeared in this segment, we have to wait and watch and see how the MFI segment plays out . Also given the fact that few NBFCs have been restricted from doing new business or are not adding new customers. So, we have to wait and watch. There is stress which are emerging in some parts of the country, specifically Bihar, Maharashtra, Odisha , parts of North. So, you have to continuously wait and watch on this. Like I said earlier, we are cautiously optimistic on the microfinance. We like this business. We believe that this business will turn around once the disbursement s growth resumes . And because we don't give d isbursements to clients who are delinquent. In my opinion, if everything goes well, within two months we should start seeing the flow rates coming down in this business.
Abhishek Murarka: Just from a credit cost perspective, you said it is around 3%-3.5% in MFI right now. But if you see your 30 to 90 that has gone up by 2% and a lot of that is likely to probably flow forward into 90 plus next quarter as well. So, let's say 3Q and even part of 4Q, do you think credit cost in MFI would be higher? The rest of the sector is actually seeing much more increase in credit cost. So, just wanted to get a sense.
Sumant Kathpalia: We have put in our resources in the 30 to 90 bucket and trying to stabilize the flows right now. And 30 to 60 and 60 to 90 is a major focus a rea for us, where

we are highly
engaging with customers and getting the flow moved back. In my opinion, yes, historically we have seen 60% to 70% flows out of this into the NPAs . We think that it should reduce to about 40 % to 50 % and if we can roll back 10 % to 30 % of the customers, then we would have done a better job of this. So, we are optimistic that we should be able to manage the way we have been able to do it up till now, but I think we have to see how it plays out in the market right now.

Abhishek Mu rarka: Suman t, just if you look at the way credit cost may trend for MFI, and it's very highly likely that it would be higher than the 3% you were factoring in earlier, then for your overall 1.1 % to 1.3 % guidance, maybe for the next couple of quarters, do you see us breaching that because it will only come back within the guidance once this MFI thing normalizes ?

Sumant Kathpalia: But we also believe that the credit cost in the vehicle business and in the consumer businesses could give me a relief for the MFI cost to be absorbed.

Abhishek Murarka: And second thing, Sumant is on margins. Now this quarter of course 4.08 and maybe one more quarter or two more quarters of stress in MFI plus the LDR staying low. So, do you think now at least for the nex t again six months, we are likely to see a lower range of margins, maybe 4 to 4.1 and then maybe go back to 4.2, 4.3 like we had earlier guided next year. So, is that how to think about the trajectory in margin?

Sumant Kathpalia: See, you're asking a very specific question . It all depends on whether the high yielding book of the bank takes off. If the high yielding book of the bank takes off, the margins will come. If you are dependent on a corporate book or a mortgage book to grow your assets, the margins will not come. So, in my opinion, our high yielding books which could have performed better is MFI book and the unsecured part of the book which

is also not grown. Like I said in my commentary, we had a negative 6% growth in the unsecured part of the book. If we can moderate that to even 1 or 2%, I think the margin should stabilize at what we wanted to stabilize . If it does not grow, then the margin will be where it is. In that case we can also do another thing that we continuously grew our deposits to make our LDR lower and we may inch that up a bit . If we feel that our asset growth is not coming at the pace , we may even slow down our deposit . While we may grow retail, but we may slow down the non-retail deposit growth and get the LD R up to 87 % to 88 % to manage the NIMs at this point. This quarter, o n one side the high yielding asset book went down, on the other side we continuously grew our liabilities, and that growth actually had the L DR impacted in a big time for us .

Moderator: Thank you. Next question is from the l ine of Suresh Ganapathy from Macquarie Group . Please go ahead.

Suresh Ganapathy: Just qualitative assessment because a lot has gone wrong the last couple of quarters. I mean, you always argue that you have lower exposure to Bihar, related to everybody else and some of the problematic states. And rightly, you always had a much lower ticket size in the MFI segment. Personal loans also not much exposure, but still 4% slippage ratio in the overall retail segmen t. Wouldn't you have anticipated this or what is the behavior of the customers? Why have banks got it wrong? I mean, this industry has got it wrong. But even you have had a problem, right? Could you have not got this a little bit better?

Sumant Kathpalia: There are two specific questions, and let me answer the microfinance segment separately and the personal loans or the credit card question separately. On the microfinance segment, if you look at us, we have been able to exit. We did not have a West Bengal blowout the way other players had. We did not have an Assam blowout. Currently in the Bihar stress also,

we're not so much there. We have actually
reduced our exposure in Bihar . So, we have always said that in microfinance segment, 3.5% to 4% of gross flows is given and you'll have a 2.5 % to 3.25% of credit cost. It cannot run below that, and I continue to maintain it. There may be some quarters where you may have to take higher provisions but in some quarters you'll be able to manage th at. I continuously believe that our microfinance book remains strong. Yes , the whole industry is going through a trouble d phase because the funding cycle has stopped right now. And I think once the funding cycle comes in, you will see that the quality of the book will come back. Also, please understand, when you look at microfinance, look at the number of clients who are exc lusive to you and which are not having more than one lender. Clients who are exclusive to BFIL are 44% of the book. Clients who have only one other lender than BFIL is 27% of book and client s who have 2 or 3 other lenders are another 2 1% of book . Only 7% of my book is where 4 other lenders or more are there .

Suresh Ganapathy: The slippage is 5% . You have had Rs.400 crores gross and on an annualized basi s, that's a round 5% number .
Sumant Kathpalia: I am just telling you , that is the market right now . You look at other microfinance institutions the slippage s are higher right now . The market is like that because the funding has slowed down , there are no benefits which have been given to these guys. There has been stress in the rural economy which has co me in. I think it will stabilize and in my opinion , you will see stability much faster than what we are anticipating. I am very bullish on the microfinance segment, and I think you will see the stability coming in very soon. Maybe Q3 or Q4 , you will see a different microfinance segment and we will be talking a different story on microfinance .

Suresh Ganapathy: What about other segments? Because if I closely observe your construction equipment NPAs have gone up, card NPAs have gone up, three -wheeler NPAs hav e gone up. Even all other segments are contributing to stress, right?
Sumant Kathpalia: So, let's go step by step. If you look at the vehicle finance book, on the vehicle finance book, there are two areas. The construction equipment NPA is made up of two customers. Those two customers are expected to get reverse this quarter . That is the reason GNPAs inched up this quarter. W e continue to believe we have a pristine book in construction equipment, and we shoul d be able to manage that, and we should see the recovery this quarter on those accounts . We are seeing stress on the tractors and the two -wheeler side . Where we slowed down our business and we saw the stress much earlier, and our book has been running down on those segment s. On the credit card side , I have always said that the gross NPAs flows are around 7 % to 8% with the credit cost of 2.8 % to 3%. It has remained at that level on the business, and I think the stress has not increasing but there is also not an improvement in the flow rate on the credit card side. There is no increase in flows , flow rates continue to remain elevated and has stabilized at an elevated level right no w.
Suresh Ganapathy: This contingent provision has nothing got to do with an unfunded exposure to a telecom asset right? I mean or do you think it could also be earmarked to that ?
Sumant Kathpalia: No, not specific to any account . We have created the contingent provision so tha t we can take care of any unforeseen probability which may come in our book or take care of the ECL as and when it comes.
Suresh Ganapathy: The issue is you could have done that previous quarter or quarter earlier because typically, contingent provisions a re made in a quarter where you believe you have some excess profitability to provide for. Would it make sense to crash the financials and

make a contingent provision because that's what has happened in a very tough quarter already you have gone ahead and m ade contingent provisions? So, maybe the timing is something which is curious to all of us. That's the only thing.
Sumant Kathpalia: That’s a nybody's guess . We would like to deliver a better Quarter 3 and a quarter 4 . I know this quarter was bad and we may get beaten down but at least we have fortified the balance sheet, and we can move ahead. I think the Bank should be looked at from a long -term perspective . Yes, this year has been tough year on the loan growth side, but we will get back and in my opini on soon we will be talking a very different language. Yes, I admit that I made a contingent provision in a tough time, but I thought I would like to not delay the fortification of balance sheet .
Moderator: Thank you. Next question is from the line of Rakesh Kumar from B &K Securities. Please go ahead.
Rakesh Kumar: The first question is with respect to the MFI loan book itself. So, what we see is that whenever the book is getting run down, the average loan per borrower, that number is coming. So, what k ind of borrower that we are running down? So, also looking at the active Bharat number and the merchant loan client number , so quarter -on-quarter that number also has changed. So, if you could just know that you know what kind of customer we are not referr ing at this point in time in MFI technology ?
Sumant Kathpalia: So, we look at multiple areas. One is certain districts in certain states which we are not preferring because of delinquency and leverage levels . Number two, if a center has a delinquency beyon d a certain threshold level , we don't consider the center at all. And that is why the disbursements are lower . Third, if we feel that there is an over

leveraging on the household income and the household income has changed very frequently by the customer , we don't go ahead . Fourth, if we think that the borrower has more than three lenders , we don't do the business. And fifth , if a customer has

been more than 60 DPD with any one of the lenders we don't do the business.
Rakesh Kumar: And secondly sir when we are running down you know kind of a higher yielding book then what is the reason that there is a rise in the credit risk weight.
Sumant Kathpalia: The regulator has increased the risk weight on the full book of microfinance from 75 % to 125 %. So, the risk weights on the microfinance business has increased. That's an impact of 78 basis points on CET1 or CRAR .
Rakesh Kumar: And lastly, sir, just on this vehicle loan book, where the disbursement s have been coming down for the last three quarters. And like around 70% of book CV plus PV , is kind of for the system also , if you look at the data, it's not good and t here is a very low growth. I understand vehicle book is around 24% of book for us. So, how do we foresee the growth coming from this , one-fourth of the book ?
Sumant Kathpalia: Please understand, the i ndustry growth has slowed down. We believe that the growth should be coming back on this book. So, if you look at OEMs, some of the OEMs are showing a 2% to 3% growth. The growth in the industry sales has gone down where the data shows that too . In my opinion, for us there are two or three parts to it. One, the areas where we operate in tier 2, tier 3 or tier 4 market s, there is a demand which is comin g back. We should see good numbers , specifically , in the second half, where demand is seasonally higher . Number two, the used vehicle, which is less than two years old for us , we are focusing on that. Third, a diversification which we have built in our vehicle book including the car s and the used car loan sid e. Also now we are growing the tractors and the two wheelers side after we have corrected our underwrit ing and credit standards on these categories . So, this quarter itsel

f we
should see the growth coming back in this business es.
Rakesh Kumar: 10% is the growth that we have done Y oY in this segment and how can we build it?
Sumant Kathpalia: Let us see the Quarter 3 , and I will be able to comment post the Quarter 3 , because festival season is an important season in this segment .
Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. Over to Sumant Kathpalia for closing comments.
Sumant Kathpalia: Thank you for participating in the call. I know this has been a tough quarter and some of you not may be very happy with the resu lts. I can assure you that the B ank is well on track and whatever we have done is in the best interest of the long term for the organization . We should be bac k soon and where we belong and any questions which you have me, and Indrajit will be able to answer you at your convenience. Thank you so much .
Moderator: Thank you very much . On behalf of Indus Ind Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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Call: Jan 2025

Q3 FY25 Earnings Conference Call

MANAGEMENT:
MR. SUMANT KATHPALIA – MANAGING DIRECTOR AND CEO
MR. ARUN KHURANA – EXECUTIVE DIRECTOR , DEPUTY CEO AND CFO
MR. INDRAJIT YADAV - HEAD, INVESTOR RELATIONS AND STRATEGY
+
MANAGEMENT TEAM MEMBERS

January 31, 2025

Moderator: Ladies and gentlemen, good day, and welcome to IndusInd Bank Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sumant Kathpalia, Managing Director and CEO – IndusInd Bank . Thank you, and over to you, sir.

Sumant Kathpalia: Good evening and thank you for joining this call. Let me start with some macro commentary and then go into the bank specific details.
Recent trends in high -frequency indicators suggest stability in economic activity after the slowdown in Q2. A recovery in rural demand and a festive season boost to urban demand is aiding to private consumption. However, a contraction in public capex in H1 and a sluggish recovery thereafter have weighed on investment growth. The Union budget due to be presented tomorrow may address growth slowdown this year by retaining focus on investments on the spending side and continuing tax policy reforms to improve compliance while signalling commitment towards fiscal discipline. Any potential measures supporting rural as well as overall economic activity should aid our microfinance and vehicle finance businesses.

Coming to the quarter specific developments, the key highlights for the quarter were:
■ Robust Retail Deposit Growth – We maintained momentum in retail deposit mobilisation during the quarter with 4% QoQ and 14% YoY growth. The share of retail deposits as per LCR improved to 46.1% vs. 44.1% QoQ. We, however, consciously let go some of the non LCR accretive wholesale dep osits during the quarter and as a result, overall deposits declining 1% QoQ.
■ Calibrated Loan Growth – We continued to grow our loan book in calibrated manner being watchful of the developments across segments. Overall loan growth was at 12% YoY and 3% QoQ . Our vehicle and microfinance businesses saw robust pick up in disbursements sequentially. Momentum

continued in other retail loans and corporate book growing 19% and 16% respectively.
■ Progress on new initiatives – Our liabilities initiatives of affluent and NRI banking maintained healthy growth rates of 20% and 39% YoY respectively. Loan book under merchant business at Rs.6,319 crores grew 32% YoY while home loan book at Rs.3,144 crores grew 128% YoY. Our digital banking offering INDIE, is now opened up to all customers of the Bank as the upgraded digital application and we are seeing positive trend amongst the early adopters.
■ Asset Quality – Our gross NPA & net NPA were at 2.25% and 0.68% respectively. Gross slippages were at Rs.2,200 crores and net slip pages were at Rs.1,860 crores. The slippages were higher in microfinance segment given the industry situation. Asset quality trends in rest of the businesses remained broadly stable. The restructured book, SMA 1&2 loans and SR book saw improvement YoY and QoQ.
■ Ensured Stability in Financial Metrics – Our RoA was stable at 1.03% vs 1.00% QoQ. The lower NIMs due to rundown in microfinance book was offset by strong other income and cost control. Our capital adequacy ratios remain healthy with CET1 at 15.18% an d CRAR at 16.46%.

Now coming to individual businesses.
1. Vehicle Finance:
■ Vehicle finance business saw improvement both in terms of disbursements and asset quality during the quarter.
■ Vehicle disbursements for Q3 were at Rs.13,388 crores growing 25% QoQ and almost at similar levels YoY. This quarter thus reversed the trend of

YoY
and QoQ decline in disbursements in the last several quarters.
■ We saw YoY growth in disbursements for MHCV, construction equipments and two wheelers. Passenger Vehicles and SCV saw YoY decline in disbursements. Tractors and LCV too saw robust improvement sequentially, albeit it’s still lower YoY.
■ The sequential vehicle loan growth thus accelerated to 3% from 1% last quarter. The YoY growth was at 9% broadly reflecting the underl ying industry performance.
■ The gross slippages in Vehicle Finance were stable at 0.74% vs 0.73% YoY and 0.77% QoQ. The Commercial Vehicles, Passenger Vehicles and Construction Equipments saw YoY and QoQ improvement in slippages whereas Tractors and 2 -wheel ers saw comparatively higher slippages.
■ The restructured book in Vehicle Finance continues to reduce at Rs.231 crores vs Rs.309 crores QoQ with majority of the reduction coming from upgrades & recoveries.
■ Overall, the vehicle industry should see recovery in volumes aided by government spends and possibly lower interest rate environment. With improved diversification across product categories, we remain well positioned to benefit once the industry sees recovery.

2. Bharat Financial Inclusion Limited (BFIL) :
■ Outstanding loan book originated via BFIL now stands at Rs.38,883 crores growing by 1% QoQ and down 4% YoY.
■ Microfinance
o Microfinance segment witnessed sequential improvement in disbursements driven by pent -up demand as well as improving eligibility of c entres as well as customers.
o The disbursements of Rs.9,200 crores were largely in line with the repayments and thus arresting sharp drop in the loan book witnessed since March -24.
o We remain cautious on the growth with disbursements well below our historic al runrates as well as customer eligibility.
Geographically, amongst the key states, portfolio grew sequentially in Maharashtra and Odisha whereas degrew in Karnataka and Uttar

Pradesh.
o The 30 -90 DPD book was stable at 4.0% vs 4.1% QoQ.
o We have provided a few additional disclosures on microfinance covering disbursement as well as asset quality indicators. The disbursements are concentrated towards vintage customers and centers. The incremental stress in microfinance seems to be peaking out as seen in redu cing forward flows from 0 -DPD customers. We can discuss these further in Q&A.

■ Bharat Super Shop i.e. the merchant acquiring business
o We have now around 660k merchant borrowers under this program.

o Our merchant loan book at Rs.6,319 crores grew by 32% YoY & 9% QoQ.
■ The share of non -MFI book improved to 16% vs 12% YoY.
■ Total liabilities sourced through BFIL now stand at Rs.2,610 crores with 19mn SA and RD accounts.
■ Gross slippages from BFIL increased to Rs.695 crores during the quart er.
■ We remain committed to the business with investment on technology and analytics as well as human resources adding around 10,000 more employees during last one year in BFIL.

Overall, while incremental stress formation is showing early signs of stabili ty, we continue to be cautious on the microfinance segment. We are also watchful of implications from the new MFIN guidelines once they get implemented. Nevertheless, we continue to believe in our approach of addressing focusing on 1) funding requirements of vintage customers and centres, 2) being conservative on overall customer industry indebtedness, 3) investing in collection infrastructure and 4) continued diversification of the loan book.
3. Corporate Bank:
■ The Corporate loan book growth was healthy at 16% YoY and 2% QoQ.
■ Within corporate, large corporates grew by 14% YoY, mid and small corporate grew by 18% YoY each.
■ Sectors which saw growth during the quarter include Petrochemical, Food Processing & NBFC et c.
■ Our diamond business continues to be robust on asset quality while g

rowth
is subdued due to weak industry demand.
■ The proportion of A and above rated customers has been at 79% vs 77% YoY with weighted average rating improving to 2.47 vs. 2.54 YoY.
■ Gros s slippages in corporate book were at Rs.281crores, mainly contributed by one restructured real estate account, which passed the DCCO deadline. The 9MFY25 annualized slippages remain low and stable at 0.39% vs 0.57% YoY.
■ Our SMA1 and SMA2 book collectivel y stands at 20bps.
■ Looking ahead, we continue to focus on building granular and diversified corporate bank franchise leveraging on selective areas of competitive advantage.

4. Other Retail Assets:
■ Our other retail assets maintained robust growth momentum with 19% YoY and 4% QoQ growth.
■ MSME book under business banking is at Rs.17,769 crores grew by 12% YoY. New acquisitions momentum saw uptick with 10% QoQ growth driven by maturing of branch operati ng model & new product adoptions. ~80% of New to Bank customers are from granular less than Rs.2crore segment catered via our fully enabled digital lending platform specifically designed for MSME customers.
■ LAP book maintained steady traction with 14% YoY and 5% QoQ growth.
■ We continue to scale our home loan book at healthy pace with outstanding now at Rs.3,144crores growing by 128% YoY.

■ Credit card spends at Rs.28,135 crores growing 12% QoQ. Share of unsecured credit cards and PL has been maintained prude ntly at 5 -6% of the loan book.

■ Overall, we would continue to scale up our other retail assets at faster pace with focus on improving diversification of overall loan book while increasing the retail secured mix with home loans and MSME.

5. Now coming to Liabilities:

■ The deposit growth for the Bank was at 11% YoY. Sequentially, however, deposits de -grew by 1% as we let go around 3% of deposits from financials and other non - LCR beneficial sources.

■ We maintained healthy growth momentum in retail deposits a s per LCR of 4% QoQ and 14% YoY. As a result, the share of retail deposits as per LCR reached 46.1% vs. 44.1% QoQ.

■ Our CASA ratio was lower QoQ due to outflow of some short term flows such as dividend mandates. Savings Account deposits grew 2% QoQ.

■ The inc rease in cost of deposit remain contained at 3bps increase QoQ, mainly driven by change in mix.

■ Our initiatives of Affluent and NRI banking are showing robust traction amidst the challenging deposit environment. Affluent segment deposits at Rs.60,300 crore s grew by 20% YoY and 6% QoQ and AUM at Rs.99,000 crores grew by 28% YoY.

■ Our NRI segment deposits at Rs.58,600 crores grew by 39% YoY and 7% QoQ. Our market share in Non Resident segment stands at 3.9% as per last available data vs 3.3% YoY.

■ Our reliance on bulk sources remains low with Certificates of Deposits at 4.2% of overall deposits and borrowings at 9% of total liabilities. Share of Top 20 depositors further reduced to 15.4% in Dec -24 vs 16.1% in Sep -24 and 17.4% in Mar -24.

■ The liquidity position remained healthy during the quarter with average LCR at 118% and average surplus liquidity at Rs.40,800 crores for the quarter.

■ Overall, we have worked on optimizing the deposit mix while continue to progress on
on our journey of strengthening liabilities franchise with retailization of deposits.

6. Digital Traction:

■ During the quarter, direct digital model continued to scale with:

o Over 70,000+ clients are originated digitally through do -it-yourself model every month across savings, cards, personal loans.

o Over 80,000 fixed deposits by volume and more than Rs.2000crores by value are originated digitally via platforms each month

■ At the same time, we are imbibing digital across customer points and nearly all of reta il business across products such as cards, personal loans, savings, term deposits, investments are di

gital now.

■ INDIE continued to scale as the app was opened up to all customers of the Bank. As the upgraded digital application for all, we have seen extrem ely positive trend on early adopters. The first set of 1.5 lac clients who have migrated have shown 20% deepening within a month of adoption.

■ The Bank has also launched INDIE for Business – a one of its kind industry first solution to bring “better busines s banking” to all MSME clients in the country. We have seen 10,000+ users register to the app within a month of launch.

Now coming to the financial performance for the Quarter:
1. Our Net Interest Income was at Rs.5,228 crores.

2. The yield on advances was impacted due to lower QoQ average balances for microfinance and EBLR repricing. The cost of funds was sequentially higher due to increase in cost of deposits and higher borrowings QoQ.

3. As a result, Net Interest Margin was at 3.93 % vs 4.08% QoQ.

4. Non -Interest Income at Rs.2,355 crores grew by 8% QoQ. The core fee income was at Rs.2,123 crores. The fee income was driven by healthy sequential pick up in vehicle as well as microfinance disbursements.

5. We continue to optimize our opera ting expenditures. The YoY growth in opex is now moderated to single digit at 9% vs 14% in previous quarter. The sequential growth too remains contained at 1% QoQ.

6. The operating profit for the quarter was at Rs.3,601 crores stable QoQ.

7. On the asset quality and the provisioning front:
- Our gross slippage ratio was at 0.62% vs 0.56% YoY. The gross slippages by key segments were Vehicle Finance Rs.671 crores, BFIL Rs.695 crores, Corporate Rs.281 crores and Other Retail Rs.553 crores.
- The restructured boo k reduced during the quarter to 0.18% from 0.29% QoQ.
- The Net Security Receipts have reduced to 29bps vs 37bps YoY and 31bps QoQ.
- Overall, the GNPAs and Net NPAs were at 2.25%and 0.68% respectively. Provision coverage ratio at 70% was stable QoQ.
- Our SMA1 and SMA2 book collectively was at 20bps vs 33bps QoQ.
- Our contingent provisions stand at Rs.1,325 crores vs. 1525 crores QoQ. We wrote off Rs 344 crores of microfinance vs. Rs 73 crores QoQ. We also had a Corporate account slippage from restructured book . The contingent provisions were utilised largely towards them.
- Total loan related provisions are at 2.4% of loans or 105% of the GNPAs.

8. Profit after tax for the quarter was at Rs.1,402 crores grew by 5% QoQ. Return ratios saw marginal improvement sequen tially with RoA and RoE at 1.03% and 8.45% respectively

9. We continue to utilise our capital efficiently. Our Capital Adequacy Ratios remain healthy with CET1 at 15.18% and overall CRAR ay 16.46%.

Overall, if I may summarise:
1. We remain cautious on the microfinance segment. While the slippages may get elevated for another quarter, our customer base is showing early signs of stability which should start reflecting from Q1 onwards.
2. Growth has resumed in our core domains and retail loan share should start inching up again. The retail deposit momentum remains apace to fund the loan growth.
3. Operating expenses are now well contained and retail loan growth should start reflecting in operating leverage playing out.

4. The pre provision operating profit margins remains healthy to absorb incremental stress in microfinance. Asset quality outside microfinance has been robust including in vehicle finance segment.
5. The capital adequacy levels are healthy even after considering current microfinance stress, evolving regu latory requirements and the Bank’s growth ambitions.

With this we can open for Q&A.

Moderator: The first question is from the line of Kunal Shah from Citigroup.
Kunal Shah: I just missed out in terms of the utilization of the contingency buffer was that

towards
the corporate account or it was towards the MFI?
Sumant Kathpalia: So Rs.160 crores was towards the MFI and Rs.40 crores was towards the corporate account.
Kunal Shah: Going forward, as you mentioned, slippages might remain elevated in 4Q as well. There are various cuts which have been given, there are additional disclosures on the MFI front. But looking at it in terms of what could be the overall stress, which we are seeing because on the x bucket, we have already seen 99.5% collection efficiency now. So we would be having the good handle in terms of what is the level of stress. So how much could be the slippage? What could be the provisioning against it? And would there be further utilization of contingency buffer in 4Q?
Sumant Kathpalia: So we can't guide you on the contingency buffer utilization, but the 30 to 90 DPD , which is a good indicator of the stress and slippages, is still elevated at 4% because October and November were challenging months for micro finance.
Kunal Shah: And that provisioni ng will still continue?
Sumant Kathpalia: If you look at the resolutio n rates, which happen in the 30+ buckets, it's a bit low in the micro finance segment.
Kunal Shah: Okay. Got it. And secondly, when we look at it in terms of the overall margin front, so given that there would have been interest reversals on higher level of slippages. But otherwise, given the initiatives which we have taken, and given in the rate cut environment, we should be more beneficial given the profile of our portfolio? Where do we see margins eventually settling now given that interest reversals would be more or less behind us?
Sumant Kathpalia: It is difficult to give a guidance on the margins as of now. I would like to see quarter 4 playing out and micro finance segment stabilizi ng. And then we have to see what the policy rate announcements are from the RBI or the rate cuts which come in. And then we can share our expectations on the margin. I'd like to wait for the next quar ter before we give any guidance on this as of now.
Kunal Shah: Okay. And just lastly, you mentioned you will be watchful of the MFIN 2.0 guardrails. When we look at our portfolio, almost like 1 6-odd percent is something wherein it's BFIL plus 2. So how do we see maybe are the collection efficiencies in this pool relatively worse off? And if it doesn't get refinanced, do we see the pain continuing even in 1Q of next year? You have clearly guided for 4Q, but is that the risk of spillover in 1Q as well?
Sumant Kathpalia: So we've also given a graph, if you go to th e second page of additional micro loan disclosures . Collection efficiency on 0 DPD bucket are now at higher percentage.

Flows were coming when it was close to 98.3% or 98.4% and the flow rates were about 1.6% to 1.7%.
These rates have now improved with collection efficiency at 99.5% in the 0 DPD bucket. So the forward flows have reduced , which is what we were observing, and it has happened in December and so is the case in January.
We continue to watch this space. That's why I said that we are cautious about the micro finance segment. And I think we will continue to wait and watch before we press the accelerato r. You know that we used to do disbursements of Rs.14,000 - 15,000 crores a quarter, but now down to INR9,000 crores. And I think just pressing the accelerator on disbursement may not be the right approach. We want to wait and watch and see how this plays out, see the balancing of our book.
We want to press the accelerator when 30 to 90 becomes within a range amount of 1% to 1.2%. That' s our objective. And we are putting all our processes, collection efficiencies in place to make sure that, that happens first.
Moderator: Next question is from the line of Rikin Shah from IIFL.
Rikin Shah: Just a couple of questions. The first one is on yi elds. So wh

ile the interest reversals
due to elevated slippages are understandable. But if you look at the corporate loan yields, they have been declining in the last 4 quarters sequentially. So what is the reason there? Because we have been growing the sm all business loans faster than the large corporate.
So that's question number one. And second question is on the asset quality. So even

barring MFI, the NPAs in all other segments have inched up sequentially. And even the slippages in CFD is relatively el evated. So what's the outlook on the slippages in the coming quarters? Those are my two questions.

Sumant Kathpalia: So let me answer the first question on the corporate yields. If you look at the corporate yield, there are two reasons for it. One is, we manage our risk weights well. And that is important to us and also to make sure that the excess liquidity rather than going into the reverse repo , managed to move towards the good quality accounts with AA and AAA -rating. And tha t is where we are willing to give away yield. T he weighted average risk weights have come down to 2.47 as explained earlier in the corporate book from 2.5 4 YoY . So we've actually managed our risk weights well. The second reason for that is the EBLR reprici ng has happened on the loan book . So a lot of these corporate bank loans are floating rate loans. They're not fixed rate loans. And I think the EBLR repricing where it's linked to external benchmark rates have got repriced.

The second question was on how do you see the flows and I think it's too early to comment. Like I told that our vehicle finance has gone through a turbulent period. And in good times, it gives you 110 to 120 basis points of credit cost and in bad time, gives you 130 to 140 basis points of credit costs. So, while the gross NPA flows may look elevated, but the recovery in the vehicle finance book is relatively higher . And that is where I bel ieve that the vehicle finance is a good book, which is manage d in range bound credit cost.

On the other retail loans , which has seen the flow s is mainly because of the credit card business. and the credit card flows are at a higher level right now. You kn ow the industry is going through a stress in the unsecured business. The good part is, they are now moderating. We've seen stability of forward flows now. And I think in the next 2 quarters, you should start seeing a reduction in the flows from the other r etail book also.

On micro finance, I will say that we have to continue to watch this space. The explanation which we gave to Kunal stands here also, I continue to believe that the forward flows are now looking better. But I think we still have to be conse rvativ e and cautious about this space .

Rikin Shah: Got it, sir. And I have 1 more question, if I may squeeze in. It's on deposits. So is there any further debulking of deposits likely in the coming quarters? Or now the overall deposit growth should kind of move in line with the retail deposit growth?

Sumant Kathpalia: So I believe that we will continue to reduce our bulk deposits. I've said that before. And we have shared our expectations to the market of having 48% to 5 0% share of retail LCR deposits and Loan Deposit Ratio of around 88% to 90%. So that's the only guidance we can give you and we will continue to do what is necessary to granularize the liability.

Moderator: Next question is from the line of Chintan Joshi from Autonomous.

Chintan Joshi: Just follow up on that NIM point from earlier. I appreciate you don't want to guide us on what might happen in the near term. But how should I think about kind of NIM evolution, say, 12, 18 months down the line once we are past this MFI stress period. How big i s MFI now going to be part of the loan book?

And also what kind of margin should we expect once that kind of stabilizes at the level that

you want now that we kind of appreciate more that MFI will remain cyclical. I wonder if you're thinking it may go bac k to 12% of the loan book down the line or not. And related to that, I would like to understand through the cycle, how do you see the ROA on the MFI business? We go through external shocks in this book every few years. So just trying to understand how you think about through -the-cycle ROAs in this business?

Sumant Kathpalia: So there are multiple questions which you've asked. So let me try to address all your questions. The number one question is on what would be the share of MFI in your loan book. Y ou've s een that over the past 3 years, we've been continuously reducing the share of the MFI. It was close to 13 -14%, which is now gradually reduced to 9% . We want to keep it around to 8% to 10%. I think that is the optimal size of the MFI book. That's our first step. We are also diversifying our overall rural business. W e continue to believe that rural is a great opportunity in the country, and we continue to diversify this book. We are also launching a segment called Bharat Vikas Banking, which will house our ru ral focused business es including merchant acquiring business,

other Bharat Financial business es and some other rural products such as small SME loans will also start getting launched in this vertical. We are diversifying th is business from micro finance in to Bharat Vikas Banking so that we don't compromise on the growth of this segment.
While it's given that the MFI business is cyclical in nature, we continue to believe that across cycles, MFI business should give you 2.5% to 3% R oA. In some years, it can give you 4% , in some years it can give you 1.5% also. So I'm saying 2.5% to 3% RoA across the cycle in this business. And if you look at this business on a holistic basis, I think it's an efficient busines s if done well . You need to keep buffer provisi ons in this business. I believe if you continue to keep 2% of the book as buffer provisions, you should be able to manage the stress. I've always said this book will run at a credi t cost of towards 2.5% to 3.5%. Y ou keep a 2% buffer provision s and in a cyc lical trend, it should be able to take care by plus/minus 1%. That's how you should manage this business. I hope I have been able to answer your questions.
Chintan Joshi: Yes. And then I have one on deposits. When I think about kind of your stable deposits within your retail deposits, it's about 5% of the total LCR retail deposits. Why is that

number that low? If I think about your branch franchise in number of Tier 2, Tier 3 cities, Tier 4 cities, that granularity should be higher, but how that stable depo sit number is a little low. I'm just wondering how that can be improved.
Indrajit Yadav : Chintan, there are different ways in which some of these guidelines are interpreted . You would notice that some banks have very low number, some banks have slightly higher numbers. I'll take you through granularity offline through a separate discussion.
Moderator: Next question is from Piran Engineer from CLSA India.
Piran Engineer: Congra ts on the quarter in this challenging environment. Just circling back to micro finance. Firstly, is January better than December, if you can comment obviously, on collections, not growth?
Sumant Kathpalia: If you look at the forward flows, it looks better in the 0 -DPD bucket. But if you look at what has flown into the 30-plus bucket, what had accrued in October and November, we are seeing that some NPA flows are happening from that bucket as of now.
Piran Engineer: Okay. Understood. So Stage 2 flowing into Stage 3.
Sumant Kathpalia: Yes. So what is encouraging is the forward flows in 0 -DPD bucket have stabilized, and it has improved .
Piran Engineer: Fair enough. And given that the new guidelines in MFI will be out in Apr

il, have we proactively stopped this 2 plus 1, I mean, have you moved to 2 plus 1? Or are we still okay being the fourth lender if a proposal comes right now?
Sumant Kathpalia: So if you look at the data which we have given in presentation , 86% of our business is BFIL plus 2. And we want to get that to 95% to 98%.
Piran Engineer: No, no. I get that. Eventually, it has to be 100%. My question is, right now, if you're getting a proposal where you're the fourth lender, okay, let's say, today on 31st Jan, will you take it up? Or will you say no anyway in 2 months, you can't do it. So w hy do it now? That's my question.
J Sridharan: Yes. We already have got put in our system that any new customers, we will not have BFIL plus 2. And for an existing customer, maximum, we'll allow 1 more lender. And when the MFIN guidelines come, the latest rule we need to change that for a new or existing relationship, it will be BFIL plus 2. In terms of business impact, I think it will not be significant. We will manage, but for quite some time, we have been having the higher number of lenders who were buil t into the system.
Piran Engineer: Got it. And sir, since you're on the call, how should we think about MFI industry growth once all this is settled, say, 2 quarters later? Because clearly, I think the industry is maxed out on the number of the TAM in term s of number of borrowers and then should we just think of it as a ticket size, which is similar to inflation. So the MFI industry grows at 6%, 7%? Or how do we think about industry growth here?
J Sridharan : I believe the industry is likely to grow 15% -16% with new geographies get ting added. Still there are pockets in the country where lending is not taking place, whether we will participate in that and how the industry will move there is what we need to see. If you see the growth post the RBI unification of the guideline that growth has been quite significant, and there is also only a 10% degrowth from the highs . So the overall picture, whether MFI industry will continue to grow at 25%, I don't believe so. 10% to 15% growth in the JLG model is likely to be t here, but that also will come more from

newer geographies and less from new customers in the existing geographies.

Moderator: Next question is from the line of Anand Dama from Emkay Global.
Anand Dama: Sir, what explains the higher slippages in the tractor , small CV segment? And also, if you can provide the MFI exposure in the state of Karnataka, where there are basically new rules coming up? And do you see any impact of that on your portfolio?
Sumant Kathpalia: Okay. So let Sriram answer the tractor as wel l as the SCV.
A. G. Sriram: In tractors the 60 to 360 bucket has inched up . So a year back itself, we have made our underwriting norms stricter . But whatever flowed into 60 to 36 0 slowly has been flowing into NPA . So that is what we are seeing. With the tighter underwriting norms, after 3 -4 months, the slippages should slow down. The next 3 -4 months, there will be increased slippage in tractors from existing DPD buckets . Having said that, the higher yield in this segment should help in compensating the in crease in credit cost This segment also help us in achieving the priority sector targets .
And on small commercial vehicle, yes, again, high yield makes the risk adjusted return favourable . Slippages generally come down in Q4. So we are expecting slippages to be arrested in this Q4 itself.
Sumant Kathpalia: On the Karnataka, we have 13% of our micro finance book in Karnataka and 1% of total book is in impacted districts . We have degrown this book in Karnataka by about 4% QoQ .
Anand Dama: But do you see any early signs of stress building over there because of this new laws coming in?
Sumant Kathpalia: I think the collection efficiency in the Karnataka is down by 1%. That's the early stress.
Anand Dama: Okay. Do you see that coming down further with the law co ming up and collections been restricted?
J Sridharan : The law we are talking about, we are not very sure we don't have fair visibility. As far as the latest discussion with the government is concerned, the government says that wherever there are regulated entities, the regulations will take care, they will not have any law impacting them. They will come very heavily on the unregulated entities. The proposed law may impose certain conditions on outsourcing collection activity or in ensuring that the customer protection standards are fully met , which are already part of the regulation s. So we are still not sure what are the new regulation ordinance law that is being talked about.
We are watching the space. Initially, there is some amount of discomfort. Now I think things are slightly settling down in terms of the legislation or the ordinance front, but the space is to be watched. As far as the stress is concerned, I think it's in a manageable space, maybe a 100 basis point reduction in the collection efficienc y in a few pockets. I think it's manageable.
Anand Dama: Sure. And lastly, any outlook on the gems and jewelry portfolio? Are you seeing any early signs of stress over there?
Sumant Kathpalia : So we don't have any SMA 1, 2 or restructured account on the gems and jewelry portfolio . Our book has not grown. You are aware of it. We do working capital finance and we've not seen any stress building up in this book.
Moderator: Next question is from the line of Abhishek Murarka from HSBC.

Abhishek Murarka: I have two questions, one for Mr. J Sridharan to clarify and one to Mr. Sriram. On MFI, for the BFIL plus 3 customers, existing customers, are you giving repeat loans for the moment? Or are they also not getting repeat loans? And in the quarter , out of the INR1,700 -odd crores provisions, how much provision have you made for MFI? Is it around INR550 crores, give or take? Back to the question on vehicles.
J Sridharan : As far as the number of lenders are concerned, as of now, we give loans only on a very selective customers. So an existing customer having three other lenders, if there is an ability, because if you know our overall limit is the lowest in the industry. We still do not lend more than 1.25 lakh net industry exposure. So we are very sele ctive in lending and the proportion of loans going to good customers in that segment also is low. Once the MFI regulations come, obviously, we will not be lending to that customer. The entire industry will move to lender plus 2 norm.

Abhishek Murarka: Okay . But as of now, they are getting, if they're a good customer, they are getting a repeat loan.
J Sridharan : They are because that is part of the program. We have not stopped, but that's a very small number, not a substantial or significant number.
Indrajit Yadav: In terms of provisioning, we don't share business -wise provisions. So we have given you slippages. Different businesses have their own provision coverage ratios, which we try to maintain. Bank as a whole, you would have seen, we have maintained 70% PCR. Business unit level net NPA as well as provisions we don't share.
Abhishek Murarka: Okay. No worries. And on vehicles, 4Q is generally quite strong for disbursement as well as for recovery, etcetera. So asset quality. Do you see that kind of trend or this INR13,000 -odd crores of disbursement in the quarter, that was just a bit of an aberr ation? And the segment is still going through a bit of consolidation. So it will come down. So just some commentary on growth and asset quality in the next maybe 3 to 6 months there would help.
A. G. Sriram : Q3 was good. The growth rate of vehicles, if you see the retail growth rate has been in single digits, except for 2 -wheeler s. So not much is ex

pected to change in the Q4 also, it should be in the similar lines. And commercial vehicle is expected to grow in sync with the GDP. Unless GDP grows over 6%, th ere may not be much of growth in comm ercial vehicle segment. Gone are those days when sales in commercial vehicle was the trendsetter. Now more or less people like to buy with the work order only. So as and when GDP increases, there will be growth in commercial vehicle sector. So more or less, we are expecting for a similar disbursements numbers in Q3 around Rs.13,500 crores.
Abhishek Murarka: And asset quality there?
A. G. Sriram : Again, Q4 is one of the best quarters. So we are keeping our fingers crossed.
Abhishek Murarka: Done. A very quick question on MFI how is the disbursement trending? Like given that forward flows have improved the data that you shared, is disbursement going to pick up? And versus Q3, is it going to be higher? Or maybe Jan, what's the run rate, some indicatio n there would help.
Sumant Kathpalia: We want to be cautious about the disbursements. We continue to remain a watchful of the trend s. I think what is more important is to focus on your good customers and good centers and that is where 85% to 88% of our dis bursement should be targeted. That's our philosophy. We are not looking at any disbursement number. What is important is to make sure that we service our customers well. And we are in the in centers which are performing well and do the disbursements there.

Abhishek Murarka: Right. But Sumant, just Q oQ, it should improve, right, given that there is an improvement in the 0 DPD bucket, etcetera?
Sumant Kathpalia: Yes, it should, but I don't want to give any number as of now. Because I want to continue to watch this space, how the Karnataka develops, how doe s it pass on to another state, how does UP behave? So I don't want to give any numbers or projection of the MFI business as of now.
Moderator: Next question is from the line of Jai Mundhra from ICICI Securiti es.
Jai Mundhra : Sir, just a few questions. First, on MFI or BFIL, do we also cross -sell any 2 -wheeler or personal loan or a small CV to these customers? And if yes, what would be the exposure?
Sumant Kathpalia: We don't do any personal loans on this segment. It's already an unsecured segment. So we don't want to increase unsecured exposure in this segment any fu rther. We did try scooter loans. We did abou t 2,000 scooter loans. W e did it as a pilot and stopped it as the delinquencies were high.
Jai Mundhra : Right. So there is no other exposure, right? I mean there is no other retail products or any other?
Sumant Kathpalia: We don't believe that we can do any other cross -sell into the except liabilities, which we tal ked about Rs.2,600 crores of deposits .
Jai Mundhra : Right. Sure. Secondly, sir, if you can also highlight the net NPA in MFI, right, that will help give us some direction in terms of the additional provisioning needed. You have a gross NPA of INR2,400 crores. And if you can sort of quantify what is the PCR here? Or what is the net NPA here?
Sumant Kathpalia: Our PCR overall is 70%, like Indrajit said, we don't giv e product specific net NPA o r provision s. So I think that is not something we give it in pu blic domain, but I can tell you that we are well provided and well covered.

Jai Mundhra : Sure. And lastly, Sumant, if I look at the contingent provisions that we have right now, that is roughly around 4% of the MFI loans. And you have said that SMA 1 plus 2 is around 4%. So are we sort of done in terms of whatever additional slippages that come through in fourth quarter, you will be providing those, or we may continue to carry this contingent provisions going ahead in FY '26. Is that the way to think about this? Or there would be some change in this contingent stock?
Sumant Kathpalia: It's too early to comment

on whether we will use contingent provisions or not . I've always said the bank should be adequately covered and we will always be conservative on provisions and to make sure that we have enough coverage to take care of any eventuality especially in the highly volatile businesses, like micro finance. We als o want to be prepared for the ECL when it comes in .
So, given these 2 scenarios, we continue to believe that the bank should carry enough contingent provision s as we move forward. Whether we will use anything, it's way too early. We will see how the flows happen in the MFI, how the business goes and then we will take a call.
Jai Mundhra : Sure, sir. And lastly, sir, I think there was an exit of CFO. And of course , we have already disclosed that. If you can comment on any other attrition that you are seeing at the senior level? Or if you want to sort of comment on that thing?

Sumant Kathpalia: So we have a very stable management team. If you look at it, over the period, a lot of earlier people have gone and new people have come in, whether it's the CTO, CRO, CCO or internal audit head . We've got a lot of new people . So we've always said that a good mix of management will always have a good understanding of the business, and we get a new perspective on the business from lateral hires . Having said that, the HR Head is here, and maybe he can comment on it.
Zubin Mody : Thanks, Sumant. We had a very stable leadership right from 2008 to 2020 . Simply because of the age of the people at a particular point of time , people retired at the same time, and we added a lot of new people. So there is a good blend of old and the new, with more new now.
And again, this year, I guess, we'll have a couple of people retiring together. So we are already in the process of identi fying people. We will not be having any position unfilled for any length of time. And so our backfill hiring for these positions continue and we will be sorted on our top management talent at all times.
Moderator: Your next question is from the line of Shu bhranshu Mishra from PhillipCapital.
Shubhranshu Mishra: The first one is on credit cards, the gross NPA has inched up on a sequential basis. And just wanted to understand the architecture of our ENR share, what percentage is transactors, how much is revol vers and how much are the EMI proportion? If you can speak about the number of credit card customers who have 2 or more credit cards? 3 plus credit cards and 4 plus credit cards. That's on the credit card. The second one is on vehicle financing, especially the S CV, LCV, HCV, there's been com mentary around asset quality ri p off and slowdown here. So how do we see this market and what has been our experience? And what do we think of the growth levels in these 3 specific segments going forward in the nex t year including small commercial vehicle, light commercial vehicle and medium and heavy commercial vehicle?
A. G. Sriram : Commercial vehicle is behaving well, the portfolio has been improving, and I believe it will continue to improve. Light commercial vehicle , as people have given more loans towards the new to credit, there will be some increased slippage s, but it will be compensated by the higher rate of interest. Small commercial vehicle, again, the same way like nearly 50% -60% are new to credit wherein quite a bit of default occurs. But Loss Given Default (LGD) is somewhere around 45%. The yields in small commercial vehicle is higher than light commercial vehicle and heavy commercial vehicle. So overall, ROA of the product i s good and it gives you a good customer base.
Shubhranshu Mishra: And the credit card question.
Sumant Kathpalia: Yes. So you know that our unsecured business, including personal loan is a very small portion. It's only 6% of our book. We've always said that because we have micro finance, we wi

ll keep it around 6%. Of this, 3% is credit card and 2.5% is personal loans on that segment. Our credit card GNPA are elevated because you know the industry issues which are coming in. And the gross flows are elevated as of now. And if you look at the other retail flows, most of it is coming from the credit card businesses, the slippages. Having said that, we have 24% of our base has revolvers and 16% ALOP or EMI based customers . So 40% of the base either is revolving or ALOP-related EMI customers. On the second question part of your question, well, how many customers are with 3 to 4 credit cards , I don't have the ready -made answer. It may be in the data pack, but I don't recall that answer. So we will come back to you later on this answer.

Shubhranshu Mishra: Just one question, if I can squeeze in. What is the percentage of open market sourcing in credit cards?

Sumant Kathpalia: What do you mean by open market sourcing, if you can?

Shubhranshu Mishra: Not from our own liability or asset customers?

Sumant Kathpalia: It is difficult to give an answer on this. Our focus is on our liability base. But we are also very stringent on our parameters on our internal customers also as to what we want to so urce . What we source in the open market are more salaried customers because we want to get the salary relationships out there. And what we get on our customer base are salari ed and self -employed. The mix , we cannot share right now.

Moderator: Ladies and gentlemen, we'll take that as the last question. I now hand the conference over to Mr. Sumant Kathpalia for closing comments.

Sumant Kathpalia: So thank you for joining the call. Me and Indrajit are available for any questions and any dialogues, which you may want to have with us. Thank you so much for your time.

Moderator: Thank you very much. On behalf of IndusInd Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Call: May 2025

Q4 FY25 Earnings Conference Call

BOARD AND MANAGEMENT:
MR. SUNIL MEHTA – NON -EXECUTIVE INDEPENDENT, PART -TIME CHAIRMAN
MR. SOUMITRA SEN – HEAD , CONSUMER BANKING & MARKETING
MR. ANIL M. RAO - CHIEF ADMINISTRATIVE OFFICER
MR. INDRAJIT YADAV - HEAD, INVESTOR RELATIONS AND STRATEGY
+
MANAGEMENT TEAM MEMBERS

May 21 , 2025

Moderator : Ladies and gentlemen, good day, and welcome to IndusInd Bank Limited Q4 FY '25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on yo ur touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sunil Mehta, Chairman, along with the Management of IndusInd Bank. Thank you, and over to you.
Sunil Mehta: Thank you. Dear all, first of all, good evening, and thank you for joining this call. My sincere apologies for the delay and this was on account of an extended Board meeting that has ended just shortly earlier.
I am Sunil Mehta Chairman of the Bank. I am joined by Soumitra Sen and Anil Rao from the Committee of Executives and the rest of the management team. It is unusual for a Part Time Non - Executive Chairman to address the investors and analysts. However, give n the recent chain of events, the Board and the management felt it's appropriate to use this opportunity for the Board Chair to also engage directly with you.
As you know, we have seen multiple material developments since March. At the outset we acknowledge that these developments are unfortunate for any organisation and it's painful to see these taking place in your own. However, the Board is determined to addr ess all identified issues, so that they are appropriately resolved.
I want to first spend a few minutes on the approach taken by the board to address the issues at hand.
• The irregularities disclosed indicate an inadequate emphasis on accounting analysis and rigour as well as lapses in and violations of governance norms, internal controls, disclosure and reporting mechanisms to the Board. The Board, was not informed of the discrepancies, including at the time of approval of the financial results for the relevant accounting periods.
• Upon being made aware of the irregularities since March, the Board has swiftly taken active steps in understanding and addressing all areas of concern holistically and disclosing progress transparently at the appropriate stage.
• The Board and the management set forth their desire of maintaining trust in the institution by aspiring for and implementing higher standards of transparency and compliance. The Board is closely working with management and all relevant stakeholders so that the Bank can be forthcoming in highlighting any irregularities which need to be addressed.

• The Board along with the management has spent considerable time and effort in assessing in a timely manner, all the irregularities brought to our attention. Wherever required, we sought assistance of reputed external professional firms in addition to detai led internal reviews.
• The Bank is announcing this year's financial results slightly later than what it has done in the past. Given the events which have transpired, the statutory auditors have done substantive checks with wider sample sizes to analyse any anomalies in financial reporting so that all the identified issues can be adequately and fairly accounted for while finalising Q4 results for FY24 -25.
• The Board and its committees are working with the management and external advisors to identify and address the root causes, rectifying any lapses in systems or processes and imbibing learnings to tighten internal

controls. These shall be reviewed and implemented under the Board's oversight. We strongly believe these extra steps should help in avoiding such incidents happening in the future.
• While we address these immediate issues, we are also cognizant of the need to reinforce the governance culture and long -t

erm sustainability of the organisation. We are institutionalising ethical best practices, robust systems and processes while rebuilding the talent desirous of delivery on such framework.
• The Board is also in the process of taking necessary steps to assess roles and responsibilities and fixing staff accountability as per the extant laws and internal code of conduct. We are approaching these aspects with utmost seriousness, without fear or favour to anyone involved in precipitation of these issues.
• The Board is also continuously engaged with the regulators. The Board would like to express its gratitude to the regulators and particularly the RBI for its support and guidance in helping navigating these challenging times.

Whilst we have shared updates through stock exchange intimations and also as part of the financial statements for Q4 which have been disclosed, I will summarise the recent events and financial performance as follows:
1. The derivatives accounting issue:
• The Bank has received final reports from both external firms and the financial impact is broadly similar to the initial internal assessment.
• The Bank had already discontinued internal accounting trades since 1st April 2024 and is in the process of taking further measures to improve internal controls and processes to prevent such lapses occurring again.
• The Board has also taken a very serious view with respect of staff accountability across levels to reinforce the governance and compliance culture and is in the process of taking actions for staff accountability.

2. Additional rigorous review
In light of the derivative accounting issue, the Board has also worked with the management and the statutory auditors to undertake an enhanced and much more rigorous review as part of finalising the financials (including thorough reviews by the Internal Audit Departm ent ("IAD") of the Bank). As part of this exercise, the Bank has identified the following significant matters, which have been appropriately accounted for in the financials for Q4.

(A) Microfinance portfolio:
• The reviews identified that over the first three quarters of FY 2025, there was incorrect recording of interest income and fee income.
• The review has also identified the misclassification of certain microfinance loans has resulted in under -provisioning and non - recognition of NPAs aggregating to Rs.1885 Crores.
• The Bank has addressed the underlying cause and is in the process of taking actions for staff accountability.
(B) Other matters:
• As part of the review, it was also noted that there were certain

unsubstantiated balances in “other assets” and “other liabilities” accounts of the Bank and that an amount of approximately Rs.760 Crores had been incorrectly classified as “interest income” instead of “other income”.

Based on review of all these matters and reports received by the Board, the Board suspects the occurrence of fraud against the Bank and the involvement

therein of certain employees having a significant role in the accounting and financial reporting of the Bank.

Accordingly, the Board has directed necessary steps to be taken under applicable law (including reporting to regulatory authorities and investigative agencies) and to also fix the accountability of all persons responsible for these lapses.

3. Financial impact absorbed in Q4:
• The financial impact of all of the above has been fully taken in the audited financial statement of the Bank for the financial year 2024 -25.
• The Bank’s approach towards financials has been to start FY26 on a clean slate without carrying forward any of the past issues.
• The Bank has thoroughly reviewed all the lines of accounting and has taken a conservative view in some of the accounting treatments.
• This has been reflected in a few one -offs versus the business as usual run rates which

we will delve deeper in the subsequent section.
• The bank’s balance sheet remains healthy after absorbing all these changes with the Capital Adequacy Ratio of 16.24%, Provision Coverage Ratio of 70% and average LCR of 118% with excess liquidity of Rs.39,600crores. The liquidity remains comfortable in cur rent quarter as well with average LCR of 139% in the first half of the quarter.

4. Ensuring steady leadership transition:
• Following the findings of external review announced on 27th April 2025, the Bank’s CEO and Deputy CEO had resigned from their respective roles thereafter.
• The RBI has advised the Bank to submit proposals for the appointment of the new CEO for RBI’s approval by 30th June 2025. The Board is at an advanced stage in the selection process and is confident that recommendations will be submitted to the RBI in advance of the timeline. This will provide strong leadership and manageme nt stability at the Bank.
• The Board is determined to identify and expeditiously induct strong leadership with right competencies, strong ethics and the ability to build & scale a robust franchise.
• In the interim and as approved by the RBI, the Committee of Executives (CoE) is entrusted to oversee the operations of the Bank. The CoE is guided by an Oversight Committee of the Board comprising of the Chairpersons of the Board, the Risk Management Commi ttee, the Compensation Nomination & Renumeration Committee and the Audit Committee of the Board.
• The Board of Directors and the Management team is committed to ensure smooth transition.
5. Reinforcing the ethos of governance while executing the growth strategy:
• The Board is working with the management to bring in a cultural shift towards achieving the highest standards of ethics and governance
• We want to build an environment of open and honest communication with all the stakeholders prioritising long term sustainability over short term achievements.
• Compliance with the extant regulations in form as well as spirit is non - negotiable.
• One Bank Vision – breaking the silos by laying a strong foundation would ensure avoiding repetition of such episodes, providing uninterrupted execution on the bank’s strategic growth objectives.

I will now hand over to Soumitra Sen to take you through the highlights on individual businesses. Soumitra, over to you.
Soumitra Sen: Thank you, Chairman. Let me start with the vehicle finance, one of the key pillars of the bank.
1. Vehicle Finance:
• Our vehicle loan book at Rs.95,595crores grew 8% YoY and 2% QoQ.
• Vehicle disbursements for Q4 at Rs.12,273crores grew 3% YoY. Full year disbursements for FY25 were at Rs.47,600 crores.
• Industry volumes across categories have grown by single digit during the year. We have maintained stable market share across key categories of Commercial Vehicle, Construction Equipment and Passenger Cars. We however, consolidated our position in tractors as we reinforced our processes and credit underwriting.
• The asset quality trends have been improving since Q3 after a weak H1 this year. The sequential improvement in gross slippages continued in Q4 as well at 0.70% vs 0.74% QoQ. All the vehicle segments except for Tractors saw sequentially stable or improved g ross slippages.
• We have refrained from selling NPAs to ARC during the quarter focusing on the collections ourselves. This however optically increases the GNPA ratios.
• The restructured book in Vehicle Finance continues to show reduction. It has come down now just to Rs.119 crores vs Rs.547 crores at the start of the year. Majority of the reduction has come from upgrades & recoveries.
• Looking ahead, improving fiscal spends, benign oil prices, falling interest rates and above normal monsoon predictions, should support recovery in industry volumes. We are cautiously watchful of impact if any fr

om tariffs,
weather adversity and state elect ions etc.

2. Bharat Financial Inclusion Limited (BFIL) :
• Outstanding loan book originated via BFIL now stands at Rs.38,169crores, down by 2% QoQ and 15% YoY.
• Microfinance
o Microfinance business showed signs of stabilisation in Q4; disbursements were up 1.4% QoQ.
o We followed a cautious approach for disbursements with 94% of disbursement in Q4 was in branches with low flows from current to arrear and towards customers and centres with high vintage.
o We have also implemented MFIN guardrails effective from April 1, 2025 restricting disbursements to customers with not more than 3 lenders. With large customer base unique to us and our conservative ceiling on client’s overall exposure, the impact on the business has been limited so far.
o We have disclosed trends in early delinquency buckets. They show improvement in both stock as well as fresh flow of delinquencies.
o Karnataka situation is also improving with field level initiatives. Current book net CE in Karnataka has improved from 96.4% in February 2025 to 98.2% in March 2025.
o As a result, the 31 -90 Days Past Due book reduced to 2.3% in March 2025, down from 4.1% in Dec 2024.
o We have also disclosed trend in all standard overdue customers i.e. 0 DPD to GNPA which is heading back to normalcy.

o The slippages were elevated during the quarter due to the accumulated stress in the earlier quarters and misclassification of certain loan accounts, which was corrected in Q4.
• Bharat Super Shop i.e. the merchant acquiring business
o We have now around 664k merchant borrowers under this

program.
o Our merchant loan book at Rs.7,260crores, growing at 30% YoY.
• The share of non -MFI book improved to 19% vs 12% YoY.
• Total liabilities sourced through BFIL now stand at Rs.2,680 crores (up ~3% QoQ), with more than 19mn accounts.
Overall, the portfolio stress witnessed last year is waning, as we see portfolio quality improving in most states. We are cautiously focusing on disbursements in selected geographies amongst customers with higher vintage. With implementation of MFIN guardr ails further strengthening controls and Karnataka operations steadily getting back to normalcy, our focus is on ensuring disbursement quality, dedicated efforts on collection and recovery, and continued diversification of the loan book.

3. Corporate Bank:
• During the quarter we let go some of our corporate loans for balance sheet management.
• Consequently, our corporate loan book has come down by 16% QoQ and 6% YoY
• This was only a tactical decision keeping in mind the short term objectives of the Bank. The overall strategy of scaling up granular mid and small corporate book with selective exposure to large corporate continues to be implemented.
• The proportion of A and above rated customers at 77% has been steady YoY, while declining QoQ vs 79%, as we let go some of the higher rated loans. The weighted average rating was at 2.57 vs 2.51 YoY.
• Our diamond business continues to show healthy asset quality with no SMA1 or 2 customers while growth is subdued due to weak industry demand. Industry is liasioning with stakeholders for suitable terms in bilateral trade discussions. We are closely monitor ing the developments and are comfortable with our exposures as of now.
• Gross slippages in corporate book were at Rs.204crores mainly contributed by one restructured real estate account amounting to Rs.140crores. Full year gross slippages for Corporate Book improved to 0.44% vs 0.54% YoY.
• Corporate Restructured book also has now reduced to Rs.147crores vs. Rs.583crores at the start of the year.
• Our SMA1 and SMA2 book collectively stands at 24bps vs. 20bps QoQ.

Overall, while we have consolidated our corporate book during the quarter, we have resumed our disbursements selectively in focus areas a

nd growth in
corporate bank should start reflecting in coming quarters.
4. Other Retail Assets:
• Our other retail assets maintained growth momentum with 17% YoY and 6% QoQ during the quarter.
• MSME book under business banking is at Rs.18,232 crores grew by 9% YoY and 3% QoQ.
• LAP book maintained steady traction with 15% YoY and 3% QoQ growth.

• We continue to focus on Home Loan scale up with outstanding now at Rs.4,491crores growing by 151% YoY and 43% QoQ.
• Credit card spends at Rs.27,666 crores were broadly steady. Our market share in credit cards spends was at 5.31% based on latest available data.

Overall, we would continue to scale up our other retail assets at faster pace with focus on improving diversification of overall loan book while increasing the retail secured mix with home loans and MSME.

5. Now coming to Liabilities:
• Total deposits at Rs.4,10,862crores grew by 7% YoY while remaining steady QoQ.
• Our deposit franchise has shown resilience during the turbulent last couple of months. We have proactively engaged with our customers rebuilding the trust in the institution. These initiatives helped stabilize our deposit base

after a temporary blip post t he disclosure on March 10th.
• Retail deposits as per LCR grew by 9% YoY contributing to 45.1% of overall deposits vs 44.1% YoY.
• We have carried healthy liquidity during the quarter with average LCR at 118% and average surplus liquidity at Rs.39,600 crores. The period end LCR as of 31 March 2025, was at 136% along with surplus liquidity of Rs.62,000 crores.
• The liquidity position continues to be healthy during the current quarter as well, with average LCR for the first half of the quarter being at 139%.
• Apart from the short -term disruptions in March, our new initiatives of affluent and NRI banking continue to scale -up at healthy and sustained pace.
• Affluent segment deposits at Rs.58,300 crores grew by 9% YoY. Affluent AUM at Rs.1,02,000 crores has now crossed Rs.1lac crores mark growing by 24% YoY.
• Our NRI segment deposits at Rs.58,300 crores grew by 28% YoY.
• Share of Top 20 depositors is now reduced to 14.8% in Mar -25 vs 17.4% YoY.
• Share of Certificates of Deposits at 8.2% of overall deposits and borrowings at 9.7% of total liabilities.

Overall, our deposit franchise showed resilience during the turbulent time. Looking ahead, we remain confident on resuming our journey towards building granular retail deposit franchise while keeping our cost of deposits in check. The developments around e asing liquidity also augurs well for our deposit franchise.
6. Digital Traction:
• The Direct Digital Business continued to scale with efficiency and overall ~75,000 new clients get acquired digitally directly every month.
• Our flagship mobile banking app INDIE continued to scale with positive impact on customers adopting the upgraded app.
• Indie for Business - Our digital app for MSMEs now has over 50,000 registered customers and a monthly transacting user base of 75%.
• Bank's easycredit platform for all retail and MSME exposures upto Rs.5crores ticket size processed 15mn applications during the year.
o 100% of bank's personal loans and credit cards are originated digitally.
o The platform is compliant with digital lending guidelines, offers digital KYC & fraud checks, real time decisioning powered by

machine learning algorithms and digitised disbursement via e -sign, e-stamp, e -mandate.
o It is also integrated with RBI Innovation Hub's Unified lending interface (ULI) and Account Aggregator (AA).
Now I will request my colleague, Anil, to cover the financials.
Anil Rao: Thank you, Soumitra. This is Anil Rao here.
• As mentioned earlier, we reviewed all our accounts rigorously and have taken a conservative view wherever there were deba

table items. We have also provided
for all the issues brought to the attention of the Board. We are thus starting the new financial yea r with a clean slate and robust Networth.

• Some of these changes have one time impact whilst a few change baseline financials as well. Key financial adjustments are listed below:
o We have reversed Other Income by. Rs.1,960 crores on account of derivative related discrepancies disclosed on March 10th.
o We have reversed revenue of Rs.423 crores net of interim provisions and accrued interest towards the accounting error identified by the Internal Audit team during the review of microfinance business.
o The Bank has also set off unsubstantiated increase in other assets and other liabilities amounting to Rs.595crores. This has no impact on the Profit & Loss of the Bank.
o We recognised materially higher slippages in microfinance businesses of Rs.3,509 crores. This resulted in interest income reversal of Rs.178 crores.

o We have reviewed groupings and classification of the P&L items resulting into Rs.760crores regrouped from Interest Income to Other Income and Rs 158 crores from the Provisions and Contingencies to the Other Operating Expenses. This has no impact on the Pro fit & Loss of the Bank.

• Adjusted for the non -recurring one -offs, the Net Interest Margin for Q4 would have been around 3.47% and a pre -provision operating profit of Rs.3,062 crores.

• The adjusted financials were subdued versus business as usual runrate largely impacted by adverse loan mix and conservative liquidity priorities towards the end of the quarter.

• In terms of asset quality:
o The gross slippages by key segments were Vehicle Finance Rs.657 crores, Corporate Rs.220 crores, Other Retail Rs.628 crores and Microfinance Rs.3,509 crores. This reflects sequential improvement in all segments other than microfinance.
o We have also seen improvement in Net Security Receipts at 27bps, Restructured book at 12bps and stable SMA1+2 at 24bps.

• Overall, whilst we have reported a loss for the quarter due to the extraordinary events, we have closed full year FY25 with Profit After Tax of Rs.2,575 crores. Our Capital Adequacy Ratios remain healthy after factoring in all the hit on account of one -off measures, with CET1 at 15.10% and overall CRAR at 16.24%.

I will now handover to the Chairman for closing remarks.
Sunil Mehta: Thank you, Anil. Overall, if I may summarise:
1. We acknowledge that the lapses which have happened are not something expected from a bank like us. The Board and management is committed to take all necessary steps to restore the trust and confidence in the institution. The Board and management has done a deep dive on the issues brought to its attention and has taken actions with a view of pursuing higher standards of governance, transparency and accountability. This governance culture will continued to be reinforced as we progress further.
2. The financials now reflect all the items brought to the attention of the Board. We are starting FY26 on a clean and strong footing. The balance sheet continues to be robust with healthy capital adequacy, provision coverage and liquidity levels.
3. The core franchise remains strong and we are focussed on growth opportunities backed by capital strength and conservative liquidity.
o The Bank will scale secured retail and MSME assets, be selective in corporate space, ramp -up in retail liabilities, and follow One Bank approach.
o The Bank will continue to pivot our rural distribution towards Bharat Banking albeit being cautious on microfinance.
o The Bank continue to invest in our new businesses such as home loans, affluent banking, digital 2.0, merchant acquiring, micro market driven distribution etc.
4. As mentioned earlier, the search process for the new CEO is at an advanced stage. The incoming CEO will h

ave advantage to start with a fresh slate. The CEO should have capabilities to scale this differentiated organisation, have a strong ethical foundation with proven track rec ord of execution and leveraging evolving technology and customer preferences. There is immense potential for this franchise to deliver sustainable profitable growth for years.
5. I would like to end my comments by profusely thanking the support and confidence extended by all stakeholders during this difficult period, which include, but not limited to our first, our customers, investors, employees, regulators, media and all other in stitutions, which I may not have named. The bank will stand by the trust extended by all stakeholders in its action and words.
Thank you so much for your patience. We will now open for question and answers.

Moderator: First question is from the line of Chintan Joshi from Autonomous.
Chintan Joshi: Can I start with just understanding the adjusted numbers. You highlighted that your NIM is 3.47%, which kind of gives us a INR4,700 crores NII. Is that what you see? And could you talk us through the reported NII versus the adjusted NII number? If you can just give us all the moving parts, that would be helpful , to get us some sort of a baseline of what you can take as a business -as-usual run rate number. And if you could do the same for the fee income line, that would also be helpful just so that we know w e have got the right numbers?
And then the second question is more around closure. If I think about the matters that we've seen, what are you doing about taking up legal actions against the various issues that have come up in terms of claw backs, in terms of other legal proceedings? And also on that same topic of closure, when do you think you can draw line? And when can you get the confidence that there are no new frauds to be discovered? Or

is the review still ongoing and we would need to wait for the new CEO to come in and give it thumbs up before we can be sure about that.
Sunil Mehta: This is Sunil Mehta, and I will answer the second question first. I just want to sort of let you know that as far as the entire process of accountability is concerned, we will follow without fear and favor the due process of law. And whatever action that needs to be taken , will be undertaken based on whatever is required to be done as per law, by ensuring that we do it expeditiously. The process will continue. The Bank is progressing as normal today. And we don't have to wait for the next CEO t o come in , as far as this process of accountability is concerned and whatever needs to be done from whoever was accountable for the issues that we have just stated in our communication to you .
Chintan Joshi: Sorry, the second question also was about the future, right? When can we get the closure ? Do we need to wait for the new CEO to draw a line? Or do you think the Board can draw the line on the various issues? And have you finished identifying all the various issues?
Sunil Mehta: What we have done is that based on whatever reviews that have been done, all issues have been duly identified and duly addressed and declared and shared with all stakeholders, including what we have done with you. We will follow as per law, whatever needs to be taken. We do not have to wait for the new CEO , because the process will sort of continue. And all these issues have been duly reported to the regulatory authorities. The financial impact of all the issues that we have declared , has already been undertaken in Financial Year 24 -25. So those financial adjustments have been done. So, from a financial perspective and coming back to business as usual, that is being continuing, and people will start focusing on that. And as far as the other stuff is concerned in terms of, on accountability, that will continue to follow as per due process of

law.
Indrajit Yadav: Coming back now to the first question. So Chintan, as we mentioned in the opening comments, on a going concern basis, for quarter 4, if we take out all the inter -head adjustments and one -offs etcetera , the net interest income would come to around Rs.4,700 crores. The non -interest income would come to around Rs.2,500 crores. The operating expenses would be around Rs.4,200 -odd crores. So the operating profit would be around Rs.3,060 crores , is what we disclosed in the opening remarks.
Chintan Joshi: Thank you. I'll run with you off -line for all the various adjustments.
Moderator: Next question is from the line of Harsh Wardhan Modi from JPMorgan.
Harsh Wardhan Modi: A couple of questions. One, how do we get comfort around whether th ese one-offs are more ? is this the last kind of set of one -offs in terms of clean -up or there are going to be more? And my second question would be regarding the liabilities. In last couple of months since closing the year, how much of deposits has the bank lost? And how do we think about the liability strategy of the bank over the next , let's say, 6 months?
Indrajit Yadav: If I can comm ent on the first part that you have asked about. So as the Chairman mentioned earlier, the financial impact of all the irregularities brought to the Board and the Bank's attention has been taken into the account , while we have prepared and disclosed these Q4 results. There is nothing that is outstanding today to our understanding. So one -off as such we have already taken for. Whatever is the Business As Usual (BAU) impact , as we progress will come, such as the near -term impact because of whatever extra liquidity we are carry ing. There could be some industry or business -related issues that will happen, which is part and parcel of being

in this business. But from the financials perspective, there is nothing that has not been accounted for in the numbers that we have. And as we mentioned in the

opening remarks, we have done a thorough check of all the accounts that we have. We have spent extra time. You have seen that we are almost late by a month to announce the results. So a lot of efforts by all the stakeholders involved has gone into ensuring that the financials reflect the fair and transparent position the bank has.

Coming to the deposit side, as you know, we don't disclose within the quarter, deposit numbers . We have given you how our liquidity position has been. In the first half of the quarter, the average LCR is 139%, which is well above the regulatory threshold as well as the higher than what we had carried last quarter.

In terms of strategy, I will hand over to Soumitra to give his comments.

Soumitra Sen: See, on the liability strategy , retailization of deposits, has always been a core thing, which we have been talking about . Apart from the home markets, developed markets strategy , which we do, the new ones, which we are now talking about, is that One Bank approach, where all the BUs are now getting into the liability sourcing, and we have different contests and incentives to run for that.

Second , what we are doing is that the premiumization of the accounts, the branch distribution is now looking at opening the high -value accounts. And that's actually scaling up quite well. So you will see that growth happening in the affluent side of the business.

And the cross -sell, and especially the NOS, which we look at the Number of Sales per person, with the One Bank approach, that's actually climbing up quite well. On the granular deposits , as you have seen our retail deposits share going up, the percentage from 44.1% to 45.1%. And even during this particular quarter, we are seeing the retail growth is absolutely right on top. So I don't see that to slow down.

Sunil Mehta: So, before we move to next question, let me just also rein

force the point that was made by Indrajit earlier , about whatever we have done to bring things to closure. So , after these issues were raised or identified, the Bank has done an extensive review by both external agencies and internal teams for identification of all issues or any other issues that could be sort of identified.

As you can imagine, the statutory auditors have also done a n extensive stress test. And obviously, they have fully put in financials and their report whatever has been identified. And of course, the financial impact has now been taken , as I already mentioned.

The important aspect that I have to share with you is that during this process, wherever we recognize or figured or identified control weaknesses or any risk areas, those are absolutely being addressed.

So, I think we are using opportunity from this crisis to do a deep review of all aspects of systems, controls, procedures and people , to strengthen all , to make sure that we have a robust systems and processes in place , with a high level of transparency as we move ahead . So that if there is any issue, they must be surfaced expeditiously so that the same can be addressed.

Moderator: Next question is from the line of Adarsh from Enam Asset Management.

Adarsh Parasrampuria : So, I had a question on the clean operating profit you mentioned. Obviously, the cleaner margins have taken a dip, but the fee incomes are where we were earlier, right? So, and historically, the bank had high fee income . So just wanted to understand how sustainable you think is the fee income streams or as we derisk the book, does this fee income kind of take a knock?

Indrajit Yadav: So, Adarsh, you would see some part of the net interest income has got reclassified into the fee income. We have given that information in disclosure s as well. So, because of that, the fee income is where it is. Going forward, as you know, the strategy, which the Chairman and Soumitra has covered, it's part and parcel of our business.

Some of the areas that we are into , are higher fee generating businesses. So, it would depend on what kind of loan mix that we aspire for and what kind of the segment mix we want to have . I'm sure the Board and the management as well as the incoming CEO will have a say into how we want to progress. I think it will be a little premature to comment on what should be our fee income or the fee to asset ratio, et cetera, going forward. Let's s ee how every quarter goes.

Adarsh Parasrampuria : Okay. And the second question is, since you've taken a full stock of the MFI NPAs, you've kind of provided a lot as well. Does this mean now that when you say we start on a clean state, our credit costs go back to what the normalized credit costs were? Or it's kind of still uncertain. We've taken a large part of it, but we are not sure of how credit costs would behave incrementally.

Indrajit Yadav: So overall, Adarsh, you would have seen even in this quarter, ex cluding microfinance, our slippages, credit costs, et cetera, in other segment s have been better or stable. So, excluding microfinance, we have not seen any issues as such. And those businesses continue to be in the steady state.

The microfinance side, we have taken additional slippage s this quarter. We have also given one additional disclosure in our investor presentation , if you would have seen in microfinance segment . We have given a trend in 0-day plus DPD book and that you would see that the 0 -day plus book is almost coming back to normalcy where it was in the last year's March. So that gives us confidence that the incipient stress is coming back to normalcy.

But having said that, as you know, the situation in some of the states is still evolving. There are a few elections in the next 12 months. So, we don't think the next year in microfinance will be back to normalcy. I t

hink there should be a step down, obviously, given the higher number that we have reported for this year. T here should be step down from the current quarter slippages, but it will still be elevated versus the business as usual. And then maybe in the second half of the year, you will see the things progressing back to normalcy. That's our base case today. But let's see how the MFIN guardrails, the state election s, some of the monsoon -related implications happen. So that's where we are. We are cautiously looking at this business, but normalcy maybe 6 months away.

Moderator: Next question is from Ankit from Nomura.

Ankit Bihani : Sir, I have 1 question. So we had roundabout Rs.1,3 25 crores of contingent provision as of last quarter. Have we utilized those in this quarter?

Indrajit Yadav : Yes. That has been utilized.

Moderator: Next question is from Piran Engineer from CLSA .

Piran Engineer: So the Rs.3,500 crores of microfinance slippages, just wanted to understand, did that slip in the quarter? Or had it slipped earlier, but you've recorded it now because of some recording lapse earlier or internal control lapse?

Indrajit Yadav: So, in the notes to the accounts we have given this background. There is around Rs.1,800 crores of loans, which were incorrectly classified into certain other

categories, and that resulted into them being recognized as standard in more than 90 DPD days bucket . Those classifications have been rectified in this quarter. There was a review going on, which we also disclosed. So, the Rs.1,800 crore is where the correct classification of the underlying customer base has resulted them turning into NPA this quarter . And that correct classification, as you would know, happens from the initial day and those original DPD , properly accounted for. Just that the classification back , resulted into additional slippage of INR1,800 crores. And the balance is Business as Usual slippage s. It is also higher and that's what we have been discussing throughout the year. The slippages accumulated or the overdue book accumulated over the 9 months has turned into NPA in this quarter. So those 2 things are driving the microfinance slippage s this quarter .

Piran Engineer: Got it. Okay. This is clear, Indrajit. And just secondly, what is the strategy now in this business? Like given what all has happened, one is the environment and second is internal controls, accounting, et cetera. Is it fair to say that we continue to degr ow this book?

Indrajit Yadav: As Chairman sir, had mentioned earlier that we will be cautious on microfinance segment. The approach of disbursements is towards the customers with long vintage, with better past payment record . These approaches will continue. The diversification into merchant advances continues.

However, if you are expecting us to push pedal or change the disbursement approach towards reducing than what it is supposed to be, I don't think so. Business as usual disbursements will continue, but we'll not be either overly cautious or aggressive in this segment. Whatever is flowing through our credit filters, we will be willing to take it. But we are waiting and watching on how the underlying industry is evolving. As you know, the MFIN guardrails, the monsoon etc., I don't want to repeat it again, we are watching all those events.

Once the leadership is established, then the Board and the management will take a relook at the Bank's strategy, which segments we want to push, which we want to stay a little bit cautious. You would have noticed our capital adequacy is still above 15%. So there is growth capital available to the Bank. The management and the Board will decide at appropriate time, what should be our medium -term, long -term loan mix that we should aspire for.

Moderator: Next question is from Subhradeep Mitra from Nippon India.

Subhradeep Mitra

: Sir, I have 2 questions. The first one is that what led to the reduction of the corporate book from INR170,000 to INR140,000 during the quarter? And my second question is, if I look at your net interest income, even if I adjust for the one -offs, it comes to around INR4,700 crores for the quarter against a normal run rate of approximately INR5,300 crores. So what explains that difference?

Indrajit Yadav: The business as usual interest income is also being impacted because of the interest reversal which have happened on account of the elevated microfinance slippages apart from one -offs, during the quarter. So that has an impact. There is additional impact because of the events in March, we had to carry excess liquidity. That liquidity comes at a cost because you are deploying it in a lower -yielding asset s. Thirdly, the loan mix change, because of the MFI being written off, the yield on the book have been depressed.

So there are other business as usual impacts on the net interest income, which are relevant to the events that happened in the quarter, which we cannot say those are one-offs or whatever. We have just given you one -offs, which we need to act upon

because of some inaccuracies of prior period items , reclassifications etc . Those have been accounted for.

The Rs.4,700 crores, which we say as business as usual, that will change depending on how the current quarter is going, how the next quarter is. So that number is something like baseline, which is from where we are starting. But I appreciate your point , that itself is lower because of some of the impact s, which happened during the last quarter on our business.

Soumitra Sen: Just to add on the corporate book, it was just a tactical move to build liquidity. So, the focus remains on corporate book , and it should keep on climbing up. There's no go slow on that.

Moderator: Next question is from the line of Rikin Shah from IIFL Securities.

Rikin Shah: A few questions . So, the first one was in the notes to account #15, there have been some reclassifications from different P&L line items. Does that impact the P&L? Or it's just mere reclassification, and there is no P&L impact of that? That's number one.

The second question is, if you could just quantify the total amount of fraud, which has impacted P&L in the quarter because some of them have been adjusted against each other, the rest are just reclassifications. That's the second one.

The third question is, while there was a comment that the corporate loans were strategically just runoff to build up the liquidity. But was there any interest income reversal even in the corporate loans? Because the corporate loan yield has also dipped fro m 8.8% to 8.07% in the quarter. So those are my main questions. I have a few data keeping questions, which I'll take probably offline.

Indrajit Yadav: Yes. So, some of those one -offs in terms of interest reversals, et cetera, have been allocated to the underlying businesses as we can't just leave it hanging, so wherever there have been impact. So segment -wise yield, I don't think you will have a comparable to la st quarter.

So I think this quarter, I'm afraid you can't compare yields in the underlying segment because all these one -offs have been reallocated back to the underlying segment. So you would have seen yield in both consumer and corporate is lower this quarter, signi ficantly lower this quarter versus the previous quarter. That's one.

Rikin Shah: The reclassification to corporate would have happened only if there was irregularity in some recognition on interest income there, right? Or is there some ad hoc reclassification done towards corporate?

Santosh Kumar : So there's no reclassification in the corporate book. So, it was mainly in the fee and interest income for the retail portfolio. Corporate was intact as it is. The red

uction is
mainly on account of repo rates, which has impacted the margin and the liquidity that we have maintained.
Rikin Shah: Yes, fair enough. And on the other 2 questions, the notes to account 15, is that just mere reclassification? Or there is a P&L impact of the forward items, which are mentioned in notes?
Indrajit Yadav: No, the first part of the notes to account has P&L impact. These have been accounted in the current quarter's numbers. Those are the respective lines we have mentioned it clearly. The second part is where we have also mentioned, these are just reclassification. Those 2 line items of INR761 crores and INR158 crores, they don't have a P&L impact. And we have given you like earlier mentioned, the steady -state

business as usual numbers, which takes into account all these changes that have happened during the quarter.
Rikin Shah: Got it. So just fair to say that around INR4,900 crores of frauds had a P&L impact in the quarter. I'm just summing up all the numbers, which are there. But does that broadly tell INR4,900 crores P&L impact?
Indrajit Yadav: I wouldn't be able to comment on it, whether it's fraud or not . It's still not yet conclusive. We don't want to get into that. Let's wait and watch. The process is still ongoing. But you can compare the BAU versus the reported numbers and that's the difference between the underlying versus the reported number.
Rikin Shah: Got it. And just one last question, Indrajit. Did I understand clearly that the fee income of around INR2,100 crores in the quarter was also because of certain reclassification from interest income to fee income. So, the steady -state fee income could be lower than what we saw in this quarter?
Indrajit Yadav: What I mentioned earlier that around Rs.2,500 crores of normalized fee income is there in this quarter. If we keep aside the derivative -related adjustment that we have done . That number is stable versus the quarter 3 because some of the interest income has got reclassified into the fee income. So, this Rs.2,500 crores is the BAU. Now it can go up, down, wherever depending on how the underlying businesses go, and that we will have to see every quarter.
Rikin Shah: Yes, fair enough. And I'll connect subsequently on some data keeping questions.
Moderator: Next question is from the line of M.B. Mahesh from Kotak Securities.
M.B. Mahesh: Sorry, my question again also is the same as the previous one. This Rs.761 crores of interest income, which got reclassified, is it possible for you to give us a bit more clarity as to what has caused this?
Santosh Kumar : So there were certain items, which were from the beginning have been part of fee income, but wrongly classified under interest income. We have just reviewed the overall grouping and classification. And based on that, we have regrouped in the correct head . So as such, no impact on the P&L. But yes, the classification inside the P&L would change, and that's what we have done in Q4 .
M.B. Mahesh: No, we get the fact that it was incorrect. I'm just trying to understand what are the examples of it that we've got reclassified? Just trying to understand the nature of it.
Indrajit Yadav: So, Mahesh, I'll take you through offline. I'll give you some examples. I think it will take some time. In the interest of time, we can discuss it later.
M.B. Mahesh: Okay, sure. There is also an additional income in the credit card line item or card fee income. Can you just clarify that as well?
Indrajit Yadav: Some of this relates to that. Again, the fee line items that we have shown, you would see that they also reflect the underlying numbers. So the fee line items of this quarter are not comparable to the previous quarter. So all the reclassification, et ceter a, has also been reflected into the corresponding fee line item in that slide. So p

art of the
interest income got reallocated in some of those line items, appropriately reflecting the underlying.
M.B. Mahesh: Okay. And the second question is that the higher slippages that you have shown on the MFI side, in the normal course of event, which is about INR1,800 crores, how would you explain that for the quarter?

Indrajit Yadav: So as I was saying earlier, Mahesh, there have been overdue books, which has been in the last 3 quarters. And part of this is also because of the Karnataka state, some of the events which happened. Those slippages are higher because of those earlier 9 months stress. We have been continuously saying the slippages in quarter 4 will be higher in 4 digits, and that's what has happened in this quarter.
M.B. Mahesh: Perfect. Sorry, you had indicated this answer in the first part saying that you will not want to comment on within quarter performance of the balance sheet. Is it at least possible for you to give a qualitative answer as to how is the position on the liability side?
Indrajit Yadav: We have given in the press release also , the first half of this quarter till 15th of May, the average liquidity coverage ratio is 139%. So, we had given you the period -end number of March, and we have almost maintained stable liquidity in the first half. If I'm not wrong, we continue to carry the same as of yesterday also.
Moderator: Thank you very much. Ladies and gentlemen, we'll take that as a last question. I'll now hand the conference over to Mr. Sunil Mehta, and the management team for closing comments.
Sunil Mehta: Well, I just want to say thank you to all the analysts who have joined this call. I have already stated what I wanted to state in my closing comments , that we are looking forward to rebuilding the Bank and our fundamentals are strong. Our Capital adequacy is solid. All the financial impact from the various negative items have been addressed. A clean and a healthy balance sheet that we are building from financial year '25, '26. Any risk or control weaknesses that have been identified during thes e extensive reviews that have been done by internal and external agencies on the bank across all segments of the Bank. They will be all put into action in terms of rectification, correction, strengthening of our own technology and systems, processes, looking at any breaks that were there in the processes . Paying a lot more attention on people , because the Bank is built on people and sort of making sure that we have the right roles and responsibilities and the right ethical standards for the people to sort of take the bank forward from here.
From a Board ’s point, I can assure you that we are looking at this bank as a bank that will be reinvigorated from here , as we sort of hand over the baton to the new leader who takes responsibility and moves forward from here.
And the entire management is working relentlessly to ensure to build a strong and a highly respected bank, which will have a bright future from here. I just want to thank all of you for joining and greatly appreciate the patience and apologies for the delay that happened in starting this call. So thank you so much.
Moderator: Thank you very much. On behalf of IndusInd Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Q1 FY26 Earnings Conference Call

BOARD AND MANAGEMENT:
MR. SUNIL MEHTA – NON -EXECUTIVE INDEPENDENT, PART -TIME CHAIRMAN
MR. SOUMITRA SEN – HEAD , CONSUMER BANKING & MARKETING
MR. ANIL M. RAO - CHIEF ADMINISTRATIVE OFFICER
MR. INDRAJIT YADAV - HEAD, INVESTOR RELATIONS AND STRATEGY
+
MANAGEMENT TEAM MEMBERS

July 28, 2025

Moderator : Ladies and gentlemen, good day, and welcome to IndusInd Bank Limited Q1 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sunil Mehta, Chairman along with the Management of IndusInd Bank. Thank you and over to you, sir.

Sunil Mehta : Dear all, very good evening to all of you. I, Sunil Mehta – Chairman of the Board of IndusInd Bank Limited, welcome you for this quarterly results call.

I am joined by our Committee of Executives, Soumitra Sen, and Anil Rao, along with the rest of our management team. We will follow a structure similar to the last quarterly call for today's call as well. I will begin by highlighting some of the key developments at the Bank , after which Soumitra and Anil will provide more detailed updates on our business performance and financial results.

At the outset, we had two main objectives in this quarter – first being restoring trust in the institution as our prime and immediate responsibility, and secondly ensuring continued execution of core businesses of the Bank. The Board and the management remain committed t owards these objectives. The Bank has implemented higher standards of transparency and compliance as also reflected through actions taken by us.

I will give further update on some of the key developments for the last quarter:

1. Decisive Action on Legacy Issues:

• During Quarter 1, the Board and the management have spent considerable time and efforts towards resolving the concerns relating to legacy treasury and microfinance issues as identified in the previous quarter.

• In treasury, we have stopped internal deals. We have further began process of upgrading the treasury Calypso system to the latest version with enhanced functionality of Trade Management, Controls and Monitoring.

• The governance framework for the microfinance subsidiary has been significantly improved bringing in greater transparency. We continue to delve deeper to further enhance board and management oversight and operational control over the subsidiary.

• The Bank has set up a dedicated Process Management Office tasked with benchmarking the Bank's internal processes and policies with the best practices and bridging gaps, if any.
• The rigorous exercise which had been conducted in Q4 helped the Bank to absorb these irregularities in Q4FY25 results itself. As you would have seen and in line with our assessment, we have delivered Q1FY26 results without any carry over of the prior perio d irregularities. The financial impact of the legacy issues is thus now behind us.
2. Leadership Transition Well on Track:
• The Bank has made significant progress on the CEO appointment. The recommendations were submitted within the prescribed timelines and are currently under regulatory approval process.

• We do want to clarify that there has been no change by the Bank in its CEO recommendations, from what we had initially submitted to the regulator.
• In addition, the Bank is also actively identifying, both internally as well as externally, top quality talent for the wider senior management and we will update you at appropriate time.
• Meanwhile, the Committee of Executives (CoE), operating under the guidance of the Board's Oversight Committee, has done an excellent job ensuring seamless business continuity during this challenging phase. Under their leadership, the Bank is effectively pu rsuing near -term priorities as well as laying and building on the foundation for sustainable growth.
• We are confident of building a strong management team which will unlock the

true potential of this franchise underpinned by robust governance framework.
3. Key focus themes identified for the near term:
• Even as we await the new CEO, the Board along with the Management have aligned on five key focus areas to be actively worked upon.
• These themes include:
o Profitability First Approach – we have taken measure such as reduction in savings account rates, de -emphasizing growth in lower return businesses through effective fund transfer pricing etc. to restore the profitability of the organisation towards its underlying potential.
o Stringent Cost Management – A robust cost management plan has been identified and is being implemented by all business units, even as future focused investments continue apace. The Bank had over 20% opex CAGR in last 3 years and we are now working towards containing opex to single digit YoY growth in the foreseeable future.
o Heightened focus on Recoveries – We are scaling up our collection efforts to recover Bank's dues from the accumulated slippages. We are targeting the upgrades and recovery run -rate for the year to be comfortably better than the last couple of years.
o Building the "One IndusInd" franchise – There are immense synergies between our diverse businesses. Management is working actively to ensure that the collective power and service of our whole bank is made available to our customers. We aim to leverage our existing customers leading to better risk adjusted growth as well as improved self -funding proportion across the business units.
o Effective engagement with stakeholders – We have also continued our proactive engagement with all our stakeholders, including regulators, employees, customers, rating agencies and media. The Bank has transparently shared all developments, addressing their concerns and rebuilding the trust in t he organisation. We are encouraged by and deeply appreciate their support. I want to express my gratitude to the RBI as well as our 45,000 employees for their support throughout this journey.
• These themes represent the opportunities where we believe meaningful progress can be made, leveraging our existing investments and capabilities. In addition a detailed strategic roadmap will be identified and implemented by the new CEO, once in place.
4. Delivered on Business -as-Usual Agenda:
• Despite the overhang of legacy clean -up, we have collectively ensured that there is continuity in the rest of the Bank's businesses.

• On Assets side, our vehicle and consumer businesses maintained disbursement as per their usual trends. We were cautious on the microfinance business. As

regards the corporate banking business, we had calibrated disbursals and they are now picking up.
• On Liabilities, the retail momentum continues apace with share of Retail Deposits as per LCR improving QoQ. We have let go of bulk and certificates of deposits, which has helped in the granularization.
• We had carried excess liquidity during the quarter which we have started deploying in accretive purposes.
5. Financial Outcomes for Q1:
• The Bank has returned to profitability on quarterly basis, with a profit after tax of Rs 604 crores.
• As mentioned earlier, the profits for the quarter are without any one -offs from the prior period.
• We have reported stable operating profitability metrics vs normalised Q4 metrics.
• The CET1 capital improved to 15.48% vs 15.10% QoQ with efficient capital utilisation. This provides enough fuel in the tank for growth in foreseeable future.
Overall, the Bank has demonstrated strong resilience in getting past the unfortunate events in Q4. We believe the financial return metrics are still below their potential due to the developments since March 2025. We have seen a steady recovery in our core businesses and our aim will be to show consistent and predictable improvement every quarter on our financial metrics.
I will now handover to

Soumitra to take you through highlights on individual businesses.
Soumitra Sen: Thank you, Chairman. I will start with the vehicle finance business .
1. Vehicle Finance:
• Our vehicle loan book stands at Rs.96,357crores growing 7% YoY and 1% QoQ.
• Disbursements for Q1 were at Rs.11,298 crores, remaining steady on a YoY basis. Q1 has traditionally been a seasonally weak quarter of the year, and the second half of the year contributes a larger share of both disbursements and recoveries, and we expect this trend to continue.
• We witnessed YoY loan growth across most product categories, with Passenger Cars, Construction Equipment, and Light Commercial Vehicles registering double -digit growth. While tractor loans saw a decline YoY, disbursements are now picking up both sequential ly and YoY basis, following last year's consolidation and strengthened credit underwriting processes.
• On asset quality, the net slippages for Q1 improved to 0.58% vs 0.62% YoY. We expect slippages to remain rangebound as the year progresses, supported by seasonality benefits and improving economic activity.
• Over the past six months, we have not sold any NPAs to ARCs, choosing instead to focus on internal collections. This however leads to the increase in period end the GNPA ratios for the interim period.
• The restructured book in Vehicle Finance has now come down to immaterial levels at Rs.85cores vs Rs.417crores YoY, with majority of this reduction being a result of upgrades & recoveries.

Looking ahead, overall vehicle demand for the year is expected to be muted. However, we do see some support coming through rural uptick with strong monsoons, government infrastructure spending as well as interest rate cuts. We remain watchful of region -specific weather disruptions, supply -chain constraints and

geopolitical uncertainties, which may pose operational challenges. Our diversification across geographies and vehicle categories should also help us in sustaining steady momentum and mitigating risks.

2. Micro -Lending / Micro -finance:
• Total outstanding loan book under microfinance and merchant business now stands at Rs.35,712 crores down 6% QoQ and 16% YoY
• Microfinance

o We took a cautious stance on microfinance, monitoring industry trends while working on several initiatives aimed at strengthening internal processes through enhanced quality checks such as re -validating all KYCs, improving underwriting standards, and conducting loan utilization checks for all loans etc.
o While these measures temporarily impacted disbursement growth, they have provided critical validation and process enhancements, and re -instilling confidence in our ability to achieve sustainable growth in this segment, going forward.
o As a result, microfinance disbursements were down by 36% QoQ and loan book by 8% QoQ. Disbursements followed MFIN guidelines and focused on high -vintage customers with strong bureau & repayment records and high internal behavioural scores.
o Slippages, though elevated from normalized levels, have declined meaningfully QoQ. We expect slippages to gradually stabilize by H2, as legacy stress subsides, and new disbursements continue to perform steadily.
o The 31 -90 Days Past Due book was steady at 2.2% in Jun -25 vs 2.3% in Mar-25.
• Bharat Super Shop i.e. the merchant acquiring business
o We have now around 649k merchant borrowers under this program.
o Our merchant loan book at Rs.7,304crores, grew by 38% YoY.
• The share of non -MFI book now stands at 20% vs 13% YoY.
• Total liabilities sourced through BFIL now stand at Rs.2,160 crores.
Overall, we are seeing improvements in terms of microfinance stress and slippages from the elevated levels of last year. We continue to remain cautious on growth as well as asset quality trends. Our diversification efforts continue apace, with steady scale -up in the merchant business. We rema

in confident in the long -term rural opportunity and believe that our deep distribution network and calibrated diversification strategy will help us achieve and maintain sustainable growth.

3. Corporate Bank:
• We continued our tactical approach of efficient balance sheet management for most of the quarter. This resulted in moderate corporate disbursements during the quarter. However, with the liquidity concerns now behind us, we have resumed disbursement growth from July.
• As a result, our corporate loan book has come down by 8% QoQ and 16% YoY.
• The proportion of A and above rated customers at 77% has been steady QoQ. The weighted average rating was at 2.60 vs 2.57 QoQ.
• The Gems & Jewellery portfolio continues to reflect strong asset quality, with no accounts in SMA1 or SMA2. However, growth continues to remain muted, amidst industry level slowdown.
• Gross slippages in the corporate book stood at 17bps or Rs.245crores, mainly contributed by one manufacturing account of Rs.118crores which we had already provided 50% for and a few other granular slippages.

• Looking ahead, corporate slippages are expected to improve, supported by a healthier early delinquency profile. Our combined SMA1 and SMA2 book has declined to 14 bps from 24 bps QoQ.
• Corporate Restructured book has reduced to Rs.132crores vs Rs.569crores YoY.
• Overall, while we have temporarily moderated corporate book, our long -term strategy of scaling up the granular mid and small corporate portfolio, along with selective exposure to large corporates, continues to be actively pursued. The same should reflect i n the coming quarters.

4. Other Retail Assets:
• Our other retail assets grew by 18% YoY and 2% QoQ.
• MSME book under business banking is at Rs.17,973crores growing by 8% YoY.
• Scale -up of home loan book continues with outstanding now at Rs.4,996crores growing by 113% YoY and 11% QoQ
• LAP book maintained steady traction with 12% YoY and 1% QoQ growth.
• Credit card spends at Rs.26,900 crores grew 15% YoY while moderating on QoQ basis. Our market share in credit cards spends was at 4.78% based on latest

available data.
• The asset quality trends have been rangebound in all the segments. We don't have large exposure towards unsecured business loans. The credit card stress remains elevated but stable. The secured side asset quality trends have been comfortable.
• Overall, we continue to scale our other retail asset segment, with a clear focus on diversifying the loan book and increasing the share of retail secured assets, particularly through home loans and MSME lending.

5. Now coming to Liabilities:
• Our deposit franchise has demonstrated resilience after being put to test in early March. The deposit accretion improved during the quarter after the dip in March, albeit it has not yet reached similar levels prior to the March disclosure.
• The retail deposits as per LCR at Rs.1,84,634crores grew by 6% YoY while remaining steady QoQ. The share of retail deposits now stands at 46.5% vs 43.7% YoY and 45.1% QoQ.
• During the quarter, we consciously exited certain non -accretive wholesale deposits, leveraging our comfortable liquidity position. As a result, total deposits at Rs.3,97,144 crores declined 3% QoQ.
• With comfort on the stability of the deposit book, the Bank undertook significant rate actions of up to 200bps on savings account and up to 100bps on term deposits in certain slabs.
• We have also combined the Affluent and Non Resident business segments, considering the overlapping profile of customers. The combined deposits stand at Rs.74,300 crores growing at 5% YoY and NRV at 1,21,200 crores growing 16% YoY.
• We let go some of the Certificates of Deposit raised in March and thus CDs reduced by 12% QoQ.
• Borrowings at Rs.52,200 crores were down 3% QoQ with share at 9.7% of total liabilities.
• We maintained a conservative liquidity

stance, carrying excess liquidity with an
average LCR of 141% and average surplus liquidity of Rs.52,700 crores.

In summary, our retail deposit franchise continues to show resilience and we are pivoting towards growth now. We are not hesitating in cutting rates and we do believe there is further scope to cut both Savings as well as term rates. Improving the granularity of deposits along with reduction in cost of deposits continues to be our

immediate priority. The liquidity measures announced by the Reserve Bank are positive for our journey toward building a more granular and robust retail deposit franchise.

6. Digital Traction:
• Our Direct Digital Business continues to scale meaningfully across multiple lines of business, as highlighted in our investor presentation.
• Our flagship mobile banking app, INDIE , has shown strong traction this quarter, driven by customer adoption of the upgraded experience. Key performance metrics include
o Monthly active users were up 2.6X QoQ
o Across business lines, we saw robust growth from direct -to-client campaigns and migration from the legacy app:
■ FD bookings from INDIE app were up 220% QoQ
■ New SA opened via INDIE app up 292% QoQ
■ MF bookings via INDIE app up 600% QoQ
■ Loans disbursed via app up 37% QoQ
• Our MSME -focused digital platform, INDIE for Business, also delivered strong results. The app now has 100,000 MSMEs registered, with monthly active users growing 129% QoQ and tax payments and bill payments via app growing 600% and 57% QoQ respectively.
Now over to my colleague Anil to take through the financial highlights.
Anil Rao: Thank you , Soumitra, and Chairman sir. Good evening to all the listeners on this call and thanks for your participation.
Coming to the financial performance:

Despite a challenging operating environment, we are pleased to report the Bank has returned to profitability this quarter.

• Our Net Interest Income at Rs.4,640 crores and Net Interest Margin at 3.46% remained steady compared to normalized numbers for Q4FY25.

• Net Interest Margin was supported by improving cost of deposits on the back of rate cuts, particularly savings account for this quarter and higher overall retail loan mix. These helped offset the impacts of excess liquidity and lower share of MFI loans.

• The reported NIMs were higher by 11bps due to one past NPA recovery and one off interest on income tax refund.

• Q1 is typically a seasonally soft quarter for core fee income. This quarter, core fee income was further impacted by subdued corporate activity and lower MFI disbursements. We however had healthy treasury and recovery income during the quarter. As a result , Non -interest Income was at Rs. 2,157cores.

• Operating expenses were stable QoQ and YoY growth was contained at 9%. The Cost to Income is elevated due to subdued revenues as we carried excess liquidity as well as seasonally weaker quarter. As we resume asset growth and with tighter cost control, we a im to reduce Cost to Income consistently throughout the year.

• Operating profit for the quarter was at Rs.2,568 crores.

• In terms of asset quality:
o The gross and net slippages improved QoQ to 0.74% and 0.61% respectively.
o The asset quality trends in vehicle, retail and corporate banking were stable. Microfinance showed improvement QoQ, however, slippages are still higher than the normalised runrates.
o The gross slippages by key segments were Vehicle Finance Rs.743 crores, Corporate Rs.245 crores, Other Retail Rs. 692 crores and Microfinance Rs. 888 crores.
o Our SMA 1 and SMA2 book improved to 14bps vs 24bps QoQ
o Net Security Receipts declined to 22bps vs. 27bps QoQ
o Restructured advances declined to 10bps vs. 12bps QoQ

Overall, the Bank returned to profitability on quarterly basis, with profit after tax of Rs. 604 crores. Our Balance sheet remains strong with the

Capital Adequacy Ratio of
16.63% excluding Q1 profits, Provision Coverage Ratio of 70% and average LCR of 141% with excess liquidity of Rs.52,700 crores.
I will now hand over to the Chairman for concluding closing remarks.
Sunil Mehta: Thank you, Anil. While we close the opening remarks, I do want to bring into focus some key messages:
• We have delivered financials without any prior period adjustments as committed in the last quarterly call. We take this opportunity to again assure the stakeholders on the thorough review done while finalisation of the last quarter's results.
• We are progressing on building a sustainable bank in areas of our expertise. We are growing in vehicle, retail, mid and small corporates, granular liabilities etc. We remain cautious on unsecured segments.
• The CEO succession process is well on track and we are confident of having a highly capable and competent leader soon at the helm. The Committee of Executives has done excellent job navigating these turbulent times under the guidance of the Oversight Commi ttee.
• While the financials have returned to profitability, there is certainly significant scope for improvement. There are some near term opportunities which we are actively working towards, while also laying and building on the foundation to achieve our medium and long term aspirations.
• Lastly, the compliance and governance culture along with rebuilding the talent

desirous of delivery remains the Bank's primary area of focus. All our actions and communications are underpinned towards this objective.
We are on an exciting journey of rebuilding this Bank towards a more sustainable and predictable growth. I want to again express my gratitude to the RBI and all stakeholders for continuous guidance and support.
We can now open for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Rikin Shah from IIFL Capital. Please go ahead.
Rikin Shah: I have quite a few questions, but I'll try to restrict it to 3-4 and will come back. But firstly, in the opening remarks, there was a statement that there was interest on IT refund and interest recovery in one account. Would you be able to quantify the same and ex of both these factors, what would be the core NIM in this quarter? That's the first one.
Indrajit Yadav : Rikin, those two account for around 11 bps on the margins. So, you can calculate the quantum.
Rikin Shah: Got it. Secondly, it's on cost of fund. 12% of the CDs were run down. So, is it fair to say that a large proportion of the CDs that we raised in March are still being carried by the Bank ? And if you could also help us with the cost of savings deposit currently, just trying to understand how the cost of fund trajectory evolves from the current quarter ?
Indrajit Yadav : The CDs are still there, you're right . Because some of those CDs were for six months. They will come up for renewal in this quarter. We have not been actively issuing CDs given the rates that are there and the liquidity in the market that we are getting. So, over the period of time, you will see CDs coming down. We have always kept share of CDs at 3% to 4% of the overall deposit base. Today, it's slightly elevated and we will tone down as we progress. So, that's where we are on the CDs.
On the savings account side, we don't publish cost of saving account deposits, as you know. It has come down versus last quarter. Our current SA rates are still lower than cost of SA deposits for the quarter . So, there is still some benefit of last quarter savings account rate cut s, and those are yet to be fully reflected into the cost of deposit. But you will have to wait for another quarter till you see it.
Rikin Shah: Maybe a qualitatively a way of thinking about how much cost of fund benefit kind of flows through in the next couple of quarters, given that there are mul

tiple moving
parts in addition to the steady state business ?
Indrajit Yadav : Precisely because there are multiple parts, we won't be able to say by how much bps cost of fund s is yet to come down . But if I have to give you some ballpark number s on current SA rate s versus where we closed last quarter, there is another 40 -50bps reduction in cost of SA is possible. The rest of the cost of fund deposits, there are multiple moving parts. How much of that will in the end reflect into cost of fund reduction , that we will have to see as the quarter progresses.
Rikin Shah: Fair enough. The third one is on the fee income. Understandably due to the business degrowth, the fee income has been weak. But the growth has collapsed across the line items. So, adjusting f or any volume or business uptick that we see from here, should this be considered a new normal base for the fee income?
Indrajit Yadav : Last quarter's fee was not in a way comparable. You would have seen there were a lot of one -offs we had adjusted for. So, please don't compare that. There were a lot of transfers between NII to fee etc. This quarter's base is something which you have to start your benchmarking from. So, you're absolutely right. Whatever is this quarter's reported fee, that is the base from where we will start. Some of those fees are impacted because of the lower disbursements in vehicle, MFI etc. Corporate, if

the book degrows by 10%, the consequent fees also go away. So, all those things are there. But there is no one off in that. I can say that.
Rikin Shah: Got it.
Soumitra Sen: You also know that the Quarter 1 is obviously a soft quarter, and you would see from Quarter 2 onwards it should scale up.
Rikin Shah: Got it. The second last question is on the asset quality. The fresh flows in MFI have actually again inched up in this last three months. And even in other segments, on absolute and percentage basis, the NPAs have gone up. So, do we still expect elevated slippages in the coming quarters and this 200 plus basis point of credit cost? Is there

any scope for meaningful improvement from the current levels?
Indrajit Yadav : See microfinance , we had said that it will take at least six months for things to normalize. We have come down from Rs.1,600crores of last quarter's slippage s towards around Rs.900crores this quarter. So, there is a meaningful reduction. But it's elevated versus the normalized run rate. And it will take maybe 3 to 6 months more before we can say that the stress is behind us . Sequential uptick is always there from Quarter 4 to Quarter 1. Plus, there were some additional changes in terms of MFIN guidelines getting implemente d. Some of the state level issues were there and you would have seen other MFI results. So, it's a common phenomenon across the industry where overdue book has increased in June versus March. And we are no different. We continue to have that same belief that it will take another 3 to 6 months for microfinance before we c an say that stress is behind us.
Coming to other segments, as we said, there is a minor few basis points here or there increase in slippage s, which is par t for the BAU progress . I wouldn't read too much into it. For Bank as a whole, excluding microfinance , slippages are stable. Only thing is the GNP A number that you see is higher sequentially as well as year -on-year. We have not been selling to ARCs or writing it off given the limited operating profits that we have, the capacity to write off is also limited. Bulk of the write offs are assigned towards microfinance, unsecured etc. So, at some appropriate time, you will see the write offs also coming in. GNP A, as you know is not th e best indicator in terms of the evaluating Bank 's asset quality . Slippages, the gross and net is what you should look at. Most of the businesses have shown stable gross and net slippage s.
Rikin Shah: Got

it. Fair enough. And the last question is , the notification of the fund raise. Was it just an enabling resolution? And what is the status of regulatory approval on increase in the promoter shareholding? Those are all my questions.
Indrajit Yadav : Every AGM, as you know, we take enabling resolution from the shareholders to raise both equity as well as debt capital. It doesn't mean we will raise . At appropriate time , the board management will evaluate what is the right time and quantum that need to be raise d as capital. As you would have seen, ou r CET1 is now close to 15.5% and that too without counting profits of Quarter 1. So, we have enough capital available. Growth is, as you know, it's in single digits or almost flat for this year . We will have to see how the year goes. So, capital wise, I think we are now well placed. We don't need capital. But board and the incoming CEO as well as the management will evaluate when we want to raise capital. The shareholder resolution is just an enabling resolution which we take every year. It's nothing out of ordinary.
Rikin Shah: Right. The regulatory approval on increase in promoter shareholding , what is the status of this thing ?

Indrajit Yadav : No, we have not yet heard anything from the RBI. There might be discussions between the promoter and the regulator directly. The Bank is not aware of any new development which we are required to disclose.
Rikin Shah: Perfect. Thank you so much for answering all the questions.
Moderator: Thank you. Next question is from the line of Piran Engineer from CLSA India. Please go ahead.
Piran Engineer: Yes. Hi team. Thanks for taking my question. Just firstly on the NIM front or rather yield front, how much of the repo pass through is done?
Indrajit Yadav : So, different businesses are at different benchmarks. We have vehicle which is largely fixed MFI, which is fixed rate.
Piran Engineer: No, in the EBLR.
Indrajit Yadav : Difficult to give you at a Bank level how much EBLR is passed on. The large part of the external benchmarking happens in corporate side. And on the corporate side, the yields are down around 20 basis points this quarter versus last quarter. So, there is the bulk of EBLR repricing that you can see playing through in this quarter.
Piran Engineer: So, let's say the repo rate cut happened in early June. When does that really get passed on? Does it happen evenly over the quarter?
Indrajit Yadav : No. Whenever it comes for renewal, the re are different terms . Different loans have different terminologies on the corporate side. They have got various renewal processes. So, it gets passed on over a period of time. In the end, there could be some lead lag, but over 3 to 6 months, everything gets passed on.
Piran Engineer: Okay. Fair enough. Secondly, on the fees bit, so I understand a lot of re -statements last quarter and all. But even if I look at your card and distribution fee, and I understand there is seasonality in 4Q. But even on a YOY basis, it's like down 50 %- 60% whereas your book is kind of still growing on a YOY basis. So, how do I reconcile

this?
Soumitra Sen: On the insurance business, I think there is, you know, it's a seasonal business. So, Quarter 4 was the highest. And though there were events in Quarter 4 of last financial year, we didn't suffer that. We did our distribution fees that way. On the card side, you know, some part of the business, which is on the commercial side, we are letting go because it's not too efficient a business. But you will see that once we normalize this from Quarter 1, you will see the growth coming back from Quarter 2 onwards. But your profitability doesn't get affected because of this.
Piran Engineer: Okay. And just lastly, you all mentioned, you all are combining afflue nt and what was it, NR deposits? You mentioned something like that.
Soumitra Sen: Yes. See, the cliente

le is practically similar. NR client is also a HNI client. So, we thought that, okay, the affluent and the NR, the client segment is the same. One is Indian, one is the NR. Because the product program can be actually offered better, s o we have combined that for better client offerings.
Piran Engineer: Okay, that's it from my end . Thank you and wish you all the best.

Moderator: Thank you. Next question is from Kunal Shah from Citigroup. Please go ahead.
Kunal Shah: Yes, thanks for taking the question. So, again, coming back on the core fee income side, if you look at fee to assets, that is now actually down to closer to like 1.1% on an average. Last quarter, you indicated like say 2,400 odd crores to be the normalized number. And now you are saying that we need to reset to this level. And then let's see in terms of the growth. So, where eventually will fee to assets settle? Because I think that's going to be the key driver to ROAs. And this time, again, it has reset at a much lower level.
Indrajit Yadav : No, Kunal, if you recall, we did not say that is the base last quarter. I still recall that the number reported was normalized. And we always said that number will go up and down depending on the business mix. So, this quarter, Quarter 1, as you know, is a seasonally weak quarter compared to Quarter 4 across the businesses, be it vehicle, microfinance, plus added impact of corporate. The retail side distribution fees are lower. Some of the credit card fees etc. , we have let go of being selec tive. So, we are cognizant of how fees are important from the ROA perspective. And the businesses are not letting go the fee ambitions. And we will start rebuilding our growth journey, keeping in mind both NIM as well as fees. It is difficult to give you a guidance or target where we would like to.
Kunal Shah: How far can we optimize? Ye s, because it's at 1.1. So, can we even optimize to 1.5, 1.7? How would that be?
Indrajit Yadav : No, Kunal, we would be not in a position to give you any guidance on the specific numbers.
Kunal Shah: Okay . Sure. And secondly, on maybe cost side, you mentioned that I think a part of it is because of the credit card, because maybe it's not coming in the fee as well as it's not there in the OPEX . So, if we add that, okay and maybe the loss in the card fee income and maybe the overall overhead cost, then it seems to be like almost a flattish number, while employee cost has gone up quite significantly. So, what would have been the reason for this kind of a jump in the employee cost in particular?
Santosh Kumar : So, there is no increase in the OPEX as such, but there was a certain expenditure pertaining to employee that we have regrouped for the year, and we have restated that. So, that would be basically permanent from now onward s.
Soumitra Sen: Kunal, it's just a change which we did. I think the accounting, the line wise, we have put it into the employee cost line. That's it.
Kunal Shah: And then quantum would be?
Santosh Kumar : For this quarter, it was Rs.145crore s. So, that has been done.
Soumitra Sen: It's a reclassification which we have done. So, overall OPEX doesn't go up. But I think we have put in the right line, which is under the employee expense line . So, because of reclassification, you're seeing a jump.
Moderator: Thank you. Next question is from Ankit Bi hani from Nomura. Please go ahead.

Ankit Bihani: Yes. Thank you for the opportunity. I wanted to ask, are we seeing any signs of stress in the CV segment, especially the retail CV? Are there any signs of stress there?
A. G. Sriram: I don't see any stress in the CV segment. Our net slippage s have been lower than last year’s Q1 . And we continue to believe it should be better than last year.

Ankit Bihani: Okay. And in terms of loan growth, should we expect positive loan growth on a Q OQ basis from 2Q o

nwards?
Indrajit Yadav : Bank as a whole, we'll wait and watch. We will not give you any quarter specific or the year specific guidance. As our Chairman sir said in his initial opening remarks, our ambition is to show you improvement quarter -on-quarter on every metric. But we will not be in a position to give you any specific guidance. As he said, we are focused on secured businesses like vehicle, retail, mid and small corporates. We are cautious on microfinance. So, all that philosophy continues, but we will not be able to give you any quarter specific or year specific guidance.
Ankit Bihani: Okay. Thank you. Those are my questions.
Moderator: Thank you. Next question is from the line of Jai Mund hra from ICICI Securities, please go ahead.
Jai Mund hra: Thanks for the opportunity. The first question on, I see that the standalone PAT and the console PAT, there is a difference of some Rs.80crore s something. What would explain that?
Indrajit Yadav : So, that's the loss of the subsidiary, the BFIL, which is 100% subsidiary, it has reported a loss. So, consolidated, it's been adjusted in the numbers.
Jai Mund hra: Okay. So, but that is like 100% subsidiary, right? So, that will not come in the standalone numbers also?
Indrajit Yadav : That's why when we have talked about the opening remarks, you would see the Rs. 604 crores is what we have talked about as a consolidated profit. Standalone profit is higher. If you net of f the subsidiary loss, then we come down to Rs. 604 crores as the consolidated profit.
Jai Mund hra: Right. No, that I can see. But I thought, while it is 100% subsidiary, but the entire business and it works the way that, it's like a department of the Bank . So, I thought maybe the financials are there in the standalone Bank also.
Indrajit Yadav : Jai, we can take you through maybe offline, there are certain expenses which we have to reimburse. It's not directly that every line item gets reimbursed for. So, there are some regulatory guidelines which are there and even though it's 100% subsidiary, there has to be a proper arm's length reimbursement guidelines. So, given the way the book has declined as well, and the expenses that they already have and compared to the whatever reimbursement that we can provide for, the subsidiary has re ported a loss. So, that's where it is. But I can take you through in detail how the operating mechanism works separately.
Jai Mund hra: Sure. Thank you. And lastly, if you can quantify the disbursement for MFI in this quarter Q1 and maybe the last quarter ? And when do yo u think these to pick up ?

Indrajit Yadav : Yes, we have done around Rs.6,000 crores of microfinance disbursements this quarter in BFI L. Last quarter, if I'm not wrong, we are disbursed around Rs.9,300 crores . On disbursement run rate, it will be difficult to give you a quantum. As I said, we don't give guidance on any specific numbers. We are watchful about how the situation is. First half is always seasonally weak. Plus, there are certain states going into election. And industry has shown some uptick in sequential overdue book. So, let's wait and watch how things go. But I would rather be more cautious on saying that the book has maybe a little bit chance of declining rather than growing. But let's wait and watch how things go. And then we will again come back in quarter to take a call.
Jai Mund hra: Sure. And lastly, if you have this number for how much is your loan book is fixed, EBLR, MCLR, etc. And on corporate, I think you mentioned that it happens with the respective reset date. But I don't think you have too much of retail floating rate loan book. But still, what is the EBLR mechanism for retail loans?
Indrajit Yadav : So, what used to be around 50% fixed has now gone up to maybe around 55 %-58% given that corporate book has shrunk in the last six months. Vehicle, MFI, they are all on the fixed rate. Some parts

of retail is also fixed rate. The 40% corporate book is on a floating rate basis. Of that, two thirds is on external benchmark and one third is on the MCLR.
Moderator: Thank you. Next question is from the line of Har sh Modi from JP Morgan. Please go ahead.
Harsh Modi: Hi, I had two questions. First is, if you had, let's say, enough operating profits, what is the stock of NPLs that you would have written off if it was possible? And I have a follow up.
Indrajit Yadav : See, way higher than my pay grade, but if I can just take a call. The Bank has

historically operated at around 50 to 60 basis points of net NPA. Today, our net NPAs are running at around 110 basis points. So, that extra 50 to 60 basis points of net NPA is something which is the accumulated net NPA over the last 6 months or 12 months. If we have enough profit pools, ideally, we should write it off. Obviously, you should have actually zero net NPA. But given the way things are, I think 50, 60 basis points of net NPA is where I think the Bank like us should operate. Also, comparing where the rest of the market is, I think that's where we should have 50 to 60 basis points of net NPA while maintaining 70 % to 75% provision coverage ratio.
Harsh Modi: Thank you. One more. Are you targeting a particular PAT or P BT, profit before tax number, in a bid to, as in, what is adequate PPOP and when, if I do write off 50, 60 odd basis point, is there a particular profit number, particular return number that you are targeting? I just want to understand how should I think about the timing of this 50, 60 basis point write -off for the next few qua rters ? Thank you.
Indrajit Yadav : There is no profit number in our mind. We want to be profitable. And there are certain other stakeholders which are also looking at the profit , such as depositors and others . So, we need to balance aspirations of all the stakeholders. You guys are more savvy than maybe a retail depositor on the ground , who can net off all those things from networth and say what is my adjusted book value. But from other stakeholders perspective, we need to have some decent profitability. So, there is no particular profit number in our mind. No particular RO E in our mind. We are cognizant of cleaning up whatever accumulated stress in the balance sheet is. If you noticed, outside of net NPA, all other forms of stress, be it in terms of SRs or SMA -1, SMA -2 or restructured book, all those are now coming down to almost negligible levels. The

only residual point is net NPA. That also will come down over a period of time. But at this point in time, I think it will be premature to say what is our expectation of this year's profits and when and how we will write it off the net NPAs.
Harsh Modi: Great. Thank you.
Moderator: Thank you. Next question is from the line of Jay ant from Axis Capital . Please go ahead.
Jayant : Thank you for the opportunity. Sir, my first question is on microfinance book. This is probably given that you run a large book , and we are hearing across the board 1Q numbers have been elevated for the industry. What is your read -through for the second quarter or maybe for the rest of the year? Is there any grip if this problem has peaked out or not? That is the first question.
Indrajit Yadav : Again, we are coming to the same question. I think let's wait for another 3 to 6 months. Things are a little bit in flux. Whatever we say today may not hold a month later. So, let's wait and watch. We are cautious on disbursement. You have seen our book coming down from Rs. 40,000 crores at the peak in last March towards almost now Rs. 28,000 crores. So, we have been running down. A large part of the book is now built in the last 6 to 9 months. However, that too is showing some stress. So, let's see, wait, and watch for another 6 months an d then we take a call. At this point in time, calling out whether things ha

ve peaked or not peaked, is too difficult for anybody I think in the industry.
Jayant: Again, you said the new book that has built up in the last 6 to 9 months also has some stress showing up, not just for us but for the industry ?
Indrajit Yadav : Yes, correct.
Jayant: The second question is on the deposits. If you can talk about the customer behavior on deposits after the large cuts that you have taken. What are the retention rates like? And just to follow up on that, given that your net headline loan growth number is probably going to be muted for a while, does that give you some more ammunition to shed higher cost deposits over the next 1 or 2 quarters?
Soumitra Sen: As of today, we are in liquidity excess. We are holding more than Rs. 45,000 crores - to Rs. 48,000 crores of excess liquidity . So, what we are doing is that the less profitable accounts on the liability side which is high cost, financial segment deposits etc., those kinds of things we are letting go. The segment which we are looking at is the retail. And you have seen that though overall book has de -grown, our retail book is steady. And you will see from Quarter 2, the accretion will start because whatever had to happen has happened. So, the focus definitely is on individual deposits, and we will grow that. And obviously till the time we have liquidity, we will try to prune and right -size the balance sheet so that it becomes more stable and sustainable.
Jayant: Does that mean margins can move up again from here in Q2?
Indrajit Yadav : As I have been saying, we will not be able to give you guidance on margins. All we can give you is the drivers. On the positive side, savings accounts rate cuts are yet to fully

reflect to the cost of deposits. The growth being slower on the corporate side results into positive margins. The liquidity getting deployed is positive for the margins. But on the negative side, repo / EBL rate cuts getting transferred impacting the loan yields , as well as low growth in microfinance, credit card etc., are negative. So, all we can

give is you the drivers of margins. But where they will end, we will not be able to guide you on.
Jayant: Thank you, sir. Best of luck.
Moderator: Thank you. Next question is from Anand Dama from Emkay Global. Please go ahead.
Anand Dama: Thank you for the opportunity and great set of results. My first question is on your opening remarks where you said that OPEX growth here on will be almost about single -digit. So, what is that basically going to drive the OPEX growth into single -digit? Because I think we want to invest into tech, you also invest into compliances , liabilities franchise as well seems to be relatively weaker on the retail front. So, why are you saying that OPEX growth will be single -digit or basically this is going to ch ange once the new MD & CEO takes the position? So, You are saying that OPEX growth will be single digit going ahead. Why is that so? Would that impact the OPEX ?
Indrajit Yadav : No, it is not about cutting. Given the environment of low growth , a lot of our variable costs come down. So, vehicle, MFI, if they are not growing, then the disbursement related expenses come down. Secondly, a lot of investments in technology have already happened in the last 2 -3 years. You have seen the opex growth rates that we have done. So, those are not recurring, whatever the maintenance costs are there, those are coming in. We have grown our opex at around 20-25% compounded. So, all those investments that have happened in the past . Operating leverage is coming from that. We are just waiting out a little bit more . We have been more cautious about all the spends. Some of the maybe too forward -looking investments, we will have to push out a little bit. We have to also get revenues first before we can start investing. So, it is just a bit of a tighter control over opex, ra

ther than anything else.
Anand Dama: And secondly, recently our HR Head has resigned. And we have seen senior management moving out. If the MD & CEO is not in, so how do you plan to hire the senior management , one? And, I think there was another call that we might be also hiring Executive Director. Any update over there?
Sunil Mehta: So, let me respond to this. So, as far as the CEO hire, that is progressing as per schedule. As we have committed to the regulator, the submissions have been made to the regulator as of June 30th and we await regulatory approvals. As far as the senior management is concerned, since we did lose the former CEO, the deputy CEO, and the CFO, it is quite natural for us to revisit our current management leadership team. And there were some that were also superannuating as part of the natural progress in the Bank . So, wherever there were any open gaps, we are looking at both int ernal and external candidates a nd sort of filling that up. And I think all the building blocks from a management leadership team are being looked at very closely. And we are hopeful that a lot of these positions will get filled up in due course.
Anand Dama: Could you provide some clarity on Executive Director position?
Sunil Mehta: So, we lost the last CEO and of course the Whole Time Director, which was the Deputy CEO. So, as we sort of move towards building the leadership team, after we have the MD & CEO in place, we will also look at creating two Whole Time Directors in due course.
Anand Dama: That's very helpful. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. And I'll hand the conference over to the management for closing comments.
Sunil Mehta: Thank you. I just want to thank all the analysts and everybody who participated in this analyst call. Greatly appreciate and thank you for all the questions that were asked. It puts us on our toes and certainly sort of we are mindful of whatever has been stated. But I just want to conclude by saying that we did go through, as I said earlier, we did go through a difficult period in the prior quarter. It has been very challenging. But when you are in a crisis situation, it's the team that gets together and works as a cohesive team. I feel that what ever we have witnessed over the last 3 to 4 months, it should have never happened. But since it did happen, we have learnt a lot of lessons from the same. We are making good progress in addressing all those issues of the past and certainly looking forward in building the Bank of the future. And the entire

team is working towards this one common objective and rebuilding the trust and
integrity and the highest governance standards from this Bank as we move forward.
And I can assure you that the efforts that h ave been put in have been extraordinary
by the entire team, the leadership team and all the employees of the Bank . So, I'll
stop here and thank all of you for participating in this session.

Anil Rao: Thank you.

Moderator: Thank you. On behalf of IndusInd Bank Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2025

Q2 FY26 Earnings Conference Call

MANAGEMENT:
MR. RAJIV ANAND – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. VIRAL DAMANIA – CHIEF FINANCIAL OFFICER
MR. INDRAJIT YADAV - HEAD, INVESTOR RELATIONS AND STRATEGY
+
MANAGEMENT TEAM MEMBERS

October 18 , 2025

Moderator: Ladies and Gentlemen, welcome to Ind usInd Bank L imited Q2 FY26 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rajiv Anand – M.D. & CEO, Ind usInd Bank. Thank you and over to you, sir.
Rajiv Anand : Thank you, Michelle. Good evening and thank you for joining us today. I understand that today is a long day for you all and appreciate you taking time for us especially also during the festive season. It is a privilege to address you for the first time as the Managing Director & CEO of IndusIn d Bank. I am also joined by our CFO Viral Damania and other management team members of the Bank.
Let me begin with a quick view on the macro environment. The global uncertainties are persisting, driven by tariff -related disruptions and geopolitical tensions. In contrast, India continues to demonstrate resilience, supported by its domestic oriented gro wth model. While the pace of growth has moderated over the past 12 -18 months, underlying fundamentals remain strong. Recent policy measures, such as income tax rationalization, GST rate cuts, and accommodative steps by the RBI are expected to support consu mption and investment. A strong monsoon and rural momentum further strengthens this outlook.
I remain optimistic that these developments will bolster economic momentum. We will work towards positioning IndusInd Bank to participate in the recovery as it unfolds. The Bank has shown strong resilience during recent periods of turbulence. As I take on this role, my focus is on realizing the full potential of the Bank, by leveraging our capabilities, scaling our strengths, improving in areas where we can do better and unlocking new areas of value creation.
We will now cover key highlights for the Q2FY26 and then go into business specific progress and financial performance.
1. Stable Core Businesses Navigating the Turbulent Operating Environment:
• During the quarter, we consolidated our balance sheet by letting go wholesale deposits and cautious disbursements on microfinance.
• Our Retail deposits remained steady while wholesale deposits de -grew 3% QoQ. Share of retail deposits as per LCR improved to 47.3% vs. 46.5% QoQ.
• On advances, the vehicle disbursements were impacted with deferment of purchases due to GST changes in the last quarter. We remained cautious on microfinance disbursements. The corporate and other retail disbursements were steady.
2. Asset Quality:
• Asset quality, excluding microfinance, continues to hold steady, with sequential improvement in both gross and net slippages across vehicle, other retail and corporate segments.
• Microfinance slippages remained elevated during the quarter, and we undertook accelerated provisioning to prudently rationalize the outstanding NPA book.

• Our GNPA and NNPA have thus improved QoQ to 3.60% and 1.04% respectively.
3. Progressed on Strengthening Leadership Team:
• We have made progress on rebuilding our leadership team. This quarter saw the onboarding of several key leaders, including a new CFO, Legal Counsel, Head - Internal Audit and Head - Business Transformation, each bringing fresh perspective and deep expertis e.
• We expect a few more senior leaders to join in coming months, further enhancing our strategic depth and execution capabilities.
• As this team comes together, we are confident it will play a transformative role in shaping the future of the Bank.
4. Financial Outcome for Q2:
• Our core pre -provision operating profit at

Rs.1,940 crores remained stable QoQ
in spite of lower disbursements in vehicle and microfinance.
• The accelerated provisions on microfinance have resulted in a net loss of Rs.437 crores for the quarter. We have written off Rs.1,579 crores of microfinance loans and increased coverage on the residual MFI NPAs. We believe this is a prudent measure and str engthens the balance sheet.
• The Bank has healthy capital adequacy with CET1 ratio of 15.88% which will be further supported by recent announcement on risk weight reductions.

I will now take you through highlights on individual businesses.
1. Vehicle Finance:
• The vehicle business saw a dip in disbursements between GST cut announcement till the implementation as the customers deferred their purchases. This resulted in disbursements for Q2 dropping by 4% YoY and no sequential loan growth.
• The disbursements however have picked up significantly post 22nd September and we see the traction continuing in this quarter as well. The purchases are also further aided by the ongoing festive season.
• The asset quality trends continue to be benign with gross slippages reducing QoQ and YoY. The bank had chosen to inhouse collections instead of selling to ARCs. This has reflected in improved recoveries and thus net slippages have improved more than the gr oss slippages.
• The gross slippages have been YoY stable or better in commercial vehicles, passenger vehicles, construction equipments and 3 -wheelers. The tractors and 2-wheelers saw YoY higher gross slippages but those too have moderated QoQ.
• As we move into the second half of the year, we expect the demand momentum seen in late September to continue, supported by festive season, GST 2.0 impact, strong monsoon & kharif harvest and broader pickup in economic activity.

I believe Vehicle finance is a key pillar of the bank. The business is well managed maintaining its market leadership with significant market share across leading OEMs and navigating asset quality cycles efficiently. The business will be further strengthen ed by investing in its distribution and leveraging digital capabilities. The business should also see support from the long overdue auto upcycle.

2. Micro -Lending / Micro -finance:
• We continue to be cautious on microfinance business and have taken several steps which should help the bank weathering subsequent cycles.

• Some of the steps include conducting income assessment of every loan, additional Voter id checks, and other field verification checks over & above conservative bank rule engine for underwriting approval.
• The bank has also strengthened internal audit function for better portfolio coverage and identifying any lapses in controls and processes ensuring zero tolerance for wrong practices.

• We have carved out dedicated collection vertical to focus exclusively on 90+DPD customers
• We have also started availing credit guarantee i.e. CGFMU coverage for disbursements done in FY26 and it covers 22% of standard book as on Sep -25. This coverage will continue to grow in the coming quarters.
• These steps should help in normalising gross slippages which continued to be elevated in Q2 as well. The 31 -90 Days Past Due book was at 3.2% in Sep -25 vs 2.2% in Jun -25.
• The cautious stance coupled with seasonally weaker demand resulted into loan book contraction of 25% QoQ.
• We continue to scale Bharat Super Shop i.e. the merchant acquiring business to leverage our rural presence. Our merchant loan book at Rs.7,262 crores spread across 636K borrowers, grew by 25% YoY. CGTSME guarantee covers 63% of this book.
• The share of non -MFI book now stands at 25% vs 15% YoY, reflecting continued diversification.
Overall, we believe the tighter norms may result in near term impact on disbursements but they should, along with credit guarantee, help reduce the extreme swings in

credit
costs through the cycle. Microfinance will continue to be an integral part of the b ank's approach especially meeting its financial inclusion and priority sector ambitions.

3. Corporate Bank:
• We resumed disbursements in Corporate Bank which were tactically slowed down in earlier couple of quarters for efficient balance sheet management.
• Within Corporate book, the focus remains on granular mid and small corporates with better risk adjusted returns and being selective on the large corporate space.
• The proportion of A and above rated customers and the weighted average rating have been steady QoQ at 77% and 2.60 respectively.
• The asset quality remains healthy with negligible net slippages for the quarter. The Gems & Jewellery business too maintained robust collections with no SMA1 or SMA2 customers as we speak.

Overall, I believe the Bank's corporate franchise has become robust over the last few years. We will invest in building coverage and capabilities particularly in mid and small corporates. The transaction banking offerings have significant scope for penetra tion. The mobilisation of low cost LCR efficient liabilities too would be an area of focus as we move forward.

4. Other Retail Assets:
• Our other retail assets grew by 13% YoY.
• We continue to scale our home loan book with outstanding now crossing Rs.5,500 crores mark growing 84% YoY and 11% QoQ.

• LAP book at Rs.12,581 crores maintained steady traction with 10% YoY & 1% QoQ growth.
• MSME book under business banking now stands at Rs.18,195 crores growing 1% QoQ.
• Credit card spends at Rs.26,900 crores remained steady QoQ. Our market share in credit cards spends was at 4.9% based on latest available data.
• Asset quality across segments has remained within a stable range.

The traditional retail assets will be a key growth driver as we build universal banking franchise. While the bank will continue to grow in its domains i.e. vehicle finance and microlending, we see huge opportunities to grow our retail asset businesses not only to diversify the portfolio but also to support our liability franchise. The MSME space is a large opportunity for a bank of our size. We have minuscule presence in home loans and can scale this up irrespective of the cost of funds disadvantage. The un secured segments too are now poised for cyclical growth. We believe retail segment will contribute meaningfully to our growth in the future.

5. Now coming to Liabilities:
• We continued to optimize our deposit mix, exiting some of the non LCR accretive wholesale and certificate of deposits, while maintaining a healthy liquidity position.
• As a result, total deposits stood at Rs.3,89,600 crores, declining 2% QoQ. Our retail deposits as per LCR remained stable during the quarter at Rs.1,84,144 crores.
• The deposits of combined Affluent and Non -Resident segments remained stable QoQ at Rs.74,300 crores. The NRV now stands at Rs.1,22,000 crores growing 7% YoY.
• Our flagship digital platforms INDIE and INDIE for Business apps for retail Individual and MSME clients respectively, showed healthy user growth during the quarter.
• INDIE app now has a registered base of more than 5mn clients and monthly active users grew 40% QoQ. INDIE for Business with a registered base of 2.3 lakh MSME clients saw monthly active user growth of 122% QoQ.
• Both apps continued to show healthy ratings on Play Store and App Store. INDIE is rated 4.7 on App Store, 4.4 on PlayStore; INDIE for Business is rated 4.5 on App Store and 4.4 on PlayStore.
• Cost of deposit for the quarter at 6.23% improved by 21bps QoQ largely driven by savings account re -pricing.
• We further reduced our dependence on bulk sources, with Certificate of Deposits down 16% QoQ and borrowings at Rs.45,350 crores, down 13% QoQ.
• We maintained healthy liquidity position during the quart

er with an average LCR of 132% and average surplus liquidity of Rs.56,000 crores.

As we all know, the liability franchise is core for sustainable profitability of any bank. IndusInd has made considerable progress over the last few years. I will aim to accelerate the Retailisation journey further especially focusing on the low cost depos its. We will aim to enable frontline by streamlining processes, offering competitive products and bringing 'One Bank' approach in delivery.

I will now hand over to Viral to take you through the financial performance.
Viral Damania : Thanks Rajiv and good evening, everyone.
At the outset, I would like to mention that Year on Year comparison may not be appropriate given the adjustments carried out in last couple of quarters. Hence, we will focus on sequential trends for a few quarters.
The financial performance of this quarter was impacted due to sharp reduction in microfinance business and lack of treasury gains. The drop in NII, NIM, other income and the large increase in credit provisions are all attributable to these two factors. Bar ring this business has been stable and we have had some offsets by improvement in cost of funds as well as containing operating expenses.

So, with that overview, let me now go through some of the details starting with the balance sheet.

• Advances dropped 2% sequentially from Q1 which is largely the drop in microfinance loans.

• Deposits dropped 1.9%. Of that, 1.2% drop was solely from reduction in CDs which we are looking to calibrate down. Our retail deposits as per LCR perspective remained steady.

• CD ratio was maintained at 84%.

• Borrowings have been brought down by 13% QoQ.

Moving on to the P&L
• Net Interest Income for Q2 stood at Rs.4,409 crores. QoQ drop explained by the lower microfinance book.

• Adjusted for one -off recoveries in Q1, Net Interest Margin was marginally lower at 3.32% vs. 3.35% QoQ. NIM was supported by 26bps reduction in cost of funds on the back deposit rate cut actions taken earlier. This was offset by the impact of lower asset yields due to corporate loan repricing and adverse loan mix.

• Core fee income came in at Rs.1,543 crores, growing 1% QoQ. However, overall non-interest income declined sequentially, as the previous quarter had strong treasury and recovery gains.

• The operating expenses declined 5% QoQ driven by disciplined cost optimization across functions.

• As a result, core operating profit for the quarter at Rs.1,940 crores remained stable QoQ.

• This then brings us to provisions and contingencies. The increase of Rs.896 crores is entirely from incremental provisions on the microfinance book. As we had shared last quarter, we have seen higher slippage in this portfolio. So, we did an accelerated wr ite off this quarter and prudentially upped our PCR.

• GNPA and NNPA at 3.60% and 1.04% improved QoQ and overall PCR increasing to 71.6% vs 70.2% QoQ

• In terms of asset quality:
o Slippages, excluding microfinance, continues to hold steady, with net slippages improving to 0.36% vs 0.42% QoQ.
o Elevated slippages in the microfinance segment kept overall gross and net slippages broadly unchanged at 0.76% and 0.63%, respectively.
o The gross slippages by key segments were Vehicle Finance Rs.694 crores, Corporate Rs.64 crores, Other Retail Rs.697 crores and Microfinance Rs. 1,083 crores.
o Our SMA 1 and SMA2 book was at 26bps vs 33bps YoY.
o Net Security Receipts declined to 17bps vs. 31bps YoY.
o Restructured advances declined to 8bps vs. 29bps YoY.

• The accelerated provisioning and write -offs, however, resulted in net loss for the quarter at Rs 437 crores.

• Important to highlight that the Bank continues to have healthy capital adequacy and liquidity position with CET1 of 15.88% and CRAR of 17

.10% and LCR at 132%.

I will now hand over to Rajiv for his closing comments.
Rajiv Anand: Thanks, Viral. While it's just been couple of months in the Bank, my interactions with several teams across locations have been exciting. I believe this is a unique franchise. The Bank has a large distribution network with presence across geographies, diverse customer segments and ability to serve bulk of the financial requirements of our customers. The Bank also holds leadership positions in select businesses such as vehicles, gems and jewellery and microfinance. The corporate franchise has been steadily growing without any asset quality issues. The Bank has progressed on granularizing liabilities and there is further scope for improvement as we move forward. Scaling up of MSMEs and trad itional retail assets are also large opportunity pools for the Bank. We also need to finetune our delivery infrastructure of these products by streamlining processes, empowering channels and investment in digital channels. The Bank has strong capital and l iquidity positions providing us the flexibility to grow with confidence.
Overall, our aim in the near term would be:
• to build growth momentum in areas of focus such as vehicles, retail and profitable corporate business and of course the retail deposit mobilisation

• streamlining microfinance businesses to normalise slippages and pivoting towards sequential growth
• formalising the leadership structure along with filling up of any gaps
• identifying new profit pools to build a more granular less volatile franchise

We will come back to you with our medium term strategy in the coming months.
Thank you and we are now open for questions and answers.
Moderator: Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Ma hrukh Adajania from Nuvama. Please go ahead.
Mahrukh Adajania: Hi. Welcome , Rajiv. It is good to have you on the call. Just a couple of questions. So, now that you have spent a few months, what is the rebalancing in the book you would like to do, maybe in favor of a few assets, in favor of a few lending segments , any such thoughts? I mean, basically, I know you will share your detailed strategy at some point in time with us, but just wanted to get a sense of what kind of normalized margins would you be looking at in a one year out or two year out time period?
Rajiv Anand: So, Mahrukh, from a rebalancing perspective, I think the two big engines of growth are our vehicle business and microfinance and to some degree, our corporate lending business as well. But having said that, our muscle s on the MSME space is relatively weak. And that is a space that that we are really looking to double down on. Two is if you look at many of the traditional retail asset businesses, home loans, affordable housing, gold loans, agri financing, etc. , all these are currently subscale. And these provide us huge opportunit y for us to grow as we go forward , not jus t in terms of diversification, granularizing and also meeting our PSL objectives. The first medium -term objective is to get to 1% R oA. And that is what the aim will be. And there are multiple levers for us to be able to do that. I think there is ample scope for us to reduce cost to assets. We need to get better productivity in the branches for us to be able to grow our liability franchise and reduce cost of funds as well. And I think as we look to diversify our portfolio, we should be able to get a differe nt path to 1% RoA from what IndusInd has seen historically.
Mahrukh Adajania: Got it. But what would be the timeframe to reach 1% R oA?
Rajiv Anand: I think the exact timeframe is too early to call , Mahrukh, but , like I said, I am in the process of building a three year plan along with the current team members and some of the new members who are joining

us. Just give us a little bit of time and we will give you more granularity as we go forward.
Mahrukh Adajania: Sure. And then just in terms of credit costs, you did accelerated write -offs. So, would it be the end of these accelerated write offs and would you see recovery in credit costs or lower write -offs going ahead , would there be a substantial reduction in credit costs in the second half , because your slippages seem to have stabilized and if MFI improves, maybe they come down more ?
Viral Damania: Hi. Viral here. Let me try and answer that. So, let us put this into two buckets. One is the accelerated write -off and credit costs that you see in the current quarter. And that is as you mentioned pertaining specifically to the microfinance portfolio. Now, that brings us

to a level of PCR, which we are currently comfortable with. But we would continue to look at that closely in the next couple of quarters. Yes, slippages have been high in the past couple of quarters. We do see early signs of that stabilizing, but this is an area we really have to watch here on for the next two quarters. Kind of early to conclude that we start improving , but that is really something we are looking at fairly closely. It is a portfolio we have calibrated down. So, we do think it should start s tabilizing and hopefully at some point slippages start coming down.
Mahrukh Adajania: Got it. Thank you so much. Thanks a lot.
Moderator: The next question is from the line of Harsh Modi from JP Morgan. Please go ahead.
Harsh Modi: Hi. Rajiv, t hanks. The question here I guess that Mahrukh also asked is kind of how do we think about is this the worst or we should brace ourselves for at least a couple more quarters of really tough numbers ? And how do we start forming any views for FY27 given the scale of challenges? I know you said you will have some detailed comments later on, but anything that you can help us with would be great ? Thank you.
Rajiv Anand: So, like I said, there are enough levers for us to be able to grow. And I also mentioned the fact that the macro environment is also getting benign for us to be able to grow across

the various parts of our business es. The levers are there. The ability is there. The intent is there. But I think the key challenge really is to be able to ensure that we get our hands around the process controls, fill some of the management gaps as well, and be able to do all the right things as we go forward. So, I am not in a great hurry to push the growth lever s, because it is important for us to first stabilize the platform before we are able to do that. So, I think it will just take a little bit more time.

Harsh Modi : Right. Can I ask a question slightly in a different way? If I think about, let us say, the costs as well as the write -offs, from my understanding of what Viral said right now, it seems there is a lot more to go in terms of write -offs. And even if we are at 70% PCR, there is a possibility that the Bank may remain close to very limited profitability if at all for the rest of the year. Is that a fair assumption, given the scale of problem that you still need to manage and would rather try to clean it up in FY26 rather than push it out to FY27?

Rajiv Anand: No, that is too pessimistic an approach. I am not in that camp. Like I said, as we go forward, I do see growth in the books. And so, therefore, the income stream should be stronger. Fee income should be stronger. And so, therefore, to that extent, I am not that pessimistic.

Harsh Modi: Right. And so if I could just push on that a bit, in terms of confidence of depositors, confidence of employees with the headline loss, what are the few steps you would have taken and you are taking to manage the fallout?

Rajiv Anand: I think that is an important question. It is very important for us to communicate, which we are i

n the process of, both to customers as well as to our own employees . The fact is that much of this loss has come from the accelerated provisioning side rather than anything that was damaging, like what we saw in March of 2025. The core PPOP is actually stable on a Q oQ basis. NIM s are broadly stable. The book is broadly stable. And that should give confidence in addition to the fact that all our capital numbers continue to be

strong. I am confident that we should be able to communicate this confidence to our employees as well as our customers.

Harsh Modi: Great. Thank you.

Moderator: We will take the next question from the line of Rik in Shah from IIFL Capital. Please go ahead.

Rikin Shah: Thanks, Rajiv. So, just a few questions. The first one is if you could just elaborate on the key hires that you have made after joining the Bank and flag what are the key vacant positions which are yet to be filled ? That is number one. Secondly, the slippages even outside of MFI are still a tad elevated and even on overall basis flattish Q oQ. When do you expect this to start improving? And continuation on this is while we have taken some accelerated write -offs in the quarter, the net NPA ratio i s still 1% versus 0.6% a year ago. So, would not we still be required to continue with this accelerated write -offs to bring down the net NPA? That is the second. And third is on margin. Of course, we will wait for your detailed outlook in terms of where the medium -term trends stabilize. But just a clarification that if there are no further rate cuts, should we think that margins are at the bottom and from here onwards at least no further contraction shou ld be expected?

Rajiv Anand: So, let me take the first question. During the quarter, we saw Viral, our new CFO joining, our new head of internal audit , Pragati, our new legal counsel Anand Vardhan and our new head of business transformation Pankaj Sharma have joined. And they have been in the Bank for anything between, let us say, 15 -20 days to about 30 -40 days. As we go forward, during the course of the next three months, a new head of HR, a new head of digital are expected to join. And in the medium term, there are a few others, senior hires that we are looking at as well. We have also got a new head of marketing, Sh eran, who is sitting here, who I forgot to mention. She has also joined . Because there is a lot that we can do from a brand perspective as well. So, she then becomes a critical hire for us as well. So, some of these people are already on board. Some of them, I mean, it is like effectively like one or two people joining pretty much every month from here on.

Rikin Shah : Just on this, Rajiv, how about various business heads both for the assets and liabilities , are there still any gaps for the businesses?

Rajiv Anand: Yes, there are gaps on the business side as well. We are in the process of closing those out. There is nothing that I can update you on this at this point in time.

Rikin Shah: But what businesses would this be broadly just?

Rajiv Anand: Both on the corporate and retail side. We are also hiring a new CEO for BFIL, who should be joining in November as well. So, in subsegments of our retail and corporate businesses, there are some new hires that we are looking at. The last question was around margins . I think the way to think about this is that, while the cost of funds has come down, the fact that disbursements on the microfinance side has been relatively muted, has impacted yields on the asset side. That one lever itself as we s tart to grow that business going forward should ensure that that margins begin to improve. And as we recalibrate our overall portfolio, both on the retail and corporate side, I do believe that there are levers for us to certainly hold the current margins . But certainly the intent is to improve margins as we

go forward.

Rikin Shah: Got it. And just the last one on that write offs, which I mentioned, given that net NPA ratio is still higher at 1% versus 0.6% a year ago. So, do the write -offs continue essentially?
Viral Damania: So, I think as I mentioned earlier, there are two pieces to this. One is the accelerated write -off. So, obviously, that is not something you will keep seeing in the subsequent quarter. So, the delta that you see this quarter, Rs.872-odd crores unlikely that you will see the same level of maintenance or provision of credit costs in the subsequent quarter. So, that will surely come down if you take current quarter as a base.
Rikin Shah: Thank you.
Moderator: The next question is from the line of MB Mahesh from Kot ak Securities. Please go ahead.
MB Mahesh : Hi Rajiv. Two questions from my side. One, why was the accelerated provisions made for the quarter in M FI?
Viral Damania : So, let me try and explain some of the drivers on that increase. So, it has basically got to do with the slippages that we have seen over the past couple of quarters. They have been elevated. And we thought we really needed to up the coverage ratio on that portfolio. So, it is basically accumulated impact of the fact that slippages have gone up over the past quarter. So, you see some of that translating into credit losses. And we have tried to improve the coverage ratio itself on this portfolio. So, it is the aggregated impact of these two that you see there.
MB Mahesh: Okay. Rajiv, just one question. There is constant news that keeps coming quite often in the media on some of the practices at the Bank . I am trying to understand how much of a change that you would need to make below the leadership level, looking at what you have seen in the organization at least in the last few months ?
Rajiv Anand: So, firstly, let us look at this at multiple levels. One is that whatever happened within the Bank , all the financial impact was taken in March '25. Thereafter, investigations, etc. , have happened. Some of it has moved into the legal world with law enforcement agencies, etc. , And that is a process that will continue as we go forward. Needless to say, the Bank is fully cooperating with law enforcement agencies as we go forward. Based on all the investigations that have been done, staff accountab ility has been established and staff action has been established , some people have been asked to go, some people have been docked, etc. , That is a process that is by and large being completed as well.
MB Mahesh: And Rajiv, is it fair to assume that there are no pending monetary related impact that is still yet to be identified?
Rajiv Anand: I think that is a fair comment.
MB Mahesh: Okay. Perfect. Thank you.
Moderator : The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer : Hi, team and congrats Rajiv and Viral on your new role. Just firstly, in this quarter, can you comment on, a), quantify what are the slippages in MFI? And b), just comment on CV CE slippages also?
Indrajit Yadav : Piran, we have given those details. Vehicle is Rs.694 crores gross slippage , microfinance is Rs.1 ,083 crores , other retail is around Rs.697 crores and corporate is Rs.64 crores.
Piran Engineer: Okay. And what was CV last quarter if you do not mind?
Indrajit Yadav : Vehicle finance last quarter was Rs.743 crores , microfinance Rs.888 crores , other retail Rs.692 crores and corporate Rs.245 crores.
Piran Engineer: Okay. Fair enough. And secondly also , Rajiv, you mentioned that you would scale up home loans irrespective of the cost of funds disadvantage. So, what exactly, like why would we do that firstly , what am I missing here?
Rajiv Anand: What you are missing is the absolute size of that business that we have. I think th

at
business for us is about Rs.5 ,000 crores give or take. And so therefore given that size, we can actually pick and choose both in terms of the kind of customers we want to lend to and the price that we want to lend to. And so therefore obviously we do not want to compete with other banks and NBFCs in the prime and super prime areas. But I think given the size of business we have, there is ample opportunity for us to be able to grow profitably within this business at least into the medium term. And more importantly, it feeds into our liability franchise as well. And that is probably even more important as far as I am concerned.
Piran Engineer: Sorry, just to be clear, you are not referring to affordable housing here , you are referring to mass housing ?
Rajiv Anand: Yes, I am.
Piran Engineer: And honestly, how much does it really feed into the liability franchise? Because the guy who is taking home loan from you, a regular fellow, not an affordable housing guy, already has a Bank account. And I think even at HDFC and all, they open new SA accounts but the money there is equal to one month of EMI. So, maybe 30 -40,000 bucks. So, is that really a needle mover?
Rajiv Anand: See, I think when you look at it on an individual account basis, the way that you put it, it perhaps may not be material. But as it continues to grow and the Bank has this particular customer on its portfolio, the ability to open the account improves , the ability to cross sell other products improves quite dramatically including, for example, our personal loan or credit card , business loans as well. So, the fact that we can do more with that customer, is unquestioned.
Piran Engineer: Understood. Okay, fair enough. That is it from m y end . Thank you and wish you all the best.
Rajiv Anand: Thank you.

Moderator : The next question is from the line of Kunal Shah from Citigroup. Please go ahead.
Kunal Shah : Hi, Rajiv. So, again, firstly, maybe the question was asked with respect to net NPA. And during the last earnings call, it was indicated that we would want to get towards 0.5 %- 0.6%-odd. But maybe the new CEO would take a call. So, what would be your reading? Maybe would you really want to get to that number or you are comfortable with 70% coverage and need not be necessarily in this year? How are you looking at the overall Net NPA number?
Rajiv Anand: I am certainly not comfortable at one plus. And I think we need to get to in the vicinity of 50-60 basis points in the medium term. I think that we certainly need to get there.
Kunal Shah: Okay, so that call still continues even with you. So, that we will get it in the medium term ?
Rajiv Anand: Yes.
Kunal Shah: And even outside of MFI, this Rs.1,500-odd crores, the overall write -offs are like Rs.2,500-odd crores. So, Rs.1,000-odd crores run rate compared to maybe a relatively lower number. So, what is actually leading to that? So, was it like the accelerated write -off in other segments as well? And still we do not see GNPAs coming down despite this kind of write -offs in the other product segments. I think where you share in terms of the consumer banking GNPA, it is rising across the board. And in fact, even like MFI after the write -offs have seen a rise, maybe it is because of the book itself coming down , but other portfolios ar e not showing any improvement as such.
Viral Damania: I think maybe if you look at again these two in comparison, the escalation or the increase has clearly been on the microfinance portfolio and the others it is not a substantial increase. We are watching that. And we really think that probably going to stabilize in the next couple of quarters. So, not really a big concern at the moment, but something we are watching.
Kunal Shah: Okay. And Raj iv, with respect to your 1% ROA, where do you eventually see in terms of the potential of th

e franchise to deliver the fee -to-assets? Again, like this quarter it has been off . Maybe you would tend to believe that MFI, the processing fee out there would have also impacted. But there are a few more line items wherein the fee income is still down sequentially on a low base of first quarter. So, where do you see fee -to-assets settling for the Bank over the medium term?
Rajiv Anand: I think this is a franchise which can deliver fee -to-assets in the vicinity of about 1.5%. It may take a little bit of time, but I think there are enough levers for us to be able to get there.
Kunal Shah: Okay. 1.5% or maybe over a period of time?
Rajiv Anand: Yes. 1.5% over a period of time.

Kunal Shah: Yes. Got it. Okay. Thanks and all the best and wish you all a very happy Diwali.
Rajiv Anand: Thank you, Kunal.

Moderator: The next question is from the line of Chintan from Autonomous. Please go ahead.
Chintan: Hi. Thanks for taking my question. Can I check with you how the gems and jewelry book is doing? It is one of the areas that the US tariff is impacting. Are you seeing signs of stress? The anecdotal hearings on that industry are not great. So, that is why I wanted to check.
Rajiv Anand: So, one is we have a preeminent position in the gems and jewelry business. We have been in this business for many years. Two is we do business pretty much with the cream of the gems and jewelry side of the business. And so therefore, like I mentioned in my commentary as well, we have no NPA, SMA -1 and 2 as we speak.
Chintan: Okay. And kind of early signs. What are you watching in this space to ensure that you stay on top of the credit risk there? Because there is an impact. It is very palpable. So, how do you kind of stay on top of this credit risk?
Rajiv Anand: So, this is like any other portfolio. We monitor this portfolio very closely. The underwriters look at it regularly , the coverage team looks at this regularly. I have met most of the very large promoters within this space to understand what they are doing and what is the impact on their businesses. They clearly understand that tariffs are an issue, but they too have mitig ants for them to be able to manage this. One is to be able to move some of this manufacturing out of India. Two is to refocus some of their businesses away from the US, which is a large market for them, to other parts of the world, including India, where demand continues to be fairly strong. And three is to move to the higher car atage, which then is probably more profitable from their perspective as well. But in the short term, yes, they are seeing pressure in terms of their overall businesses. But these are businesses that have been around for many years and these are players who have been in this business for generations.
Chintan: Okay. Thank you for that. Can I ask a second question? I mean, we have spoken about sustainable NIM s and stuff in the call. Can I just check the 14 bps NIM movement seen in the quarter? Could you just go through the moving parts there? What caused that impact? There is something coming from MFI, but if you can talk through the moving parts, that would be helpful ?
Viral Damania: Let me take that. So, there was this one -off recovery impact last quarter. So, we first got to factor that. The impact of the microfinance portfolio going down, that is roughly 20 bps on the NIM. So, I think these are the two moving parts which you need to factor in.
Chintan: Twenty from MFI. And what did you say the other one was?
Viral Damania: The one -off recovery in the first quarter , 11bps.
Chintan: Okay. And then the final question is, when I look at your LCR retail deposits, your end -of-period number is 2.1% different from the average number last quarter. We do not have this quarter's number yet. I am just wondering why should there be an end -of-period impac

t in a LCR retail deposit book , because it is kind of normal to expect that in a corporate book , just curious why such a big divergence between these two numbers ?
Indrajit Yadav : Just a movement between the quarters. Depending on what kind of flows move in, move out during the quarter. Given there was a bit of volatility in the last six months, sometimes

some of the large affluent customers move in, move out. That moves the averages a bit different way versus the end -period number. But otherwise, you are right. In normal course, the difference between period end and period average broadly remains the same. But we have been a little bit in the exceptional situation in the last six months.
Chintan: Okay. Fair enough. Thank you. And then final point, on the BFIL Qualified Audit Report, what are the issues there that led to that Qualified Audit Report if you could just throw some light on that ? You have covered some of the points, but I wanted to ask it as a direct question.
Viral Damania: Let me answer that. Some of the issues which you mentioned in the subsidiary entity in terms of quantum and scale are really not material. Also, these are all pertaining to past periods and there is no incremental financial impact. Whatever loss was there , it was booked in past periods. It is basically got to do with the nature of the business. Some of these are inherent. And yes, there is some improvement in internal controls that we need

to see with that particular entity. But I think it is very important to highlight that there is no new financial impact coming out from those issues. It is all the past. The only thing we look to do is enhance the controls and the governance framework specific to that subsidiary entity. Again, nothing really impacting the Bank . It is important to highlight that.

Chintan: Okay. Thank you.

Moderator: The next question is from the line of Jayant Kharote from Axis Capital. Please go ahead.

Jayant Kharote: Thank you for the opportunity. Just one bookkeeping question. The microloan book is down 25% Qo Q, that is almost like Rs.7,000 crores . Could this help us understand the flow, what got repaid, what has slipped among the set of numbers for the movement? That is my first question.

Indrajit Yadav : Yes, so our opening book was Rs.28,300 crores . We disbursed around Rs.1,300 crores . We wrote off Rs.1,580 crores . And then there was change of some provisioning and repayments were around Rs.6,700 crores for the last quarter.

Jayant Kharote: Understood. If I understand the disbursements over here, how should we think about that over the next two quarters , because since the repayments amounts are going to be large, where do you assume this book comes off sharply now?

Rajiv Anand: So, like I had mentioned earlier as well, we have tightened some of the underwriting standards that we have within this space. We have increased the scrutiny. And the approval rates by definition have dropped as well. And that is somewhat reflecting in the lower disbursals. I do believe that as we get into the current quarter and as we get into the next quarter, disbursal amount should be significantly higher than what we have been able to achieve in the current quarter .

Jayant Kharote: Thank you. And the second question is on the vehicle book. You did mention in the opening remark that the festive uptick you are already seeing on vehicle. So, should we assume the asset quality there is stable and that gives you the confidence to now pursue disbursement growth aggressively there?

Rajiv Anand: Yes. I think that is a fair comment. We do believe that asset quality should be stable and we will certainly look to participate as demand comes back.

Jayant Kharote: Thank you.

Moderator: The next question is from the line of Nitin Ag garwal from Motila

l Oswal. Please go ahead.

Nitin Aggarwal : Hi. Good afternoon and thanks for the opportunity. I just have one clarification to ask, Rajiv, around the gems and j ewelry business. So, when we speak to credit rating agencies, there is a fair bit of rating downgrades that have happened in that space like i t is almost double -digit in proportion to the total rated clients that they have. So, has there been any such events in our portfolio that you see?

Rajiv Anand: No.

Nitin Aggarwal: Okay. Sure. That is it from my side. Thank you so much.

Moderator: The next question is from the line of Himanshu Taluja from Aditya Birla Sun Life AMC Limited. Please go ahead.

Himanshu Taluja: Hi, sir. Thanks for the opportunity. Just a couple of questions. Can you just comment around any other segments where you are not comfortable to grow? And apart from vehicle, what could be your core segment of growth? The second question, is there any further tightening or requirement towards increasing the provision co verage in any of the segments? Like this quarter, you took some higher provisioning on the MFI. How do we expect this provisioning tightening in the coming quarters as well? And thirdly, if you have done anything from your understanding, if you can put any lumpy fee which is still and where can come and you can take as a calibrated approach? Yes, that is all. These are the three questions at my end.

Rajiv Anand: So, are we uncomfortable in any of the spaces? My answer is not really. Second is, will we increase PCR as we go forward? Our intent will always be to ensure that we are fortifying the balance sheet at all points in time based on multiple levers, including loss -given default rates, etc. , And so, that is an ongoing process. I did not understand the last question.

Himanshu Taluja: Sir, the last question is around the fees. Any lumpy fee which can be calibrated where you have done any understanding according to you? Is there any feature in the fee income which can take certain calibration further?

Rajiv Anand: No. All the fee income is all franchise fees across both the retail and corporate side of the business. Our intent will be to grow this in a granular fashion.

Himanshu Taluja: Okay, sure. Sir, can we say along with this vehicle, MFI and the gems and jewelry will

remain our key portfolios for the growth?
Rajiv Anand: What I have said was that these are domains that IndusInd Bank has built its capabilities and distinctiveness. I see no reason for us to reduce our presence in these spaces. But having said that, I see huge opportunities in areas like the MSME sector, in t he retail asset

businesses for us to grow businesses significantly. Therefore, it is quite possible that as we get into the medium -term, while some of the other businesses may grow much faster, the proportionality of these three businesses could potentially reduce. That, in a sense, will be the aim of the Bank as we go forward to build a more diversified portfolio, less cyclical and more predictable business as we move forward .
Himanshu Taluja: Sure. Thanks a lot. Thank you.
Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Mr. Rajiv Anand for closing comments. Thank you and over to you.
Rajiv Anand: Thank you. And thank you to each one of you. And let me also take this opportunity to wish each one of you and your families a very happy Diwali.
Moderator: Thank you, members of the management . On behalf of IndusInd Bank, we would like to thank you for joining us and you may now disconnect your lines.

financials or based on Managemen t estimates.

Q3 FY26 Earnings Conference Call

MANAGEMENT:
MR. RAJIV ANAND – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. VIRAL DAMANIA – CHIEF FINANCIAL OFFICER
MR. INDRAJIT YADAV - HEAD, INVESTOR RELATIONS AND STRATEGY
and
MANAGEMENT TEAM MEMBERS

January 23, 2026

Moderator : Ladies and gentlemen, good day and welcome to IndusInd Bank Limited Q3 FY '26 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touchtone phone.
I now hand the conference over to Mr. Rajiv Anand - Managing Director and CEO, Indus Ind Bank. Thank you and over to you, Mr. Anand.
Rajiv Anand : Good evening and thank you, everyone for joining us today. I am joined here by the senior Management Team of Indus Ind Bank.
I will start with a quick view on the macro environment and then go into bank specific developments.
The global environment remains uncertain, with shifting trade policies and a possible tilt towards multi -polar world order. Amidst this backdrop, the Indian economy continues to demonstrate resilience. Demand indicators improved during the quarter, building on the festival season uptick, GST led benefits and better supply conditions. High freque ncy data indicates that overall activity stayed firm post the festival season, though a few indicators softened on a higher base. Inflation outlook remains benign, and policy support is expected to continue towards growth acceleration. Bank credit growth i mproved across key sectors during the quarter and the momentum is expected to continue supported by policy measures and constructive macro environment.
We will now move to the key highlights for Q3FY26 and then cover business specific progress and financial performance.
1. Continued Balance Sheet Optimization:
• We continued our approach of right sizing the balance sheet by shedding inefficient assets and liabilities and allocating growth capital towards areas

of focus.
• Our average deposits de -grew by 1% driven entirely by reduction in bulk deposits. The average retail deposits were stable QoQ and grew, albeit modestly, on period end basis. As a consequence, share of retail deposits inched up to 47.5% vs 47% QoQ.
• On asset side, the disbursements were robust in vehicle finance, retail and granular corporate book. However, our average loan book de -grew by 2% driven by continued run -down in micro loans and risk -reward driven calibration in corporates.
2. Asset Quality:
• The slippages during Q3 have been rangebound in all businesses except micro loans.
• Slippages in micro loans remained elevated as last quarter. We had implemented stringent underwriting norms earlier this year. These norms have been showing effect as incremental stress formation is reducing consistently.

• We continue to work towards reduction in outstanding stressed book as evident in QoQ reduction in Net NPA, Net Security Receipts and Restructured book.
3. Strengthening Leadership Team:
• We have made considerable progress on streamlining of the organisation structure and identifying right talent to drive the bank’s future growth.
• Since the last analyst call, we have onboarded new Head of Wholesale Banking, Chief Human Resources Officer, Chief Data Officer, CEO for BFIL, Head for SME business, Head, Digital etc. There are few more positions expected to be announced this quarter. Wit h these, the top leadership team would be largely in place.
• I am confident that this strengthened leadership team with diverse experience is well positioned to deliver on our strategic agenda.
• We are pleased to welcome Mr. Arijit Basu as our new Chairman, bringing over four decades of leadership experience in the Indian banking industry. I also want to thank Mr. Sunil Mehta upon completion of his tenure as Chairman for his steadfast leadership and unwavering support through challenging times.
4. Fin

ancial Outcome for Q3:
• Our pre -provision operating profit at Rs.2,270 crores grew 11% QoQ supported by improved net revenues and disciplined cost management.
• Provisions remained high given elevated flows in micro loans and write -off of accumulated NPAs.
• As a result, the profit after tax for the quarter was at Rs.128 crores.
• The capital adequacy remains healthy with CET 1 ratio at 15.74% and CRAR at 16.94%.

I will now take you through highlights on individual businesses.
1. Vehicle Finance:
• The vehicle industry and consequently our vehicle finance business saw robust momentum during the quarter on the back of the GST changes announced by the government.
• Our vehicle disbursements at Rs.12,900 crores increased by 26% QoQ. As a result, vehicle finance loan book growth inched up to 2 % QoQ compared to the muted growth for the last couple of quarters. The loan book now stands at Rs.98,196 crores.
• We saw broad based pick -up in disbursements across vehicle categories led by MHCV, tractors and passenger vehicles.
• The gross and net slippages have shown improvement on YoY basis for all 3 quarters of this year. We expect the trend to continue in Q4 as well resulting in the full year FY26 asset quality outcomes to be better vs. FY25.
• Looking ahead, we remain optimistic about vehicle demand supported by fiscal and monetary measures already announced. Any further consumption supportive or tax relief measures in the upcoming Union Budget could bolster the outlook.

2. Rural and Priority Sector Banking:
I believe Rural banking present a large, underserved opportunity, and expanding our presence here remains a key strategic priority. Scaling products beyond

microfinance allows us to address this opportunity in a more diversified and granular manner, while also supporting our PSL requirements.

• The Bharat Financial Inclusion Limited (BFIL) is now led by Tapobrat Chaudhuri as MD & CEO. Tapobrat is a seasoned leader with over 26 years of professional experience in Microfinance, Retail and Rural lending businesses.
• As mentioned earlier, the Bank had tightened the asset quality norms for micro loans earlier this year. We have seen improvement in early stress indicators. We continue to monitor the collection efficiency and aim to move towards normalization in the comin g months.
• The 31 -90 Days Past Due book was at 2.4% in Dec -25 vs 3.2% in Sep -25.
• We have also gradually started increasing our micro loan disbursements within our revised underwriting framework.
• Our micro loan disbursements were at Rs.3,598 crores. However, given the contractual rundowns of around Rs.6,300 crores during the quarter, our micro loan book de -grew 17% QoQ to Rs.17,669 crores.
• Disbursements during the quarter were directed toward high vintage, well performing customers and centres, and is currently under process of being covered under the CGFMU credit guarantee, which will take CGMFU cover to around 38% of the standard book as o f Dec -25.
• While early ■bucket stress indicators have shown improvement, our focus continues to be on sustainable normalization rather than near term book growth. With reinforced underwriting, tighter controls, and new leadership at BFIL, we are committed to growing this portfoli o in a calibrated and risk aware manner.
• In terms of other rural products, we have shown a few of our rural focused product portfolios which have reached certain scale in our investor presentation. Our aim is to build a comprehensive suite of products tailored to rural customer needs.
• Within this, we continue to scale our merchant loan book which now stand at Rs.7,338crores growing 16% YoY spread across 579K merchant borrowers.
• Our affordable housing loan book at Rs.2,692crores grew by 25% YoY while Kisan credit and other rural loans at Rs.4,267crores remained steady QoQ.

3. Co

nsumer Banking Assets:
• These are the traditional retail assets, which will be a key growth driver as we build universal banking franchise.
• Our home loan book continued strong momentum with outstanding at Rs.6,114 crores growing 94% YoY and 10% QoQ.
• Personal loans at Rs.10,598 crores grew 12% YoY and credit cards loan book at Rs.10,264 de -grew 6% YoY as we remain watchful of asset quality trends.
• Credit card spends for the quarter were at Rs16,318 crores. We rationalised some of the spends which were not efficient for the bank on overall profitability. The retail spends remained robust growing 5% QoQ.
• Overall consumer banking assets at Rs.31,057 crores grew 18% YoY.

4. SME Banking:
• As you all know, India has a large and vibrant SME segment base. The bank has a relatively small presence in this space. I believe this provides us large opportunity to diversify our loan book and provide the next growth booster.

• We have also strengthened our team with Ramaswamy Gopalkrishnan joining as Head - Commercial Banking & Middle Markets at IndusInd Bank.

Ramaswamy is a veteran in this segment with over two decades of experience across leading foreign and private sector ban ks.
• In this role, Ramaswamy will spearhead the Bank's strategy and business in the SME and Mid -Markets segment, with a strong focus on driving growth, deepening client relationships, and delivering innovative solutions to these critical sectors.
• We are re -organising our structure to serve this segment with appropriate distribution.
• The portfolio currently stands at Rs.43,957 crores and there is robust scope for growth in years to come.

5. Wholesale Banking:
• As we disclosed earlier, Ganesh Sankaran has joined us as Head – Wholesale Banking Group at IndusInd Bank. Ganesh brings in over three decades of experience across Wholesale, Retail Credit and SME, playing a pivotal role in building businesses, driving large -scale business transformations, and delivering consistent performance.
• We have revised our coverage model to ensure optimal engagement & customer responsiveness across client segments, strengthen our position as a universal franchise and stay aligned with our strategic business objectives.
• Our strategy for the Wholesale Banking Group specifically anchors around continued granularization of the franchise, expanding growth frontiers, building sustainable & cost -effective liability franchise and future ready organization for superior Client Exp erience.
• We have started with rationalising exposures where we don't see meaningful risk adjusted returns even a few quarters down the road. As a consequence, our wholesale banking loans de -grew by 5% QoQ.
• The proportion of A and above rated customers and the weighted average rating of wholesale banking portfolio were at 82% and 2.54 respectively.
• The asset quality remains healthy with gross & net slippages remaining within our expected range. The Gems & Jewellery business too maintained robust collections with no SMA1 or SMA2 customers.

6. Now coming to Liabilities:
• The quantity and quality of deposits is my foremost priority and bulk of my attention and resources are allocated towards this.
• We have already made considerable progress in terms of streamlining the organisational structures, strengthening the branch as a focal point, prioritising digital delivery and enabling the front -line Relationship Managers.
• We integrated Affluent Pioneer, Branch Operations, and the entire NR segment into Branch Banking, creating a unified Retail Banking model across our deposit branches that enhances scale, unlocks synergies, and shifts us toward a more customer centric, bran ch led engagement framework for high quality & consistent service delivery.
• We have multiple variants of branches through vehicle, microfinance and

mainstream branches with restricted bouquet of offerings available in these branches. We are now consolidating multiple formats and making universal

branches in suitable locations. This should drive synergy for both assets and liabilities in leveraging our existing distribution.
• We have also created a new senior leadership position as Chief Data Officer to effectively data analytics in all the decisions we make. Balaji Narayanamurthy, in this role, will be responsible to drive the Bank's Data strategy, Business intelligence, Advan ced analytics, AI initiatives and Data engineering capabilities.
• Our digital banking app 'INDIE' now has monthly active user base of 2.7mn clients conducting 4.3mn app led transactions in Q3FY26.
• Our recently launched 'INDIE for business' has seen monthly active user base increased to 220K MSME customers.
• Our focused efforts on enhancing efficiency in customer acquisition has started showing early results in terms of improving New To Bank growth as well as productivity across channels. We should see this translating into

revival in retail deposit growth ove r coming quarters.
• Cost of deposit for the quarter at 6.09% improved by 14bps QoQ largely driven by term deposit re -pricing.
• We reduced dependence on bulk sources, with Certificate of Deposits down 3% QoQ and borrowings at Rs.39,242crores, down 13% QoQ.
• We maintained healthy liquidity position during the quarter with an average LCR of 122% and average surplus liquidity of Rs.43,000 crores.

I will now hand over to Viral to take you through the financial performance.
Viral Damania : Thanks , Rajiv and good evening , everyone.
Similar to last quarter, will focus on sequential trends during my commentary.
Let me now go through some of the details starting with the balance sheet.
• Average Advances dropped 2% sequentially from Q2 driven by decline in wholesale banking advances and micro loan book.
• Average Deposits dropped 1% driven by reduction in wholesale deposits. Our retail deposits as per LCR perspective remained steady.
• Average CD ratio improved to 83.7% vs 84.3% QoQ.
• Borrowings have been brought down by 13% QoQ.

Moving on to the P&L
• Net Interest Income for Q3 stood at Rs.4,562 crores.
• Reported NIM was 3.52%, which included a 17bps benefit from interest on income tax refunds, and one -off interest recovery.
• Normalized NIM, adjusting for these items, was 3.35% versus 3.32% QoQ, reflecting improvement in cost of funds from TD repricing and liquidity optimisation partially offset by adverse loan mix with further degrowth in the micro loans.
• Core fee income came in at Rs.1,575 crores, growing 2% QoQ. While overall non-interest income at Rs.1,707 crores grew 3% QoQ.
• Our operating expense of Rs.3,999 crores include Rs.230 crores of one -off impact owing to provisions related to change in labour code.
• The operating profit for the quarter at Rs.2,270 crores grew 11% QoQ.

• The provisions and contingencies for the quarter stood at Rs.2,096 crores. We have written -off loans amounting to Rs.2,612 crores during the quarter.
• In terms of asset quality:
o GNPA and NNPA were at 3.56% and 1.04% and overall PCR maintained at 72%.
o Slippages, excluding micro loans, continues to remain range bound. We have added segment wise slippages and NPA details in our investor presentation.
o Our SMA 1 and SMA2 book was at 17bps vs 26bps QoQ.
o Net Security Receipts declined to 9bps vs. 17bps QoQ.
o Restructured advances declined to 7bps vs. 8bps QoQ.
• Overall, we returned to quarterly profitability with profit after tax of Rs.128 crores.
• The Bank continues to have healthy capital adequacy and liquidity position with CET1 of 15.74% and CRAR of 16.94% and LCR at 122%.

I will now hand over to Rajiv for his closing c

omments.
Rajiv Anand : Thank you, Viral.

To summarize, this quarter reflects progress on balance sheet strengthening, gradual pick-up in core retail businesses, disciplined liability optimization, and progress on robust leadership and organisational structure.

Looking ahead, we are working on a 3 -year strategy anchored around P.A.C.E. i.e. Protect the endowments, Accelerate on key priorities, Customer centricity and Execution excellence.
• Protect the endowments : I believe the bank has unique strengths in terms of vehicle finance, deep rural presence, complimented with robust corporate franchise. We aim to preserve these and not make changes just

for the sake of changes. We will bolster these and evolve as per the operating environment and they will remain core to the future of the Bank.

• Accelerate key priorities: These are areas where we need to improve either of scale, efficiency or quality of the business we do. These inter alia include building a more granular, lower ■cost deposit base, scaling our SME and mid■market businesses, improving stakeholder perceptions etc.

• Customer Centricity: We are keeping the customer at the centre of our actions by unifying engagement across 'One IndusInd', driving digital adoption and elevating service quality. The ever -evolving technology will play a big role in bridging, if not surpassing, the gap with p eers.

• Execution Excellence: I believe execution rigour should differentiate the outcomes in an industry which is regulated and largely commoditised. We are working towards building a strong execution oriented culture, sharper performance accountability, tighter cost management, and efficient product delivery.

With this, we can now open for Q&A. We have revamped our investor presentation providing more disclosures. We will continue to refine these as we progress, and any feedback is welcome.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from line of Kunal Shah from Citigroup. Please go ahead. Kunal Shah, can I request to unmute your line and proceed with your question?

Kunal Shah: Yes. So the first question was on net NPA. It is still at 1.04 % and slippages also appear to be sticky across the segment s. So when we look at it like say MFI, ye s, it has been at still more than Rs. 1,000 odd crores, but vehicles still continuing at 690. When we look at the consumer banking still closer to like Rs. 470 odd crores. So there, there is not much of an improvement on this slippage. And eventually when we look at it on the net NPA side, we indicated that we would endeavor to bring it down to 0.4 %-0.5% odd. But it doesn't seem like there has been the increase in the provisioning coverage. So if you can share in terms of what would be the plans with respect to net NPA?

Viral Damania: Let me just share some perspective on what i s really happening here. So, what we have shared in the previous quarter is that we want to make sure that we are consistent in our provisioning and write -off policies across our business segments. What you saw in the last quarter was the appropriate provisioning and write -off on the microfinance business. But as you rightly pointed out, gross slippages have been pretty much sustained even in this quarter as well. It is pretty much same elevated levels as the previous quarter. And as we keep writing -off, what happens is the portion we are writing -off is largely 100% provided. So that kind of brings down the provisioning because you write off that portion and then you are providing on the incremental slippages at the appropriate level of provisioning. So, what you will see is the PCR being stable and as slippages start dropping in subsequent quarters, you will see that improve. But PCR is an outcome. It is not like we are maintaining provisions to be

at a number, but it is simply the impact of large write -offs that we are doing in a m ore prudent manner, which really brings down the PCR and then you build it back up with normal provisioning. So that is kind of what is really happening there.

Kunal Shah: Sir, any target for net NPA?

Rajiv Anand: See, Kunal, what the aim is to bring down the stress book through write -offs, etc., but I think we need to keep the interest of all our stakeholders in mind. Our intent is to bring down Net NPA well below 1% , in the 60 -70 basis points vicinity over a period of time.

Kunal Shah: Got it. And in terms of this entire right -sizing of the balance sheet, both on assets as well as the liability side, where are we in that journey? How much time would it actually take in terms of maybe running down the bulk and maybe the low -yielding corpo rate book as well? And when should we start seeing the acceleration in the overall loan growth? No doubt on the retail side and some of the focus segments, the growth has still been there. But when do we start seeing the overall growth picking up?

Rajiv Anand: Like I mentioned in the last quarter as well, Kunal, our intent is to grow in line with market in the financial year 2026 -2027 and be in the vicinity of 1% ROA as we get to the back end of that year.

Kunal Shah: Got it. So industry average growth by end of FY '27?

Rajiv Anand: That is correct.
Kunal Shah: Thanks. That i s helpful. Thanks and all the best.
Moderator: Thank you. Next question is from the line of Jay M undhra from ICICI Securities. Please go ahead.
Jai Mundhra: Yes. Hi. Good evening, Rajiv . Thanks for the improved disclosure, sir. Sir, on presentation and in your opening remarks, you also mentioned that there is some improving trends on MFI in terms of new delinquency or new stress formation. If you can provide SMA -1, 2 number for MFI that will ideally give more picture. You have given some certain disclosures, but somehow the absolute number of SMA -1, 2 would be really helpful?
Indrajit Yadav: We have mentioned in the opening remark, the SMA -1 and 2 or 30 to 90 DPD is 2.4% against 3.2% last quarter.
Jai Mundhra: Sure. Thanks, Indrajit . And on the PACE strategy, right? So you mentioned that PACE would mean, the protection as well as the acceleration of some businesses , where would MFI fall into this framework? Would it be like acceleration or would it be like protection?
Rajiv Anand: I believe, and I mentioned this in the last quarter as well that the microfinance business is a very critical business for this Bank and for multiple reasons. It is a business that if run well is a very profitable one. Two and more as important perhaps is as the industry continues to g row, I do believe that meeting P SL and particularly Agri and within that the small and marginal farmer is going to become increasingly difficult. And here is an engine that meets that requirement for us. And so therefore, both from a profitability perspective, the fact that we are able to now start to grow other products within this space, which is our Bharat Super store busine ss, which I spoke about as well a nd the fact that this is going to meet our critical PSL requirements makes this a very important business for us. We also recognize the fact that it is cyclical in nature. And therefore, as I said in my opening remarks as well, we are using the credi t guarantee schemes and based on 31st December disbursals, we will have coverage of approximately about 38% of standard loan book . The intent is to take that to 100% and thereby eliminating the tail risk on the microf inance business. So, if you are able to do that and manage the proportionality of the business somewhere between 7 %-8% of the asset side, I do believe that we can build a more predictable and profitable microfinance business going forward.

Jai Mundhra: Sure, that helps, Rajiv. And last question, sir, you mentioned that you have intention to grow in line with the system by FY '27. But would it be fair to say that on a Q-o-Q basis, the Bank should now be on a growth track or it could be by maybe beginning from FY '27, how would you put in the overall loan growth?
Rajiv Anand: I do not want to guide Q-on-Q. But I think, I stand by what I said last quarter, that our intent is to grow in l ine with the industry in FY 26-27.
Moderator: Thank you. Next question is from the line of Rikin Shah from IIFL Capital. Please go ahead.
Rikin Shah: Hi, good evening, everyone. I had three questions. So the first one is going back to the net NPA point. So just some back of the envelope calculations suggest that if we

have to bring down our net NPA to 0.5 %-0.6%, and given the net slippages that we have, it looks like for next 3 quarters, whatever PPOP we make will largely be used to just provide and bring down that net NPA. So is it a fair assessment to say that for next few more quarters, the operating profitability will just be used to kind of bring down the net NPA? Or how wo uld you think about it? Otherwise, it looks tough to achieve 0.5 %-0.6% net NPA. So that i s number one. Second, Rajiv, it is on your ea rlier point on the PACE strategy , while you briefly alluded to what are the segments that you want to focus on, etc., but any broad level detailed strategy or the financial targets you would want to put it down as yet, or maybe that will happen at some point later. So that is the second one. And the third one is on the capital, right? So I know that you mentioned in the past the capital levels are sufficient. But first, if you could quantify what is the potential impact from the ECL whenever the transition happens fro m 1st April on the net worth, on pro forma basis, and the fact that while the ROEs are depressed, and once you start growing again, you will be capital. So what looks like as sufficient, I am not pretty sure whethe r we have enough growth capital? So what would be your thoughts on capital raise? And if and when that happens? So those are my three questions. Thanks.

Rajiv Anand: So let me take question 2 and question 3 first. So on the PACE strategy, we have done some work. And the intent this time is to see k the idea that there is a long -term strategy that is being built out. We will obviously share more details with you in the months to come, that I assure you. I think as far as capital is concerned , the issue there is, that why do I need capital at this stage? And I would first stay focused on getting growth impulses back particularly on the liability side, because I think we have enough engines of growth on the asset side, including some of the new engines that I spoke about, like SME, for example. And that, like I said, will take us deep into FY26-27. And so therefore, to that extent, growth capital is not something that we require. And even if we do consume at a relatively lower RO A, I think we have more than sufficient, at least for the next 12 -18 months. I will let Viral answer the net NPA question.

Viral Damania: So let me answer the first question and break it into two parts. The first is your point about saying our entire or large chunk of PPOP go towards servicing credit provisioning. Now, that is an outcome of the level of slippages that come out, right . Now, it is true that for past 2 quarters, they have been elevated. But we are seeing clear signs of that coming down in the next quarter. So as that starts dropping, you will obviously see a much lower level of credit provisioning. So that kind of answers your first question about are we going to continue eating up all our PPOP. Now, your second question about net NPA, right , again, we are going to be following very consistent provisioning policies.

And that is something we ha ve done from the last quarter itself. And we will continue to do that. So as the NPA start dropping, the absolutes also start dropping, right . So that i s really how that net NPA number starts coming down. So that kind of answers the first question. On ECL impact, we need to wait for the final guidelines on ECL. But our initial assessment suggests a pre-tax impact between 1.5% -1.7% of the loan book.

Rikin Shah: Sir, on the Net NPA point, in your own assessment, when do you really think that we should be able to reach our target range? Is it like FY '27? Or you would wan t to do it a lot more gradually o r maybe over until even FY '28 as well?

Indrajit Yadav : We will evaluate every quarter, depending on how the revenues are pacing out, how the asset quality pans out in some of the large businesses. So, we don't want to guide a specific target or anything. Let us see how each quarter goes a nd then we will update you.

Rikin Shah: Got it. Thanks, Indrajit. Thank you, everyone.

Moderator: Thank you. Next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: Yes, hi. So, Rajiv, one question on growth. Now, I know you have guided for FY27. But if we look at 2-3 years, on a more steady state basis, what kind of growth are you aspiring to?

Rajiv Anand: The way I am thinking about this is basically year one, which is FY26-27, grow in line with market ; FY27-28, start to gain market share and FY28-29, start to dominate in some of the focus areas that we have built out.

Abhishek Murarka: But when you say gain market share, would you have a certain, let us say, spread to industry or something in mind? Or a number, maybe given the size and the re -acceleration in growth?

Rajiv Anand: See, I don't have a number offhand. So, for some of our large businesses, for example, our vehicle finance business we have about 7.5% market share. Our intent is to take that back to 9% as we go forward. Similarly, we will continue to gain market share on our microfinance business. As we accelerate our SME businesses in the short to medium term, I am fairly certain that we will be able to gain market share. But I think the key to all this is to be able to improve both the quality and quantity on the liability side. And as we all know, there is a mad scramble for deposits in the banking system. And so, therefore, I am actually not very concerned about being able to gain market share on the asset side. I think the challenge for us will certainly be to be able to improve the quality and quantity of liabilities as we go forward.

Abhishek Murarka: Right. And just in terms of the microfinance slippage, I know the SMA 1 and 2 number looks actually quite g ood. But does it indicate that from 4Q onwards, the slippage should come down materially? Because if you look at the rest of the industry, they

are already in that phase. And I guess for you, you may be like one quarter off, but shouldn't be more than that. Is that a fair assumption?
Rajiv Anand: It is.
Abhishek Murarka: Perfect. Ye s. And finally it will help jus t to get some sense on a medium -term ROA aspiration. It may be 3 years, 4 years down the line, but just from a steady state perspective, where do you think you can get to and some sort of bridge to it or what will be the key levers at least going forward, something like that would be real ly useful so that you can get a sort of view beyond 27?
Rajiv Anand: I think it is a fair ask which is why we decided to seed the idea of PACE with all of you. And we will share more details, which will give you color, the possibility of execution, the execution rigor that is going into all of that in due course.
Abhishek Murarka: Got it. Thank you and all the best.
Moderator: Thank you. Next question is from the line of Chintan from Autonomous .

Please go
ahead.
Chintan: Hi, thank you for taking my question. I also have three questions. Can I follow up on your last answer regarding the ROA bridge? Over the next 2 -3 months you are bound

to talk to investors, they are bound to ask you this question, you will give some color, we will hear that feedback. It would be helpful if you will give us some idea about what that bridge looks like ? What are the kind of main levers that you have on cost of risk, we can obviously assume some amount of normalization, but where are your cost of funds going? What is your asset mix kind of going to add to that ROA bridge? Some color there, if you could see that now as well, that would be helpful. My second question is on your slippages. You hinted to a policy change on slippages. Could you help us quantify that if you were on your old policy, what would that slippage number be so we can understand the policy change , how much of that slippage is driven by that? And then my final question is, why are vehicle finance slippage s running at a higher pace or it has been high for a while, what is driving that and what is the road to improvement?
Rajiv Anand: So, on the ROA question, what I have been saying is that this is a 3 -year journey, year 1 is really to start to grow in line with market with 1% quarterly ROA. And I think you can do some numbers on your own, given some of the commentary that you have heard from us. The vehicle finance and microfinance business will continue to be a critical component for us, i.e., higher yielding assets. We will add the SME business and to some degree, defocus on the very large corporate business that we have. There is space for us to be able to grow our entire Agri franchise, including gold loans, which will help us meet some of our PSL requirements as well. Given where we are on cost of funds and retailization , including a renewed focus on current accounts should benefit us from improved cost of funds in the medium term. We are already working on a fairly elaborate cost takeout. If you look at cost to assets currently, there is a bit of a denominator effect because of the fact that assets are not growing, but there is the cost to assets continue to be elevated as well. So as I look across the ROA tree, I think there is opportunities for us to improve pretty much on each of these lines. On the NIM s through some benefits on cost of funds, fee incomes both on retail and corporate, som e cost takeouts and be able to reduce credit costs as we go forward. So, in that sense, you can clearly see that there are opportunities. I think the question really is how long will it take for us to execute all this. To my mind, it is a 3-year journey at least.
Chintan: That was very helpful. The other two questions?
Rajiv Anand: Sorry. Your other two questions were, why is vehicle finance slippage is high? Let me just ask Sriram who heads that business to take this, please.
AG Sriram : Yes, good evening. Slippage will be better than the last year. The slippage will be like both on absolute terms and on percentage terms lower than last year. We are expecting 20 basis point lowering of slippage during this current year. Having said that, like the vehicle and the entire industry, like particularly MHCV has been going through bit of a strain because of the GST norm changes. People have been takin g 28% and discounting the rates to customer, which has caught them out a bit. But having said that, it is a good thing for the industry on the long run. The entire industry will be benefited by such move. And the rest of the products like we are doing better than the last year.
Chintan: Thank you. And then finally, on that slippage question, the policy changes impact on the slippages?

Viral Damania : Yes, let me answer that. So, slippages are not policy -driven, right? That basically IRAC

norms and normal identification of NPA. So that is not policy -driven . What is driven by policy is at what point do you write off and what is the quantum of provisioning

that you need to do? Now, that change again, that is not something we have done this quarter. You saw that last quarter where we changed or upped our provisioning maintenance on the microfinance business and also at what point do we write off. So both those changes were made in the last quarter itself, and it is not this quarter event. But nothing to do with slippages, that is more on write -off and provisioning .
Chintan: Thank you.
Moderator: Thank you. Next question is from the line of Piran Engineer from CLSA India. Please go ahead .
Piran Engineer: Yes, hi. Thanks for the enhanced disclosures. Just firstly, quick data or quarterly questions. Other OPEX has declined quite meaningfully quarter -on-quarter from about Rs. 2,700 crores to Rs. 2,400. Anything to add to this?
Viral Damania : If you look at quarter -on-quarter comparison, first point to make is we have already absorbed Rs. 228 crores impact simply from the labor law change where the gratuity provisioning need to be upped. So that is already built into Quarter 3 expenses. And you are right that if you adjust for that, expenses have actually come down roughly to Rs. 240 crores for the quarter -on-quarter . Now, there is some amount of impact from higher expenses that we booked in Quarter 2 , like one-off GST provisioning. And also, we changed some of the expenses rela ted to business activity. So sum of that, Rs. 150 crores o dd from there and remaining Rs. 90 crores is a real save that we ha ve achieved through operational excellence and all the initiatives that we are trying to do. So yes, we are calibrating expenses tightly and tracking that to bring in the OPEX efficiency. So as Raj iv said, we are going to be focusing on bringing down the OPEX percentage because we believe there is opportunity there.
Piran Engineer: Got it. Thanks for that. Secondly, moving on to more mid -term questions. With the MFI share shrinking, I know you touched upon how it is important from a PSL perspective, but it is already down from like 9% to 6% of book in the last 2 quarters. And probably a year later, it might be even lower. So how are you thinking about bridging the gap? And you also mentioned your Bharat Super Shop, which is the merchant loan business. Does that also qualify for PSL?
Rajiv Anand: MSME , not Agri .
Piran Engineer: So it won't be SMF, but it will still be general category?
Rajiv Anand: Under MSME category .
Piran Engineer: Whereas the MFI business was under MSME or under SMF or Agri?
Rajiv Anand: Largely SMF under Agri .
Piran Engineer: So we are losing the SMF contribution from the MFI business, but we are gaining it in the MSME, but net -net, I think, SMF?
Rajiv Anand: It is not an either or.
Piran Engineer: Yes. So let us talk about just SMF category then. How do we intend to bridge the gap with our share of MFI going down?

Rajiv Anand: We have seen degrowth on the MFI book over the last 2 quarters, including this quarter. Having said that, there has been a significant increase in disbursals in this quarter, really from the middle of October. And so, therefore, to that extent, the full benefit of disbursals will come through in Quarter 4 , when monthly disbursals will be higher than the repayments that we receive and the book will start to grow after Q4 onwards. So the degrowth that you have seen, we should be able to recoup as we get into 26 -27, helping us in fixing one, the proportionality that you spoke about, and two is meeting a significant component of our PSL requirements for A gri and SMF.
Piran Engineer: Fair enough. Secondly, I think, while I understand you do

n't want to give the drivers of the improvement in ROA, but even if I assume that slippages in MFI half from where they are, the credit cost might improve 50 bps or so, it is still quite a hard task to get to 1% ROA within the next 5 quarters. And on top of that, we want to grow at 12 %-13% next year. So just trying to think about what are the risks here really. One thing you ha ve already identified is that ability to raise deposits at scale and at a l ower cost.

But I don't know, I think it seems like a stretch, or am I reading it wrong?
Indrajit Yadav : No, Piran, let us see how each quarter goes. As we have been saying, it is not going to be a given thing that ROA improvement will happen every quarter without doing anything. Bulk of the improvement will come from credit costs. Quarter 3 , credit cost is 2.6% of average loans . Bank, as you know, has operated at 130 -140 basis points when microfinance was at around 10 %-11%. So with the microfinance at a lower share, obviously, the bank has potentially to operate at a lower credit cost. So there is a si gnificant scope for improvement p lus, the margin that we are delivering today, the fees that we are delivering today, they are lower than what their potential is. So there is scope across the board. But giving exact bridge right now is too early. As you can see, every week things are changing, every quarter things are changing. So let us take one quarter at a time. And that is why we are not giving you quarter specific guidance. Let us reach 1% first. Some of you have actually asked us the other way around, is saying that 1% is too low for a Bank of your loan mix. So let us take one step at a time and then revisit.
Piran Engineer: But if you had to sacrifice one of the two, what would it be?
Indrajit Yadav : What one of the two?
Piran Engineer: The growth target, which is maintaining market share, which effectively means 12 %-13% growth, or the 1% ROA?
Rajiv Anand: I think, for a banking business, writing growth, particularly on the corporate side, which is not profitable is very easy to do. And so, therefore, the composition of the growth is as important and what part of that growth we are sacrificing is as importan t as well. Because remember that we are a relatively small player in the banking industry. And so, therefore, I don't think it is an either -or in a very simplistic sens e, if push comes to shove, yes, there are opportunities for us to be able t o shed growth without impacting PPOP. So stuff like that we will certainly do, if required, if push comes to shove.
Piran Engineer: That is it from my end. Thanks and wish you all the best.
Moderator: Thank you. Next question is from Parth Gutka from 36 0 one Capital. Please go ahead.
Parth Gutka : Yes, hi. Thanks a lot for the opportunity. What would be the drag on new LCR norms?

Indrajit Yadav : There is a small impact. It is not going to be a big impact because of that.
Moderator: Thank you. Next question is from the line of Rikin Shah from IIFL Capital. Please go ahead.
Rikin Shah: Hi, Viral, this is a question for you. You earlier mentioned that the write -off and provisioning policy w ere changed last quarter. Would you be able to just remind us what those changes are and what is the current write -off provisioning policy? Thanks.
Viral Damania: That is different across various segments of the business such as vehicle finance, consumer , secured & microfinance. The change for us was clearly in the microfinance business. So the change we made last quarter is the point at which we write -off. We are now writing off at 365 days post NP A. That is one change that we have made. And on provisioning, it staggered depending on the number of months outstanding post -NPA. But broadly, somewhere between 78% -80% kind of PCR on that book. So that is really the key c

hange. On the rest, we have basically just aligned it to where our LGD kind of number where we need to be on provisioning level.
Rikin Shah: Thank you.
Moderator: Thank you. Next question is from the line of Ankit Bihani from Nomura . Please go ahead.
Ankit Bihani: Yes, hi. Thank you for the opportunity. I just wanted to ask if the RBI annual supervisory outcome has been done like it has been done for other large banks with respect to Agri PSL. Has there been any impact of that?
Indrajit Yadav : The RBI discussions with the Bank are confidential in nature. We won't be in a position to comment on it till the discussions are conclusive. As and when required, we will make the required announcements or disclosures . So difficult to comment on it. We will give any information as and when it is appropriate.
Ankit Bihani: And the second question is, what would be our exposure to Adani G roup?
Indrajit Yadav : We don't disclose the company level exposure. We had disclosed this specifically in stock exchange 2 years back when there was some market news. Since then, the exposure has come down a little bit.
Ankit Bihani: Thank you.
Moderator: Thank you very much. Ladies and gentlemen, we wi ll take that as the last question. I will now hand the conference over to Mr. Rajiv Anand for closing comments.

Rajiv Anand: I thank each one of you for your interest in IndusInd Bank and for being on this call. I take this opportunity to wish each one of you a very happy New Year as well. Thank you once again.

Moderator: Thank you very much. On behalf of IndusInd Bank, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Disclaimer:

Call: Apr 2026

Q4 FY26 Earnings Conference Call

MANAGEMENT:
MR. RAJIV ANAND – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. GANESH SANKARAN – HEAD , WHOLESALE BANKING GROUP
MR. JAGDEEP MALLAREDDY - HEAD , CONSUMER BANKING
MR. VIRAL DAMANIA – CHIEF FINANCIAL OFFICER
MR. INDRAJIT YADAV - HEAD, INVESTOR RELATIONS AND STRATEGY
and
MANAGEMENT TEAM MEMBERS

April 24, 2026

Moderator : Ladies and gentlemen, good day, and welcome to IndusInd Bank Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Mr. Rajiv Anand, Managing Director and CEO of IndusInd Bank. Thank you, and over to you, Mr. Anand.

Rajiv Anand : Good evening and thank you for joining us today. I will start with a quick view on the macro environment and then go into bank specific developments.
High frequency indicators suggest that economic momentum remained healthy through February. That said, heightened uncertainty arising from the ongoing conflict in West Asia has tempered the near -term outlook. Overall, India’s macro -economic fundamentals ar e considerably stronger than during previous crisis episodes and compare favourably with global peers, providing greater resilience against external shocks. Against this external backdrop, our focus this quarter was firmly on balance■sheet resilience and asset quality repair.
We will now move to the key highlights for Q4FY26 and then cover business specific progress and financial performance.
1. Enhanced Retail Mix with Selective Growth in Focus Areas:
• During the quarter, we remained focused on growing our core retail segments while continuing to optimize the bulk portfolio.
• Retail deposit mobilization, which remains a key priority, saw healthy traction with net additions of Rs.6,800 crores during the quarter. All

incremental deposits during the quarter were retail in nature. As a result, the share of average retail deposits, as per LCR, improved to 47.9% vs 47.5% QoQ.

• On the asset side, we maintained a selective approach, with sequential growth in Vehicle Finance, SME and other retail segments. We are also gradually scaling Micro Loans disbursements. As we consciously prioritized risk-adjusted -returns for Wholesale Bank , the overall average loan book declined 2% QoQ.

2. Improving Asset Quality:

• We saw sequential improvement in slippages as well as recoveries across our retail segments.

• As a result, net slippages were down 37% QoQ resulting in lower provisioning during the quarter. Annualized net slippages were at 1.71% vs 2.65% QoQ.

• The overall stress book continues to moderate with QoQ decline in Net NPA, Net Security Receipts and Restructured book and these trends give us confidence that credit costs are past their peak, subject to macro stability and seasonality.

3. Financial Outcome for Q4:

• Our pre -provision operating profit at Rs.2,295 crores remained steady QoQ.

• Provisions at Rs.1,482 crores were down 29% QoQ driven by lower net slippages.

• As a result, the profit after tax for the quarter was at Rs.594 crores vs Rs.128 crores QoQ.

• Capital adequacy remains healthy, with CET 1 ratio at 16.20% and CRAR at 17.48%, providing adequate headroom to support growth.

4. Leadership Team Largely in Place:

• Since the last earnings call, we have onboarded our Head of Retail Banking, Head of Global Markets, Chief Risk Officer and Chief Information Officer.

• Our leadership transition is now largely completed, and the strengthened leadership team brings diverse experience, and a strong execution mindset.

• The Board has approved appointment of Jagdeep Mallareddy and Ganesh Sankaran as Whole Time Executive Director Designate. The Board has also approved appointment of Nilesh Vikamsey and Ravindra Garikipati as Independent Director designate. All these appoint ments are subject to the regulatory and shareholder approval, as applicable.

• This leadership team

reinforces my confidence to execute our strategic priorities and build a resilient and future -ready institution. With this leadership team in place, our focus now shifts fully from transition to execution.

I will now take you through highlights on individual businesses.

1. Vehicle Finance:

• Our vehicle finance business maintained healthy growth momentum from the previous quarter, along with showing meaningful improvement in asset quality metrics.

• Vehicle finance loan book stood at Rs.99,876 crores growing 2% QoQ, with disbursements for the quarter at Rs.12,600 crores.

• We saw sequential loan growth across most vehicle categories.

• With our sustained focus on collections and recoveries, annualized gross and net slippages for the quarter at 1.94% & 1.00% respectively have been the lowest in last several quarters. The full year net slippages were also down at 1.84% vs 2.33% YoY.

• Asset quality improvement was seen across all vehicle categories on QoQ as well as YoY basis.

• Overall, vehicle finance, one of the key pillars of the Bank, has delivered another year of robust performance. While we are confident of the medium term growth and profitability outlook for this segment, we remain watchful in the near term given uncertainties around the implications of the West Asia conflict. We remain focused on our strategic objective of strengthening our leadership position across vehicle categories and driving market -share gains in the coming years.

2. Rural and Priority Sector Banking:
• I will now cover Micro loans and other rural focused products.
• In Micro Loans, asset quality saw significant improvement in terms of collections from standard customers, fresh slippages and standard overdue book. This validates our belief in the reinforced underwriting models introduced last year.
• Micro loans gross slippages reduced to Rs.504 crores vs Rs.1,022 crores QoQ.
• The 31 -90 Days Past Due book declined to 0.9% vs 2.4% QoQ.
• With the confidence on the asset quality, we are now gradually scaling our disbursements. Disbursements for the quarter were at Rs.5,400 crores up 52% QoQ.

• As a result, the pace of contraction in the loan book moderated, with the sequential decline reducing to 5% QoQ from elevated double ■digit levels over the past few quarters. The decline was largely driven by the write -offs done in the quarter.
• The overall micro loans book now stands at Rs.16,782 crores, with around 57% of the portfolio covered under the CGFMU credit guarantee, including the Q4 disbursements which are currently under process of being covered.
• Overall, we remain focused on scaling the micro loans portfolio in a calibrated manner, balancing risk discipline with our priority sector lending requirements. In parallel, we continue to build a diversified rural portfolio across other product segments.
• With asset quality stabilizing, FY27 will be a year of calibrated growth rather than book contraction in micro loans.
• Our merchant loan book now stands at Rs.8,042 crores growing 11% YoY spread across 570K merchant borrowers.
• Our affordable housing loan book at Rs.2,839 crores grew by 24% YoY while Kisan credit and other rural loans at Rs.4,385 crores grew 3% QoQ.
• Together, these initiatives position our rural and priority sector portfolio for more stable, diversified, and sustainable growth.

3. Consumer Banking Assets:
• We are scaling our consumer banking assets with focus on overall loan book diversification and a gradual rebalancing towards traditional secured retail products.
• Our home loan book maintained robust momentum with outstanding at Rs.6,510 crores growing 45% YoY and 6% QoQ.
• We had started investing in multiple sub -scale secured products and they are showing encouraging trends. The monthly gold loan disbursements have grown 3x in last six months and the loan boo

k crossed Rs.1,000 crores now.
We should see momentum continuing a s over 500 branches are now enabled for offering gold loans.
• In contrast, we remain deliberately cautious on unsecured segments. Personal Loan book at Rs.10,358 crores de -grew 2% QoQ and Credit Cards Loan book at Rs.9,751 crores de -grew 5% QoQ.
• Credit card spends for the quarter were at Rs15,259 crores. Consumer spends have grown 4% YoY despite drop in cards -in-force due to conservative underwriting.
• Overall consumer banking assets at Rs.31,075 crores grew 8% YoY.
• Asset quality of this segment shown improvement with annualized net slippages improving to 4.22% vs 5.42% QoQ. Our efforts of increasing share of internally sourced customers should support improvement in the asset quality metrics over a period of time.

4. SME Banking:
• We are focused on strengthening our position in the SME segment, which represents a large and structurally attractive opportunity.
• Under the new leadership, we are upgrading processes, risk frameworks,

and operating structures to more effectively capture the growth opportunity, particularly from a relatively smaller base.
• The loan book now stands at Rs.44,347 crores growing 1% QoQ.
• We have also undertaken a detailed assessment of the potential impact of the ongoing West Asia conflict on our SME and relevant wholesale portfolios.

At this stage, we do not see any material impact on asset quality. However, we continue to closely monitor developments and maintain active engagement with customers to manage risks.

5. Wholesale Banking:
• The quarter saw further refinement of the wholesale banking loan book, with the portfolio now reflecting a more granular, balanced, and risk■calibrated franchise.
• On an average basis, the mid ■market segment saw a marginal sequential uptick, while continued rationalisation of the large corporate portfolio led to a 6% QoQ decline in the overall average wholesale banking loan book.
• The proportion of A and above rated customers and the weighted average rating of wholesale banking portfolio were at 83% and 2.53 respectively.
• On the fee side, our focus remains on efficient sources of income with transaction banking fee contributing 66% of the overall wholesale & SME fee income.
• Asset quality in the wholesale portfolio remains healthy. For FY26, gross and net slippages were at 0.29% and 0.24%, respectively, remaining stable YoY.

6. Now coming to Liabilities:
• I will now turn to our liabilities franchise. To begin, I would like to welcome Jagdeep Mallareddy, who will be taking over as the Head of Retail Banking. Jagdeep brings over three decades of experience across retail banking, lending, credit, operations, a nd risk management.
• During the quarter, we saw a sequential recovery in both average and end■of■period deposits, reversing the declining trend seen over the past three quarters. These efforts translated into a revival in retail deposit growth, with net additions of Rs.6,800 crores.
• Retail deposit accretion was supported by robust new ■to■bank CASA acquisitions, leading to an improvement in the retail CASA mix. The share of average retail deposits, as per LCR, improved to 47.9% vs 46.6% YoY and 47.5% QoQ.
• Cost of deposit for the quarter was at 6.07% improving albeit marginally by 2bps QoQ.
• The share of Certificate of Deposits in total deposits and borrowings in total liabilities remain steady at 6.2% and 7.9% respectively.
• We maintained healthy liquidity position during the quarter with an average LCR of 118%.
• We had initiated a revamp of operating process especially in the client facing journeys. These steps have started yielding results. The average Turn Around Time (TAT) of Account activation for Assisted Digital account opening journey was reduced by 80% for Savings Account in 6 months. The average TAT of Acco

unt activation for Assisted Digital account opening journey was reduced by 63% for Current Account in 6 months.
• Resultant impact was enhanced customer experience improved NPS on assisted Digital account opening journey.
• We progressed on our ambition of unifying our distribution channels to leverage synergies. We now have around 300 vehicle branches co -located or merged with the branch banking and aim to take it towards 600 over next 6 to 9 months. These efforts are reflec ting in increasing through put of retail assets and liabilities along with cost synergies. Deposits sourced from vehicle customers have grown by 35% during the year.

• We believe AI —and particularly GenAI —represents a structural shift for banking, comparable in scale, if not greater, than the core -banking transformation of the 2000s and the internet and mobile banking wave of the 2010s.
• At IndusInd Bank, AI is a core strategic priority. We see meaningful potential across customer experience, employee productivity and engagement, credit risk management, and financial crime prevention.
• To institutionalise this focus, we are investing in a dedicated AI Centre of Excellence to drive GenAI adoption at scale. We have identified ten high -impact use cases across sales productivity, conversational banking and service, credit underwriting, and c ollections. Some of these use cases are already live and delivering encouraging outcomes. For instance, our internal knowledge management application, Indus Compass , now has over 3,000 daily active users, processing more than 15,000 employee queries each d ay across policies and products. In parallel, our enterprise AI chat platform has also seen strong traction, with close to 3,000 daily active users and over 70 interactions per user per day.
• Equally important, we are investing in building an AI -ready organisation. Over 9,000 employees have already completed at least one AI training programme, and we expect to scale this significantly during the current financial year as part of our long -term c apability -building agenda.
I will now hand over to Viral to take you through the financial performance.

Viral Damania: Thanks Rajiv and good evening, everyone. Similar to the last few quarters, my commentary will focus primarily on sequential trends. I will begin with the balance sheet, followed by the profit and loss account.
• Average Advances dropped 2% sequentially from Q3 driven mainly by decline in wholesale banking advances and micro loan book.
• Average Deposits inched up by 1% supported by healthy retail deposit mobilization.
• Average CD ratio was at 82.0% vs 84.4% QoQ.
• Share of average borrowings in total liabilities remain steady around 8%.

Moving on to the P&L
• Net Interest Income for Q4 stood at Rs.4,371 crores.
• Net Interest Margin was at 3.39% vs normalized NIM of 3.35% QoQ. The improvement was driven by a reduction in cost of funds, reflecting lower borrowing & deposit costs.
• Non Interest Income at Rs. 1,714 cores remained broadly stable QoQ.
• Our operating expense of Rs.3,790 crores was stable QoQ adjusted for the on-off impact of Rs.230 crores in previous quarter relating to change in labour code.
• As a result, the operating profit at Rs.2,295 crores remained steady QoQ, despite lower loan book. PPOP to average loans ratio was at 2.93% vs 2.84% QoQ.
• The provisions and contingencies for the quarter at Rs.1,482 crores were down 29% QoQ driven by reduction in net slippages. We have written -off loans amounting to Rs.1,868 crores during the quarter.
• In terms of asset quality:

o GNPA and NNPA were at 3.43% and 1.00% respectively and PCR maintained around 71%.
o Slippages have improved across segments. Segment wise NPA movement details are given in slide 24 of our investor prese

ntation.
o Our SMA 1 and SMA2 book at 17bps was stable QoQ.
o Net Security Receipts declined to 8bps vs. 9bps QoQ.
o Restructured advances declined to 6bps vs. 7bps QoQ.
• The profit after tax for the quarter was at Rs.594 crores vs Rs.128 crores QoQ.

• The Bank continues to have healthy capital adequacy and liquidity position with CET1 of 16.20% and CRAR of 17.48% and LCR at 118%.

I will now hand over to Rajiv for his closing comments.
Rajiv Anand : Thank you, Viral. To summarize, our performance this quarter reflects the progress we have made in strengthening the granularity of balance sheet, improving asset quality and driving a more stable retail -led growth. With strong leadership, comfortable liquidity and capital adequacy, we believe the bank is well positioned to deliver sustainable value over the medium to lo ng term.
With near -term growth remain -- while near -term growth remains calibrated, the trends on asset quality, retail deposits and operating leverage gives us confidence in progressively improving returns over the medium term.
With this, we are now open for Q&A. Thank you, and over to all of you.
Moderator : The first question is from the line of Rikin Shah from IIFL Capital.
Rikin Shah: I had three questions. The first one is there was a reduction in the banking outlet footprint by about 230 sequentially. So, what's happening there? And while Rajiv, you did mention that we should now think about growth picking up versus contraction in the past few quarters. But overall, for FY '27, what kind of loan growth should one expect? So that's the first one.
The second question is, if you could share the absolute quantum of AFS reserves as of March '26 and also clarify if there was any impact from RBI's FX NOP rule? And if the impact was there, was it reflected in the 4Q results already? And the final question is on asset quality. So of course, the slippages have come down, but we clearly had more room to bring down the net NPA ratio further. But instead, we have seen the provision coverage marginally going down sequentially.
So, when do you expect to reach your earlier guidance of 50 basis points of net NPA ratio? Is it going to be a lot more gradual or we can take some accelerated write -offs and reach there, which you were earlier guiding to?
Rajiv Anand: So, let me take the first the questions. First is on business correspondent, those 200 -odd outlets, it's just a function of optimizing, rationalizing some of these centers. As a result of this, we have basically sort of reduced 200 of those locations because they had become unviabl e as per the work that we have done.
Second question was around growth. What I have been talking about over the last couple of quarters is that FY26-27 should see us grow broadly in line with market. And that's really what we are working towards. And I think the foundations now are in place for us to be able to do that. The other couple of questions, I would like to request Viral to answer.

Viral Damania: Yes. I can cover the other two. The AFS reserve was negative Rs.50 crores. I just want to highlight that our AFS book is not that large. It's quite small in the context of the overall investment portfolio. So, it's a small number, negative INR50 crores on AFS.
The second question you had was on the net NPA. First, I want to highlight the entire quantum, you're seeing a sequential decline . It's gone down from Rs.3,300 crores to Rs.3,169 crores. Important to also highlight more than 50% of that is from the vehicles business. Less than 25% is now from the microfinance business. So, in terms of residual risk, the vehicles portfolio, you will not see that much of credit loss resulting from that net NPA. It is important to understand the constituents of that net NPA as we think about residual risk sitting there. It would be a gradual reductio

n. You're not going to see an immediate write -off there. We want to be consistent. We've been sharing that over the last few quarters that we would want to be consistent on our policies on write -offs. The new clause not impacted us too much. The only thing we've seen is the FX volatility impacting our other assets and liability .
Rajiv Anand: The impact of the RBI requirements was not material. I mean it was in tens of crores.
Moderator : Thank you very much. Rikin , I'll request you to come back for a follow -up question. Next question is from the line of Kunal Shah from Citigroup.
Kunal Shah: So, post this guidance of almost system average credit growth, in terms of ROA, how should we look at the step -up getting into FY 27 and FY 28, looking at where do we see margins settling down, we saw some improvement on the core NIM. And when we look at it in terms of fee income, so fee income, particularly on the retail side was slightly weaker. I understand it's because of the cards looking at the breakup of the proportion. But 1.2% fee, how should we see it scaling it up and maybe towards like

1.5-odd percent how much of time it would take. So particularly on the ROA led by whether it would be more led by NIM and fee or it would be more like a cyclical credit cost, which can aid the RoA improvement ?

Viral Damania: So, let me answer that. So, let's take the current ROA base we are at 45 basis point . So, for our journey to 1 %, we are looking at that coming in equal contribution, both from the credit cost and from operating profit. So that's the first split of how we get there. Within operating profits, some improvement on NIM, much more on fees and much more on expense s. So that's how I would bridge it . Because the expense base, we are looking at controlling that. And as the asset size starts growing, that's where we will see some optimization. So broadly, that's really how we are looking at the Journey to get back to the 1% RoA.

Kunal Shah: Okay. So more it will be fee income. And what will actually drive that? Because this quarter, it's been like better growth in terms of disbursements across the products, but still not reflecting in terms of the overall fee. So is it like once we resolve th e card, it gets to that level or there will be more contribution? If you look at the breakup on retail and wholesale also, it appears to be pretty sticky out there .

Rajiv Anand: Your comment on fees is fair. But I think that really is the opportunity for us to go after multiple lines of fee businesses. Your point on cards is fair, but also there's been a lot of work that's happening in terms of optimizing some of the fees that we are charging our customers in some cases, somewhat lower than industry levels, some increase /decrease in locker fees, for example. From a productivity perspective, we can do more on sale of insurance and mutual funds and other such investment products. There is work that is happening on the transaction banking side , to be able to now start adding new lines of business like the capital markets fees. And finally, we have a new Head of Sales in treasury as well to be able to significantly increase franchise fees on the FX side as well. So, there are multiple levers, all are work in progress. And slowly but steadily, we should see better fee income as we go forward.

Moderator : Next question is from the line of Abhishek from HSBC.

Abhishek Murarka : Congratulations for the quarter, and we can see the course correction happening. I think just in terms of your comment on loan growth, you said broadly in line with market and foundations are in place to achieve this. What is your internal assessment of mar ket growth? And within this, how do you see the mix of wholesale, retail, SME moving? Because you're rationalizing one part, not really growing some parts and then really growing some parts.

So how do we see the overall mix changing? That's question number one.

Question two is in terms of your R oA target. I guess we are still sticking to the 1% exit in FY 27. But I think the visibility of that is much, much better now. So how about the medium -term aspirational target, right? So where do you wish to eventually reach, if you can talk about that?

And the third one, I'll just slip in on asset quality. Just in terms of MFI, how much more normalization is there to go in terms of slippage because on an absolute basis, also, it's a relatively high number. And disbursements wise, we are still lower than Q1 '26 and we are definitely capacities to do much higher disbursement s. So how do we see the trend going forward? So those are the 3 questions.

Rajiv Anand: So, Abhishek, thank you for your kind words. Question one was where do we see industry growth? I think the industry growth for this year should be , everything one needs to caveat with subject to how the West Asia crisis plays out. But notwithstanding that caveat, we should see 13% -14% growth.

Broadly speaking, we are, give or take, 60:40 on retail to wholesale. One of the things I've mentioned is that within wholesale, we are dialling up on the more granular businesses, mid -corporate, SME, etcetera , and taking some money out of the very large corporates. And so therefore, while the overall number may remain more or less the same, but I think the proportionalities internally within that will change.

I also mentioned the fact that on the retail side, we have already started to see growth on the more traditional retail asset businesses, home loans, gold loans, etcetera . And that is something that we will continue to build on as we go forward. If you remember, the conversation I had with all of you really was to be able to convert IndusInd Bank into a much more universal bank with a predictable profit franchise. And that's really what we are really working on at this point in time. And like you rightly said, I think some of that work is slowly but steadily beginning to show up in

the numbers as well.
Abhishek : Where could it settle at the 14%, or 15% SME, where could it get to? I mean just some broad contours would help.
Rajiv Anand: Sorry, on the SME side itself, is that what you're saying?
Abhishek : Yes, just a mix. So, let's say, retail is at 50%, SME 14% and 15% and wholesale 35%.
Rajiv Anand: I mean, SME is a bit complicated, because some of it is sitting in retail, some of it is sitting in wholesale. But broadly speaking, that we will take money away from the very large corporates and put that into the mid -market and the SME franchise is the point that I was making. So therefore, while the overall numbers of SME plus wholesale should remain around 50%, but the composition within that will change somewhat.
Moderator : Next question is from the line of Chintan from Autonomous.

Chintan Joshi : Can I just get a little bit of detail around kind of how much can large corporate shrink further? And a couple of detailed questions on kind of your average CASA balances growth in the quarter, how much was that? You gave the average deposit growth at 1%. I'm also after the average CASA growth, if you can give that?
And also, any one -offs to flag in the NII line this quarter? Or can we take this as a very clean NII line? And my final question is on provisions. You said that, say, half of the journey from 45 bps to 1% ROA comes from provisions. that kind of suggests that provis ions will be something like 90 basis points of assets. Is that a fair post code for you? Thank you.
Viral Damania: So, let me first answer the point on average CASA growth. So, quarter -on-quarter, we've not really grown CASA mix. It was 30.2% in Q3, 29.8% in Q4. But again, important to understand the constituents . The retail book that's really been gro

wing.
We've seen some degrowth on the wholesale book. So, the mix is important to highlight.
On provisions, the other important thing to understand is also the growth in the loan book . So far this year, the denominator has been coming down. Slippages have improved, and therefore, the numerator is going to be fairly controlled over the next 3 to 4 quarters and the denominator is really going to start going up. And therefore, we will see that showing up effective ly in the credit cost on loans and assets going down. So that's really the math on credit cost .
Rajiv Anand: Can I ask Ganesh to take the question on large corporate degrowth?
Ganesh Sankaran: I think your question was how much we are anticipating large corporate further degrowth. I don't want to put a number on how much we are expecting. The way to think about it is we'll be dialling up our mid -market, our commercial bank . In the very top end of the large corporate, which are particularly the conglomerates, we may see some degrowth. That is how we would like to look at it. it's early days. But directionally, we are guiding that we will look at better growth or higher growth or more than proportionate growth in the mid -market segment .
Rajiv Anand: So, to answer your question, we expect the overall book to grow.
Chintan Joshi : Okay. But that's what large corporates have done minus 25% year -on-year. Is there another 10% to go, 20% to go or smaller numbers?
Rajiv Anand: No, we are more or less done there.
Chintan Joshi : Does that help mix on your margin.
Rajiv Anand: No, we are more or less done there. As far as the degrowth, the point that you are making, that we are more or less done.
Chintan : Understood. Okay. And NIM was clean, right? That was my final one. NIM was clean in the quarter.
Viral Damania: NIM was clean. No one -timers in this quarter.
Moderator : Next question is from the line of Piran Engineer from CLSA India.
Piran Engineer: Congratulations on the quarter. Just going back to the credit cost question. So apart from MFI, what would be the driver of credit cost improvement from current levels?
And MFI also probably should just be maybe Rs.200-300 crores more, right?

Viral Damania: So again, if you look at the slippages data for this quarter, the reduction is happening across our portfolio s. It's not only the microfinance, which has dropped. We've seen a drop both in consumer as well as vehicle financing. And therefore, the improvement will be across sectors, not just micro finance . You are right about your point that the absolute on microfinance is a much smaller number, but the improvement really will come across the three large segments that I talked about, microfin ance , consumer and vehicle finance.

Piran Engineer: But Viral, in vehicles, your net slippage ratio is like 1%, if I heard you correctly in the opening comments. I mean, historically, what this number look like for IndusInd Bank? I would expect 1% to be a pretty good number and a lot of improvement seems unlikely, just speaking as an analyst ?

Viral Damania: Yes. denominator, right, important to understand that. The asset book continues growing, the slippages are dropping, and that's how you have to translate that into credit cost, right? That's the point I'm trying to make.

Rajiv Anand: At the moment, the asset growth is relatively muted. And so therefore, to some degree, all these percentages are a bit skewed. So, I think two things are happening is the point Viral is making. One is anyway, slippages have reduced. And add to that, as growth begins to come, these numbers will start to look better.

Piran Engineer: Understood. Understood. Okay. Second was on just your deposit and funding cost sort of movement. Now your cost of deposits has fallen only 2% Q -o-Q and cost of funds has fallen 12 bps Q -o-Q.

Viral Damania: That's again an

effect of the total balance sheet . If you look at total balance sheet, that's grown and therefore, that cost of funds average has dropped more than what you see on the cost of deposit.

Piran Engineer: Okay. So, you're taking equity also in this in the denominator?

Viral Damania: That's correct.

Piran Engineer: Got it. just on the deposit cost thing, 2 bps QoQ when our CASA was largely stable. Does this mean that our TD repricing is almost over now? Because last quarter, we reported a much better decline.

Viral Damania: I think that's fair to say that the repricing that journey is pretty much done.

Piran Engineer: It's pretty much over. Okay, fine, that's it from my end. I'll take any follow -ups later. Thank you, and all the best.

Moderator : Next question is from the line of Jai Mundra from ICICI Securities.

Jai Mundhra : Sir, one question on your growth. So now we are aspiring for system level growth, and we see that large corporate may remain in consolidation mode. That would mean that effectively retail plus SME may have to be more than like 17% -18% plus. At the same time, you see macro, which may have some implication on SME growth and maybe vehicle growth.

Along with that, so far, deposits, while they have been stable retail deposit, but there's not material growth there. So would you be comfortable in growing -- considering these constraints on SME/vehicle along with dialing up deposit to achieve towards th e systemic level growth? That is the question.

Rajiv Anand: See, across the system, we have a little under 2% market share. So therefore, we do believe that this franchise is certainly worth more than the 1.7 odd percent market share that we have. And so therefore, given the team that we have, given the process systems controls that we are now putting in place, I do believe that we will be able to at least start to grow in the vicinity of where the market is.

To the point that you are making that if the macroeconomic environment as envisage begins to play out, please remember that market level growth will also come down. And so therefore, to that extent, I mean, if that begins to play out, we will also calibrate growth as appropriate.

Jai Mundhra : Right. And your liability side reset has already happened, right? Whatever the bulk deposit is more or less steady, but there is no liability reset that is still pending, right?

Rajiv Anand: From a pricing perspective, yes. But I think obviously, proportionalities are something that you need to consider as well, meaning that we have some way to go to catch up with peers in terms of the ratios of the current account relative, the overall ratio of retail plus SBC as compared to peers, etcetera .

And so therefore, while there may not be necessarily a great deal from a repricing perspective, we do hope that as proportionalities improve towards more retail, we may be able to get some benefits on overall cost of deposits as we go forward.

Moderator : Next question is from the line of Param Subramanian from Investec India.

Param Subramanian : Congratulations on the improvement in profitability in the quarter. Again, I just wanted to check on the 60-basis point guidance for net NPA when do we plan to achieve that again?
Viral Damania: We mentioned that in the previous quarter as well, that is a target. We don't have a due date kind of saying, okay, we will get there by this date. That's the level we want to get to. But yes, it's a journey. It's not going to happen like immediate next few quarters.
Param Subramanian : Okay. Fair enough. Okay. Secondly, on deposit growth, right? So this year, we have not grown deposits because we've not been growing the balance sheet. Retail deposits is also minus 2%. And since we didn't have to grow, we took the opportunity to cut our rates. But going into next year, do you think you'll have to say, raise

rates
again to garner retail deposits because if you plan to grow mid -teens, retail deposits are still growing at, say, minus 2% Y -o-Y, yes.
Rajiv Anand: We'll see. If you look at our deposit rates compared to our larger peers, we are already paying a somewhat premium to the big 3 or 4 banks. So we'll see how this plays out.
Param Subramanian : Rajiv, I wanted to understand what exactly changes for retail deposit growth to pick up?
Rajiv Anand: So, there are multiple things, somewhat some internal, some external, meaning that we've made some organizational changes, structural changes, changes in incentive plans, changes in go al sheets , etcetera, for our branch banking folk s. We have integrated the CFD piece, as I spoke about in my opening commentary. And there is a clear mandate from them to be able to grow their deposits. There is a mandate even in our microfinance businesses to be able to get more than what we are getting today. As we grow our retail asset businesses as well, I do believe , that will trigger a virtuous cycle of more cross -sell, more engaged customers and therefore, better balances.

We are also working on improving our digital capabilities, which I think it is fair to say that we have a little bit of way to go as compared to peers. And I do believe that in an environment where flow of funds is so quick and so efficient and so frictionless having strong digital capabilities is an absolute imperative.
So therefore, we are improving our digital capabilities as well as we go forward. I also spoke about the fact that at a very basic level, current account opening -- current and savings account opening itself, we have made a transformational shift in terms of customer experience. We are also working on repositioning the brand, which we will hopefully do sometime in July, August of next year. So, there's a whole bunch of things that are happening, which gives me a great deal of confidence that both from an input and output perspective, we should be able to do much better going forward.
Param Subramanian : Got it. Thanks a lot. Just one last question. So, there is a Y -o-Y sharp increase on other assets in the balance sheet. Is that RIDF and if so, if you could quantify.
Viral Damania: Yes, it's a combination. So, you're right. Partially, yes, Rs.3,000 crores was RIDF. The remaining is really grossing up of the balance sheet with the FX volatility. So, revaluation of FX contracts where we are hedged from a risk perspective, but you have two contracts which grossed up the balance sheet. So that's really explaining the Other Asset and Other Liabilities movement.
Param Subramanian : Okay. Okay. Got it. And if you could broadly talk about your PSL, say, how you are positioned because the MFI book is sharply down as of the end of the year.
Rajiv Anand: So, we have met all our PSL requirements, including subcategories for the financial year 25-26. If that was the question.
Param Subramanian : Sorry, it's not that you will have higher RIDF instalments next is what I wanted to say ?
Viral Damania: So, this year's PSL, we met. So, we're not going to have RIDF. Having said so, the RIDF target for shortfall of the past year, that's not fully done yet. So, we still have another Rs.2,000 crores RIDF left in terms of the demand. It's not come through yet, but that's it. But as far as PSL goes for this financial year, having met the targets, we should not have incremental target on RIDF coming in next year.
Moderator : Next question is from the line of Jayant Kharote from Axis Capital.
Jayant Kharote: Sir, first question is on the LCR. If you can help us what would be the release under the new norms for LCR for you? And a follow -up to that would be what is your internal comfort level on LCR? Or is there a Board approved floor of LCR, which you would li ke to maintain?

Viral Damania: So

LCR, I think at 118%, that's a stable level. I don't think we're going to see much delta there, very marginal there. The range, we would operate between 115% to 120%. That's pretty much the range we'll be working within. And that's what we are internal tracking.
Jayant Kharote: Any release from the new norms?
Viral Damania: No, nothing significant coming in.
Jayant Kharote: Okay. Sir, second question is on the merchant loan book. We do see a very healthy uptick over there, almost 10% Q -o-Q after almost 4 quarters. Is this strategic? And would we see something similar over the next 4 quarters in this book?

Rajiv Anand: This is a book that we are passionate about. It's a business that can be scaled quite significantly from here. We are investing in both people, technology within this space. And in this franchise, we can do a lot more. So I don't want to comment on whether the rate of growth will be the same, but it is a business that we certainly want to grow not just over the next 3 to 4 quarters, but over the medium term.
Jayant Kharote: Do you see this becoming a sizable part of the loan book over the next 2 to 3 years?
Rajiv Anand: Let me answer that question slightly differently. I mean I think today, if you look at our microfinance business at BFIL , it's broadly speaking, 70%:30% microfinance to BSS, which is our Bharat Superstore Business. The plan really is to convert it into a more rural business where microfinance then effectively becomes 50 %, not because it's going to degrow . But because we're going to add new products within that franchise to be able to grow that franchise and to be able to serve the community there through multiple products like Micro LAP, for example, is an example of another product that we will add there. But fundamentally, the rural business is something that we want to grow, not just on the microfinance or BSS side, but with more products.
Jayant Kharote: If I could just squeeze one last question regarding the LCR. If we are, let's say, not able to match the loan growth with the retail deposit number, are we open to tapping into CD and higher cost? Or I mean is growth the primary aim over here?
Rajiv Anand: Given the fact that we have not grown for a year, I think it becomes very clear to me and to my Board that we need to start getting back into growth mode. Now if the industry grows at 12% or 13% and we grow 11% or 12%, I will not be deeply disappointed. But I think fundamenta lly, we need to get back into growth mode.
Moderator : Next question is from the line of Pritesh Bumb from DAM Capital Advisors.
Pritesh Bumb: So, the risk -weighted assets were sharply down by about 300 basis points. Anything to read into that? And with 16.2% CET, will we still looking to raise any capital?
Viral Damania: So, on the RWA question, two factors playing there. One is the drop in the loan book, right, that directly translates on credit RWA. Second, we've also run optimization on the book. So, things like quantum of rating portfolio, the market risk calculation, etcetera . We've seen some uptick from that as well. So that's really helping us maintain and lower the absolute RWAs.
Rajiv Anand: To the second question, was we have accreted capital in this quarter. And so therefore, our capital position has become stronger than where it was in the previous quarter. This level of capital is enough for us to be able to support growth at least over the next 1 year. So yes, there is no plan to raise capital anytime soon.
Pritesh Bumb: And lastly, Rajiv, you mentioned about the macro environment, in West Asia crisis. Our portfolio is generally very aligned to the macro environment, right? So any early assessment on from a book perspective where we are linked to the oil and gas value chain and asset quality related to vehicle finance and SME, any assessment there?
Rajiv Anand:

So, as you can see, this whole theatre is evolving literally on a day -to-day basis, but we've already done 2 iterations where we looked at the entire portfolio across all our businesses. At this point in time, we are not seeing any significant hotspots or across the entire portfolio. But I do believe that if this crisis continues and the physical ability to move oil and gas is constrained as it is today for a longer period of time, it is, I think, inevitable that maybe, I don't know, two quarters from now, we will see some impact on portfolios. But like I said, I mean, it's a wait -and-watch mode at the moment.

Moderator : Next question is from the line of Ankit Bihani from Nomura.
Ankit Bihani: I just wanted to ask our employee cost has declined sequentially even if I exclude the new Labour Code impact, if you could highlight something on that? And the other question was on the deposit growth front, how do you see system deposit growth panning from here on? And could that be a constraint on loan growth going ahead? Because as of March end, we are running at a 16% Y -o-Y loan growth. Where do you see it settling in FY -27?
Viral Damania: On employee cost, it's a factor of the churning that we've seen through the course of the year. I don't think it's been a substantial movement quarter -on-quarter. It's actually flattish. But yes, it's been flat to lower . And you're right. The one -off was the Labour Law impact last quarter.
Rajiv Anand: So simple answer to your question is will deposit growth be a constraint to credit growth? Absolutely. I mean , in a sense, is a basic tenant of banking that we will be able to grow only to the extent that we are able to raise deposits given all the various constraints around LCR, LDR, etcetera , is concerned. But having said that, it does look like we will see slightly lower levels of credit growth in the current year, especially given the macroeconomic environment that is currently playing out. But like I said, it's a wait -and-watch mode. Things are changing literally on a day -to-day basis.
Moderator : Ladies and gentlemen, we will take that as the last question. I'll now hand the conference over to Mr. Rajiv Anand for closing comments.
Rajiv Anand: Thank you for your interest in IndusInd Bank. I appreciate the time that you have spent with us. Thank you once again.
Moderator : Thank you very much. On behalf of IndusInd Bank Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

IndusInd Bank Limited
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